

Cummins India Ltd. (CUMMINSIND)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

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May 29, 2023

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NSE Symbol: CUMMINSIND

Subject: Intimation of transcript of analyst conference call held on May 25, 2023.

Dear Sir/ Madam,

With reference to our stock exchange intimation dated May 12, 2023, towards investor/analyst/ Financial Institution conference call, we are enclosing for your records a copy of the transcript of the said conference call conducted by the Company on May 25, 2023.

Kindly take this intimation on your record.

Thanking you,

Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
(This letter is digitally signed)

Encl.: As above.

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"Cummins India Limited Q4 FY 2022-23 Earnings
Conference Call"

May 25, 2023

MANAGEMENT : M R. ASHWATH RAM – MANAGING DIRECTOR ,
CUMMINS INDIA LIMITED
MR. AJAY PATIL – CHIEF FINANCIAL OFFICER ,
CUMMINS INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q4 FY 2022-23 Earnings Conference Call. We hope you are keeping safe and healthy.

As a reminder, all participants' lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I will now hand over the call to Mr.

Ashwath Ram, Managing Director, Cummins India Limited.

Thank you and over to you, Mr. Ram.

Ashwath Ram: Good morning, ladies and gentlemen. Hope all of you are doing well. I Am Ashwath Ram – Managing Director of Cummins India Limited. Mr. Ajay Patil – CFO of Cummins India Limited is also on the call with me. Thank you all for joining us on this call today.

As most of you know the CPCB-4 Plus norms will become effective July 1st, 2023, for gensets up to 800 kilowatts. I am happy to inform you that the company is ready with its products to meet the new emissions norms and is confident of offering the Best-in-Class products to its customers which will continue to deliver superior performance and meet the new emissions norms.

Now with the results, we are happy to announce that Cummins India Limited recorded the highest ever revenue and profits for the second financial year in a row, primarily driven by strong demand across various market segments, and geographies, and a conscious effort by the company on systematically managing costs and focus on improving profitability.

I would like to share the financial results of Q4 FY '23 and Financial Year '23 through this call.

Getting into the financial results for the quarter ended March 31, 2023, with respect to the same quarter last year, our sales at Rs. 1,889 crore are higher by 29% compared to Rs. 1,469 crores recorded in the same quarter last year. Domestic sales at Rs. 1,396 crore are higher by 33%. Exports at Rs. 493 crore are higher by 17%. Profit before tax and exceptional items at Rs. 413

crore are higher by 69% compared to Rs. 244 crore recorded in the same quarter last year.

For the quarter ended March 31, 2023, with respect to the last quarter, our sales at Rs. 1,889 crore are lower by 12% compared to Rs. 2,144 crore recorded in the last quarter. Domestic sales at Rs. 1,396 crore are lower by 13%. Exports at Rs. 493 crore are lower by 9%. Profit before tax and exceptional items at Rs. 413 crore is lower by 14% compared to Rs. 479 crore recorded in the last quarter.

Segment wise breakups for the quarter ended March 31, 2023. The sales breakup segment wise are in the domestic market, power generation sales were Rs. 672 crores, a 43% increase over last year and 6% decrease over last quarter. Distribution business sales were Rs. 483 crore, 31% Cummins India Limited

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increase over last year and 8% decrease over last quarter. Industrial domestic business sales were 217 crore, 14% increase over last year and 36% decrease over last quarter.

Exports, high horsepower exports were Rs. 207 crore, 2% increase over last year and 8% decrease over last quarter. Low horsepower exports were 244 crore, 31% increase over last year, 7% decrease over last quarter.

For the year ended March 31, 2023, with respect to the last year, our sales at Rs. 7,612 crore are higher by 26% compared to 6,026 crores recorded in the last year. Domestic sales at Rs. 5,562 crores are higher by 26%. Exports at Rs. 2,050 crore are higher by 27%. Profit before tax and exceptional items at Rs. 1,506 crore is higher by 47% compared to Rs. 1,028 crore recorded in the last year.

Segment wise break up for the year ended March 31, 2023. The sales breakup segment wise,

domestic, power generation domestic sales were Rs. 2,555 crore, a 30% increase over last year. Distribution business sales were 1,8

72 crore, 26% increase over last year. Industrial domestic business sales were Rs. 1,046 crore, 16% increase over last year.

Exports, high horsepower exports were Rs. 897 crore, 11% increase over last year. Low horsepower exports were Rs. 952 crores, a 40% increase over last year.

With this, I now open the session for questions. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. We take a first question from the line of Ravi Swaminathan from Spark Capital Advisors. Please go ahead.

Ravi Swaminathan: My first question is with respect to the Power-Gen business. If you can, at an annual level, give a breakup of how much of the revenues below 800 kilowatt and above 800 kilowatt? And how do you see the current pre-buy scenario with respect to the power gensets, if you can give a thought process?

Ashwath Ram: Typically, we don't classify as below 800 and above 800. Typically, we are classifying the sales by high horsepower, which is above 500. So, I don't have the data to just say what is above 800, but I can by empirical kind of analysis, I can say that roughly about 20% of our sales are above 800 KW.

Ravi Swaminathan: And how do you see the pre-buy for the below 800 kilowatt ahead of the implementation of the norms?

Ashwath Ram: The pre-buy is pretty strong at this rate and as a matter of fact, we are working literally 24x7 to meet the pre-buy right now.

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Ravi Swaminathan: And what is the likely price increase that is going to be there with respect to the below 800-kilowatt engine prices?

Ashwath Ram: Yes. It's going to be dependent on the node and the complexity of the changes that are on each of the nodes that I would range between 20% to 50% is where is the ballpark of how much we think prices will increase by.

Ravi Swaminathan: And compared to the Power-Gen business, the industrial business growth on an annual basis has been relatively softer. Any reason behind that? Is there any weakness in any segment?

Ashwath Ram: Yes. Yes. As a matter of fact, there are some pretty solid reasons why the industrial segments in India has been lagging the Power-Gen segment. It's mainly because construction has been pretty slow in the beginning part of last year and has just begun to recover in the last two quarters. Rail also has not been as strong as it has been in prior years, primarily driven by the move towards electrification, and it's we are lagging as far as getting some of our new products still introduced in those markets. I would say those would be the primary two reasons why even though we have had growth, the growth is not as exciting as the growth in the Power-Gen markets.

Ravi Swaminathan: And with respect to the export market, LHP has grown faster than the HHP categories. Any reason behind that? And overall exports, has it come back to pre-COVID levels in terms of demand normalization as a trend?

Ashwath Ram: Yes. I think LHP has grown faster because the volume is in LHP, and as we introduce new fit for market products over the last two years, those products have gained more and more acceptance. So, we are able to do better in multiple regions around the world. So, the combination of that has led to greater growth than in the high horsepower segment where we always had the right kind of products for those markets.

Ravi Swaminathan: So, these new products are in newer geographies or the existing geographies? And overall exports, what kind of steady state growth should we expect?

Ashwath Ram: The products which we introduce which we call the fit for market products, these were the fit for market 2.0 products. They are there in almost all nodes and for all market. So, it's a combination of new products with more growth in each of the markets is the way I would put it.

I think as long as the global markets fold out, we should continue

to see steady growth in the

exports markets even though we are subject to the global trends of economy and slow down in different regions.

So, notwithstanding that, I think with the kind of products that we have and the fact that we are going to continue to upgrade and continue to try to launch new products which are fit for market 3.0 is what we are going to call it. Now I think we continue to see that there is demand around the world which we should be able to capitalize on.

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Ravi Swaminathan: Final question. Distribution revenue mix between Power-Gen and industrial, if you can give?

Ashwath Ram: Distribution mix between Power-Gen and again, we don't classify the distribution business by Power-Gen and Industrial. So, it's very difficult to provide that kind of information. The way we classify it is we classify it by parts, by rebuild, by service contracts and miscellaneous. So that's the way we try to look at the distribution business, but since Power-Gen is a big chunk of the aftermarket from a service perspective, I am pretty sure it's got a major contribution as compared to industrial.

Moderator: Thank you. We take a next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: My first question is on pre-buying again. So, in Q4 going by the numbers doesn't look like there is too much of an impact of pre-buying. So, either so we can reason it out in two ways. Either the demand is not so strong and the second thing is that though we are expecting a price hike of 20% to 50%, but the demand side, consumption side, the market is still expecting that this much of price hike may not be absorbed. So, can you give me some more clarity on this whether the pre-buying will come in the first quarter or how is the market taking up the pricing ahead of this cut-off date?

Ashwath Ram: Certainly, the pre-buy in this quarter, which is the first quarter, is quite strong and that should be seen in our future results. How the market will absorb the prices is something which is still to be seen, but our experience in markets around the world is it depends on the overall market demand and the requirements.

So, for example, in the automotive markets, there is typically a strong pre-buy, and then there is about one or two quarters where the demand drops by 30% to 40%, and then everyone readjusts to the new prices, and it picks back up again and moves on.

Now it depends on the situation in our market. So, it's not very, very clear how that will go on.

Certainly, the pre-buy is strong at this rate, but we expect that once the transition happens, once the deadlines are cut off, demand does not go away. If you need a generating set, you need a generating set. You don't just wait for it and you can't postpone some of those purchases. So, we do expect demand to bounce back as long as the economy continues to do well is the way we are thinking about it.

Parikshit Kandpal: My second question is on the energy transition. So, we have been making lot of announcements and we have been at the forefront of making hydrogen tie up Tata, Cummins JV. So, just wanted your stance, anything has been closed or finalized or strategized for the listed entity in terms of energy transitions for the projects that was within the listed entities?

Ashwath Ram: So, I don't have anything to announce at this stage. All I can tell you is we are in the advanced stages of negotiation to tie up with a few big partners and that is not preventing us from bidding Cummins India Limited
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on projects and continuing to move ahead as the opportunities arise. But yes, stay tuned. We are trying to kick start some pretty large projects.

Parikshit Kandpal: And lastly, sir, on this 800 kilowatt, so as a percentage of this year's revenue potential, what will be approximately the state's up to 800 contribu-

tion to the revenue?

Ashwath Ram: In the power generation business like I mentioned, the below 800 is roughly about 80% of what we sell. So, I would think that is roughly the proportion, but I don't have the exact numbers with me right now, but we should be able to calculate that and provide some clarity in the future.

Parikshit Kandpal: So, this business will go out. We're at 20% to 50% rise like so Power-Gen domestic up to 80% will see almost 20% to 50% price hike.

Ashwath Ram: That is correct.

Moderator: Thank you. We take a next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Sir, first question is on the as you answered the previous participant, it's going to do a little more.

Can you expect the listed entity to have fairly large role to play in the hydrogen opportunities and can you expect some localization in the let's say three-to-five-year horizon?

Ashwath Ram: Certainly, the listed entity also has a large part to play in the new energy journey, and we have been bidding for multiple projects within that space. We are trying to figure out the best path to enter the market and yes, certainly, we have been in India for 60 years, and it's clear to us that we cannot be successful in India if we don't localize and manufacture in India. But the best path to market where the best incentives are, what's the best way to do that, I think that's those are the kinds of decisions we are working on today to try to figure out how to do that.

Mohit Kumar: Understood, sir. The second question if I talk about 3.0. What does it mean? And what are the kind of new products you are looking to introduce and if you can just detail the additional market, it's very helpful Thank you.

Ashwath Ram: You are asking about fit for market 3.0, right?

Mohit Kumar: Yes.

Ashwath Ram: So, fit for market is our attempt. When we originally launched the Power-Gen products into the global market, we launched one, what we called, one brand or one class of products which was

designed for to meet the requirements of all markets around the world. These were based on the Best in Class kind of designs which were most sellable in Europe etc.
What we found out over the years is that different regions and different markets require customized products where some features are not required in some areas, some features are over-

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engineered for some area. So, we began adapting the product and launching products which are suitable for very specific regions and markets. Like, for example, to some parts of Africa, why do you need a block heater whereas it's required in Northern European countries or in America? So, things were that we began fine-tuning features and performance for specific markets and that we then launched it for market one, then we went on to two where we made more changes, and now we are in the third iterations where we are fine-tuning to target and to look at different market segments within those regions to do better at.

Moderator: Thank you. We take a next question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: If you can just give some inputs in terms of you commented on CPCB-4 and the kind of pre-buy. This transition will also make certain nodes unviable under the current regimes which are under CPCB-3. So, are you expecting any particular nodes specifically could be the 1,010 KW or so or to see significant jump during this transition, post-transition period, which is outside CPCB-4? And what would be your view in the HHP growth segment for '24?

Ashwath Ram: So, in the below 800 kilowatt, pretty much every product is undergoing very, very significant upgrade. All our products are now going to be electronic products and all products are now going to require after-treatment. That is there is two significant different changes which are coming to the products

which is what contributes to most of the nodes of the change in cost.

Along the way we have made our products a lot better than what they used to be when they were pure mechanical products because with electronic engines, we are able to control the efficiency of the overall system a lot better than we used to do with mechanical systems, and with that we

are also able to improve the power density of the products pretty significantly. So, those are the kinds of things which we are doing to continue to provide more value to the customers.

As far as the high horsepower is concerned, certainly during those transitions, there could be the higher end nodes in high horsepower where if the pricing of 800-kilowatt product turns out to come to be pretty close to 1,000 kilowatt products, customers may prefer to buy the 1,000 kilowatt products getting more power for the same kind of money. So, certainly, the demand of those kinds of products could increase and some peripheral nodes could decrease, but we have planned for all of that.

We have set up capacity, significant capacity. We continue to keep enhancing and increasing that capacity. The nodes in those areas, even the CPCB-2 products, continue to be exported and sold in international markets. So, we don't see us taking out demand from one area and moving it to another area. So, we have sufficient capacity to cater to all those changes. So, I don't see those as hindrances. I see those as opportunities to be able to do more.

Renu Baid: Sir, secondly, under the CPCB-4 regime, the entire approach towards distribution after market will go complete sea change with SERs and urea as a catalyst and electronic engine base coming

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in. So, how has Cummins geared its feet on the street to capture a higher share of this recurring income base on the new install base?

Ashwath Ram: Yes. So, certainly 100% of the engines are covered by our distribution system during the warranty period and because these products require a lot more sophisticated tools and technologies to diagnose, monitor, as well as to repair and fix, the entire distribution system has been upgraded with those tools and technologies which is not really available. The mechanical product could be pretty much serviced and repaired by anyone, and now that that just goes away. But what we are offering customers along with the ability to be available 24x7 and be online and have all the tools ready and available, including parts and service capability, we are also offering packages which extend warranty which provide more support and service features 24x7 kind of support as well as extending the warranty, which then gives the customer the comfort that they don't have to worry about service in any manner and so they will stay within the fold of Cummins for longer periods of time.

Renu Baid: And further to this, sir, overall, can you just share some of your inputs and comments on how are you seeing some of the end segments within Power-Gen industrial behaving in the next 18 months, especially end market demand outlook that can be shared would be very helpful?

Ashwath Ram: Yes. As far as segments are concerned, the segments I have continued to mention in my previous two calls such as data center, infrastructure, hospitality, hotels, and now we have been

manufacturing, continue to remain very, very strong. We are seeing even commercial and residential realty start to slowly bounce back and get stronger. So, when I look across segments, I am continuing to see in proportion to the growth of the GDP the segments continuing to hold.

So, all those segments which are contributing to the growth of GDP are contributing to demand for us. So, that's the way I am looking at it.

As far as the industrial markets are concerned, construction is the one which is bounced back pretty strongly and which is what is going to help us to continue stronger

growth. Mining and

defense which were strong in the previous couple of quarters, they have been flat, but they are now starting to again see signs of growing again because demand for coal, demand for steel etc.,

continue to rise, and so we are starting to see some of those segments start to increase.

Rail has been steady, though it's not been growing at the aggressive pace for us. We are still in the qualifying stage for some of our new products in that space, and we think that only after those products are qualified and are being sold will we start to see faster growth in rail for us.

Moderator: Thank you. We take a next question from the line of Rajesh Kothari from AlfAccurate Advisors.

Please go ahead.

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Rajesh Kothari: Congratulations Ram for great set of numbers. Super delivery and execution. Two questions.

One is on the profitability side. How do you see this year considering that raw material costs are now cooling down? So, how do you see that? That's my first question.

Ashwath Ram: I think we have been able to leverage that. So, if you look at the last couple of quarters with the price increases that we have put in, we have been able to overcome the significant commodity increases that we had in the past, and as those commodities have started to come down, we have been able to improve our profitability and to better. We have also managed to control our costs during that same time period, and so the leverage of volumes as well as managing costs well is what is leading to better profitability numbers.

Rajesh Kothari: No. So, my question is how do you see next 12, 15, 18 months considering that RMC means soft?

Ashwath Ram: Right. So, what we have endeavored to and what we have been saying for the last couple of years is our ambitions as a company are to grow at twice the GDP and to continue to attempt to increase our profitability by 100 basis points year-on-year. Now it's easy for me to come out and make that kind of statement. It's a lot more complicated on the ground to continue to maintain that momentum on improving profits, but we think the changes in the technology are close monitoring of our costs, the softening of the commodities, I think all of those will enable us to fold or even maybe attempt to improve the profitability level from the levels we have reached so far.

Rajesh Kothari: And just second question is you said that currently, pre-buying this quarter, of course, looks like very strong. So, what would have been your average capacity utilization say in last year FY '23?

Ashwath Ram: Off the planned capacity, we are almost at 90% utilization of our planned capacity, but if you look at installed capacity, we are anywhere from 60% to 65% utilized on that, and so there is room available for us to grow further without making significant capital investments, and we are also making some balancing investments. Those investments are ongoing because there are certain nodes where despite having so much capacity, we are still running out of capacity, and we are not able to meet market demand in certain nodes. So, on those kinds of nodes, we are actually increasing capacity going forward.

Rajesh Kothari: So, is it therefore fair to assume that considering the pre-buying right now at least currently as of now which is extremely strong, therefore, there can be strong double digit kind of a volume growth compared to FY '23 because of this pre-buying kind of thing?

Ashwath Ram: I wouldn't say compared to the entire year, but certainly compared to previous quarters, the demand is strong enough for us to have significantly better quarter. See that was because if you read the CPCB-4 regulation, we will not be allowed to make CPCB-2 products after July 1st. So,

we have only this quarter in which to do the maximum production of pre-buy and whereas the customers can sell the product all the way till December. So, we expect t

hat even if we

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customize and even if we do a very strong pre-buy, the market will still run out of inventory pretty close to before December.

Rajesh Kothari: Oh, I see. Understood. So, are you saying that you might get to basically fill the channel at least

for this quarter up to July kind of thing till the timeline so that they at least have inventory up to December to cater to the market?

Ashwath Ram: Yes. So, that's the attempt which the company is working on.

Rajesh Kothari: So, I think, just to conclude everything looks by and large green except of course this global ridges and fear those macro headlines are always there. But otherwise, across the parameter you see most of the user segments, the domestic exports, you are fit for strategy, everything by and large looks green rather than amber and red.

Ashwath Ram: I would say from an overall perspective, yes, I would say, I would agree with that statement. But when we stratify it and look at it regionally, it's different. It's mixed. Europe, for example, is flattening out. We are seeing Africa start to pick up a little bit, but Africa is a much weaker market for us. Latin America is doing okay.

If you look at Asia, some countries in Asia are doing well and some are not doing as well as we would have anticipated. So, it's a pretty mixed picture right now, and that's why it's very difficult to predict that that everything is going to be wonderful. There's a lot of variables at play right now.

Moderator: Thank you. We take a next question from the line of Rushabh Shah from O3 Securities. Please go ahead.

Rushabh Shah: I have a couple of questions. The first is what is your view on green hydrogen in going ahead in the future?

Ashwath Ram: So, the future from an India perspective for hydrogen is very strong. The reason is that India has no real oil of its own. So, we import our oil, whereas we have a lot of sunshine. We have lot of arid land and a lot of space. So, we are able to produce green energy. And once we are able to produce green energy and that gets up to scale, suppose the renewable energy as a percentage of the grid is greater than 35%, the grid start to become very unstable in the sense that you can't store this energy. So, it's very expensive to take the energy created and just store it in batteries. It's not practical at least as of now the way technologies exist.

So, the only other option is to take a lot of that green energy and convert it into hydrogen and then use that hydrogen and then store it as ammonia or create green ammonia or then use the green hydrogen as a transportation fuel, use it in decarbonization. So, we are well placed to be able to do that as a country. How quickly we can do that is not dependent on the speed at which the hydrogen infrastructure can be set up. And I do not think that's a three-to-five-year journey.

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I think it's a 10 to 15 years kind of journey is where Cummins view this based on the current situation of how much raw infrastructure is in place.

Rushabh Shah: Sir, you mentioned the transportation. So, what are your views on using the hydrogen for transportation on a shorter distance versus a larger distance?

Ashwath Ram: For the shorter distances, batteries can be used, but batteries are quite expensive, and for longer distances, batteries are absolutely not viable. So, the only answer is hydrogen. Hydrogen today, there are two technologies for mobility. The first one is fuel cells which are 100% pure hydrogen that needs to be used there. 99.99 levels of purity of hydrogen is required to dry fuel cells, and fuel cells are very expensive. They are 5x the fuel cell electric vehicles is five times the cost of a conventional diesel vehicle as of today.

So, we have come up with a solution called hydrogen internal combustion engine, which sort of addresses

this issue. We are able to burn hydrogen in the combustion engine we already have with newer designs, and we are able to solve that problem. It still does not go away from having to create a base hydrogen infrastructure and being able to supply hydrogen for these mobility applications which is why I said the scale deployment can only happen in a five-year plus kind of time frame.

Moderator: Thank you. We take the next question from the line of Sangeeta Purushottam from Kogito Advisors. Please go ahead.

Analyst: I have two questions. First can you just tell us what is the pattern of seasonality in your sales? So, if your sales is 100, how much happens typically in Q1, Q2, Q3, and Q4? And I wanted to understand the relative outperformance of Q3 versus Q4 in that context.

Ashwath Ram: Yes. So, from a Cummins's perspective, for us Q4 are typically the strongest because, sorry, Q3 are typically the strongest because the global economy works from a January to December kind of timeline, and so as budgets gets closed out globally, most of the buying takes place, most of the accounts try to maximize their sale for the year in Q3. And then Q4 is typically a lower quarter because as people are coming back from Christmas and the economy really starts to pick up only by the middle of January. And then it starts to pick up momentum in February and March, and then the Q1 of the financial year is also a reasonably strong quarter because it's the peak of summer in India, and that's when the Power-Gen sales are the maximum. And then there is a quarter after that is monsoon season. So, it's likely to see a bit of a dip. That's typically the way it works.

Analyst: My second question is a very long-term question and that relates to the future possible obsolescence of diesel gensets because diesel costs will keep increasing because of increasing regulatory norms and other competing technologies like solid oxide fuel cells possibly will start decreasing in terms of cost. So, at some point these cost curves will intersect in which case your product mix will change, and I wanted to know what else you are thinking in terms of the
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interplay between yourselves, between your parent company and Tata Cummins if it were to come in as to who will do what in this scenario?

Ashwath Ram: Yes. So, it's from that it's pretty straightforward. As far as the power generation market is concerned and let me talk about that market. We think that the lower end of the market will eventually get to batteries. The sub 25-kilowatt market will eventually get to batteries and

Cummins has already invested in technologies to be able to cater to that. So, as the timing of that becomes appropriate, we will be ready to transition into that space including making investments in India to be able to do so.

The about 25 kilowatt to even high horsepower range we think is not going to transition away in the Power-Gen market anytime soon. In our view, it's up to 2050 kind of timeline when we see that kind of transition happening, and we see above 500 horsepower not happening even

beyond 2050. Maybe 2070 is the timeline by which those markets are at risk. And so, for each of those nodes and segments, the company is making the right kind of investments to have that transition happen.

The other companies which Cummins has like Tata Cummins; they produce engines for very specific applications like the automotive applications. When those products are used in the Power-Gen space, they are still routed through the main listed entity. So, that logic has always been clear. So, the company is looking at the curves of how these changes will happen and then making the right kind of investments to ensure that we continue to maintain and improve our market portion.

Analyst: So, at whatever future point of time is solid oxide fuel cells, by example, when to become an increasing part of the cons

umption pattern, then Cummins will also participate with the listed entity will also participate in that space directly rather than just through acting as an agent for the parent. Is that correct?

Ashwath Ram: That is the way we have always thought about it. But you know, I will not say that is the only way we will think about it. We will look at the best path to market for the overall companies to reach the customer in the lowest possible cost manner and if that path is something different from being from the main legal entity, we will look at that, but as of now, we have not found any such avenues or options. So, as of today, I can say that's the way we have done it for 60 years, and that's the way it's going to continue.

Moderator: Thank you. We take the next question from the line of Rahul Gajare from Haitong Securities.

Please go ahead.

Rahul Gajare: I have this question on the CPCB norms. Now with respect to the pricing increase, you have indicated that the expected price increase would be in the range of 20% to 50%. You know, this is compared to what you had said in Q3 when you were expecting the price increase to be in the range of 30% to 50%. Now typically in an engine, and this clearly I would imagine is the cost

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of the engine which is about 70% of the Power-Gen. So, is it right then the effective price increase for the end consumer will be in the range of say 20% to 25%? Is that the way one should look at it?

Ashwath Ram: Actually, the effective price for the end customer is likely to be 20% to 50%. So, it depends on the node and depends on how much of the chain. So, the actual increase in the power train is likely to be anywhere from 50% to 100%. So how that translates into the genset is what comes into the 20% to 50% kind of bracket.

Rahul Gajare: Now connected with this on the profitability with this cost increase and the price increase, which is expected, do you see all this will be margin accretive or margin neutral for engines below 800 KV?

Ashwath Ram: We have always attempted to follow principles of pricing from a market perspective, and in those principles like I have stated, we are constantly trying to say what is the value add that we are bringing to the customer. If we can get better value add to the customer and improve profitability, that will always be our attempt.

So to answer your question, we hope the technology and the features and the improvements that we are bringing in will enable us to improve our profitability in all of these nodes because now we are no longer fighting on commodities. We are fighting on a very engineered and complex structured product. So, we hope that that allows us to improve on the margins that we have.

Moderator: Thank you. We take a next question from the line of Mihir Manohar from Carnelian Asset

Management. Please go ahead.

Mihir Manohar: Sir, actually, I wanted to understand, I mean, with CPCB-4 Plus norms getting kicking in, will we be able to cater the US geography or the Latin geography? So, that was my first question. Second question was given the fact that the Indians are now getting upgraded, so what are the kind of threats or what are the kind of inquiries we are seeing specifically with the export side just because of the implementation coming in? So, if you can throw some light, I mean, how were we trying to increase our market share, increase our presence in the overall exports market, that will be really helpful.

Ashwath Ram: So, with the CPCB-4 Plus norms, India has the tightest regulation in the world for power generation which means these emissions are tighter than what in North America is called Tier 4 final regulations, and even in North America they don't have these for standby gensets that we have in India.

So, for the first time in the world, I think India will lead as far as the tightest emissions in the world are concerned. So,

that certainly ensures that there are no products being sold anywhere which we cannot cater to and certainly our attempt around the world is to export more products

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out of India not because we have an advantage from India. We have a cost leverage advantage from India.

And as far as Cummins is concerned, Cummins has only three main manufacturing hubs around the world for these products: North America, China and India. And so, India will continue to play a strong, if not stronger role in the future as far as exports is concerned. There are many product families that are only made in India and they cater to demand around the world.

So, will CPCB-4 Plus help us do even more? The answer is I think yes, but those products directly do not help us today because they are of even higher emission regulation than what is required in even the leading markets of the world.

Moderator: Thank you. We take the next question from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Can you talk about on exports how is the end market doing across Europe and let's say, Africa, China? If you can talk about that, what's the outlook there?

Ashwath Ram: Yes. So, sequentially, when I look at it as compared to the previous quarter, it has dropped a little bit, and what I would say across the board when you see overall, it has dropped by 9%, but we have seen the largest drops have been in Latin America followed by Asia, Asia-PAC. Europe has been flat. As a matter of fact, Europe has been despite typically the Q4 being weaker, Europe has actually held on, which tells me that demand in Europe is not dropping at all. Middle East has also not dropped as much, and Africa has actually increased. So, that's the way the overall globe is looking like.

Nitin Arora: But given the trajectory now, do you think next year growing on this base is still possible? Or how one should look at the growth aspect? If you can talk in terms of inquiries or pipeline, what's your best estimate there in terms of growth in the exports or we should see a decline here on because of the base?

Ashwath Ram: I mean, the kind of growth we have gotten between '22 and '23, I don't think that is sustainable, but certainly, growth is possible, and we are exploring more products, more options and more segments to be able to continue for the growth to happen. And India continues to play a bigger role in the exports market. So, we do see that the opportunities are not really diminishing. So, we are not, at least we don't see this as that we have peaked and so there are no more opportunities. There are quite a lot of opportunities and order books continue to remain full.

Nitin Arora: Now, sir, just on your aspect of pre-buying which is not a sustainable way of looking at the business, I mean, pre-buy will come and will eventually go away. Can you talk about in your pre-buying, which consumers or which end markets are buying? I am assuming the data centers would not be doing a pre-buy. I mean, generally, a project business would not be doing, would not be in a hurry of a pre-buy or they are? And what end market is doing pre-buy where the

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confidence is coming look the pre-buy will be heavy which is not a sustainable thing?

Eventually, it will fall off. Can you talk about where are the segments which is where the pre-buy is coming?

Ashwath Ram: Yes. Pre-buy typically happens in a larger percentage in the lower cost, lower horsepower kind of nodes where if somebody is going to buy, if somebody knows they are going to buy a genset in July or August they are like, and then let me buy it or they are going to buy it early next year. They are like okay, let me buy it, let me prepone it by a few months if it will save me 20%, 25% money, and those are not the kinds of markets which are so sensitive to emissions and

those kinds of our requirement. It's particularly the consumer markets, the small, small buyers, small manufacturers, people for whom that the scale of the CAPEX is large. Those kinds of people tend to buy during the pre-buy.

The big buyers the people who get funding for CAPEX, this is a very, very small fraction of let's say a data center. It's a very small fraction of a manufacturing setup. So, those kinds of consumers, those kinds of users don't tend to worry about pre-buys. They buy as they need it, and they tend to finance things. So, when you are financing something then these percentages of increases don't really matter.

Moderator: Thank you. We take the next question from the line of Priyankar Biswas from Nomura. Please go ahead.

Priyankar Biswas: So, my first question is, sir, there has been price hikes that you had, of course, suggested. But despite this price hikes, I am not aware of any price cuts having taken place. So, can you explain the reasons for why the gross margins had fallen sequentially? That's the first question.

Ashwath Ram: Let me just talk about the gross margin. Gross margin has fallen maybe because of our impact on mix and because we had a higher mix of our PDI product, and we also had lower sales of industrial, especially, defense, marine and rails, those tend to be higher margin kind of products, and construction, which tends to be a slightly lower margin as compared to the other business.

So, the combination of this mix is what led to a lower gross margin. That's the main reason.

Priyankar Biswas: And sir, what about the component issues that you had highlighted in the previous quarter, especially, like for electronic components you had highlighted especially for active components, there were some supply chain issues? So, are these behind us because going forward, we will be producing electronic engine? So, in that context.

Ashwath Ram: These problems are not behind us. As a matter of fact, I would still say that we left a lot of sales on the table just because we were not able to procure enough of these kinds of components.

These problems are not going away easily, and because Cummins has a global supply chain and lot more leverage, they are able to get a lot more of those electronic components than others. But we do not see this problem going away at least till the middle of '24. But they are not really

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causing revenue loss. You know, they are just, they are pushing out our ability to supply products and increasing lead time etc.

Priyankar Biswas: So, you mean '24 means calendar year '24 or you are meaning FY '24 not going away?

Ashwath Ram: Calendar year '24 is by when we think lot more capacity is coming into play, and that could help alleviate these problems we are facing. These problems continue to exist.

Priyankar Biswas: And sir, just one more question from my side. So, like in the data center opportunity, so I had the opportunity to visit couple of data centers, and of course, right now that Cummins's products are being used. So, that's one very positive thing, but for this high horsepower gensets, what was surprising is that it seems those were imported. So, if the data center opportunity is so large, are you generally importing? Or I mean, if it's so large, ideally it should be locally produced. So, any thoughts on that?

Ashwath Ram: I think a few products continue to be imported, and some of those have already been localized.

They are like I think in the last quarter or the quarter before that is when we launched what we call the QSK60-G23 product, which is the most popular product as far as data centers is concerned. It's now fully localized.

But there are some larger data center kind of products where there is this engine family called the 95 liter family, that is only produced in one location at Cummins which is in the US. Just because of the significant investment

required to produce that engine, it was not viable to produce it in multiple countries, but certain components of those kinds of products are also being now produced in India.

So, yes, to answer your question, I think the majority of all gensets sold in the data centers are being produced in India as of now. There will continue to be a few products which will be imported and sold, and even for those products we are trying to figure out how to localize more of that. It's very clear to us that we have localized as much as possible to be able to sell in India to be cost competent and to improve our margin.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take the last question from the line of Aditya from Kotak Securities. Please go ahead.

Aditya: My first question was more on imports and the prospects of India as that is going up in the Cummins family. Now two events have happened which I thought are engaging your view on. The first event that happened was Cummins from a US perspective, investing has seen their own fatalities for newer products on the green side putting pressure on speed for the green products that we are manufacturing from there.

And the second event that probably can happen is India and Canada having a Free Trade Agreement, which may impact the competitiveness for power products in US and Canada both

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in a personal manner. I wanted to kind of gauge from you whether these are actual events that will help Cummins India grow exports for the base surplus in US and Canada? And if so, are you seeing any more, any increase in the case of tenders coming out from those geographies?

Ashwath Ram: So, certainly, as the CPCB-4 Plus products have been launched, the products from a readiness perspective can cater to all markets in the world including the US and Canada. Historically, quite a bit of manufacturing of some of those gensets have been in North America because of NAFTA and USMCA and those kinds of agreement, but more and more there are many product lines which are only produced in India, and those products are now then being exported to the US, to Canada and some of those markets.

But India, as India has better Free Trade Agreements with those markets, I think, certainly that will help us to sell more into those markets, but we already have a great cost advantage, and there are many products where the company pays the USMCA duty and still buy it from India and utilize this in those markets. So, I think going forward, as India sets up better trade alignments with some of those markets, it's going to be great for India if we can do that.

Aditya: Another question that I had was more on the distribution segment. Now for this year you have seen it grow faster than the average growth of the company.

Ashwath Ram: Yes.

Aditya: About it being a lot more exposed to Power-Gen wherein you will see only electronic engines incrementally kind of coming in. Could you give us a sense whether distribution segment can continue to outperform the average company growth so as you put up the target as to where GDP for the entire company, can distribution do meaningfully better on a recurring basis next two, three years?

Ashwath Ram: It's my hypothesis at least that yes, and that's what we set about to do a couple of years ago to say that distribution is a business which historically has underperformed. It's historically underperformed the growth of the rest of the company. It has grown at about anywhere from 6% to 8%, and so we are underrepresented from our entitlement of what our share of the market should be and what, how we should be supporting and servicing our customers with both parts and service, and so we have been getting into the market and offering better products services and solutions, and that is what is causing an increase in growth rate and demand for that business. And we think

that is absolutely sustainable not just for two years but for at least five years is the way at least I am trying to look at it.

Moderator: Thank you, sir. Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference again over to Mr. Ashwath Ram for his close. Over to you, Mr. Ram.

Ashwath Ram: So, again, thank you all for amazing participating and as always, you are always dump me with amazing questions. There was quite a detailed engagement today, I thought, from all of you.

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Cummins India believes that the strong demand in various end markets will sustain. However, because of supply chain challenges which we continue to work through, you saw me talk about the complexity of this whole pre-buy as well as this transition that is happening. We remain cautiously optimistic about the short to medium-term demand outlook. With a strong financial position that we have, we are very confident that we will be able to maneuver through this tough business time quite successfully. So, I remain confident, and I remain optimistic that we will continue to sustain the kind of performance that we have demonstrated in the past. With this, I close this call, and thank you, and wish all of you a safe and happy quarter. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now and you may now disconnect your lines.

Call: Aug 2023

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August 07 , 2023

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BSE Scrip Code: 500480 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor ,
Plot No. C/1, G Block,
Bandra – Kurla Complex , Bandra (East) ,
Mumbai 400 051

NSE Symbol: CUMMINSIND

Subject: Intimation of transcript of analyst conference call held on August 04 ,
2023

Dear Sir / Madam ,

With reference to our stock exchange intimation dated July 20 , 2023, towards investor/
analyst / Financial Institution conference call, we are enclosing for your records a copy
of the transcript of the said conference call conducted by the Company on August 04 ,
2023.

Kindly take this intimation on your record.

Thanking you,

Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
(This letter is digitally signed)

Encl.: As above.

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“Cummins India Limited
Q1 FY 2024 Earnings Conference Call”
August 04 , 202 3

MANAGEMENT : MR. ASHWATH RAM – MANAGING DIRECTOR –
CUMMINS INDIA LIMITED .
MR. AJAY PATIL – CHIEF FINANCIAL OFFICER –
CUMMINS INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q1 FY '23 -'24 Earnings Conference Call. We hope you are all keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand over to Mr. Ashwath Ram, MD Cummins India Limited. Thank you, and over to you, sir.

Ashwath Ram: Good morning, ladies and gentlemen. Welcome to the Cummins India Limited Q1 FY '24 Earnings Conference Call. My name is Ashwath Ram, and I'm the Managing Director of Cummins India Limited. Joining me on the call today is Ajay Patil, Chief Financial Officer of Cummins India Limited. Thank you all for joining us on this call today.

I'm really happy to inform you that the company successfully launched product duly certified to lead the new CPCBIV+ emission norm in the power gen segment and is fully prepared to deliver the best -in-class products to power the success of our customers. Backed by our brand promise of innovation and dependability, we are confident that these products will continue to deliver superior performance.

Now I would like to share an update on our Q1 FY '24 financial results. I am pleased to announce that CIL reported record revenue for the quarter, driven by strong domestic demand. The export revenue is at levels similar to the previous quarter.

Getting into the financial results; for the quarter ended June 30, 2023, with respect to the same quarter last year, our sales at INR2,175 crores are higher by 31% compared to INR1,657 crores recorded in the same quarter last year. Domestic sales at INR1,677 crores are higher by 43%. Exports at INR498 crores are higher by 3%. Profit before tax at INR415 crores is higher by 57% compared to the same quarter last year.

For the quarter ended June 30, 2023 with respect to last quarter, our sales at INR2,175 crores are higher by 15% compared to INR1,889 crores recorded in the last quarter. Domestic sales at INR1,677 crores are higher by 20% and costs at INR498 crores are higher by 1%. Profit before tax at INR415 crores is flat compared to the previous quarter.

I would now like to share the segment -wide sales breakup for the quarter ended June 30, 2023. Domestic; power generating domestic sales were INR873 crores , a 76% increase over last year and 30% increase over the last quarter. Distribution business sales were INR534 crores , 28% increase over last year and 11% increase over last quarter. Industrial domestic business sales were INR236 crores , flat versus last year and 9% increase over last quarter.

Exports. High Horsepower exports were INR2.4 crores , 5% increase over last year and 18% increase over last quarter. LHP exports were INR201 crores , flat versus last year and 17% decrease over last quarter.

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Cummins India financial guidance. Regarding the sales outlook for the full year 2023 -'24, we look forward to continuing our double -digit growth over the fiscal year 2022 -'23.

I now open the session for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So my first question is on CPCBIV+ implementation. So now it's all done and dusted. So how do you see the channel demand right now? Do you see any significant decline in the volumes for the rest of the year? Do you think that it can be made up more than made up by the increase in prices, so that we can maintain it at 2x normal GDP growth, which

h we aspire to have in the year.

Ashwath Ram: Sure Parikshit. That's a very good question. CPCBIV+ has been launched -- it's been launched very well, and we've been very comfortable with our position in the market from where we stand as compared to their competition, from a product perspective. What the government at the last minute has announced is that CPCB gensets can be produced and sold all the way up to June 2024.

In effect, only certain areas and present market segments will move to CPCBIV+, as they are still trying to ascertain how that mix and how that spread is. And that puts us in -- we were expecting a very smooth product A to product B transition. But now for the next 1 year, we're going to have to work with both the ranges of products being sold simultaneously.

So while we feel good about where the market is, good about our position in the market, there is no uncertainty about how will the transition -- what percentage of the market will transition over the next couple of quarters, and that's where we find ourselves right now.

Parikshit Kandpal: Okay. So you're saying both CPCB II and CPCBIV+, so both the products will be amenable for sales, even for the rest of the year till June '24?

Ashwath Ram: That's correct. But at least the good part is that it's all announced -- the guidelines are in place, everything has been tested, everything has been launched, pricing has been announced. So we feel that all the uncertainty from the development and launch of the product, all of that has gone away. Now market adoption, we will get more and more clarity as we move forward.

Parikshit Kandpal: Okay. My second question on the AGM presentation. I think the first time you have put out something on the hydrogen. So you've mentioned about fuel cells on railways and battery energy storage systems for other applications. So is there now clarity what CTIL will do in terms of hydrogen and what CIL will do, so if you can help us understand. So what will be the roadmap for hydrogen story for both these entities in India?

Ashwath Ram: Yes. There is always been clarity that the market segments that are served by CIL will continue to get served by CIL. So whether it's batteries or whether it's hydrogen or other any other kind of fuel, the segments which are already being served will continue to get served. What is not 100% clear to us is, the best path to enter into the production of hydrogen, and that is what is Cummins India Limited

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being worked out -- the strategy for that is being worked out and the company, we have been talking to various consultants and trying to figure out what is the entry strategy.

But getting into rail or getting into expanding the scope of our power gen services to also include battery and energy storage facilities, getting into construction, running hydrogen internal combustion engines in the production market. I think all of those kinds of visions are clear for the company, and we are moving forward as we go beyond that.

Parikshit Kandpal: Okay. And just the last question, sir, on the margins. So we have seen a slight decline in the gross margins and also there has been an increase on other expenses and employee costs. Just wanted get an understanding in terms of margin trajectory, I mean where we have seen, that there could be a pathway of 100 basis point improvement in margin. So how do you stand there? And also, if there was any one-off this quarter and low margin. I mean data center, large lumpy order, which could have resulted in slightly lower margin.

Ashwath Ram: Yes. So actually, margins have improved as compared to the previous year. So our guidance of attempting to improve margin by 100 basis points in 4Q. When you compare from a quarter-on-quarter basis, we have some onetime kind of expenses on the cost side related to timing of where we did increments or employees will move t

hat forward by about a quarter. So some of those kinds of variables as well as some one-timers in warranty, etcetera, those led to sequential quarter -- a slight reduction in margin. But overall, we feel good that the -- our attempt to keep improving margin year-on-year holds true. There's a lot of focus on cost. And so I feel confident that we are on the right path as far as margins are concerned.

Moderator: We have a next question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on an excellent set of numbers. I understand you're allowed to sell up to June '24, if you have the purchase order received till June '23. How has that purchase -- can you strongly indicate the activity on it a purchase order, what you have received for the older rate till June '23 and which is still pending to be supplied, in the rest of the year?

Ashwath Ram: So we have received a very, very full order board, which has demand all the way up to June 2024. So I don't think we are worried from an order perspective. I think the bigger concern for us is that there will be many market which will also begin their transition to CPCBIV+ without waiting for June. And how we balance out the right mix and -- with 2 sets of product lines in parallel, those are the kinds of things the teams are working on and figuring out how to optimize both the supply chains, because both will have to be -- one will have to be kept alive and the other one will have to be scaled up. But order board are full.

Mohit Kumar: My second question is, how is the new CPCBIV being built, what is the pricing difference now as, of course, you rolled out the pricing, you must be more aware of the pricing now. So can you indicate the broad pricing difference? And the related question is how do you see this opening the export market for us?

Ashwath Ram: Right. So pricing is in the range. It's not -- we can say on an average is somewhere between 20% to 50% in the range -- these prices have gone up. And so I won't tell you exactly what the average is, because it's irrelevant because of the volumes are different at different nodes. But certainly,

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prices have gone up significantly, and we find that we will be very competitive with that kind of price increase.

The second proportion of your question was, what does that mean to access other markets. And certainly, it's good news for us that these products are developed. The product of CPCBIV+ are the tightest emission products in the world, as far as the markets are concerned. And so there is -- we are working on reconsidering some of these products for use in other markets around the world.

So the consideration for India is we can't just be taken one to one and just sold in market, whether -- in markets in North America, or the market in India work on a 50-hertz electrical cycle, whereas the market in the United States work on a 60-hertz electrical cycle, so the engine pretty much works at a different RPM. But the teams are working on trying to make things kind of conservative, and also trying to figure out which are the market segments globally, where we can launch some of these products in the near future.

Moderator: We have the next question from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: Sir, congrats on a good set of numbers. My first question is with respect to the Power Gen segment. This quarter, there would have been a lot of prebuy price increase, which had led to close to 76% kind of growth. But what is the underlying volume growth that one should roughly anticipate in the power gen side over the next few quarters or a couple of years? And what are the drivers of that?

Ashwath Ram: Right. So yes, you are absolutely right. I would say that prebuy led to a very, very strong quarter for the Power Gen business. Moving forward, initially when s

o much of a prebuy happens in

any cycle, the subsequent quarter sees slightly less demand. And so we anticipate that similar kind of situation to happen here. That's a very short-term phenomenon. The long term -- our estimate of this market is, we expect it to grow at roughly 2x of GDP. And the reason being that, as markets become more mature and more dependent on the power consumption and their sensitivity to not having 100% reliable grid power actually increases, and we have seen this trend in multiple markets around the world.

So we think that the power gen market in India will continue to grow aggressively over -- at least for the next 8 to 10 years, especially because a big chunk of power gen also goes into infrastructure. As India is becoming first a \$6 trillion economy and then a \$10 trillion economy over the next 10 years, the use of gen set and power gen equipment and industrial and construction equipment is going to keep increasing. And that is a very good sign for us, from an Indian perspective.

So short term, very, very short term, slightly flattish kind of indication, long term, very bullish and optimistic that things will be good for the business.

Ravi Swaminathan: Got it, sir. And my second question is with respect to exports. After multiple quarters of very strong growth, we have seen exports have been seeing moderate or mild growth. Is it something that this quarter is kind of an aberration, nothing too much to read on it? Growth can tug along? Overall market level demand and company-level efforts that you can comment upon?

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Ashwath Ram: Yes. So what we are seeing is that certain areas of the world have started to slow down quite significantly. We are especially starting to see slowing happening in Europe pretty significantly. Asia is flat. Asia Pacific and Latin America has also started to slow down a little bit. I think part of it is to do with the China bounceback not happening as well as we anticipated. And so the combination of all of these things is that it appears some parts of the power gen market are flattening out.

Now what we are trying to do to overcome that is to try to figure out, can we launch -- we have launched lot of new products, can we launch more products, can we be more aggressive using our better cost base in India to try to get more market share? So the attempt that we're going to

do, is to take -- can we get market share even in a declining market. So the news from the market is that the market has -- is flattening and in certain parts of the world, it is starting to decline a bit, whether a couple of quarters down the line, whether that will flatten out and again start to grow is something we are waiting and watching. So I can't predict that well.

But what we can do, what is in our control is to say that, despite those markets slowing down, can we still increase our market share by being more aggressive as well as by introducing more products. So that's going to be our attempt to try to maintain the export performance.

Ravi Swaminathan: Got it, sir. And my last question is with respect to the distribution business. I mean, this is a derivative of growth -- or the demand should come from the power gen or industrial side, what is driving the growth in the distribution business? I mean, if we continue to grow at a robust level?

Ashwath Ram: I think you already answered your own question. As the power generation business is growing, as the industrial construction business is growing, as infrastructure is being embedded, people are using equipments. So when they use equipment, it needs to be serviced. Our products are -- we are offering longer and more better maintenance packages. So historically, after warranty cycles were over, people used to be able to go out of fold and be able to use roadside mechanics or small service centers who repair their p

roducts, use aftermarket parts, not bought from Cummins.

But as the products are getting more complicated as electronics is entering into these products, we are also offering more comprehensive longer-term packages, by which customers remain in fold and they buy our genuine parts, etcetera. That and, of course, trying to enter into new market segments, provide more services, more options, more parts, more kits, combination of all of these activities is what is leading to the growth. We still feel that where we are today in terms of our penetration of distribution business, is lower than what we have seen in our own company in other parts of the world. And so our entitlement is higher. So we still see there is a lot of growth opportunity available in this space in the business.

Moderator: We have a next question from the line of Deepak from HDFC Pension. Mr. Deepak, please go ahead with your question. Since there is no response. We'll go on to the next question from the line of Rushabh Shah from O3 Securities.

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Rushabh Shah : Yes. Yes. So since hydrogen is very flammable, any technology has been discovered so that hydrogen can be used safely for short or long distances?

Ashwath Ram: Yes. So to answer that question, hydrogen is now being used for many, many years now. People still have memories of the historical dangers of hydrogen. But over the last 40 or 50 years, significant improvement has been made in making hydrogen safer to use in terms of the fluid mechanism, the fuel delivery systems, the combustion process itself, leak detection and escape and routing mechanism.

So the answer is today's hydrogen designs are, I would say, on par with most other combustible fuels like LNG, CNG, etcetera. So yes, I would say that India has come a long way. Of course, there's a cost to that safety, hydrogen systems can be a lot more expensive and still not used in the scale that is required for the costs to come down. But the safety question is more or less now under control.

Rushabh Shah : Okay. And second question is, sir, how might the shift to electrification be affected -- how might the shift in electrification affect the market share of Cummins in engines? Is electrification happening at a faster pace or slower pace? I mean, how will the market share be affected of Cummins?

Ashwath Ram: Right. So I think we are all trying to figure out what that right balance is. It is Cummins' view based on many studies that we have conducted that it is going to be different for different markets. So let's look at the markets in which CIL plays, which is mainly in the power generation and, let's say, the industrial market.

In the power generation market, we feel that over the next 5 to 10 years, everything below 25 kilowatts could go towards battery. It's not going to go to any other fuel. Above 25 kilowatts, it is still diesel and other fuels, including LNG, CNG, etcetera. Still, we have a very, very long way to go before battery technology can be cost effective, to meet some of those kinds of requirements and Cummins is exploring all of those options.

In the industrial and construction market, we feel that it will be a gradual part. The first move from diesel over the next -- up to the end of this decade, we actually see demand for diesel going up before it starts to plateau out and then gradually decline starting in the 2014 time frame. And during that time, different technologies like LNG, CNG, hydrogen internal combustion engines, etcetera, will start to gain more ground and gradually, the shift could happen to hydrogen in that space.

The lower end of the construction vehicle, which is sub-50 horsepower, those are the areas which could grow in the electric mobility route, but mainly for areas where there is limited use scenarios. So that's the way we are looking at it right now and Cummins is already making

investments in many of those areas and has a plan to become a carbon -neutral company by 2015.

India, as we know will become carbon neutral by 2070. So the migration path for India is even longer than what it is going to be for other parts of the world.

Rushabh Shah : Okay. And one last question is, sir, going ahead, what kind of headwinds can be seen for Cummins in such an inflationary environment?

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Ashwath Ram: I don't see too many headwinds. I think this is a very exciting time from a Cummins perspective.

The biggest headwind is ourselves internally in how well we can execute on some of the projects that we have undertaken. But when I look at our macroeconomic factors, I think that India is growing, that India will continue to grow that infrastructure will continue to grow, that power requirements will continue to grow, that technology will be needed to move into cleaner emissions and electrification and all of those are areas where Cummins plays in and so.

I don't see those as challenging. The challenge will be how well we execute on introducing some of the technologies, how well we localize, how well we invest within the country and how well we scale up and build on the technology that Cummins is developing worldwide.

Moderator: We have a next question from the line of Deepak Krishnan from Macquarie.

Deepak Krishnan: I just wanted to check, especially because we now have order book of CPCB -II for the full year?

Is CPCIV implementation virtually sort of not expected yet. I just want to understand why would customers pick up a product that is 35% higher in cost, and does that give competition an edge, that they know your pricing and sort of can catch up with you over the one year period?

Ashwath Ram: I think, first of all, the development cycle for CPCBIV was a very, very expensive and very complicated cycle. So just by looking at pricing, one can't catch up to technology. So I'll put that question aside. But there CPCBIV+ is already taking at adopted, there are many cities like in the National Capital Region, where CPCB -II gen sets were not being allowed to be run in many months of the year. And what -- the notification to say that they had to put the retrofit devices, emission control devices to make them suitable to work.

Now the cost of retrofit device on a CPCB -II engine is higher than the cost of a CPCB4+ engine genset. So many of those markets will directly move to CPCBIV+, the product is better, the efficiency is better, the equipment is better and they are highly certified and qualified to work in those markets. And also, anyone going in for new purchases, not everyone will just -- not everyone is just worried about the initial capital cost. If you look at the long -term requirements, I think there are certain companies in certain types of markets, who just want the best product in the segment, and we see some of those markets also going there.

We are not able to exactly predict what that means in the percentage of the overall mix, but we think it is likely to be greater than 25% to what our current estimate is as of now.

Deepak Krishnan: Sure, sir, maybe just one follow -up. The employee expense, I just wanted to understand, given that you've taken the price that you have given the employee hike, this would sort of be the run rate deals that we would look at for quarter, is that understanding correct?

Ashwath Ram: Could you repeat? Sorry, I couldn't understand very clearly in the last part?

Deepak Krishnan: Yes, the employee expense, now that we've undertaken the pay division, this would be sort of the run rate that we plan going ahead. Is that understanding correct?

Ashwath Ram: Yes, that is correct.

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Moderator: We have a next question from the line of Gokul Maheshwari from Awriga Capital.

Gokul Maheshwari:

Just wanted to clarify one thing. The extension of June '24 allows you to manufacture, as well as manufacturing and sale of CPCB -II machines?

Ashwath Ram: That's correct.

Gokul Maheshwari: Okay. Second thing is on the JV income. If you could just highlight in the last 2 or 3 quarters or in the last 12 months, there has been a substantial increase. How sustainable is this, and if you could comment that what is leading to such strong growth over there?

Ashwath Ram: Right. I think you're talking about the 2 JVs. One is our alternator JV and the second one is the Valvoline JV. And the alternator JV is doing well because it is directly proportional to the power

generation business. But as the power generation business is doing well, the alternator business is also doing well. So it results from a productivity perspective are very similar to the results with overall the power gen business comes out with.

As far as the Valvoline business is concerned, that's mainly an aftermarket kind of business, and that business gets severely impacted by the cost of oil and many such variables. So both are good and great companies. So we expect that these businesses will continue to do well. But we don't expect them to do disproportionately well, as compared to the rest of the company.

Gokul Maheshwari: Second thing is on the -- you, in the past, have been mentioning that you've been able to cater to -- out of 185% of the demand, how supply situation now for you to take up the demand, given semiconductor supply?

Ashwath Ram: I would say, it's improved a little bit, but still, I would say, maybe now we're meeting close to 90% of demand. The global electronic supply problem for some of these products, especially in high horsepower, they continue. We are trying to work around those, develop some alternatives, etcetera and that is what has led to the limited success of going from 85% of demand to 90% of demand. But the supply chain teams have war rooms, and they are working with some of the global suppliers to try to get this under control. So it's getting better -- every quarter, as I'm speaking, it's getting better. But the answer is that no, we are able to supply everything that -- as the orders that they are getting, the answer is still no. And it's still uncertain how much time it will take to fix that.

Specifically, the fact that China has not bounced back as strongly as was expected, has picked up. If China were to come back stronger in the future quarters. Again, this situation is likely to worsen. So not any -- 100% might be kind of pushing right now.

Gokul Maheshwari: Great. Lastly, just on your gross margins. Your longer-term range for your gross margins are in the mid -30s. Sometime back, you also expressed this ambition to go back to these gross margins.

Is that plan still on -- in terms of your capability to achieve those gross margins?

Ashwath Ram: Yes. Certainly, it is our ambition as well as our attempt to try to get there. And then when we were recently studying some of this, we found out there a big chunk of why we lost some of those big percentages of margin was because the change in schemes like MEIS and RoDTEP

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etcetera, those have had a significant impact on companies like us, because we exported the large amount out of our company. So we are looking at alternate ways to try to improve the margin, but it's not as straightforward as it appears. But the work is on, and we will continue to try to improve the margins.

Moderator: We have our next question from the line of Renu Baid from IIFL.

Renu Baid: My first question would be related to CPCBIV. While you mentioned that the production is now in place. Just want to understand from a different perspective, the FCR, which will be required for the gensets. They will be booked as revenue by CIL and supplied to GOEM, or this is directly for

ing us for the purpose of the genset supplies?

Ashwath Ram: They'll be sold by CIL.

Renu Baid: Got it. Sure. So relatively, gross margins on the SCR portion could be a bit softer, so this would be a sourced components from the group entities, right?

Ashwath Ram: Could you repeat that question again?

Renu Baid: Sure. The resulting gross margins on the SCR component will obviously be relatively softer than the engines, given that these are outsourced components for us?

Ashwath Ram: Yes.

Renu Baid: Got it. Sir, second, while you did mention one of the conversations that NCR has had this restriction on usage of CPCB II old engine profile. But if I see similar notices by NGT has been issued in states like Kerala, Karnataka and Maharashtra. So this shift in the customers in these states, A, the existing users who are using CPCB -II, they've been asked to retrofit kits, to make them usable as a compliance proof. Are you seeing that usage of retrofit kits are increasing or these customer themselves are now looking to shift to CPCBIV based engines, at least from these large states, which are industrial and commercial are driven in terms of GDP growth.

Ashwath Ram: That's exactly the point very clearly made, Renu. So many of those -- many of our customers there have been getting notices to say that either they need to buy these REPD kits or find alternate solutions. And there was no alternate solution other than selling them those kits. So the kit sales have been increasing. And now whenever such a request comes, we will be recommending to those customers who just buy a CPCBIV genset. So those market segments will migrate to usually more than what we see.

Renu Baid: So to that extent, the demand for CPCBIV or the new gensets would not just be the new demand or newbuild demand, but also replacement of the old engines to the new engine?

Ashwath Ram: That's correct. But how much of that will happen is something to be seen and studied. So it's

very difficult to predict that.

Renu Baid: Understand. Second, if we see, while you have not -- you have not mentioned anything clearly. Can you share some comments in terms of within the industrial market and the export mix, how has region-wise growth been? And you highlighted Europe slowing down very sharply. So on Cummins India Limited
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the exports, are we worried that this INR500 crores kind of run rate, you may get stuck here in the change, or there could be probability of drop in the volumes if the global markets turn out to be far more weak than what has been expected?

Ashwath Ram: Yes. So as I mentioned, we have seen that Asia Pac has certainly started to slow down, and dropped -- Latin America is also starting to drop, Middle East actually flat. As of now, Europe has dropped quite a bit. Africa is flat, and North America has also dropped a little bit. And the China data center market has also softened, as compared to where it was in the previous year. Looking at all of these variables, we were to do nothing, that has just continue to sell in the way we are selling right now, I would expect that the markets would start to decline a little bit. But what we are trying to do is trying to launch more products and trying to get more aggressive and trying to get back some share. So with all of those efforts, we hope to at least hold at the level where we have reached with lot of work, and then try to pick that up as the market starts to recover.

Renu Baid: In the same background, if I just add a question, we were expecting some higher volume shifts coming in from the U.K. market. There was a long-term agreement signed and shareholders' approval also for higher yield party transaction. Has that transition in terms of higher volume growth happened through or we have seen some lag because of weakness in those regions?

Ashwath Ram: Yes, some of that has already started --

some of that has to do with the machine components, etcetera, also. So it started, and those parts of the factories are working pretty fully. So that -- all of that is going on.

Renu Baid: Sir, lastly, one more, while yesterday there was an announcement regarding the new JV between Cummins Inc. and Tata Motors for hydrogen-based ICE engines. Will Cummins India, the listed company have any role in no any supply chain part components and service to the JV? Or any relevance of this development to Cummins India portfolio?

Ashwath Ram: Yes. This JV is mainly related to mobility in vehicles, that is something which Tata Cummins is already doing. So this JV was formed with Tata Motors to launch fuel cells and internal combustion engines, utilizing the assets which are already there in the JV and making some incremental investments in banking, etcetera. So certainly Cummins India could benefit from that, and that if the same kind of products are used by Cummins India, in its applications of power gen or industrial or rail, etcetera, we could buy those products at good pricing, but not directly related to the Cummins India business.

Moderator: We have our next question from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Mostly my questions have been answered. Just one on your -- this double-digit growth guidance for the domestic market. Is it possible to attribute -- this is you're taking into account the decline in exports. Is that the right way to look at it?

Ashwath Ram: Yes.
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Nitin Arora: And this double digit, I'm assuming double-digit can be anything. But generally, that double digit, is it possible to talk about how much would be attributed to volume, because your pricing is quite high, given the mix of the both emissions?

Ashwath Ram: Yes. I think when we indicated double digits, there the foundation of that is coming from that -- we expect to grow 2x of GDP. So if our GDP is growing at 5.5% to 6%, 2x as of that is where we expect to keep growing our business. And it's difficult to comment on volumes, because it's different for different market segments, but volume does grow proportionately. So it may not grow -- it may not grow at 2x of the GDP at that growth rate. But certainly, we do -- it's not in every cycle that one can get incremental price from the market. So certainly, a bigger chunk of the growth comes from volume, rather than just some price increases.

Moderator: We have a next question from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: I just had one question. On this move of extending the implementation of CPCBIV, this will ensure that the company struggled with CPCB -- the inventory for a longer time? Or do you think these orders or the manufacturing that you've done, they are against firm orders that the company would have got?

Ashwath Ram: The manufacturing will be done against firm orders. So back to back, whatever are the orders which are booked and in the pipeline, they will be produced. But we don't see any risk of inventory during this cycle because some of these products are also sold in other markets, in exports, et cetera. So as of now, we are not foreseeing any sort of inventory.

Rahul Gajare: Sir, my second question is on the group announcement, where they were talking about investing \$1 billion in India. Now you have indicated where they are looking at spending this money. But the listed entities, CIL is planning to invest almost INR300 crores to INR400-odd crores, which are the specific areas that CIL is planning to invest this money? And what is the kind of time duration that we are looking at over here?

Ashwath Ram: Most of CIL investments are in introducing new products, to enter into new segments. Whether will be rail, whether it be mining, it be marine, export products, getting into battery-based systems. So most

of the investment for CIL is mainly from growth projects. And limited amount is for sustenance capex, as we call it, where we are refurbishing older buildings, some buildings are 50-60 years old, so they have to be pretty much torn down and rebuild again. So some of those kinds of investments are also required moving forward. And we're also upgrading the whole bunch of factories to use better technology, use Internet of things, use the whole bunch of modern manufacturing methodology.

So it's a combination of those areas. And then as we get into areas like rail, fuel cells, etcetera, those areas will also need some investments in the technology, in the development of the technology, in the execution of the technology, so those are the areas where I think the business entities will spend most of this investment money on in the future.

Rahul Gajare: Is it fair to expect that 1/3 of this Cummins Group investment will be in the listed entities? Is that the right way to look at it?

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Ashwath Ram: It's very difficult to exactly pinpoint that and say it's that. But certainly, Cummins India is cash rich company, and there is money on the balance sheet. So it is able to fund whatever investment it needs to help it grow. And our objective here is to try to get growth for the business. And so, whatever investment that the company needs to make to get that growth, I think we have all the resources to be able to do that, and we want to do it prudently.

Moderator: We have our next question from the line of Bhavin Vithlani from SBI Mutual Fund.

Bhavin Vithlani: So actually the question is regarding the working resolutions on related parties. And wherein we observed a significant increase in purchases from CTIPL and Tata Cummins. And we do understand about the new regulations regarding the increase in the quantity. So could you help us break that increase into what is the volume assumption you would have present in? And what is the increase in the cost of the newer content that is required in that business?

Ashwath Ram: Yes. So Bhavin, I can't break it down exactly, but I can tell you is that the main supplier for some of our power gen products as well as for most of our industrial products in the construction market come from Tata Cummins. And as we migrate to CPCBIV+ and some of these newer technologies, the emission solutions, which were never part of CIL purposes also come to CTIPL. So those, I would say, are the biggest reasons, and the construction market is starting to heat up and become better. The power generation, we had record sales and purchases from those entities are in line with that increase in demand by the main company.

Bhavin Vithlani: Sorry to harp, because on CTIPL, from INR700 crores to a little over INR1,400 crores and with Tata Cummins from INR1,800 crores to about INR1,850 crores. So 100% increase, 50% increase. So the quantum was fairly significant...

Ashwath Ram: Absolutely.

Bhavin Vithlani: If you total all of this, it was almost equivalent to the top line of the company. So the quantum, the share quantum was large.

Ashwath Ram: Right. No, it's a fair point. It's just that as the technology changes, some of these technologies are made in those companies, and we have -- we use the best technology available in the market, and these companies happen to have that best technology. So it is appropriate that, when you go from no CPCB, no addition treatment to 100% emission treatment that, that business goes up by 100%. So that's the logic behind why that has increased.

Bhavin Vithlani: Okay. And what would be the end product increase? Would it be like 40%-odd plus?

Ashwath Ram: It's like we mentioned, its anywhere from 20% to 50% is the end products of the gensets, the prices have gone up.

Bhavin Vithlani: Okay. The second, this was an observation from last year, where we

saw a deceleration in sales

of construction segment within the industrial. And correct me if I'm wrong -- because we saw Weichai starting and the share of the Chinese construction manufacturer is growing. So is it that

we are using the Weichai engines and consequently Cummins and the Indian companies are losing share?
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Ashwath Ram: Certainly, there are -- companies from China have been selling in India and have increased their share in India. And certainly, as a market leader, we get most impacted by that kind of inroads that the Chinese companies make. But overall, when you look at our industrial business market share, we have been able to hold on to our market revenue. So you can argue that we should have gained market share, and we have not been able to do that, but we have held on to market share. But I am certainly seeing a lot more activity from China-based companies in India.
Bhavin Vithlani : Just the last, within the industrial, we saw a very significant jump in the marine overseas, as last year. Could you just help us understand, was it some large order that -- because the jump was exponential ?

Ashwath Ram: Yes. One is the launch of the new products and second is that we have also gotten back some share in the fishing trawler kind of market, where we had to develop some new products there, and that market was primarily catered to by branding manufacturers. So we have managed to get some share back in that sale. So I think there are more opportunities there, and we look forward to do even better in that space.

Bhavin Vithlani : Okay. Great. And could you give us lastly, the outlook on the compress or side? That's been very volatile and as you said, there is a lot of cyclicalities there?

Ashwath Ram: I think it's bottomed out and starting to at least come back a little bit. There's a lot of cyclicalities in that market, depends on monsoons, depends on government spending brands. Certainly variables that we could be able to very accurately pretty -- I can say that our Q4 was probably the bottom there, and is now looking like it's starting to pick that up a little bit. So it's not at its peak yet, but at least it has been up from where it was -- from the bottom point.

Moderator: We have a next question from the line of Puneet from HSBC.

Puneet: My question is, you've also talked about the genset demand on the gas compression engine. How big is that market and what is the share of those gas compression engines in your powergen demand?

Ashwath Ram: As of now it's very low. It's less than 5%, primarily because, gas is not available. So this has always been the boogeyman in India for the last, I would say, now more than 15 years that gas is coming, gas is coming, and we have products, but gas prioritization for these applications is very, very low. So customers are not able to buy gas. So we do not see, at least for the next 3 or 4 years, till that supply chain is sorted out by the government that this market for gas is going to be anything exciting.

Puneet: And in terms of your CPCBIV engines, what is the extent of localization that we've been able to achieve?

Ashwath Ram: Yes, already greater than 80%, but we will continue the work to get to greater than 90%, which is our traditional average. There are many of the -- and the last 10% is almost impossible to do right now, because they all have to do with electronic, some of those kinds of parts which are not made in India at all.

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Puneet: Okay. So in terms of margins, how should we think about the CPCBIV products? As the share goes up, should we be looking at lower gross margins or would you still be able to maintain 32%...

Ashwath Ram: I think we are trying to maintain or increase the margin, that's been our attempt with better products, with better technology with better

features and capabilities. But we do not anticipate

any reduction in margins, for we think we should be able to improve the margin .

Moderator: We'll take the next question from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Given that we'll have to produce and maintain inventory of both CPCBII and CPCBIV, is it fair to assume that for the next few months, maybe a couple of quarters, general inventory levels for us of raw material of parts, etcetera , will increase, or is that not going to be the case?

Ashwath Ram: That is already the case because of the prebuy, that there is additional inventory in the channel and so certainly inventory levels for the next 2 quarters are likely to be higher than the historical average. But this typically happens at every transition cycle, and so we will bring it back to a regular optimized level after a couple of quarters.

Pulkit Patni: Unders tood, sir. Sir, maybe just a related question. So we will be producing the CPCB II engines up till what, fourth quarter or it will be third quarter? Because after that, this goes away?

Ashwath Ram: Yes. So most likely, we will attempt to -- right now, it's all based on booked orders, because we already have the booked orders, there is absolute clarity on what can be produced. So we will attempt to wrap up the CPCBII at least 1 quarter before the deadline, and then build all of that into inventory and then get our -- 100% of CPCBIV.

Moderator: We have a next question from the line of Amit Mahawar from UBS.

Amit Mahawar: Ashwath, I just have 2 questions. First is, so in FY '24, what percentage of our power gen revenue will be effectively CPCBIV+ products, since you already have the clarity and booked orders, that's first?

Ashwath Ram: The answer to that, is we think about anywhere from 15% to 20% is likely to be -- 15% to 25% is likely to be CPCBIV product at this stage.

Amit Mahawar: Fair. And in your sourcing for CPCBIV+ products like FCI, etcetera, from Cummins entities, what percentage of that sourcing of the buildup material will be from Cummins versus CPCBII compliant entities?

Ashwath Ram: I think the only incremental component from Cummins compared to CPCBII are the emission treatment system, that's it. There's no other component that will come from Cummins.

Amit Mahawar: Incremented. Third and last question quickly, sir. So yesterday, in parent results they've done very well on results, but did not increase the guidance. It's basically -- does it imply that exports for Cummins India in the second half this year and maybe part of next year might still be weak in terms of run rate that we've seen in the last 2 quarters? That's it, sir.

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Ashwath Ram: Yes. And I think that -- as I explained earlier, we see some softening in the global market and which is why we maintain that we will -- the overall business, we will continue to grow it at a 2x of GDP, and we will try to make up any shortfall we are seeing in exports, we'll try to make it up in the domestic business. But that does not mean that we are not pushing very aggressively to try to get more business out of exports as well. But based on the visibility that is available today and based on all the global markets being slightly uncertain, that's the best guidance we have. Certainly, our optimistic internal scenarios push us to do better than what we're indicating right now.

Moderator: We'll take our last question from the line of Amit Anwani from Prabhudas Liladher.

Amit Harichand Anwani: My question is related to -- we have been highlighting about the supply chain issue. And I think still a couple of quarters back, we lost on volumes also because of the shortage of supply chain.

Any color you would like to throw on the situation right now and going ahead?

Ashwath Ram: Yes. So despite supply chain problems, supply chain has been i

mproving quarter-on-quarter, if

you look at the last almost 3 quarters. Now of course, our aspirations are greater and we are pushing more products, we are trying to get market share. So all of those things mean that the pressure on the supply chain is more. So even though they're doing better every quarter, higher demand on them is even more.

So where we are today, is that there are already a lot of investments that have been made, which take anywhere from 18 to 24 months to get ready. So some of those are already in the pipeline.

We have enhanced capacity quite significantly with multiple suppliers. Our factories are running at 100% of the land capacity. So we are trying to do everything possible to try to keep getting better at delivering what demand is out there in the market. And I remain confident that despite all these challenges, we will continue to inch our way towards even better delivery of product.

Amit Harichand Anwani: Sir, next question on the domestic side. So we saw the robust revenue because of the prebuying. Would you like to share on which user segments contributed significantly and how was the data center contribution and growth, if at all, this quarter?

Ashwath Ram: Yes. So I was responding to the question about what's the breakup by segment. And what I'm saying is that, the traditional segments of data center of reality of pharmaceuticals or manufacturing of hospitality, pretty much across the board we have seen good demand in the powergen segment. But the breakup for the previous quarter is as following; low horsepower was INR103 crores, mid-range was INR273 crores, heavy-duty was INR111 crores and high horsepower INR387 crores. So yes, pretty good demand out there.

Moderator: Mr. Anwani, does that answer your question? Your line is disconnected, sir. Please go ahead.

Ashwath Ram: So I'd now like to make a closing comment. Thank you for your participation and active engagement today. As always you ask amazing questions and tough ones. Cummins India believes that the strong demand in the end markets will sustain. However, because of supply chain complexity, which we continue to work through, we remain cautiously optimistic about the short to medium-term demand outlook. With a strong balance sheet, world-class

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infrastructure powered by manufacturing excellence and outstanding talent, we are confident of sustaining our growth trajectory.

With this, I close this call. Have a great day and stay safe. Thank you.

Moderator: Thank you. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We're ending the conference now, and you may now disconnect your lines.

Call: Nov 2023

Ref: STEX/SECT/2023

November 10, 2023

The Relationship Manager,

BSE Limited,

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai 400001 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No. C/1, G Block,

Mumbai 400 051

BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Intimation of transcript of analyst conference call held on November 08 , 2023.

Dear Sir/ Madam,

With reference to our stock exchange intimation dated October 25 , 2023, towards Investor s / Analyst s / Financial Institution s conference call, we are enclosing for your records a copy of the transcript of the said conference call conducted by the Company on November 08, 2023.

Kindly take this intimation on your record.

Thanking you,

Yours faithfully,

For Cummins India Limited

Vinaya A. Joshi

Company Secretary & Compliance Officer

(This letter is digitally signed)

Encl.: As above.

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November 08, 2023

MANAGEMENT : MR. ASHWATH RAM – MANAGING DIRECTOR ,

CUMMINS INDIA LIMITED .

MR. AJAY PATIL – CHIEF FINANCIAL OFFICER ,

CUMMINS INDIA LIMITED .

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Moderator : Good morning , ladies and gentlemen , welcome to Cummins India Limited Q2 FY'23/24 Earnings Conference Call. We hope you all are keeping safe and healthy.

As a reminder all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal a n operator by pressing '*' then '0' on your touchtone phone .

I now hand the conference over to Mr. Ashwath Ram - Managing Director, Cummins India Limited. Thank you . And over to you , Mr. Ram .

Ashwath Ram : Good morning, ladies and gentlemen. Welcome to the Cummins India Limited Q2 FY'24 Earnings Conference Call. I am Ashwath Ram - Managing Director of Cummins India Limited.

Joining me on the call today is Mr. Ajay Patil - Chief Financial Officer of Cummins India Limited. Thank you all for joining us on this call today.

The quarterly results this time demonstrate a stable outlook in the domestic markets and a resilient Indian economy, while the key economies and regions of the world are experiencing slowdown in economic growth rates.

Update on Q2 FY'24 Financial Results :

For the quarter ended September 30th, 2023, with respect to the same quarter last year, sales at Rs. 1,871 crores are lower by 3% compared to Rs. 1,922 crores recorded in the same quarter last year. Domestic sales at Rs. 1,364 crores are lower by 2%. Exports at Rs. 507 crores are lower

by 4%. Profit before Tax at Rs. 426 crores is higher by 27% compared to the same quarter last year.

For the quarter ended 30th September 2023 with respect to the last quarter our sales at Rs. 1,871 crores are lower by 14% compared to Rs. 2,175 crores recorded in the last quarter. Domestic sales at Rs. 1,364 crores are lower by 19%. Export at Rs. 507 crores is higher by 2%. Profit before Tax at Rs. 426 crores is higher by 3% compared to the previous quarter.

Segment Wise Domestic Sales Break Ups for the quarter ended September 30th, 2023:

Power Generation domestic sales were Rs. 486 crores, 28% lower compared to last year and 44% lower compared to last quarter.

Distribution business sales were Rs. 549 crores, 23% higher compared to last year, and 3% higher compared to last quarter.

Industrial domestic business sales were Rs. 300 crores, 20% higher compared to last year and 27% higher compared to last quarter.

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Exports, high horsepower exports were Rs. 264 crores, 13% higher compared to last year and 8% higher compared to last quarter.

Low horsepower exports were Rs. 209 crores, 14% lower compared to last year and 4% higher compared to last quarter.

Cummins India Financial Outlook :

The Indian economy remains resilient to geopolitical events. Softening demand in developing economies and the inflationary trends seen both in India and worldwide.

GST collections continue to remain strong, indicating underlying trade activities. The Index of Industrial Production (IIP), PMI etc. are all indicating a reasonably stable economic outlook, keeping the Indian economy on course for growth in the range of 6.3 % to 6.8% based on various estimates.

Geopolitical events, especially further escalation of conflict in the Middle East, fluctuations in crude oil prices, rising U.S. bond yields and their impact on capital flow are a few key watch outs.

The Company successfully launched the CPCB -IV emission norms compliant products in the market on time. The prior two quarters witnessed some demand shifts as both CPCB -II and CBCB -IV+ products are allowed to be sold till June 2024. We expect the demand to normalize and sustain for the rest of the year.

As most of the developed markets are experiencing slowdown in demand, we are closely monitoring our end market conditions. The Company continues to have prudent capital

allocation and cost management and have a strong balance sheet and cash position. We remain optimistic about the Company's prospects for continued profitable growth. We remain optimistic about the prospects of the Company's continued profitable growth and expect double-digit revenue growth for Fiscal Year 2023/2024.

I now open the session for questions. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ravi Swaminathan from Aventus Spark. Please go ahead.

Ravi Swaminathan : My first question was with respect to the Power Gen business during the quarter it's obvious that we had seen revenue decline because the pre-buy activity which was there in the first quarter that is getting normalized. My question is more towards the secondary demand, I mean from the OEM to the end customer level, how does especially in the HHP level that is above 750 or 800 kVA, it shouldn't have been impacted by this pre-buy activity right. So, how that demand is, which sectors are driving the growth, if you can share your thought process that would be great?

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Ashwath Ram: So, demand continues to remain robust, especially in the domestic markets. And we have seen quite a bit of depletion in the inventories that were build up as part of the pre-buy. And we are seeing the demand continue to remain strong so we are quite hopeful that the remaining quarters we will see a bounce back as far as the numbers are concerned from our domestic market perspective.

Ravi Swaminathan : If you can give it in terms of numbers like volume growth in the LHP business, how it was year-on-year for this quarter, HHP how it has been, if you can share that perspective it would be great?

Ashwath Ram : Sure, so for us we have seen that, just one second here, I am just pulling up the numbers here.

Right, so we saw a demand in LHP drop by nearly 60% versus the last year. And we saw LHP demand drop by nearly 70% as compared to the previous year whereas HHP demand we saw

only drop by 2% , because we count HHP at 500 kVA and above. So, you can see that real, there is hardly any drop in HHP. So, your hypothesis that that should not impact HHP is actually correct. And some part of HHP continue for us to remain under all location because we continue to build long-term capacity which takes 18 to 24 months to build out. Whereas the LHP and MHP market are corrected from an inventory perspective and we expect that to come back to a steady state levels of what we saw in the first quarter, we expect that to come back to those kind of levels.

Ravi Swaminathan : And my second question is with respect to the industrial business. We have seen very good growth of around 20%. Where has this growth come from? Is it from the construction equipment side, compressor side, --?

Ashwath Ram : Quite good bounce back on construction as compared to the last year primarily driven by the fact that road construction has begun again. And we expect that trend to continue because of the stated ambition of building 12000 plus kilometers of road this year only 4000 has been completed so far. So, there is a lot of work yet to be done. So, that market historically has underperformed. And that is now starting to bounce back pretty robustly.

Also, some of our other businesses in industrial are a little bit lumpy. So, you see some spikes happen and then you see steadiness in some quarters or you will see a dip in some quarters just because they get delivered and so we saw some very good delivery of rail in this quarter driven by Power Car and DETC. We also are starting to see the compressor business start to bounce back. Sometimes we have seen this trend historically that when monsoons are not that great, people have to drill more for water well and other application

s and the compressor market then

begins to bounce back. And we also see other markets, especially areas like Defense, start to come back and again those are lumpy in terms of delivery. So, when we have good delivery like we did in the previous quarter, we are able to grow that business.

But overall, as long as the core infrastructure continues to keep getting built out, so mining for example is much lower in this quarter as compared to the previous year same quarter. But there

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are many tenders out there because mining for steel as well as coal is actually beginning to scale up quite significantly. So, we are quite optimistic that the demand will continue to improve in that segment as well.

Ravi Swaminathan : And my final question is with respect to the gross profit, gross margins have expanded very significantly, is it because of the mix being in the favor of the higher end gensets being sold and coupled with raw material going down. So, is that the case?

Ashwath Ram : So, like in some quarters you get a perfect storm of bad news, this time we have a perfect storm of good news. In that we were able to control the material cost and all the advantages we had of continuing commodity corrections, benefited us. We continue to hold on to pricing. And we also got favorable mix because lower margin products in low horsepower etc. the demand were significantly lower. So, all three variables which impact our material margin were favorable and that's why the material margin improved significantly.

Moderator : Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : So, in the mix what was the contribution of the CPCB -IV+ because last time I think you had said that we are targeting about 24% for the full year, so any positive surprise, we are seeing . I was seeing on your social media handle you have been promoting with your dealers all the CPCB -IV+ complaint engine . So, has been the feedback from the channel , from the end customers. So, any early trends of picking up of demand despite the prices being higher and still some time before it gets implemented?

Ashwath Ram : So, actually it is pretty positive news, especially in the areas like the NCR region and the big cities, people are switching over to CPCB -IV+ despite the pricing advantages that of CPCB -II, just because the product is newer, it has longer life, better performance etc. There are some lows where we are actually now scaling up capacity to be able to supply CPCB -IV+ product , but that is only true in the big cities, in all the other regions CPCB sale continues to be strong. And I can't give exact numbers, but I would say that greater than 70% of the sales for the quarter were with CPCB -II products. But the very fact that CPCB -IV+, I was expecting 5% to 10% but the actual demand is a lot higher than what I was anticipating.

Parikshit Kandpal : Has that also impacted on our gross margins, I mean slight better mix in the CPCB -IV+, because --?

Ashwath Ram : Little bit, but not yet significant enough because the ratios are so skewed in favor of CPCB -II+, it's more to do with us not selling as many low horsepower gensets as compared to just selling more CPCB -IV.

Parikshit Kandpal : Was there any one-off in this quarter , I mean the gross margins despite if I may take the degrowth in the low horsepower engines, still the margins look better, I mean the benefit, I mean we have

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been holding on to the volumes and not much of a degrowth. So, were there any other one-offs or it's largely just as you said commodity benefits and just the pricing we have been holding on.

Ashwath Ram : No actually this is just the, sometimes you get the positive effect of all the work you have been doing for a long time. So, no one-off but

yes, we are pretty happy that we are happy with good news sometimes so.

Parikshit Kandpal : And just the last question on the exports market, I mean how is your strategy on the CPCB -IV+ and I mean you have been promoting in India, with channel network. So, how has been the response, how has been the promotions and marketing being done for the CPCB -IV+ compliance in genset export markets?

Ashwath Ram : Right, so till the last quarter, we were focused on launching the CPCB -IV products in the domestic market. So, all the fine tuning, testing, validation, approvals, branding and all of the work was 100% focused on the domestic markets. Once the launches were complete and once we got the news that in India we have decided to push out the implementation for another year, we are now focusing all our energies on trying to figure out how to sell the same products into other markets. So, first markets where these products can be used well are in the European Union. And so now efforts are on to take the product and get the required approvals in the EU, get them customized for those markets and those applications.

And there is a global plan which has been put in place, stage by stage on how the product will be transitioned first to EU and then to markets in Americas where the voltages as well as the frequencies at which those gensets operate are completely different. And so we are going to have to do some modifications on the product to be able to meet those specifications.

We expect to get all of this engineering work done in the next couple of quarters. And so to answer your question, work is going on and we are pretty focused on trying to push these products on a global scale, because we feel these are world-class products and we have a very good price positioning to be successful globally.

Moderator : Thank you. The next question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur : Just touching back on the domestic powergen segment, so if you could just highlight again how is the inventory in the channel with your OEMs especially post this pre-buy and now of course we see some normalization in Q2. So, do we and correct me if I am wrong, but do we expect Q3, Q4 to be more normalized quarter now that most of this pre-buy and the normalization being over? So, what kind of growth do you think for the full year is possible?

Ashwath Ram : So, we think inventories are pretty much back to the normal inventory levels the channel had before the pre-buy. And which is why we think that Q3 and Q4 will be from a demand perspective what I consider regular quarters which means we continue to attempt to deliver the

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domestic markets at 2x of the GDP in terms of growth. So, that's where we think we will be able to get to by the end of this year.

Ankur : And on a related note, you were talking of some supply chain or potential supply chain issues because we are making both the II and IV engines, so is that largely sorted?

Ashwath Ram : Some parts of it has sorted, but some parts of supply chain are not fully sorted because we take couple of years to put the incremental capacity in place. And we are already making all the investments for that. We started making investments nearly two years ago. But it takes time for setting up some of these large engine capacities. And so we are meeting demand but we are not able to have excess supply available to meet unconstrained demands. So, it is still constrained demand. So, we expect by, I would think by the early part, middle of next year to be in much better position as far as supply is concerned.

The other part of supply, the global electronic supply chain is still in crisis. So, despite this being a reason I have been stating for almost three years now. It is still in allocation. So, we are not getting 100% of all the electronics that we need to meet all the

demand in the market. So, it's

still, we are keeping strategic inventory, we are doing all the necessary things, we are negotiating, we are setting up more suppliers, we are doing all the things. But if there is spike in demand in certain other markets around the world sometime, we are not getting all the parts that we need. So, it is still constrained. So, it's not yet a situation where I can say that every piece of demand will be met, it's still wait and watch on some notes.

Ankur : And how is the export piece while it's obviously grown QoQ, we are still seeing a slight decline on a YoY, but surprisingly the HHP growing and the LHP declining so if you could just help us

and I understand Q3 typically is the weakest quarter as we head into the calendar end. But how do you see the export piece kind of playing out next couple of quarter, will '23 end be the bottom and maybe start seeing better numbers going into '24? How should we look at it?

Ashwath Ram : So, this quarter HHP was robust, because we were still fixing and delivering on backlogs. And we are seeing pretty much all markets around the world start to slow down a bit. There are some pockets in Africa which continue to do okay, there are some pockets in Latin America which are okay, but when you look at the overall trend whether it be Europe, whether it be China, whether it be big chunks of the Middle East, we are starting to see demand drop pretty significantly. We are trying to counter that by trying to launch more products and do those kinds of thing. But when cyclically some of these markets go down, they go down. And we have been able to hold out for this quarter, but from the way I see the order board show up, I think it will continue to weaken for the next quarter and maybe start to pick up in the fourth quarter.

Ankur : And just the last one is on the Defense side. And there was some news flow about Cummins being selected to supply the engines for the light tank project, the Project Zorawar. So, if you could just help us, what is the kind of supply we are going to do here, is it from Cummins India the listed entity, timelines for delivery etc.?

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Ashwath Ram : Yes, so these are long gestation projects. And here on this project that you are mentioning, our partner is Larsen & Toubro. We similarly work with many of the OEMs in India to supply them engine products. And this order has been won after many years of work. And it's right now in trial stage etc., and as the draw outs come from the customers, they will be supplied. This product is made in North America and some value-add is done in India and then supplied to this customer. It's a very specific and special purpose designed defense product. So, it's not a mainstream product which has just been adapted, it's a very special product just designed for defense which has been used by Cummins in markets in North America and other place. Just to provide clarity, that is just for this order. There are many other defense projects which we are working on which have all localized products as well. I was referring to the very specific order that you mentioned earlier.

Moderator : Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Two questions, firstly given that it's been more than a quarter now that we are selling both CPCB -IV and CPCB -II engines. What are the sort of early indications that we are seeing in terms of the absorbable price increase, because I remember that you told us prior to the launch anywhere close to 20% upwards would be the pricing impact. But in reality, what is that on the ground in terms of the price rise that we have been able to pass through without impacting demand?

Ashwath Ram : What the price indications that we have given those are exact price indications that we have launched the prod

uct within the market. And this is the first quarter where we have started to see demand. And in the areas where the demand is the highest, which is the NCR region and in the big cities, we have not seen that as impacting demand as a matter of fact we are getting greater demand despite the pricing because the product is that much better. So, we don't see once the overall transition happens by middle of next year that this incremental price is something the market will struggle with. This kind of transition has happened in multiple markets around the world and in multiple products where there is psychological resistance to start off with, but when it is the same for every manufacturer and the industry has changed, then everyone just aligns to that and moves ahead. And Company has also been looking at alternate means to be able to work with banks and other financing agencies to help people finance these products etc. so the net impact on individuals is not as significant as one might think.

Jonas Bhutta : So, in a full year so say starting June 24, if volumes remain as is where is in terms of the demand, is next year potentially then our powergen sales by the virtue of just the sales mix should be up at least 15% odd, just because that's going to be the pricing impact. Is that a fair assessment?

Ashwath Ram : It's a fair assessment, but that doesn't really hold true for all products. There are some products where the, just because of volume and change in platforms, there is a higher content of import and even this prices go up, but margins don't necessarily go up in the same proportions. As a

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portfolio we will continue to do better than what we have done. But that does not mean that these translates into like today we are making 20%, next year we will make 40%, not the math doesn't work out that way. You continue to keep those, and our ambition is to continue to grow our overall margins by 100 basis points year-on-year.

Jonas Bhutta : So, which was what my follow up question was , so since now we have an indication of the pricing being absorbed also could you help us understand the gross margin differential between the CPCB -II and CPCB -IV+ now given that the supply chains are in a way stabilize d. So, where are we settling now and then what is --?

Ashwath Ram : It's very difficult to give you this at this stage because first of all we are just coming out of a quarter where utilization is incredibly low. We are burning off inventory from an older cycle. We have just started to ramp up a new cycle so it's very difficult to give you an answer to say what a stable situation will look like. All I can tell you is that, once we reach a steady state and the percentage of CPCB -IV becomes greater than that of CPCB -II, margins will maintain this positive trendline of improvement.

Jonas Bhutta : My second question was on the VRS scheme that we have launched. If you can walk us through the rationale, because if the going is so good and capacities are coming up, what is triggering the VRS?

Ashwath Ram : Sure, first of all you have to keep looking at people cost in India, people cost in India is rising at the rate of roughly anywhere between 10% to 15% on a year -on-year basis. And so it's almost keeping pace to the rate at which growth in sales is happening. And we continue to look at opportunities to improve cost efficiency whether it would be material cost efficiency or people cost efficiency. Also given the softening demand and uncertain economic outlook in some of the global markets, we need all of our employees to help reduce cost, lower inventory and just manage our efficiency as we continue to meet our goals for profitability and cash flow.

So, this is an ongoing exercise of cost management, of pruning, of cutting, of trying to get more and more efficient as we move along. This is not something which is n

ew that the Company has

done, there is lot of focus on cost management throughout the year and over the last couple of years. But we continue to face growing cost. So, we are just looking at ways to keep managing that and getting more efficient.

Jonas Bhutta : And my last question if I can just squeeze in, so the export sales and your commentary suggest s that developed market seem to be softening in terms of demand . Could you please remind us in the first half or in FY'23 developed markets accounted for what percent of exports? And again is it fair to say that these are markets where our margins are relatively better than that in emerging market, because there we have in emerging markets we run our own distribution channel, while in the develop ed markets largely to the parent entities. If you can give us that, that will be helpful and that's my final question, thank you.

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Ashwath Ram : Actually it's pretty complicated because it depends on what products and there is a whole bunch of mix, but all I can tell you is that the developed markets of Europe and North America has dropped like over 50% so as compared to Asia Pacific, Middle East, Latin America which are dropping more like 5% to 10% . So, the proportionate drop is significant in the developed markets. But it's difficult to say how that impacts margin, because the products and the mixes are completely different for each o f those, and they keep changing.

Moderator : Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : My first question is coming back on the exports side while you did mention of glaring decline in U.S. and EU . Is part of the decline also attributable to significant inventory destocking with these markets are witnessing after the pandemic now, given average inventory in these markets of various products had shot up very sharply and customers are pruning inventories to keep the cash profits better. So, if you can throw some more color on this?

Ashwath Ram : Certainly, that is a fact, as a matter of fact when Cummins Incorporated announced their results, they did mention that significant amount of inventory corrections has happened and will continue to happen. So, that is a factor in it, a big factor and especially for the next quarter it will be a big factor because as compan ies come to the year end, they try to optimize inventory as much as possible. But that doesn't take away from the fact that because of all th ese Middle East crisis, oil prices going up, Ukraine -Russia still not getting resolved, the entire China market still recovering slowly. There is slower demand from all, pretty much all over the world. So, that has also got a part to play, we continue to push aggressively to try to compensate for the loss in demand from the overall market by attempting to gain share etc. but the reality is that there is softness in base demand itself.

Renu Baid : And when we talk about attempts to gain share in presence in export portfolio, typically th ese would be for which type of applications, which type of gensets that we are talking about?

Ashwath Ram : So, these are what we earlier have said that we had done our Fit for Market 1.0, Fit for Market 2.0, now we are in the process of launching Fit for Market 3.0. And what we are trying to do is to try to develop products which are very suitable for specific regions. Earlier we used to have one product which was the same product for Europe, for Africa, for Middle East, for America

everywhere the product was the same. Then this Fit for Market 2.0 we did some percentage of delineations of product based on the geographic location. Now Fit for Market 3.0 does that even more and it also tries to take some of the products developed for CPCB -IV+ and applicate them into other markets. So, the combination of all of these efforts more local

I understanding and then

developing products to meet those markets is what we are working on to improve market share even in a declining market --

Renu Baid : Secondly on the margins while you did highlight that 2Q was the perfect quarter in terms of mix and various other elements. As we move in the second half of the year commodities remain

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benign and volume growth coming back on the domestic powergen business. Can we assume a) gross margins to sustain that 32%, 33% levels? And from a longer -term perspective you tend to highlight that the Company would target 35% kind of gross margin from a longer -term perspective. So, how should we read into the margin trends expected for second half of the year and from a medium -term perspective, how long it maybe for us to reach 35% kind of gross margins?

Ashwath Ram : You are referring to material margin at 35% -- gross margins are lot lower but material margin like I said it's a perfect storm of everything going well. We expect certain parts of it to act negatively compared to 35% which is almost like an all -time best kind of number. And we expect with the mix changing in subsequent quarters with larger low horsepower being sold more of the data center PDI markets being served etc. that at least a couple of percentage points will drop from the material margin with that. But our endeavor is to not give up the all the gains and somewhere grow between 32% to 34% is the number we are continuously striving to hit and when it goes below that, it makes us grumpy , when it goes above that we are slightly pleased. But 32% to 34% is the range we are trying to as our sweet spot of where we would like to remain consistently.

Renu Baid : And lastly any updates that you would like to share in terms of new product introductions or launches across different applications of the industry business?

Ashwath Ram : Quite a few, they just keep happening. I think the gentlemen earlier spoke about some of the Defense launches. We have finished introducing all the powergens , domestic market we have introduced REPD kits , we are selling more products into the rail market. We have also launched some special propulsion engines into the Marine market. We have launched some new gensets also into the Marine market. In the Mining market we are trying to win some orders for QSK23 based engines into that market . What else have we launched?

Renu Baid : Anything on the Vande Bharat and Electric Locos and the trains that we are looking at --?

Ashwath Ram : Those are in final phase of approval, so those are what we call Hotel Load Converters. And those are in final stages of approval. So, we haven't yet finished that work , that is all incremental. So, that is tight testing right now. So, once those get approved we will be talking about different types of numbers as compared to what you are seeing now. We have also been able to launch some of our L Series engines for the Defense market with customers like Bharat Forge. So, yes lots of things being launched in parallel. So, that's going to be an ongoing effort and every quarter we will attempt to launch more products .

Renu Baid : And lastly any updates that you can share on the likely CAPEX for Fiscal '24 and for '25 for Cummins India?

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Ashwath Ram : It's pretty much in line as what we have indicated. No special CAPEX other than for launching products, for upgrades to products etc. So, it's likely to be in line with what we were doing this year, maybe 5% to 10% more , because sustenance increases as asset base increases.

Moderator : Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani : So, Ashwath, question is when we actually anecdotally see the construction equipment market , we see a significant increase in market

share for the Chinese players. And we have a large market

share in the construction equipment segments. So, if you could just give us an outlook on how are we seeing this market? Are we also able to maintain our share with suppliers with these Chinese equipment suppliers?

Ashwath Ram : Certainly, the Chinese are very strong not only in India but around the world. And Cummins having the presence in pretty much all markets around the world also has relationships in terms of supplier, customer with many of these companies. And so when they bring their product to

India and then they have to beat local value-add and content requirements, they certainly approach us and they look at us as prime partners to supply them the powertrain. And we are working with pretty much all of those OEMs. But we also continue to work with our traditional OEMs from America, from Japan, from Europe to supply them product. This is a sweet spot for Cummins around the world and we intend to continue to improve our position in this space.

Bhavin Vithlani : And on the competitive landscape in this segment because Weichai has also set shop here and similarly on the powergen side if you could just talk about the competitive landscape, because certain other capital goods companies have been complaining about sudden surge in the Chinese imports and which is hurting them.

Ashwath Ram : Certainly, they are, those companies are pretty aggressive and they are state-run companies and they are able to deploy scale like we cannot. So, certainly we are under competitive threat. And certainly we do pitch to the government in cases where we find unfair prices or dumping of goods at unreasonable prices. We do write to the respective government agencies to set, we are happy to compete on a fair basis, but when pricing is unfair, it becomes a challenge and customers are not so discerning in the end markets, for them price is everything. So, yes, we do lose some kinds of orders, but when it is compared spec to spec on product technology etc., we have an advantage. When it compares, we also have a huge amount of localization so we are able to stand toe to toe and fight with them even on prices. But when it is unfair pricing in certain cases we have seen that, then it becomes the challenge. But it's not a significant challenge as of today. But it can be in the future.

Bhavin Vithlani : On the exports, so historically we had a large share in the African and some of the developing markets. If you could just help us of the geographical share and the ongoing currency volatility, in some part of Middle East and Eastern Europe, how is it impacting our outlook there?

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Ashwath Ram : So, Asia Pac, I can give you the breakup of how the Rs. 507 crores our exports was region wise. So, Asia Pac was Rs. 122 crores, Latin America was Rs. 137 crores, Middle East was Rs. 111 crores, Europe was Rs. 64 crores, Africa was Rs. 63 crores and the U.S. was Rs. 8 crores. So, we have seen the biggest drop as I mentioned (50+%) kind of drops in Europe and North America whereas we have seen smaller drops in Asia and Middle East as of now. But we expect that to worsen in the next quarter.

Moderator : Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar : My first question is so in H1 we have done around 30 billion of domestic sales of around 19%, how much out of that is CPCB -IV revenues, I am sure if I missed that. And is that broadly 100% market share in H1 for you at this stage?

Ashwath Ram : In H1 I would say, CPCB sales are less than 20% of our powergen sales.

Amit Mahawar : And in your assessment so maybe today we are the only supplier of the new node, within the permissible range. Do you think maybe six months to 12 months is the time where we will have competition joining in terms of entering the market or it will

take much more longer, I appreciate

we can't take names, but qualitatively you can help us understand.

Ashwath Ram : I think all competition have announced that they have product ready, because the launch was supposed to happen in July. So, they may not have been 100% ready, but I think everyone has announced that they have some products ready. So, it's absolutely going to be the scenario that when launch is 100% that everyone will be ready, but it also means that we have had one year to further fine-tune these products and make them even better and even more efficient. So, this is an ongoing cycle and we play this competition throughout the world and which is why Cummins continues to invest very heavily in product technology so that we can remain ahead of competition.

Amit Mahawar : So, then my second question is on FY'25 on a normalized basis what would be the volume growth for the industry for the powergen?

Ashwath Ram : We think that the powergen market at least for the next few years will grow at a CAGR of at least 7% to 8% in the domestic market. And it has been our stated ambition that Cummins India Limited grows at, at least 2x of the GDP. So, we expect for the next year the GDP to grow at, at least 6.5% so which means you got the automatic answer that we will aim to grow at, at least 13% to meet our own internal aspirations.

Moderator : Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare : I wanted to continue from an earlier participant's question where you talked about ultimately moving towards sustainable material margin of about 34% to 35% over a period of 18 to 20

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months. I think you talked about this almost a year back. Now today you are talking about material margin moving or remaining between 32% to 34%, so is this clamp down on your earlier thought process of the Company being able to move towards 34%, 35% margin?

Ashwath Ram : No I think it's not clamp down, I guess what I meant to say is we have already achieved 35%, but that is because we had all good variables work in our favor, that's not going to be the case in every quarter. So, what we are attempting to do is if you look at the previous year 's material margins, they were closer to 30.8%. So, from that framework to move the entire average up by 5% could be a multiyear journey. But the 32% to 34% range that I indicated, it seems that it can be sustainable at least for the next couple of years as we build up the next series of cost structure and material structure, products etc. which then eventually get us to that 35% kind of level. It would make us extremely happy to be able to get there and I am just stating that there are, it's easy to put out a number, it's quite complicated to work systematically to be able to get there. So, the bridge between 30% to 35% indicates that we need to sustain 32% to 34% at least for a period of time before we can build on it and then get to 35% on a consistent basis. So, that's where we think we are going.

Rahul Gajare : My second question is we do understand from our channel check that the inquiry level have seen material rise in the recent months , but I think your commentary seems to be or it appears to be guarded in terms of domestic growth of mid -teens, especially when Q3, Q4 are normally stronger for the Company . Can you talk about this?

Ashwath Ram : Certainly, a little bit of the domestic growth, we do think it will be in the mid -teens because if the market itself grows at 7% to 8%, we are growing even faster than the market. So, we do think that that itself takes a lot of work. Also, there is a whole bunch of, as I said inventories is burning out, but it doesn't burn out evenly across all the nodes, so there are certain nodes where there is slightly higher inventory, there are certain nodes where there is l

ower inventory. So, when we try to create a portfolio of all of this, it then causes us to think that there will be a little bit of muted growth as compared to what the real demand in the market is.

Rahul Gajare : My final question is, I mean you did talk about various industries, but can you talk about what is the situation as far as demand from data centers is concerned?

Ashwath Ram : Very strong.

Rahul Gajare : Can you quantify that demand please ?

Ashwath Ram : So, year-on-year the data center business, our whole business is growing at 12% to 13%. Data center business is growing at a CAGR of 25% plus.

Moderator : Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

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Puneet Gulati : In the beginning you also gave a guidance of double digits revenue growth. Is it possible to break it up between domestic and exports ? And also, how much of this growth would you attribute to volume versus pricing?

Ashwath Ram : It's difficult for us to give you that exact breakup on where we think growth will come from at this stage. But our ambition has been that irrespective of which markets go up or down as a Company we demonstrate that double digit plus growth. So, that has been our endeavor at least for the last few years and so far we have been successful at that.

Puneet Gulati : Specifically for FY'24 when you guided, possible to break between volume and pricing?

Ashwath Ram : It's always a combination, so it's very difficult to give you an exact answer on that. Certainly, volume as I mentioned earlier, the powergen and some of these markets grow at 7% to 8% so you have to do the math. So, if the market grows at 7% to 8%, we get some market share and then the rest is all pricing.

Puneet Gulati : Secondly if you can give more colors around what's driving the distribution part of the business so strongly for you, if you can highlight --?

Ashwath Ram : So, we have believed that historically we have underserved our own entitlement of the distribution business. But we certainly saw strong demand come in from past, quite robust commitment from customers in terms of service contracts especially from Rail and from big customers in Mining etc. And even our rebuild business saw a very good demand pickup. So, the nature of the business for us has changed quite significantly. And we expect to see this kind of trend continue.

Puneet Gulati : And is there room for further gain in market share in the distribution business or have you achieved the optimal level yet?

Ashwath Ram : No the answer is yes, there is always room for improvement , doing better and if the overall Company has to grow at towards the GDP every business needs to continue to grow at disproportionate level to the market.

Puneet Gulati : And lastly on the exports , there was a divergent trajectory for LHP and HHP, if you can guide to what drove the difference and --?

Ashwath Ram : So, it's very clear that HHP has always been in a backlog situation. So, when you are in a backlog

situation even if the inventory corrections happen and demand starts reducing, you are first fulfilling whatever was already in the pipeline. So, the drop is not significant in HHP till the previous quarter. Whereas low horsepower, there has never been any supply constraint in those markets. So, as the demand corrects, you will see a direct correlation of that cut. So, that's why LHP and HHP are a little bit divergent.

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And also a big chunk of HHP goes directly into product, into some of our internal applications so that demand remains little more steady than the end user market segments which react more rapidly. So, when it goes up, it goes up faster. When it goes down also it goes down fast and this is a typical trend you see different in LHP versus HHP.

Puneet Gulati : And -- s

imilar trend that has prevailed in LHP segment as right you alluded to a 60% decline in the domestic market. So, is that similar in the sense ?

Ashwath Ram : That is correct.

Moderator : Thank you. The next question is from the line of Koundinya Nimmagadda from Jefferies. Please go ahead.

Koundinya Nimmagadda : Most of my questions have been answered, but just one question on the CPCB -IV engines. When you try to deal, interact with your channel what is the kind of feedback that you are getting with respect to competition, I mean with respect to the pricing, the price point at which they are launching their products. And do you see any -- sense to what downturning in the industry, can you provide some color on that please?

Ashwath Ram : Not seeing a downtrend in the industry, so start with that first. The product is very well received in the market. Channel is quite excited about the product as a matter of fact, channel is pushing us to give them even more products, in some nodes we are lagging in terms of supply because we didn't think the demand would be pulled through as fast as we would have liked.

As far as pricing is concerned, the pricing is being absorbed, we are not seeing any resistance to the pricing from the market at this stage. And as far as competition is concerned, competition has also announced to product and announced sales of product. And we don't have enough data as of now to be able to say how well they are doing, but I can tell you about us, we are doing well with the product.

Moderator : Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher ; which will be the last question for today. Please go ahead.

Amit Anwani : My question is with respect to there was some development on the hydrogen -based ICE engine and couple of months back I think Cummins in JV with Tata announced some new factories set up --. And also on the electrolyzers there have been talk of Cummins Inc. looking for India market . So, just wanted to understand on all these new product initiatives including battery -based powertrains and SOFCs and hydrogen -based ICE engine , how the Indian entity will be in shape to gain business in coming years?

Ashwath Ram : So, let me first talk about hydrogen internal combustion engines. So, hydrogen internal combustion engines are where we take and create a new engine which can burn grey hydrogen as well as green hydrogen. And for those kinds of models to be successful you need scale and

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so the first application that has been successful anywhere around the world are being in the automotive space. And so the joint venture with Tata, Tata Cummins joint venture is getting into that space and they are going to create hydrogen internal combustion engines and then they are going to use it in automotive kind of applications, the target that's going to be setup in the State of Jharkhand and they are going to start supplying into those markets.

From a listed entity perspective, the listed entity will have access to those technologies which are produced in scales. And we will be able to applicate them into multiple of our applications including construction, including power generation etc. and as the market develops, we will use those products and applicate them into those market will give our access to all of that technology.

As far as batteries etc. is concerned, the listed entities working on tendering for bids etc. and there are batteries which are being developed with a partner like Tata, but that is for mobility.

The mobility battery applications don't really work very well for the industrial scale grid kind of storage. And there the listed entity is working and trying to find some partners from where we can get some of that technology and then deploy it into the field. So, that is still an exploratory stage , we are filling out some tenders , we ar

e working on that.

On the other parts of applications of hydrogen including in the Rail, Marine and other

applications, Cummins India continues to bid out tenders for that and that technology will be made available for deployment into those applications.

As far as electrolyzers and the production of hydrogen is concerned, Cummins have formed a new division called Accelera and that division is looking at the best entry into the India market strategy on how, what is the best way, who are the best partners to be able to produce hydrogen with, because these are incredibly high CAPEX kind of equipment which also has very long gestation period for recovery as the market matures. So, that strategy has not been finalized, it is still being worked out and as we make progress certainly, we will keep everyone posted.

Amit Anwani : My next question on the data centers, you did highlight that in a very strong growth of I think 25% upward. I wanted to understand how was the absolute contribution, a percentage contribution for H1 within powergen from data centers. And seeing the trend in data centers that there still will be much higher traction in data centers in coming quarters -- are we seeing much higher growth than this or the similar trend will continue?

Ashwath Ram : I can't give the exact contribution of data centers into our revenue , but I can certainly tell you that it is one of our Top 10 market segments. The second thing I can tell you is that this trend for data center is likely to continue at least for the next three to four years.

Moderator : Thank you. Ladies and gentlemen, that was the end of our question -and-answer session. I would now like to hand the conference over to Mr. Ashwath Ram for his closing comments. Over to you, Mr. Ram.

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Ashwath Ram : Thank you everyone for your active participation and engagement today. You always ask the most interesting and tough questions. Cummins India believe that the domestic market will continue to have strong growth, while export markets are experiencing a bit of softening of demand in the near term. Geopolitical events , continued conflict between a few countries and their impact continues to present some uncertainty for global trade, therefore we remain cautiously optimistic about the short -term, but from the medium and long -term we are absolutely bullish and optimistic.

I would like to assure you that the Company continues to leverage its strong balance sheet, world class infrastructure, on the ground manufacturing, engineering and best -in-class talent and team. We are confident of sustaining our growth trajectory.

Before I close out, I want to wish you, your family a very Happy Prosperous and Safe Diwali.

And on this happy note , I close this call. Thank you.

Moderator : Thank you very much sir. Ladies and gentlemen on behalf of Cummins India Limited and the leadership team we would like to thank you for joining us today and making it an engaging session. We are ending the conference now and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref: STEX/SECT/2024

February 12, 2024

The Relationship Manager,

BSE Limited,

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai 400001 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No. C/1, G Block,

Mumbai 400 051

BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Intimation of transcript of analyst conference call held on February 08, 2024.

Dear Sir/ Madam,

With reference to our stock exchange intimation dated January 25, 2024, towards Investors / Analysts / Financial Institutions conference call, we are enclosing for your records a copy of the transcript of the said conference call conducted by the Company on February 08, 2024. The said transcript will also be hosted on the Company's website. Kindly take this intimation on your record.

Thanking you,

Yours faithfully,

For Cummins India Limited

Vinaya A. Joshi

Company Secretary & Compliance Officer

(This letter is digitally signed)

Encl.: As above.

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Cummins India Limited

Q3 FY'23-'24 Earnings Conference Call

February 08, 2024

MANAGEMENT : MR. ASHWATH RAM MANAGING DIRECTOR

CUMMINS INDIA LIMITED.

MR. AJAY PATIL CHIEF FINANCIAL OFFICER

CUMMINS INDIA LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to Cummins India Limited Q3 FY '23-'24 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashwath Ram, MD, Cummins India Limited. Thank you, and over to you, sir.

Ashwath Ram: Good morning, ladies and gentlemen. Welcome to the Cummins India Limited Q3 FY '24 Earnings Conference Call. My name is Ashwath Ram and I'm the Managing Director of

Cummins India Limited. Joining me on the call today is Ajay Patil, Chief Financial Officer of Cummins India Limited. Thank you for joining us on this call today.

We are happy to announce that Cummins India Limited recorded the highest quarterly revenue and profits during the quarter ended December 31, 2023. This was aided by strong domestic demand across various market segments.

Now I would like to share the financial results of Q3 FY '24 with all of you. For the quarter ended December 31, 2023, with respect to the same quarter last year, our sales at INR2,502 crores are higher by 17% compared to INR2,144 crores recorded in the same quarter last year. Domestic sales at INR2,177 crores are higher by 36%. Exports at INR325 crores are lower by 40%. Profit before tax at INR602 crores is higher by 26% compared to the same quarter last year.

Thank you again. Sorry for the interruption. I will repeat what I was saying. For the quarter ended December 31, 2023, with respect to the last quarter, our sales at INR2,502 crores are higher by 34% compared to INR1,871 crores recorded in the last quarter. Domestic sales -- INR2,177 crores, are higher by 60%. Exports at INR325 crores are lower by 36%. Profit before tax at INR602 crores is higher by 41% compared to the previous quarter. Segment-wise breakup for the quarter ended December 31, 2023. The sales breakup segment-wise is as follows: Domestic sales, power generation domestic sales were INR1,073 crores, 51% higher compared to last year and 121% higher compared to last quarter.

Distribution business sales were INR662 crores, 26% higher compared to last year and 21% higher compared to last quarter. Industrial domestic business sales were INR212 crores, 20% higher compared to last year and 37% higher compared to the last quarter. Exports, high horsepower exports were INR138 crores...

Hi again. Sorry for this inconvenience. I don't know. Some technical glitches, I suppose. And I will restate some of these numbers.

Export, high horsepower exports were INR138 crores, 38% lower compared to last year and 48% lower compared to last quarter. Low horsepower exports were INR147 crores, 44% lower compared to last year and 30% lower compared to last quarter.

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As far as Cummins India financial guidance is concerned, regarding the sales outlook for the full year 2022 -- 2023-'24, we continue to expect double-digit growth over the fiscal year 2022-'23.

I now open the session for questions. Thank you.

Moderator: Thank you very much sir. We will now begin the question and answer session. The first question is from the line of Ravi Swaminathan from Aventus Spark. Please go ahead.

Ravi Swaminathan: My first question is with respect to the PowerGen business. If you can tell me, both from a quarterly and for 9 months the volume growth that we have seen in the PowerGen business. The ratio of mix of CPCB IV based engines and CPCB II based engines? And also the broad realization gain that we would have seen on the back of price increases related to CPC

B IV and

general price increases?

Ashwath Ram: Yes. So I'll start off by saying -- talk about CPCB IV+. CPCB IV+, as you know, the full implementation is only going to happen by June of this year. And so we have been selling CPCB IV+ products in some limited markets, the markets where the regulation has already been implemented.

And we have so far sold a little over 3,000 gensets in those markets and they are doing very well.

They are at slightly better realization than the CPCB II gensets. But it's very difficult to predict the exact difference between what will happen when full implementation happens versus when the product has at times for us to mature and bring down costs and all of those kinds of things, whereas the CPCB II product is a fully matured product. And as far as growth for the -- for Power Generation versus the previous year, we have grown the Power Generation market by 29%.

Ravi Swaminathan: That is on the revenue side, sir. Volume-wise how much it could have been?

Ashwath Ram: Volume-wise is roughly is proportional -- it's just -- it's pretty complicated to answer that question because the mix is very, very sophisticated, as far as Cummins India is concerned. But if you take out certain aspects of pricing, I would say in excess of 20% is the growth in volume.

Ravi Swaminathan: Got it. And which key sectors would have driven this 20% growth, sir, any particular...

Ashwath Ram: Yes. I would say the top 5 big sectors, which have been growing rapidly for us this year have been datacenters, commercial realty, residential realty, infrastructure and manufacturing.

Ravi Swaminathan: Understood. And exports, the sharp drop this quarter, is it likely to normalize back to, say, INR450 crores, INR500 crores levels or is there some kind of displace delay? Why exports haven't meet this quarter? Any sense on that?

Ashwath Ram: Yes. So I've been indicating for the last few quarters that exports has been softening. I believe

that we may have now bottomed out. It's been weakening in multiple regions around the world. So it's pretty uniform that all our big markets around the world, whether it be in Europe, in the Middle East, in Asia Pacific, in Latin America, pretty much across the board, we have seen a softening of demand.

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Also, in this quarter, typically, it's a correction quarter, so people globally try to correct inventory in this track. In some areas where there are backlogs, then people push out the -- try to push out as much material as they can. But in areas where there are no supply problems like in our products, they actually try to cut back on the inventory.

So we believe things have bottomed out. And despite all these constraints, we should start seeing -- it picked back up now. Exactly how much it will pick back up will be determined by how the global markets continue to pick up. And we have seen that China is not recovering at all.

We have seen that Europe continues to remain weak and with all these further turmoil of Red Sea crisis, etcetera, we're starting to face some more problems with supply chain, etcetera, especially past, which come from out of Europe into the country or even parts that we export from India to Europe, the lead times, etcetera, have gone up pretty significantly.

Ravi Swaminathan: Got it. And my last question is now that FY '24 is almost done, hardly we have a couple of months. So your outlook on FY '25, what kind of growth at a company level should we expect, say, broadly revenue growth, if you can?

Ashwath Ram: Yes. It's going to be same as what we have been indicating for the last couple of years. It is driven by -- our aspiration is to grow at 2x of the GDP at the minimum and to continue to improve our profit margin by at least 100 basis points.

Ravi Swaminathan: Got it, sir. Thanks a lot.

Moderator: Thank you. We'll take the next question from the line of Parikshit Kandpal f

rom HDFC

Securities. Please go ahead.

Parikshit Kandpal: Hi, Ashutosh. Congratulations on a great quarter.

Ashwath Ram: Thank you.

Parikshit Kandpal: Congratulations on a great quarter. This is the second quarter where we have almost clogged 37% gross margin. I remember your commentary last quarter you had said that demands may correct again to 32% to 34% and what we have been holding on. So just wanted to understand, first of all, was there any one-offs in the revenue this quarter?

Any large data center deliveries which could have led to economies of scale and expansion in margin? And whether these margins are not sustainable and you are building the profit margin improvement on current base now.

Ashwath Ram: Yes. So we had another quarter of the perfect trifactor, which I had spoken about even last time, which means we were able to hold on to the prices. We continue to get the benefit of commodities. We continue to be able to sustain the work on the cost reduction that we have been doing. We did get a positive impact from a big delivery to a big data center customer, which is lumpy and which happened -- which the delivery happened in the last quarter. We were expecting that delivery to be pushed out into Q1, but we were able to make the deliveries happen in the previous quarter itself.

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When all the variables are positive, that's why we have been able to sustain what we did in the previous quarter. I did not think that we would -- everything would go well. Looking forward, I would say that we've already started to see some of the commodities starting to get more expensive.

So metals, such as copper and CR iron have started to get more expensive. So the positive impact we got from a weaker commodity cycle, I think we will see a little bit of a reversal on that. And then if the mix continues to be lopsided towards domestic and we don't see a strong pickup in exports, we are still likely to have the same problem.

Parikshit Kandpal: Okay. And my second -- sir, if you can quantify how much was the contribution from the data center order in this quarter?

Ashwath Ram: I can't exactly quantify. All I can tell you is, it was one of the biggest orders in the country. So you can make some of your estimates from that. I'd just like to add that data center orders are in that there are big lumpy orders, and it's going to continue. The cycle is going to continue. So this is not the first of it neither is it the last of it. We expect this segment to continue to do well for at least the next couple of years.

Parikshit Kandpal: Sir, the second question is on the -- so one of our channel partner or partners, Jackson has set up a capacity for manufacturing power engines. So is it, I think, 24 or 500 per annum. So will it anyways impact our supply chain, our sales, our distribution?

Ashwath Ram: No. I mean they are exclusive. They sell only Cummins products. So whatever capacity they set up only go to help us sell more products. So I think it's not...

Parikshit Kandpal: They said, need to buy from you and go brand and sell it to the capacity as an expansion for that.

Ashwath Ram: That's right. Their power generation business is 100% with Cummins.

Parikshit Kandpal: And just the last question around this CPCB IV plants. I mean, last quarter, the contribution was about 30% plus in the mix. So what was the contribution for the Q3 and for the 9 months, if you can help us with that?

Ashwath Ram: So you're talking about CPCB IV?

Parikshit Kandpal: Yes. CPCB IV+ contribution, you had said last quarter was about 30% -- 30% plus in Q2 FY '24. So what was the quarter -- the contribution in this quarter from CPCB IV+ and the 9 months as a whole, what was your contribution? And did you get any help from prebuying because again, now that third quarter is gone. So do you think any prebuying happening in fourth quarter or part of that has happened

already in the third quarter?

Ashwath Ram: So let me first correct your statement. I did not say that CPCB IV+ contributed to 30%. CPCB IV+ was just launched in July and at the same time, the CPCB also announced that they would allow the sale of CPCB II product all the way up to June of 2024, which is why the takeoff of CPCB IV+ was very, very, very slow coming out of the launch.

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Majority of our sales continue to happen in CPCB II+. We also did manage to sell roughly 3,000 gen set in the previous quarter in CPCB IV+. I would say that contributes to less than 25% of our overall sales. We think that as we get closer to June, that means probably in the April to June quarter of this year is when we will start to see CPCB II demand start to die down and a pre-buy in CPCB IV+ start to happen.

Parikshit Kandpal: Okay, sir. Thank you and wish you all the best. Thank you.

Moderator: Thank you. We take the next question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Yeah, hi. Good morning team and congratulations for the strong performance. My first question is to look at -- I know the gross margin is a combination of various elements here. But last quarter, we were alluding that given the cost structures and the mix that we see in the market, maybe 34% to 35% range of gross margin should be sustainable as we go in the next fiscal year as well.

Do you think this should be broadly achievable and is in line with the 100 bps guidance that you're giving? On the 100 bps further increase in margins -- profit margins over fiscal '24 will be more of operating leverage driven?

Ashwath Ram: I think this is what we would love to have, but like I said, it gets increasingly difficult to do as you move forward. And certainly, as I've mentioned in my earlier conversation, we continue to have in this quarter all the variables going positive for us as far as gross margin is concerned. We think we will start to see some of that go reverse. And we will -- but we will continue to work hard to manage our costs, improve the mix, try to get more products out with a better mix so that we maintain the margins at this level and work on improving it. So the aspiration is certainly there to continue to work to improve the margins.

The reality on the ground is that we will start to see some of these variables go negative as compared to where they are today. So I would continue to say that it is going to be our attempt to be in this range of profitability as we move forward.

Renu Baid: Got it. And on the export side, while you had given a heads up that we should be prepared for a bumpy quarter ahead, which is the way it has turned out. How do we see the demand bottoming out from some of the key regions if you can share geography-wise comment. And also how has been the development with respect to customizing some of the applications related to CPCB IV for the EU and the American markets?

Ashwath Ram: Yes. So when I look at all the markets, so if you look at -- I go in sequence of those that have been worth impacted. So Europe is down 59%, Asia Pac is down 20%, Latin America is down 20%, Middle East is down 53%, Africa is down 41%, US is down 47%, so pretty much across the board markets are down.

When we look at the forecast coming in, typically, what happens is people shut down for the Christmas quarter, they try to push out as much material as they can, and in some cases, they

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correct the inventory. Then they come back about -- they come back 1 to 2 weeks into the year, and then they start figuring out how to push volume and how to get the next year to be successful. So far we have started off a little bit slow at the beginning of the year, but early indications are that the demand is not going to be below what it was in the previous quarter. So that gives us a

little bit of hope that things have bottomed out and things will start looking a little bit better moving forward.

But systemically, if some of those global markets, especially the Middle East, etcetera, if some of these crises and turmoil does not go away, it's going to be difficult to just come out of this lower demand kind of scenario. But I think things have bottomed out and things will start to pick up in the future.

Renu Baid: And on some of the new launches that we were planning on the export front of the developed market.

Ashwath Ram: Yes. And that's continuing. And yes, we continue to -- every month, we will launch more products. And so a lot of discussions are going on with the global markets to try to figure out where is the biggest value add that India can do to help them grow market share to grow the business, and that work is going to continue.

And India will -- when I look at it, if you look at it on a quarterly perspective, it looks like, okay, it's going to be incremental improvement. But when I look at it from a 2-, 3-, 5-year horizon, the situation looks very positive from an India perspective.

Renu Baid: Got it. And related to this last on the export front, while you were among the early ones to highlight that as the global ICE value chain consolidate globally, India should be a key beneficiary and that should also drive exports for CIL. So have you started to see any initial signs of green shoots or enquiries from global partners for the products? Or it's still the conventional business, which you think could drive in the medium term?

Ashwath Ram: I would say from the -- in the power generation business, the short to medium term will be completely driven by internal combustion engines. And there is significant capacity underutilization in most regions around the world. So I don't see it as changing very, very dramatically.

But we are pushing pretty aggressively. We have got customers visiting us continuously, try -- we are showcasing our products. Our plants continue to be amongst the best plants in the world as far as the Cummins network is concerned. Recently one of our plants won the award as the Best Plant -- Best Manufacturing Plant in the entire Cummins network. So all of those kinds of things are being done to continue the focus on India as the best low-cost base for Cummins products globally.

Renu Baid: Got it. I will get back in the queue with a couple of more questions for the industrial segment. Thank you and best wishes to all.

Ashwath Ram: Thank you.

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Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Hi, sir. Good morning. Thanks for your time as always. First on the power gen business, if you could talk about the CPCB IV engines, has the price size been taken whatever was needed? Has it been followed by your peers? Essentially trying to understand has pricing kind of settled down? And therefore, as we move into majority of engines being CPCB IV, from, say, Q1, Q2 of next year, margins are largely intact or maybe gets better.

Ashwath Ram: I would say that we had the early lead in launching these products. But I think as of now, everybody in the market has also launched these products. It's difficult to predict whether the prices have stabilized because you're selling products from both the regime. You're selling a CPCB II product and you're selling the CPCB IV products into the same market.

And so the people buying the CPCB IV products are the people who do not do the regulation mandates that you need to buy this kind of product. So it's price inelastic as of now. But moving forward, as the entire product goes to one regime, then you will get a truer picture of what completion is able to do versus what we are able to do from a pricing perspective, and we will get a purer indication of whether margins can be held o

r competition is getting so intense that

we have to reduce margins to hold on to or gain market share.

Ankur Sharma: Okay. So, still a complete pass-through has not happened potentially....

Ashwath Ram: It's not. And you will not get that purer picture till all the capacity is being utilized for a single product. Right now, as I said, less than 25% of our capacities are being utilized for CPCB IV

products. So you don't have a real understanding of fully leveraged costs.

Ankur Sharma: Right. But given the demand is fairly strong, I guess, passing on pricing should be relatively easier, right? That's the basic assumption.

Ashwath Ram: So we have been able to hold on to all the pricing that we have passed on in the market.

Competition has also passed on increases in prices. The only area where we are feeling some pressure is we have some global competitors who are bringing in products through France and other countries and are then selling those products in India. So there is some competitive pressure from those competitors because they don't have the same margin expectations that we as a company have.

Ankur Sharma: Secondly, on the industrial business, again, very strong growth what you reported this quarter, but it is a little bit of a contrast versus some of other industrial short-cycle companies, which are seeing a slowdown. So if you could just help us which sector is really driving this? Are you starting to see any slowdown there, selection or even given your current order book in this. Whatever you have in terms of inquiry order book. Your top line growth can remain not strong next few quarters?

Ashwath Ram: Yes. So all I can say is that the results look good, but we are not so happy with where we are overall in the -- what I'm trying to say here is that we are coming off a very low base. So when Cummins India Limited
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you come off a low base and you do well, the numbers look great, but it's not close to what our aspiration has been or where this market can be.

The segments, which have helped us positively have been construction, which has significantly underperformed the investment in infrastructure. So if you see the infrastructure investment has been going on for the last 2 or 3 years, but the construction market has significantly underperformed that. So there has been a little bit of a catch-up in this quarter.

Also the compressor market, which is a highly cyclical market with almost 40% to 50% swings up and down, we've got the positive swing on it in the previous quarter. And the rail continue to hold on. So again, coming off a much lower base than what we were used to in the past, we did better than that lower base. And the other segment, which is that of mining actually has underperformed what the potential is from an overall market perspective.

Ankur Sharma: And just lastly on distribution. Also fairly strong growth here. So anywhere the flag of -- what's really driving -- the distribution typically is more like a really steady stated, 10% kind of a growth business. So what's driving this?

Ashwath Ram: Yes. So I think I've spoken about this for the last few years. In '21, we set out with a very clear strategy that we need to grow the overall India business at 2x of the GDP. And we found out that some of these businesses, like the distribution businesses, historically had been growing at 6% to 8%, and very steadily doing that. What we found that we were underserving the market. So there were many areas within distribution, within parts, within aftermarket, within service, where we were underserving the needs of our own customers. And as we focused on that, as we started improving our channel, improving the types of parts, improving the service offerings, we are finding that this business can also grow at that 2x on GDP and better levels. And because we were growing at historically at a lower rate, there is a catch-up that has been

n

happening for the last few years. And as of now, we've seen -- we are fairly confident that we can continue this growth cycle even in that business.

Ankur Sharma: Okay, got it. Great. Thanks and best of luck.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Yeah, thanks for taking my question. My question, sir, on the gross margin, you did alluded that many factors played role on a positive side. But I still want to understand despite exports contributing lower this quarter. With respect to product mix, if you want to give some sense to which segment products, which are higher margin would have contributed last quarter and this quarter? And that is where the better gross margin which is coming in.

Ashwath Ram: I think the high-horsepower sales have been better and -- so whenever high-horsepower sales are better, margin improves. So I would say that is a more broader statement as far as margins and also distribution volumes continue to remain strong and aftermarket is typically at better pricing than general product sales. So the combination of those from a mix perspective is what was most positive.

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Amit Anwani: Right. On the -- as you've given a very strong commentary for the domestic market now, just

wanted to understand what was the capacity utilization? Any capex you are needing? Any debottlenecking, any sense on this front?

Ashwath Ram: We continue to remain at 60% to 70% of utilization of our capacities. So no major investment is planned other than balancing capacities. There are some special capacities that we have put in so that we can do some more expose -- there is rebalancing and some critical special machines, etcetera, but nothing which will significantly take up capacity. We still feel we have plenty of headroom. I think we can double our sales and still not be at greater than 100% capacity utilization. We have that kind of inherent capacity build in.

Amit Anwani: Sir, lastly, on the Red Sea issue, which you did highlighted that there could be an impact on supply sales and deliveries. Just wanted to understand -- so obviously, the export has been slightly muted. But any near-term assessment on Red Sea issue where we can see the deliveries not meeting or any shortfall of revenue which can happen? Any color on that?

Ashwath Ram: Yes. So what has happened because of the Red Sea issue as far as we are concerned and ships are not going through the Suez Canal and they're going all the way across the Horn of Africa. So that adds anywhere from two weeks to four weeks to the lead time. So everything that had been ordered is coming late. So for some of the export orders, some of our raw materials are coming in late.

So some orders could get deferred by as much as a couple of weeks out. The same is true with our delivery. So anything that we are shipping is reaching the ports of Europe two to four weeks later. And there is an increase in logistics costs, but that's a fractional increase, that's not enough to really talk about. But more of it is supply chain getting disrupted and lead times lengthening and complexities related to that.

I think it's a shorter-term issue. Once you reassess the supply chain, you feed in the new numbers and you place more orders to balance out the longer lead times, I think things will get back into control. So I expect by the next quarter we should have this issue pretty much under control.

Amit Anwani: Sure, sir. Thanks for taking my questions. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Sheth from B&K Securities. Please go ahead.

Kunal Sheth: Yeah. Hi, sir. Thank you for the opportunity. Most of my questions have been answered. Just one clarification. Sir, you did mentioned that the entire cost increase -- the price required for passing on the cost for CPCB IV has not been t

aken yet.

Ashwath Ram: See, what I think I'm trying to say and let me -- you can ask the question again, if I'm not clear enough, is that, right now the full advantage of a single system, which is producing one type of product is not yet. So there is some of the past of development, etcetera, the entire cost is absorbed on a much smaller volume of product. As we move forward, as the full utilization of the factories goes towards CPCB IV, the cost base theoretically should absorb the cost in a better manner. And that should, in my view, help improve the margins of CPCB IV product.

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Kunal Sheth: All right, sir. Sir, essentially you were trying to get at is that you had indicated that the cost increase in CPCB IV machine is about, I think, 20%, 25% in terms of price increase. So has that kind of price increasing the 3,000 machines that you have sold, has that kind of price increase being absorbed by the market is what we're trying to understand.

Ashwath Ram: As of now, like I said, because it is focused on very select markets, that price has been -- customers are buying that product at that incremental price. But how that will be once it's sold in all markets and -- is something we have to still find out. We think the hypothesis that -- we have had cost increases, everyone also has had cost increases is the hypothesis, which we will be -- we are testing in the market. And we think that will hold true. But it's a very competitive landscape. So you've got to wait and see how the market plays out before you can make a comment like that.

Kunal Sheth: Sure, sir. Got it. Appreciate, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Good morning, gentlemen, and thanks for the opportunity. You know, while you've given a very good commentary in terms of qualitative aspects of how demand has played out during this particular quarter. Can you please quantify the PowerGen, the breakup that you normally give in terms of high horsepower, medium and so on.

Ashwath Ram: Sure. So our high-horsepower sale was INR770 crores. Our heavy-duty sales were INR128 crores. Our mid-range sales were INR132 crores, and our low-horsepower sales were INR43 crores.

Rahul Gajare: Right. Sir, my second question is on -- we've seen employee costs has been on a rise. Now is it fair to expect similar quarterly run rate of about INR210 crores for next year also?

Ashwath Ram: Yes. So if you've studied the markets in India, the wage inflation is roughly between 10% to 12% annually. And we are seeing similar kind of wage inflation. In this financial year we've also had the impact of one additional quarter of compensation because we changed the cycle of how we compensate our employees. So we think there is -- it's slightly negatively impacted in this financial year. But we expect growth in our costs to be in the range I had indicated just based on the market tendency in India to increase wage at that level.

Rahul Gajare: Sure. Sir, my last question is on -- you've been talking about supply chain disruption, which was impacting growth. But with the kind of growth that we've seen, is it fair to say that supply chain disruption, if any, are completely behind now?

Ashwath Ram: I will never make that statement because every time I've made that statement, I have been bitten badly by something which goes wrong around the world. You can see already that Red Sea has already happened. And electronics, which we had been struggling with in the past, that problem is not fully behind us.

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I would say we are -- it's 90% behind us, but 10% is still niggling worry because China demand is down significantly and so we are able to get our ask of some of these electronics. If that demand were to pick up, the global supp

ly of these electronic components is still not up to mark.

And we could still end up in some kind of supply challenges and trouble were some of those economies to pick up.

Rahul Gajare: Sure, sir. Thank you very much for your commentary and all the best.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for opportunity. Sir, in last 9-month at the consolidated level, we have reported EBITDA margins of 18.4%. And when we talk about the next year, you indicated that you plan to grow with, I mean, double the GDP growth rate and 100 basis improvement in the margin. So 18.4% should I take a benchmark where we plan to add 100 basis point about this for next year?

Ashwath Ram: This year, we have grown better than our own plan. So it's difficult when you take that as the base, and then we need to grow another 100 basis point on that. But certainly, that is always going to be our attempt. Aspirationally, that is what we want to do. But realistically, I would say, to look at a 3-year kind of average and then use that as a base from which we will continue to aim to grow by at least 100 basis points.

Mahesh Bendre: Yeah, because, sir, last 3-year average has been -- I mean, it's around 16%. So...

Ashwath Ram: Yes. So I'm not going to answer beyond that because, you know, it's very difficult to give you an answer like that. Aspirationally, we want to keep getting better from where we are.

Realistically, all the variables don't play in our favor like they have played for us this year.

Mahesh Bendre: I'm just trying to understand, you said 100 basis point margin expansion. I just wanted to know the base on which you want to build on that.

Ashwath Ram: Yeah, the base for us has been from our starting point in 2021. And so what we have said is that for the next five years, this is what is our ambition. And ambition is not equal to reality, right?

So this has been our ambition, and this is what management is trying to strive to do.

Mahesh Bendre: Okay. But at least we will be able to maintain this margin, 9-month margin for next year?

Ashwath Ram: That is our attempt.

Mahesh Bendre: Okay. Sure. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thank you for the opportunity. I hope I'm audible to you all. First of all, congratulations on a very strong set of results. The first question that I had was more from this capacity utilization number that you are suggesting between 60% and 70%. As this mathematically tells me, there's

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probably a higher number of few quarters back. So have you kind of added capacity or have you kind of meaningfully debottleneck this capacity? Some more color would be useful over here.

Ashwath Ram: Yeah. So we continue to improve the efficiency of our lines. And if you look at the -- how much exports has dropped, the similar kinds of lines are used for both domestic and export products.

So we have not really expanded significant capacity. But yes, certainly, we have debottleneck some of the lines to be able to produce even more than what we have produced in the past. So that's where we are. And we will continue to do that. We will continue to balance out -- balance

-- put in balancing equipment to make sure that the flows are better.

Aditya Mongia: Understood. The second question that I had was more on exports. If I recall your commentary from the last quarter, you had started talking about Europe being the next kind of definition for us from the perspective of CPCB IV. Is more progress that has happened to be kind of useful to know? And also a different question on export.

We've been hearing about the capacities of U.S. plants being utilized for newer products such as, let's say, Fridley is doing the electr

olyte. Does that create an opportunity for existing kind of

products or new products to kind of do better in the near term beyond just the export being the driver? Thank you.

Ashwath Ram: I'll answer the second question first. Certainly, it does create options, but what happens is, especially for North America because of USMCA, some of those products are preferred to be moved into places like Mexico. But certainly, for certain types of products where we have a cost advantage even after paying USMCA duties, I think certainly, the opportunity exists for India to be able to supply more to those markets as well.

Aditya Mongia: Understood. And maybe just a last question from my side. The distribution has been fairly revealing kind of segment and I kind of recall your remarks saying that for the next five years it could be the fastest growing business segment for you. It would be useful if you can kind of bring down or break up the growth between what is happening from the perspective of, let's say, higher penetration. What you were doing on the existing products? And then secondly, on new lines of business that have started to kind of show up well.

Ashwath Ram: Yeah. So I would say -- see, all areas of distribution are doing relatively better. So part sales are doing better because penetration is better. We have introduced many, many new parts and products in two parts. So not only is our share of the older pie better, but we are changing the pie itself, making the pie bigger and targeting many more customers and many more types of products. So it's both as far as parts is concerned.

As far as other services, we are offering longer warranties, better full-service warranties, more assurances of guaranteed uptime. Customers are more sensitive now to downtime than they have ever been historically. So that presents an opportunity for companies like Cummins to be able to improve our share in that service pie as well. And we are entering into newer areas, we are supporting customers in rail, in marine, in defense, in many of those niche kind of markets. Some of that work is done through the distribution business.

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The other area we are trying to grow, which is still, I would say, in infant stages is the reconditioning market. If you look at mature markets like North America, nearly 25% of the sales in the aftermarket is from reconditioned parts, whereas in India, it's much, much lower.

And so we have a good -- we have good technology in reconditioning and remanufacturing. So we are trying to grow in that space as well. So it's a combination of all of these strategies, which are yielding good results. And I continue to hold to my statement that we do think there are multiyear opportunities to keep growing this business.

Aditya Mongia: Splendid. We can see that your margin is growing better than that at a faster pace. So all the very best, sir. Those were my questions.

Moderator: Thank you, sir. The next question is from the line of Mohit Kumar from ICICI Securities Limited. Please go ahead.

Mohit Kumar: Yeah. Thanks for the opportunity, sir. First question is, does the supply to data center doesn't get impacted by CPCB IV and does the data center revenues mix our quarterly revenues lumpy?

Ashwath Ram: The answer one is CPCB IV is not applicable to those very, very large gensets. They fall under different provisions. Above 1,000 kilowatt, the regulation is not applicable for CPCB IV+. There is a different regulation called stack emissions, which are applicable for those products. So it doesn't impact it. The second part of the question -- sorry, could you repeat the second part of your question?

Mohit Kumar: Does the data center revenues, because...

Ashwath Ram: The lumpy part -- yes, because this is -- these are big installations. And so it's always going to be lumpy. So yes, and it's very difficult to predict sometimes there's

-- the deliveries are

sometimes pushed out a quarter. Infrastructure is not necessarily ready. So it does tend to be lumpy. Yes, the answer is yes.

Mohit Kumar: My second question is, is it fair to say that whatever we are selling in the lower category, lower KVA category, say, selling right now and for next couple of quarters, the orders were booked prior to June '23, [proportionalize] they are very significant.

Ashwath Ram: Again, could you repeat that question? I was not clear what you meant by orders being booked

before June '23. I didn't understand that portion.

Mohit Kumar: Recall that CPCBIV, for the extension of CPCBIV from June '23 to June '24. And your order has to be signed before June '23, if I'm not wrong, right? So my question was does this proportion of what we're saying right now, does it have a significant contribution to your top line, especially in PowerGen? And will it continue to fit until the next couple of quarters?

Ashwath Ram: Yes. I think it will continue for the next couple of quarters. So the transition to CPCBIV products is likely to happen only in the April to June quarter on a full basis. So CPCBIV is the primary contributor to our top line and bottom line as far as PowerGen is concerned.

Mohit Kumar: Understood sir. Thank you. And all the best. Thank you.

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Moderator: Thank you. The next question is from the line of Laxminaranayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Thank you. Couple of questions. You talked about your mix in HHP, heavy-duty lead sales and MHP. So what's the market share you have in these segments after your estimates?

Ashwath Ram: We usually don't comment on exact market share numbers because we get the information from various sources and they are always slightly different. All I can comment is that we continue to hold market share on most areas and then we have gained a bit in some of our higher horsepower [revenue].

Lakshminarayanan: Let me put it this way. From a market potential point of view or the current market point of view, whether the market -- like if you draw a pie chart on the HHP, HP, MHP and LHP, how it will look like? So here revenue is 70%. What is the market's revenue?

Ashwath Ram: Right. So you're talking about the market size in some of those...

Lakshminarayanan: Yes.

Ashwath Ram: Again, if I tell you what my revenue and I gave you the market size, then you have the market share...

Lakshminarayanan: And directionally, I just wanted to know whether HHP is like 50% of the market or 30% of the market or 70%?

Ashwath Ram: No. As a matter of fact, some portions of low horsepower are probably the biggest market in India, and we have a lower market share there. And so the largest volume and value is in low horsepower primarily because it goes into telecom and various other small residential and many of those kinds of applications where volume is pretty significant. And so when you multiply by volume, the scale is pretty large. So I would say the biggest market in India is low horsepower, followed by high horsepower and then followed by medium horsepower.

Lakshminarayanan: Could you be at least 2x because you are next streaming the HHP.

Ashwath Ram: What I can tell you is that there is no shortage of opportunity for us to grow. So what is preventing our growth is only ourselves. So that would be my answer to you to say, is there more opportunity for this company to grow? The answer is, yes, there's plenty of opportunity.

Lakshminarayanan: Sir, second question is, in terms of data center, annually, what is the potential a data center would offer for power generation?

Ashwath Ram: We think the data center market alone is very difficult to just classify that way. But for Cummins India alone, it is greater than INR500 crores of opportunity is what I can say very, very confident?

Lakshminarayanan: Per year?

Ashwath Ram: Per year.

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Lakshminarayanan: And what's your contribution from railways for us now? And how it has moved? And given that a lot of incremental capex is coming on efficient railways with the expense, [inaudible] what kind of opportunity that presents in terms of this?

Ashwath Ram: Yes. So like I've been mentioning, we have underperformed in rail, and we have sold about INR225 crores worth of product year-to-date. We think there is significant greater opportunity, and the company is trying to develop more products to get into spaces in rail where we don't exist today.

Lakshminarayanan: One last question is that if I look at globally you have a tie up with track unit in terms of Internet of Things, which actually minimize the downtime in engines, in generators on a real-time basis. Did you actually started providing solutions to your customers in terms of doing things that in real time you can analyze the performance and then you can increase your distribution revenues from these kind of levers.

Ashwath Ram: The answer is yes. Many of the new products come built in telematics and they can be enabled

if the customer chooses, we do offer back-end live monitoring. We do offer 24x7. We offer 4-hour -- and the guarantees we offer -- we offer many, many services and support options based on being able to access the live data. So the answer is, yes, that can help customers and also help Cummins grow the business.

Lakshminarayanan:

Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Mr. Mahawar I have unmuted the line. Kindly proceed.

Amit Mahawar: Hello. Can you hear me?

Moderator: Yeah sir. Please proceed.

Amit Mahawar: Yeah, thank you. Sorry about this. So Ashwath, congratulations and great early more advantages the Cummins is enjoying. I have two specific questions. First is, is your market share on the CPCBIV+ range thus far more than 80%, 90% today? And where do you think this will settle down as the three to four large players also roll out and effectively able to sell maybe two years down the line. That's my first question.

Ashwath Ram: One it's very difficult to calculate market share when only certain places in the country are using CPCBIV+. We think they are -- we moved first. So we may have better share than what we have in the overall Power Generation business. It is our ambition to continue to improve our share across all of our market segment. So that is what we will strive for in the future as well. But it's very difficult to predict how well competition product is also received in the market. We can talk about our products and we think they are amazing and customers have given us good feedback about those products. But it's difficult right now when very limited CPCBIV product is being sold about how well competition product will also work, which then gives us an estimate of how market shares can move in the future.

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Amit Mahawar: Fair, fair. And the second question is on parent. It seems that directionally Cummins Inc. is moving the conventional stroke diesel gen set mandates to emerging markets, especially in India, which is a prime focus as we also understand from parents. In the long run, at least for the next three to five years, do you think we will still be very heavy on the diesel-based mandate from parent and CTR and other entities continue to do R&D or developmental work for the new range?

Or do you have a greater role to play in the new range even in the next three, four years? That's my second question. Thank you.

Ashwath Ram: Yes, first of all, I'd like to clarify that we consider three to five years is the short range. India is committing to become a Net Zero country by 2070. The United States and a few other countries become Net Zero by 2050. So the time frame for internal combustion to play

a smaller and

smaller role starts becoming greater and greater post-2035. And so -- and for India it's going to be even longer.

So we do see the role of -- I see not diminishing in the short term, which, as you classify three to five years, we actually see demand for internal combustion products actually increasing substantially in that time frame. And yes, India continues to be a prime hub to design, develop, manufacture, source many of those products both for internal use within the country and for exports.

Amit Mahawar: Very clear, Ashwath. Thank you. And can I -- am I allowed to sneak in one quick question, a single-line question?

Ashwath Ram: Sure.

Amit Mahawar: Yeah. So if you see the run rate of PowerGen, in Q3, it is materially, materially higher than the average strong grade, and generally our business has said that the operating leverage is proportionately higher. Where would you see the normalized quarterly PowerGen run rate, say, for the next five, six quarters? Yeah, that's it. Thank you.

Ashwath Ram: So it's very difficult because, like I mentioned to earlier folks that sometimes it's lumpy because we have these large data center kind of orders come in. But we are -- overall, we are guiding that we will continue to grow this business at least at 2x of the GDP. So that's going to be our attempt. So you know, one can draw some base inferences from there, but it's not an exact science of which portion of that business will be growing at what run rate.

Amit Mahawar: Sure. Thank you Ashwath and Ajay. Good luck.

Ashwath Ram: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will be taking only last two questions from the participants now. The next question is from the line of Shrinidhi from HSBC Please go ahead.

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Shrinidhi: Yeah. Thank you and congratulations on a great set of numbers. Sir, would it be possible to share some colour on exposure of your domestic PowerGen business by different end markets that you service?

Ashwath Ram: I think it's quite complicated to be able to do that. The domestic power market is a robust market and is pretty tightly linked to GDP and the consumption of power. So as India's GDP continues to increase, the demand for power is increasing. As telecommunications continues to strengthen, as 5G is increasing, as the usage of more data increases, the need for power generation for data centers, the need for more telecommunication hubs.

The need for more storage and infrastructure, all of that continues to increase. As we build more roads, you need power to run stone crushers and so many other applications. So it's very, very tightly linked to how the economy will continue to grow. And all I can say is if the economy continues to grow at this kind of run rate, this market will also keep pace and keep growing.

Shrinidhi: But won't you have some colour on how much you probably say, residential, real estate and factories, which looks like offer a much better tailwind in coming years than that they have been providing in the past two years?

Ashwath Ram: I think it's directly linked to GDP. If infrastructure is growing and if the economy continues to do well, people will buy more homes, and so the residential market will do better. If we continue to grow the economy and manufacturing continues to -- Make in India is more successful and more manufacturing comes to India, manufacturing will do better. It's very, very difficult to pinpoint and say exact numbers within those segments.

Some of those segments move in line with GDP, some of them move for time periods, they move disproportionately to GDP. So it's difficult to come out and give you some exact numbers. But in general, our ambition is to grow at 2x of the GDP. So that gives you a fair indication of how the overall company can grow.

Shrinidhi: Fair enough sir. And sir, would it be possible to share the industrial business br

eakup the way

you give it every quarter?

Ashwath Ram: Sure. So the industrial business for Q3 of 2023-'24, construction of INR152 crores, rail was INR92 crores, mining was INR18 crores, compressor was INR47 crores and everything else was the remaining.

Shrinidhi: Thank you, sir. And all the very best.

Moderator: Thank you. The next question is from the line of Sriram R, an Individual Investor. Please go ahead.

Sriram R: Can you share the genset volume for three months and nine months?

Ashwath Ram: We don't share exact volumes because it is misleading. But all we can say is that the genset volumes are -- have grown in proportion to our revenue. So roughly that would be -- as compared to the previous quarter, they have grown by roughly about 20%.

Cummins India Limited

February 08, 2024

Sriram R: And that would be the same for -- if it is translated into megawatt terms, still, it could be 20%?

Ashwath Ram: May not be -- it could be -- actually be more because high horsepower has grown at a, I would say, a faster rate. So that's probably megawatt may have grown even faster.

Sriram R:

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Ashwath Ram, MD, Cummins India Limited for his closing comments. Over to you, Mr. Ram.

Ashwath Ram: So thank you all for your very, very active participation in the call today. I apologize for some of the technical glitches. We will make sure next time we have even better infrastructure.

Global economic conditions remain uncertain as the world markets are witnessing the impact of continued geopolitical tensions, disruption to trade routes and inflationary trends.

However, the Indian economy is holding up quite well, and we have an optimistic demand outlook, and this is expected to contribute to sales growth for the company. Though exports are expected to be impacted due to global economic uncertainties in the short to medium term, we do think they have bottomed out in the previous quarter. Because of these reasons, we remain cautiously optimistic about the short- to medium-term demand outlook.

We are confident of manoeuvring through these times due to our strong brand positioning, technology-led leadership, very healthy financial position and amazing people that work for this company. We remain committed to our purpose of powering the success of our customers and living our brand promise of innovation and dependability. Thank you all. With this, I close this call. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Cummins India Limited and the

leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now, and you may disconnect your lines. Thank you.

Call: Jun 2024

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Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (East),
Mumbai 400 051
NSE Symbol: CUMMINSIND
Subject: Intimation of transcript of analyst conference call held on May 30, 2024
Dear Sir / Madam ,
With reference to our stock exchange intimation dated May 20, 2024, towards investor/
analyst / Financial Institution conference call, we are enclosing for your records a copy
of the transcript of the said conference call conducted by the Company on May 30,
2024.
Kindly take this intimation on your record.
Thanking you,
Yours faithfully,
For Cummins India Limited
Vinaya A. Joshi
Company Secretary & Compliance Officer
(This letter is digitally signed)
Encl.: As above.

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"Cummins India Limited Q4 FY24 Earnings
Conference Call"

May 30 , 2024

MANAGEMENT : MR. ASHWATH RAM – MANAGING DIRECTOR ,
CUMMINS INDIA LIMITED
MR. AJAY PATIL – CHIEF FINANCIAL OFFICER ,
CUMMINS INDIA LIMITED

Cummins India Limited
May 30, 2024

Moderator : Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q4 FY 2023 -'24 Earnings Conference Call.

We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touch -tone phone.

I will now hand the conference over to Mr. Ashwath Ram – Managing Director, Cummins India Limited. Thank you, and over to you, Mr. Ram.

Ashwath Ram : Thank you. Good morning, ladies and gentlemen. Hope all of you are doing well and staying safe and healthy. Welcome to the Cummins India Limited Q4 and Full Year 2023 -'24 Earnings Conference Call. My name is Ashwath Ram, and I am the Managing Director of Cummins India Limited. Joining me on the call today is Ajay Patil – Chief Financial Officer of Cummins India Limited.

We are happy to announce that Cummins India Limited recorded the highest annual revenue and profit during the year ended March 31, 2024, aided by strong domestic demand across various market segments and proactive measures by the company on managing costs and improving profitability.

I would like to share the Financial Results of Q4 FY '24 and Full Year FY '24 through this call.

I am now going to the Financial Results :

For the quarter ended March 31, 2024, with respect to the same quarter last year, our sales at Rs. 2,269 crores are higher by 20% compared to Rs. 1,889 crores recorded in the same quarter last year. Domestic sales at Rs. 1,925 crores are higher by 38%. Exports at Rs. 344 crores are lower by 30%. Profit before tax at Rs. 701 crores is higher by 70% compared to the same quarter of last year. For the quarter ended March 31, 2024, with respect to the last quarter, our sales at Rs. 2,269 crores are lower by 9% compared to Rs. 2,502 crores recorded in the last quarter. Domestic sales at Rs. 1,925 crores are lower by 12%. Exports at Rs. 344 crores are higher by 6%. Profit before tax at Rs. 701 crores is higher by 16% compared to the last quarter.

I would now like to share a segment -wise breakup for the Quarter Ended March 31, 2024 :

The sales breakup segment -wise is as follows. Domestic. Power Generation, domestic sales were Rs. 943 crores, 40% higher compared to last year and 12% lower compared to last quarter. Distribution business sales were Rs. 604 crores, 25% higher compared to last year and 9% lower compared to last quarter. Industrial domestic business sales were Rs. 348 crores, 60% higher compared to last year and 16% lower compared to last quarter. Exports. High horsepower Cummins India Limited

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exports were Rs. 171 crores, 17% lower compared to last year and 25% higher compared to last quarter. LHP exports were Rs. 142 crores, 42% lower compared to last year and 3% lower compared to last quarter. For the year ended March 31, 2024, with respect to the last year, our sales at Rs. 8,816 crores are higher by 16% compared to Rs. 7,612 crores recorded in the last year. Domestic sales at Rs. 7,143 crores, are higher by 28%. Exports at Rs. 1,673 crores are lower by 18%. Profit before tax at Rs. 2,143 crores is higher by 44% compared to the last year. The segment -wise breakup for the year ended March 31, 2024, is as follows:

Domestic :

Power Generation, domestic sales were Rs. 3,335 crores, 32% decrease over last year. Distribution business sales were Rs. 2,349 crores, 25% decrease over last year. Industrial domestic business sales were Rs. 1,296 crores, 24% increase over last year. Exports. High horsepower exports were Rs. 817 crores, 9% lower compared to last year. LHP exports were Rs. 699 crores, 27% lower compared to last year. Cummins India financial guidance.

Regarding the sales ou

tlook for 2024 -'25, we continue to expect double -digit growth over the fiscal year 2023 -'24.

I now open the session for questions. Thank you.

Moderator : Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Congratulations on a great quarter and the year, sir. Sir, my first question is on this quarter. So, we have seen exceptional margins, EBITDA margin is at 23.5%. So, was there any one -off during the quarter? Because if we see the numbers, other operating expenses seems to be at Rs. 100 crores, which is like all -time low. So, if you can highlight any key reason for this outperformance in margin?

Ashwath Ram : Yes. I think it's a combination of multiple things why the margins are better for this quarter. One is we got a onetime true down benefit of a little over Rs. 60 crores from management cross charges. Second is we have some advantages on rates and taxes. We also had some netty benefits,

so the combined other expenses came in a lot lower. Like you said, it's a onetime gain that we had this year and this quarter. Similarly, we also saw that profit was better because mix was better. We were able to contain our costs reasonably well. We were able to hold on to some of the commodity gains even though commodities have started to inch up and we had some mix advantages that were favorable to us.

Parikshit Kandpal : The Rs. 60 crores was the one -off, right, in other expenses during this quarter?

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Ashwath Ram : That's correct.

Parikshit Kandpal : Yes. Sir, secondly, if I see that traditionally, we have seen the existing growth drivers for the company, right? So, data centers, hospitality, real estate put together. So, if you see over the next 2 to 3 years, do you think emergence of any new demand drivers for our business given next 6 to 7 years, we will have a big push on the clean energy theme. So, allied to that do you think what could be potentially the new growth drivers? And based on that, incrementally we have been guiding about 2x GDP growth. So, do you think that number can get revised higher over the next 2, 3 years?

Ashwath Ram : First, I don't think the numbers can get revised to very much higher. The aspirational GDP of our country is to grow between 6% to 8% for the next 8 to 10 years. So, proportionately, our growth can be 12% to 16%. So, that's a pretty broad and ambitious growth rate for a company when you compare it to the historicals of the company. So, we would continue with that kind of guidance.

As far as markets are concerned, we think that at least for the next 5 years or so, the existing infrastructure -linked investments will continue pretty strongly. So, if India wants to become a \$7 trillion economy, which means doubling from where we are currently, it has to be driven by investments in core infrastructure, in social schemes, which also requires infrastructure. And the combination of all of that requires Cummins' product to be used in those. So, I don't see any new market segments emerging, but I think the existing strong market segments will continue to do well over a long period.

Parikshit Kandpal : Okay. Just the last question, sir, you did allude that you will grow maybe at 2%, 12% to 16% is a broad range. So, that means even for FY '25, despite taking price hikes on CPCB IV+ power gen and implementation from July 1. So, looks like you don't see any major volume impact of the same. So, given the prices will go up for these and last quarter, I think the contribution was about 25% of the power gen sales from CPCB IV+. The margins at approximately 20%, so if the growth is sustained, there's no major volume declines, do you think that margins can improve? There's a case for margin improvement from here also. So, that's another question.

Ashwath Ra

m : So, that's always been what we've been striving for. If you heard me talk over the last 4 or 5 years, we are continuously working on improving the margin of the business, managing costs and trying to get growth. So, trying to not just get growth for the sake of growth, but to get profitable growth. So, that will always be our endeavor. Of course, there will be more pressure as CPCB IV+ becomes a full stream and then everyone tries to do a market share grab. But we will stick to our principles of how we've operated in this market, and we think the opportunities are there for us to continue to grow at the 2x GDP level we are aspiring to grow at.

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Parikshit Kandpal : On the share of the power gen, sir, in this quarter. I think 25% was in 3Q. So, in CPCB IV+, how much was in the mix per share in Q4?

Ashwath Ram : Yes, I would say roughly 1/3 of our sale in the quarter was from CPCB IV+. So, it's starting to move pretty rapidly into CPCB IV+. So, we see the transition in the next quarter to happen completely.

Parikshit Kandpal : And any prebuying you're expecting in in the first quarter before the CPCB IV+ gets implemented before we enter into 2Q?

Ashwath Ram : Not very significant because see literally we have had 1 year of prebuy, how much more can people keep prebuying. So, we don't expect it because what happens is even if you were to prebuy now a CPCB II product and then we go in and next year somebody comes in and says that fit in a retrofit device. So, you add all those retrofit devices to the cost of a CPCB II gen - set, the cost is probably a little bit more than buying a CPCB IV+ genset. So, that prebuy, which happened all over the last 3 quarters, was driven by the fact that many of the people did not have complete product ready in CPCB IV+. Now everyone has had literally a year to prepare, so everyone should have a product, and I don't see that impact of a prebuy playing going forward.

Moderator : The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Congrats on a good set of numbers. First, with respect to the power gen business. I have 2

questions. One is what has been the volume growth that you had seen this year vis -a-vis last year? Just to get a sense on what is the volume growth and value growth mix that we had seen. And secondly, what is the share of data centers? Was there any large orders which were there this quarter? Or do you expect any large orders coming in over the next 12 months?

Ashwath Ram : So, to first answer the volume question, we have seen overall volume has grown by roughly about 30% compared to last year. It's different by different nodes, et cetera. So, it's very difficult to say exactly by which node much it's grown. But overall, I would say it's a pretty significant growth, a 30% year is I would consider one of the better years of growth. As far as the major segments in the market are concerned, they continue to remain the same. There hasn't been a very significant shift and those data centers continue to grow well, infrastructure related growth and investments in power gen continue, as the commercial realty, as the residential realty, as the manufacturing. So, across the board, we are seeing reasonably strong demand as far as power gen market segments are concerned.

Ravi Swaminathan: And there has been a sharp up -move in the industrial business revenue this time. 60% growth, yes, there was a slight base effect which was there in the corresponding quarter last year. But even adjusted for that, the number would have been very strong. Which are the segments which are driving this growth, sir?

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Ashwath Ram : Biggest is the construction. Construction, which has been lagging considering that the country is spending so much money on infrastructure, construction was lagging

quite a bit for the last

few years, that has bounced back pretty significantly. The other segments all related to compressor, marine, all have started to bounce back pretty strongly, and that's what is leading to this level of growth in industrial business.

Ravi Swaminathan: And my final question is with respect to the distribution business, consistently we have been growing at 25% kind of growth in this particular segment. What is the mix which is coming from power gen and what is the mix which is coming from Industrial? And what's driving this growth?

Ashwath Ram : Yes. So, typically, it's very difficult for us to say how much is power gen and how much is industrial. But what I can tell you is that over the last 3 or 4 years, we have increased significant focus on trying to make the distribution business a strong, stable, independent profitable kind of business, and we see growth happening in parts, we see growth happening in service contracts. We see growth in new engines. Pretty much everything that we do in distribution, we are seeing growth. So, it's nice to see that you sometimes put forth strategies, and some work, some don't work, in this case, a strategy that we put forth 3 or 4 years ago, it seems to be working steadily.

Moderator : The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Congratulations on a very good set of numbers and a very good fantastic year. My first question is in every annual report, you mention megawatt sales in a year for domestic power generation. Of course, you have shared that number, you said 30% growth. It means that the number which you've done for the entire fiscal is 6.2 gigawatt. Do you think this number is ballpark right?

Ashwath Ram : I have absolutely no clue, but I can get somebody to calculate something like that. All I can tell you is it's been growing year -on-year, number of big sets have also been growing significantly. So, it would not be surprising if that number is close. But I honestly don't have a good answer for that right now. So, I won't just speculate and tell you something.

Mohit Kumar: My second question is, sir, what could be data center contributions to our top line last year? Is it fair to assume that you're closer to now 8% to 10%? And compared to last year, the data center opportunities, are you more positive this fiscal?

Ashwath Ram : So, yes, the answer is it's getting closer and closer to become about 10% plus of our PowerGen revenue. It is also accurate to say that we continue to see significant demand, both in India and globally for data centers. As a matter of fact, we continue to remain on allocation for certain types of gensets and certain types of engines around the world, there's just isn't any capacity and some of our factories globally are booked for 18 -plus months now. So, we anticipate this demand to remain robust and to continue strongly.

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Mohit Kumar: Last question. Sir, Cummins has launched Phantom series of 1.7 megawatt to 2 megawatt series for data center. So, when we serve the Indian customer, do they expect you to offer the new launches in India and do you need to indigenize it?

Ashwath Ram : I think most of those are made in India, at least the core cool packs are certainly made in India. All global products is launched in India as well. So, certainly, we'll be launching those in India as well.

Moderator : The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani : My question is on the export market, wanted more color since there's been decline from past 2 quarters, and we have been pessimistic on few markets. Just wanted to understand how the growth was for full year and what is the outlook on key export market for FY '25?

Ashwath Ram : Right. So, last year, as I stated, we degrew or became smaller by about 18%, the biggest drop

have been in Europe, which almost halved and Middle East, Africa, as well as Asia Pacific. So, there has been literally no market which grew for us last year as far as exports is concerned. As far as '25 is concerned, there still appears to be a little bit of concern as far as geopolitical crises and availability of funds in some of those markets, especially in Africa. So, we are not very, very optimistic that we have seen the bottom of the market yet. So, we expect it to maybe correct a little bit more before it bottoms out and then we start to see it grow back again.

Amit Anwani: Secondly, wanted to understand since there has been pretty strong growth in the domestic market and from past 2, 3 quarters the outlook remains pretty strong. Wanted to understand any CAPEX requirement and what are the current utilization levels?

Ashwath Ram : Just balancing CAPEX is what we always do as we bring in more products, to balance out some of the capacities, we keep doing incremental CAPEX . But when you look at the installed CAPEX , we continue to remain at roughly 50% utilization. From a planned CAPEX , we are greater than 90% of utilization. So, capacity is not a problem for us. So, if we can get more demand, we will certainly be able to scale up pretty quickly. And some of the strategic long - term investments, those are typically 18 - to 24 -month type of projects. Those are being done for global demand and those kinds of things. So, there's no real CAPEX short term surge or emergency that is happening. But there is a steady plan to meet the long -term demand and to attempt to be a better global player.

Amit Anwani : Lastly, on the data center, so you highlighted that we are approaching 10%. So, just wanted to understand, do we have a strategy outside India also with respect to data centers and anything we are expecting from the export market also for data centers?

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Ashwath Ram : Certainly, we continue to sell products to other countries for use in data center markets. So, some of our high horsepower exports go into those markets. So, certainly, our attempt is to try to maximize and export more as well as the global opportunities keep opening up, we continue to attempt to play in there.

Moderator : The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : Congratulations to the strong performance. Sir, my first question is to understand a bit more with respect to how has been our localization plan for the CPCB IV engines? And as in terms of timeframe over next 2 or 3 years, how do we expect to fully localize this product? And thereafter, what kind of impact on the gross margins do you see as the localization progresses for the new range of product?

Ashwath Ram : Yes. We have over a dozen platforms. And I would say a majority of them are at high levels of localizations, and I mean high levels is greater than 70% to 75% of what we usually classify as high level because there are certain components related to electronics and certain types of parts which are not made in India, so we continue to have to import them. There are some new introduced product lines which were never made in India, which are currently being imported and sold and we are in advanced stages of planning of attempting to localize them. So, this is an ongoing cycle of trying to increase the percentage of localization and then using that to help with pricing, to help with a better position in the market and to use it to improve the profitability of the company. So, there's nothing which is either going to be very dramatic. It's a gradual process because a very large chunk of the products is already localized.

Renu Baid : And in this context, you also mentioned the commodity price has started to inch up now. So, how should we look at the gross margin outlook for fiscal '25, combination of CPCB IV change in the mix,

commodity price going up. Earlier, you had indicated 33% to 35% gross margin range. Last year, we clocked about 34.5%, 35%. So, how should we look at the margin outlook for next year?

Ashwath Ram : We will continue to aspire to hold at that kind of margin level, though it's starting to become a challenge because every major piece of commodity, whether it be copper, nickel, exotic materials used in after -treatment, platinum, silver, gold and even oil prices are all inching upwards. Even some forms of steel which we had seen a decline now for nearly 6 quarters in a row have now bottomed out and have started to inch up. So, there will be significant pressure on the material margin, but we will continue to work with the supply base in trying to get more efficiency out of that and attempt to hold this growth. This is the line in the sand which we want to hold, but it's always a challenge to do that.

Renu Baid : Got it. And with respect to new product development, can you share update where are we with

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marine. And how can this help to accelerate the growth in the respective segments for the industrial portfolio in fiscal '25-'26?

Ashwath Ram : So, quite a bit of progress has been made as far as new products is concerned, especially in rail, we have supplied new prototypes of our Hotel Load Converter, we are now supplying CPCB IV+ compliant diesel sets into the 500 kVA power cars and also in the back hauling coaches. We are beginning to supply new products in DETC propulsion sets. We are also entering into tenders for all kinds of CPCB IV+ compliant power cars. So, overall, as we are looking at the market, we are seeing quite a few opportunities, not only in rails, but we are introducing new products in mining, we are introducing new products in marine. Of course, power gen, we've already introduced most of the new products. We continue to increase new products even into the construction segment with new series of engines, et cetera. So, overall, both as far as product proliferation and adding significant new products into the market, that work continues pretty strong.

Renu Baid : So, in your view, the industrial segment, which was clocking high teen growth in '22-'23 and moved finally to 22%, 25% growth should continue to grow in high double-digit 20% -plus? Or the growth will moderate in high teens?

Ashwath Ram : I think it will grow at 20% -plus, but our long-term outlook when we had provided it a couple of years ago was that we see at least 2x of GDP growth of the industrial segment to continue for 10 to 15 years because we are comparing where our infrastructure is today compared to where some of the developed nations, like China and Europe and America are. And when you look at the state of the infrastructure, we have versus the state of the infrastructure they have, significant amount of investments are needed. So, I think if we continue this journey of wanting to become a #3, #4 economy and improve our infrastructure, then this demand should continue.

Renu Baid : And last, if I can, bookkeeping. We have seen very strong cash conversion profile of the business continuing. Today, we are sitting on net cash shift of almost Rs. 2,600 crores. How do you plan to utilize this for future growth?

Ashwath Ram : Well, we continue to give return to the shareholder significant amount of cash. And we are also looking to fund some of the future growth and some of the future ideas on how the business will look in the future. Some of those investments are not likely to pay back returns very easily. As you know, in some of the new energy cases, billions of dollars have been sunk and the returns have all been negative so far. So, we are creating this war chest and looking for opportunities, and we will deploy it as needed. Current

ly, we are using the war chest to develop new products and continue to invest in scale and capacity as we become a major supply chain hub for the world.

Moderator : The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.
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Jason Soans : So, I was saying, sir, with the scope of distribution which is increasing and the CPCB IV+ component also increasing in the sense there will be more electronic parts here in this business. So, just wanted to know, sir, in terms of margin profile, is there scope for a better margin profile going ahead with the contribution of CPCB IV+ increasing?

Ashwath Ram : The answer is yes, that is what we have been aspiring to do. The reality is still to be seen when competition heats up, when everybody is at 100% CPCB IV+. So, again, to clarify, yes, certainly because the content is more, the complexity is more, the technology is more, the risk is more. So, there is an opportunity to have better margins. The reality all depends on competition in the market.

Jason Soans : And sir, you had also alluded to reconditioning being a massive growth opportunity ahead as it is in the developed economies. So, I just wanted to understand, I mean, reconditioning will be a good option to play, but it could hurt your volumes going ahead or probably cannibalize your volume. So, just wanted your perspective on how would you balance both of these going ahead?

Ashwath Ram : I think these are different market segments. So, a person who wants a new product has a different profile and a different cost profile and a person who wants a reconditioned product has a different cost profile and a different set of expectations. So, in applications such as industrial and mining, et cetera, reconditioning is the most normal way of doing things because these folks utilize their equipment 24/7. So, if you have working equipment, then you get significant value back by reconditioning, and those customers don't want to buy new anyway. But there are other market segments where utilization is low, and there are some advantages to having the latest and greatest technology and certainly in those segments, they don't want reconditioned products.

So, we are talking about 2 entirely different market segments. And sometimes, we can use reconditioned products to compete against some competition who has different and lower margin expectation. So, it's pretty complicated, but I think there's an opportunity. Globally, we have seen in multiple markets around the world that the 2 markets coexist. And of course, reconditioning is incredibly good for the environment. So, if you are looking at it from the ESG angle, nothing is better than reconditioning as far as greenhouse gases are concerned. So, that's the way we are looking at the reconditioning market from an India perspective.

Jason Soans : And sir, just in terms of your genset OEMs. So, the Jackson power, Sudhir gen sets or Powerica being there, I just want to know this on a basic level, is there any value addition from their end?

Or they are just pure -play regional distributors for Cummins India?

Ashwath Ram : They do some last -mile value addition. But the technology is entirely Cummins' and these guys add some value, and they also reach out. They are the contact with the customer. So, from that sense, the value is in working with the customer and making sure that they are serviced to the Cummins standards.

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Jason Soans : And sir, just lastly, I wanted to ask you, there is a lot of traction in the LHP or the lower value segments as well all across, as you said, data centers, infra or realty, et cetera, doing very well.

So, just wanted to understand in their back pocket, it being a price -sensitive market, are we looking at deepening market presence there? Or there's a lower focus due to the price sensitivi

ty

angle? What's our strategy in this segment?

Ashwath Ram : Certainly, even there, there are multiple levels or there are different types of customers. There are customers that want reliability, durability and quality, they typically go for Cummins. And so, within that segment as well, there are pockets and entire segments, which buy a lot Cummins product. There are other seg ments, especially segments like telecom, et cetera, which are absolutely just cost -based segments, and we have a very, very low share over there. And we are looking at alternate ways of trying to compete in some of those segments. We are looking at seeing can we obsolete the technology of internal combustion engines in some of those segments and move to some battery based or other technologies. But we continue to play in all the segments. Certainly, like you said, our aspiration on profitability is higher t han of those competitors, and we will not for the sake of market share just enter into it and use it as a loss leader.

Moderator : The next question is from the line of Atul Tiwari from Citigroup. Please go ahead.

Atul Tiwari : Congratulations on very strong set of numbers. Sir, my first question is, could you comment on your current market share in domestic Power Gen and Industrial segment? Any rough number?

Ashwath Ram : We don't comment on market share as far as these segments are concerned. All I can tell you is we continue to hold and in some cases, get better.

Atul Tiwari : Okay. And sir, my second question is on some of these new high horsepower gensets developed by the parent, which will come to India. So, how is it decided? I mean, which particular platform or engine will be manufactured by Cummins India and which will go to the other unlisted parent company? So, I mean, what is the algorithm for deciding it, et cetera?

Ashwath Ram : Combination of past duties, closeness to the market, the differences in the types of products. So, it's a combination of that. As you know, Cummins has only 3 major manufacturing hubs around the world. We have the big North America manufacturing hub, which it consists of U.S. and Canada. And Mexico, then you have the big India hub, and then you have the China hub. So, typically, a lot of China hub is for internal consumption, but some of the Chinese OEMs would buy the product internally and also sell it around the world. India is used as a hub to service most of the global market, especially from a low -cost perspective. And North America and Mexico are used to service the North America and some of the very, very specialized markets, which are served with the products from there. So, the logic is pretty straightforward.

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It's just complicated when you have the actual implementation just because of this overlap of OEMs and customers around the world.

Atul Tiwari : But sir, when the manufacturing is done in India, how is it decided whether Cummins India will manufacture it or Cummins Technologies India will manufacture it?

Ashwath Ram : I think pretty much all of the products which has been made historically by Cummins India Limited continues to be made by Cummins India Limited in the markets that it serves.

So, if it is in the power gen market or the industrial market or the different mining markets, all of those products continue to remain made by Cummins India Limited other than some specific cases where global investments are made in India for global consumpti on. So, there have been

a few engine platforms, which have been licensed by Cummins India just to buy back to the North America or some other markets. So, in those cases, those products which are 100% exclusively for internal consumption and not related to the market in India are being made by CTIL. Otherwise, the logic has been very, very consistent and straightforward.

Moderator : The next question is from the line of Mahesh Bendre from LI

C Mutual Fund. Please go ahead.

Mahesh Bendre : I have just 1 question. Sir, what is the waiting period for gensets now? If someone places order with you, how much time you take it to deliver now?

Ashwath Ram : This will be a business tool type of answer and the answer is, it depends.

Mahesh Bendre : Sir, even for industry is fine, sir.

Ashwath Ram : No, it depends again based on what the product is. If it is a low horsepower product, we will give it to you in less than 2 weeks. If it is something with the data center, 95 -liter product, the lead time is anywhere from 6 months to 1 year. If it is some thing in between, it can be anywhere from 30 days to 3 or 4 months. So, it's difficult for me to just tell you what's the lead time. On an average, we like to have lead times of less than 1 month to supply both products.

Mahesh Bendre : And sir, has this changed compared to last year?

Ashwath Ram : Yes. Because capacity has increased. So, I am saying that average lead time is 30 days. The average lead time used to be 60 days.

Moderator : The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Yes. Congratulations given on a great set of results. Two questions. So, Ashwath, just trying to better understand the implications of CPCB -IV+ on our both gross margins and EBITDA margins. And given that now this accounts for almost 33% of our Power Gen sales versus maybe, Cummins India Limited

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what, 25% for 9 months. Is it fair to sort of at least assume that the delta change that we've seen in gross margins Q4 over Q3, which is sequential and it is roughly about 100 basis points, a large part of that is attributable to the increased contribution of CPCB -IV+, that's first on the gross margins?

Ashwath Ram : No. I wouldn't say that. I would say it's a little bit, but not a very, very significant portion there. Because see, it's very difficult to say what will be the true impact on improving the margin of CPCB -IV+, till everyone is 100% CPCB -IV+. So, right now, yes, certainly, the starting out margins of CPCB -IV+ are better than CPCB -II. But will that continue to hold, then everyone is also selling CPCB -IV+, the answer is probably not.

Jonas Bhutta : And by when do you think that we'll probably end up getting a greater picture?

Ashwath Ram : By October. By September, October timeframe, we should have a lot of clarity on what the end pricing with competition will be for the market.

Jonas Bhutta : And from an implication on the below gross margin or other expenses side, what we've seen over years is our royalty plus support fees have now sort of trended downward from a peak of 3% to roughly 1.7% as of FY '23. I am not sure what it is in FY '24, but it seems that Q4 had some bit of one-offs, and I think that number would have, in fact, gone down further. With CPCB -IV+ coming in FY '25 for at least 9 months, where should we assume this particular line item to trend towards over the next 2 to 3 years?

Ashwath Ram : I think we should be able to hold it at the level we are currently. So, this quarter was an anomaly because of that onetime reversal. But overall, we should be able to hold it at the same percentage level despite the introduction of many, many new products is the way we are looking at it.

Jonas Bhutta : And my second question was on exports. So, with CPCB -IV+, we were intending to get the certifications to supply to North America, et cetera. And this was an opportunity, which was agnostic of how that end market is performing, given that this is a completely new opportunity kind of wallet share gain. Where are we in that journey? And do you believe that, that shows up in at least FY '25 export order board? Or do you think that's an opportunity beyond F '25?

Ashwath Ram : I think we have made a lot of progress. At least 3 or 4 products have already been launched into the global ma

rket. They have just been marketed. Pilot samples have now been provided, et cetera. Maybe from the second half of the year, we should start seeing some pickup in those markets. Full year impact will probably be the next year, but we should start seeing some pull coming in for those products. Products have been received very well. So, I think that's something we are actually looking forward to.

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Jonas Bhutta : So, from a sales mix perspective, we've troughed at roughly 19% of sales being exports from a sort of peak of roughly 30%, 35%. Do you believe with all these opportunities F '25 exports

could be at least 20%, 25% of sales? Or it would still remain in that sub 20%?

Ashwath Ram : I think this year, we will see some more deterioration in demand from a global perspective because we don't think the markets have bottomed out yet. With all of this geopolitical crisis happening in the Middle East, it has had quite a bit of impact on sales and Europe also seems to be at an all-time low that we are seeing. And Africa also is struggling a lot especially with currency problems. So, we think there will be at least another quarter of demand being anemic before things are completely bottomed out and then start to pick up again. So, it's very unlikely that the percentage of exports as compared to domestic is going to change very significantly for this year.

And we are optimistic that this will start to pick up and as the new products start coming in and also as we start doing more and more components and other parts for export, our ambition is to get back to 30%, 35% of our sales being exports. So, we are not just giving up on it. We are addressing it, pursuing it, but I don't see it happening this year.

Moderator : The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar : Congratulations on great show yet again. Sir, I had 2 quick questions. First, you commented on market share, and I respect giving data beyond a point, it is difficult. But assuming a steady-state 100% CPCB -IV Power Gen revenue for the next few years, do you think the stable market positioning for Cummins will be better than it was in last decade of Power Gen market share. And I am talking more about the non-LHP portfolio because LHP is not happening for India.

Ashwath Ram : That's what we are working on, and that's what we hope with the kind of products we have introduced into the market that we are able to improve our position. That's the challenge in front of management to be able to do that, and that's what we are working on.

Amit Mahawar : The question was more because India has been a price sensitive market forever. But in the last 12 months, it has been a sellers' market. But as your commentary also mentioned, incrementally, it will keep becoming a challenge because you would have at least half a dozen players in India. So, that's why I was asking.

Ashwath Ram : Our strategy for that is to introduce better products, more products and sub-segmented in a way by which we provide more value in each of the segments that we play in. So, our role play historically has always been on being able to provide better value than others, and it's well known that we are not the lowest cost player in the market.

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So, we sell based on having the better products in the market. And we will continue to work on the product. We'll continue to work on these customers to provide them better value for what they get from us, and we will continue to strive to maintain that balance between profitability and growth.

Amit Mahawar : Second quick one follow-up to what Jonas was asking. If you look at the global manufacturing centers for Cummins in China, India. Globally, the electrification dynamics are restricting Chinese companies to supply to the Western world, especially in the

sensitive areas in the grids

part in the data center that might happen. So, do you think that will potentially benefit Cummins India ?

Ashwath Ram : The answer also is yes, but it's also tricky. If you look at the global market share of Chinese companies, even if the United States does not buy any product or even Europe puts all kinds of bans on them, irrespective of that, they continue to increase their global presence from an overall manufacturing market share percentage. So, even if their own domestic players, they don't sell to many of these markets, they just keep growing with their own products. Their presence in the global scheme is larger than what it is today. So, yes, it benefits India. If United States and Europe don't buy as much from China, which they have started to do but that does not mean it will mean the uninterrupted growth which China had between 1995 and 2015, we will have the same kind of growth. That hypothesis is not getting ruled out as of now.

Moderator : The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia : Congratulations on a very strong set of results even this time around. My first question was more on this 30% growth that you're talking about in Power Gen volumes. You also suggested that last 3 quarters have seen some amount of prebuying. Is it fair to assume that in the 30% number, there is some prebuying quotient as well? This is the full year number I am talking about. And then that starts becoming an impediment incrementally. If you could kind of quantify would be useful.

Ashwath Ram : Yes. So, when there is a very strong prebuy, we usually use a lot of inventory, which are held by our OEMs and EBITDA dealers, et cetera. But as of now, I am seeing average or below average inventory being held, which led me to believe that, yes, the pre-buy cycle and you can't have permanent prebuy. At some time, there are cycles that we run out of holding power and wanting to just keep holding and buying products. And it is our hypothesis that a big chunk of that is done with. There is some, but it's not significant the way it was last year when there was

significant 1 quarter worth of prebuy sitting in the market kind of inventory. We are not seeing any inventory in the market with that kind of impact. So, we think there will always be some turbulence when you transition from 1 emission cycle to another, but it's nothing which we think is significant any.

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Aditya Mongia : And then just to clarify. The growth this time is 30%, which is above normal, can the growth be kind of below average next year because of that, because a lot of products will be sold....

Ashwath Ram : See, the Power Gen market is very difficult to classify that it's a very, very cyclical market. So, you get multiple years when you can get 20% plus growth, and then you get years where you even decline by double -digit plus level. So, we still think that this financial year will continue to be a growth here on top of our stronger growth here. Of course, will it grow at 30% that we got last year, I don't think so. But we will continue to see at least 2x of GDP type of growth.

Aditya Mongia : Sir, the second question that I had was more on exports. As you've talked about Europe as an opportunity for CPCB -IV compliant products, and you've also talked about cash being utilized in a manner that you become more global. Are there plans beyond CPCB -IV as well that your thinking more on investment perspective? And the detail question is versus whatever TAM you're addressing today, what kind of increase in TAM basically happens because of these endeavors?

Ashwath Ram : So, I'll answer that question with multiple responses. One is that currently CPCB -IV+ is only for 900 -kilowatt and below. And so you have this entire portfolio beyond 900 -kilowatt going all the way to 4,000 kilowatt

t, which does not fall under those regime. So, all of those have the opportunity of coming under emissions. And the moment emissions come, the technology gets incredibly more complicated.

Second is that countries in Europe have said that 2050 is the year by which they will try to get out of internal combustion products and get into clean energy. But as we are seeing, a lot of that is getting pushed out, and there are some alternate solutions like hydrogen and internal combustion engines which then fuzzy the lines. So, if you can get a zero emission product with an internal combustion engine and why do I need to spend money on those cells or other forms of energy generation. So, the answer is that emissions will continue to get tighter. Since CPCB -IV+ is the tightest emission right now, we don't know what the next one is. But the industrial markets have 2 levels of emissions, which have already been announced in Europe. We have to undergo those in India as well.

The automotive market has already gone to Europe as in now or will be going to Europe soon.

India will be at par with Europe on Euro 7. So, the emission is going to keep getting tighter and tighter. And India has committed only 2070, by which we will be out of carbon generating products. So, I think there's a lot more leg room here, at least 20 years more of leg room here to keep producing these products than in other parts of the world.

Aditya Mongia : Just a last question from my side. At least in the last call, you were talking about the high horsepower market and kind of overseas players with low margin expectations increasing competitive intensity. Could you suggest to us how much of your HSP portfolio is seeing these

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kinds of competitive pressures? And obviously, linked to that thing, you have to localize more, do you see a margin release and market share release happening in the near to medium term?

Ashwath Ram : So, this is not a new phenomenon. We have seen it over the last 10, 15 years that this is happening. As a matter of fact, as there is consolidation happening around this, the probability that there will be fewer players who are actually into market playing in this space. And certainly, as we localize more, we have been in India for 62 -plus years. And as we localize more, we are able to improve margins and compete with many global players. So, we will continue to do that. But it's not that straightforward as just to keep players attempting to come in and if we just localize, we are able to compete. It doesn't just work like that.

Moderator : Ladies and gentlemen, this will be the last question for today, which is from the line of Bhavesh Shah from Foresight Business Ventures LLP. Please go ahead.

Bhavesh Shah : Congratulations on being the leader of this brilliant company. Sir, after hearing all these brilliant people, my question will not be on the numbers, but on the futuristic of our company. It can grow from here to 10x. My question is, are you still manufacturing diesel generator because now diesel is no more a fuel being developed or promoted by government. So, are you considering biofuel, biogas, LNG or methanol generator? And any plans to convert the existing generator to other fuels, including hydrogen?

Ashwath Ram : Yes. So, let me answer that. One is just from a historical fact, most of Cummins products have

always been on multi fuel, which means we have been able to run biodiesel, synthetic diesel, jatropa, pretty much anything that can be burnt can theoretically burn in the diesel engine gaskets. We have now introduced what we call fuel agnostic platform, which means the latest technology, which is going to carry forward the internal combustion engines for the next 25 to 50 years.

We have been introducing it over the last couple of years, and we will continue to introduce it over the next 5 to 10 years. And this is something

we are calling HELM technology, which is

High Efficiency, Lower Emissions, Multi-fuel technology. And with this technology, we will be able to use even things like propane, use biogas. We will use literally every sort of fuel that can be put into internal combustion engine, including hydrogen, we will be able to run our engine with that.

Bhavesh Shah : Second question is, sir, our parent company is one of the very few manufacturers in the world who are having electrolyzer and fuel cell technology. The first hydrogen train in Germany was with the use of fuel cell and Alstom coaches. So, are we also inclined towards manufacturing electrolyzer in a big way, and fuel cells also for railway engines, mining trucks, marine shipping lines? Because that is going to be a big market where our company can grow not 10x, but 100x. And being a shareholder, I feel that the future is in Cummins and in the hands of Mr. Ram.

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Ashwath Ram : The answer is yes; we are bidding for all of those kinds of businesses. Right now, the hype to execution ratio is very warp (Inaudible) 62:52 to the size of hype. The actual products or projects that are executed are very few. And if you look at the big projects executed in India, even on electrolyzers, you will find that the largest one, which is already commissioned is the one by GAIL, which Cummins has executed and commissioned. So, we are very serious about that market. We continue to look at the right timing at which one needs to make the investments and set up scale of manufacturing.

Bhavesh Shah : Sir, recently a news came that HPCL started the electrolyzer with someone. NTPC Renew Power, all those people are going into the hydrogen market. So, when the news came that Tata Motors and Cummins, we have tied up for the manufacture of internal combustion engine, I was little disturbed that why such a big company like Cummins India doesn't take the charge of developing this thing and create a name for itself. As a shareholder, I would always believe that we have the first right to develop such a thing and develop the market for it, not only Tata, but other manufacturers also.

Ashwath Ram : A very fair point. Typically, the way we look at the market is based on the end application. The application that you mentioned with Tata Motor was for an automotive application. So, what it does is it takes an existing internal combustion platform and converts it into a hydrogen internal combustion engine. So, all the capabilities to build that kind of product are with that entity. Certainly, in the market segment of power generation or defense or mining or rail, where these applications will be required, then CIL will be the conduit in which these products built for those markets.

Bhavesh Shah : So, now days even JLR, Mercedes Benz, or BMW, all are concentrating in developing fuel cell electric vehicle. So, I mean, since railway is also very big in India and developing, say, roughly 15,000 kilometers on a year -to-year basis, cannot we come out with a fuel cell for the railway engine and come out with a hydrogen engine itself. You can have a special purpose vehicle. You can invite the shareholders to put up the money in that because we feel that, that is going to grow much, much, much more.

Ashwath Ram : Fair comments. And certainly, we are working on that.

Moderator : As that was the last question for today, I would now like to hand the conference again to Mr.

Ashwath Ram for closing comments. Over to you, Mr. Ram.

Ashwath Ram : I want to thank all of you for your extremely active participation and engagement during the call today. The Indian economy demonstrated strong growth in FY '23 -'24. Significant investments in infrastructure and robust performance by the manufacturing and service sector supported the growth momentum. At the same time, internationally, geopolitical risks and conflicts continue

to

pose uncertainty with global trade and supply chain disruptions.

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Concerning the power generation market, CPCB -II products can be sold until June 30, 2024.

Consequently, the market will see a demand shift to CPCB -IV+ emission norms -compliant products effective July 1, 2024. The company has a very strong portfolio of CPC B-IV+

compliant products to meet the customer demand across the entire product range. Exports might see an impact in the near term due to global economic uncertainties.

The company closely monitors geopolitical events unfolding in various parts of the world and their impact on global demand and the supply chain. Your company has a trusted brand in terms of product range, access to cutting edge technology, value stakeholder relationships, world -class manufacturing capabilities, best -in-class talent and a customer -centric service organization with an extensive distribution and service network throughout the country and neighboring regions.

With this, we remain confident that we will continue to perform at the levels we have performed in the past. With this, I close this call. Thank you.

Moderator : Thank you, members of the management. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now, and you may disconnect your lines. Thank you.

Call: Aug 2024

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NSE Symbol: CUMMINSIND
Subject: Intimation of transcript of analyst conference call held on August 0 7,
2024

Dear Sir/ Madam,
With reference to our stock exchange intimation dated July 24, 2024, towards
Investor/ Analyst/ Financial Institution conference call, we are enclosing for your
records a copy of the transcript of the said conference call conducted by the
Company on August 07, 2024 .
Kindl y take thi s intimation on your record.
Thanking you,
Your s faithfully,
For Cummi ns India Limited
Vinaya A. Joshi
Company Secretary & Compliance Officer
(This letter is digitally signed)
Encl.: As above.

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"Cummins India Limited Q1 FY 24-25 Earnings
Conference Call"

August 07, 202 4

MANAGEMENT : MR. ASHWATH RAM – MANAGING DIRECTOR ,
CUMMINS INDIA LIMITED
MR. AJAY PATIL – CHIEF FINANCIAL OFFICER ,
CUMMINS INDIA LIMITED

Cummins India Limited
August 0 7, 2024

Moderator: Good morning ladies and gentlemen. Welcome to Cummins India Limited Q1 FY24 -25 Earnings Conference Call.

We hope you are all keeping safe and healthy. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I will now hand the conference over to Mr. Ashwath Ram – Managing Director, Cummins India Limited. Thank you and over to you, Mr. Ram.

Ashwath Ram: Good morning, ladies and gentlemen. Hope all of you are doing well and staying safe and healthy. Welcome to the Cummins India Limited Q1 2024 -25 Earnings Conference Call.

My name is Ashwath Ram, and I am the Managing Director of Cummins India Limited. Joining me on the call today is Ajay Patil, Chief Financial Officer of Cummins India Limited. Thank you all for joining us today.

We are happy to announce that CIL reported strong results for the quarter driven by stable domestic demand while export revenue is at similar levels as the prior quarter. I would now like to share the financial results of Q1 FY25. Financial results for the quarter ended June 30, 2024, with respect to the same quarter last year, our sales at Rs. 2,262 crores, were higher by 4% compared to Rs. 2,175 crore recorded in the same quarter last year. Domestic sales at Rs. 1,873 crore, were higher by 12%. Exports at Rs. 389 crores were lower by 22%. Profit before tax at Rs. 551 crores, was higher by 33% compared to the same quarter last year.

For the quarter ended June 30, 2024, with respect to the last quarter, our sales at Rs. 2,262 crore were almost flat compared to Rs. 2,269 crore recorded in the last quarter. Domestic sales at Rs. 1,873 crore were lower by 3%. Exports at Rs. 389 crore were higher by 13%. Profit before tax at Rs. 551 crore was lower compared to the previous quarter by 21%.

I would now like to share the segment-wise sales breakup for the quarter ended June 30th, 2024. Domestic, power generation domestic sales were Rs. 803 crore, 8% decrease over last year and 15% decrease over last quarter. Distribution business sales Rs. 651 crore, 22% increase over last year and 8% increase over last quarter. Industrial domestic business sales were Rs. 372 crores, 57% increase over last year and 7% increase over last quarter.

Exports, high horsepower exports were Rs. 202 crores, 17% decrease over last year and 18% increase over last quarter. LHP exports were Rs. 155 crores, 23% decrease over last year and 9% increase over last quarter.

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As far as the Cummins India financial guidance is concerned regarding the sales outlook for the full year 2024 -25, we are looking to continue to have double digit growth over the fiscal year 2023 -2024 in line with our ambition to grow at 2x of the GDP. I now open the session for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Mohit Pandey from Macquarie Group, please go ahead.

Mohit Pandey: Sir, my first question is on industrial segments. So, if you could give color on what is driving strength for this business, I think second or third quarter of strong numbers there. That would be question number one?

Ashwath Ram: I think for the quarter, I think it was a perfect storm of all portions of the industrial business firing. So, whether it is construction, which was Rs. 134 crores or whether it was rail which was Rs. 107 crores or mining which was Rs. 19 crores or compressor which was Rs. 44 crores, marine was Rs. 33 crores and everything else. When you added all of that in the total of Rs. 373 crores, we saw that pretty much all of

the segments were doing well, and I think that is very broadly correlated to the fact that infrastructure continues to do well in India and is likely to continue to do well for the next few years.

Mohit Pandey: So, do you sense an element of market share gain there because one would have expected during the election quarter, software numbers there, so any color there?

Ashwath Ram: It's not apparent as of now. If there's been real market share gain, we would get that kind of analysis in the near future. But the demand has continued to be strong for our product.

Mohit Pandey: Yes, sir. And secondly, if you could share the breakup of domestic power chain as you usually do.

Ashwath Ram: So, low horsepower was Rs. 49 crores, mid-range was Rs. 153 crores, heavy duty was Rs. 93 crores, and high horsepower was Rs. 508 crores. You have to keep in mind that this was a transition quarter when the transition happened between CPCB -II and CPCB -IV finally.

Mohit Pandey: Right sir and CPCB -IV would have contributed how much during the quarter broadly?

Ashwath Ram: Close to 5000 sets were sold during the last two quarters. So, roughly I would say that

somewhere about 30% -40% of the sales in the quarter were with CPCB -IV.

Mohit Pandey: Understood, sir. Last question, if I look at the P&L, the proportion of traded goods has come down sharply, the purchase of traded goods. Anything specific to read there? That would be my last question.

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Ashwath Ram: No, nothing, no trend that I can at least see, for that, just probably a slower or different quarter.

Moderator: Thank you. Next question is from the line of Parikshit Kandpal from HD FC Securities. Please go ahead.

Parikshit Kandpal: My first question is on gross margins. This time you've recorded, I would say, almost 5-year kind of high gross margins of 37.8. My question was on, is it largely attributable to the increasing mix of CPCB -IV+, Power Gen in the mix? Do you think with the now 1st July kicking in from Q2, there could be further tailwinds and margins as we see the mix increasing on CPCB -IV+.

Ashwath Ram : I think we have had for the last few quarters almost a perfect storm of capitalizing on the pricing increases that we have done. The mix of course with CPCB -IV+, and the fact that commodities have helped us, and we have been able to continue the cost reduction game. So, the combination of all of those are what is ensuring that gross margin or material margins are at record levels. I think as the cycle changes and as commodities start getting more expensive and as competitive pricing intensifies, I think there will be some pressure, and I don't think this kind of material margin is sustainable indefinitely though it is our attempt to continue to try to get as much out of it as we can.

Parikshit Kandpal: Second question is on CPCB -II and CPCB -IV. In the channel right now, is there still any venture on CPCB -II? And going into the coming quarters, do you think that what kind of mix will now in the Power Gen move towards CPCB -IV say, more stable life quarters, like two quarters down the line? How do you think will that shape up?

Ashwath Ram : So, the channel inventory is zero. So, that which is what accounts for as we were draining the inventory throughout the previous quarter. So, the transition has happened, and we ended up with depleting all the inventory. So, starting from this quarter, it will only be CPCB -IV sales that are sold in the month.

Parikshit Kandpal: Okay, and just one question on this GAIL project, which you had won about 10 megawatt on hydrogen sites. My understanding was that part of that will be executed by the rest of the entity in India. So, any update there? So, how's the progress on that project?

Ashwath Ram: I think the progress is that this is a global project for the GAIL application, the project is also

being executed. And the distribution business of Cummins India has been awarded the contracts to service and support that. So, it's still in the process of being installed. Some portions of it are already commissioned and introduced. This is the largest working hydrogen installation in the country.

Parikshit Kandpal: And this is being done in this distribution part is the part of the Indian listed entity, right, which is executing this project?

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Ashwath Ram: Yes, that's correct.

Parikshit Kandpal: Okay, and just last thing, sir, I think now you're leaving, so I wish you all the best for your future endeavors and look forward to interact with Shweta for Cummins India. Thank you and wish you the best.

Moderator: Thank you. Next question is from the line of Amit Anwani from PL Capital, please go ahead.

Amit Anwani: First question is on exports. If you could highlight on how the export is panning out the geographies, which we're kind of seeing slow down. What is the trend there and the mix of the products?

Ashwath Ram: Yes, so I think last time I indicated that the markets have been slowing for quite a few quarters and we thought we had bottomed out and that statement appears to have held true. So, exports did grow in this quarter, and we are mainly seeing that increase come from two areas, Middle East has recovered quite well, and Africa is starting to recover. The rest of them are either flat to where they were bottomed out and Europe actually also is pretty flat to where it was in the previous quarter.

Amit Anwani: And second is are we largely sticking to the guidance of 2x of GDP, top line growth, and any incremental thing you would like to highlight on the outlook on the growing sectors that would help?

Ashwath Ram: Yes, so we continue to maintain the guidance of our ambition to grow at a minimum of 2x of the GDP, which in this year at a 6.5 to 7 is somewhere between 13 % to 14% is what we think we should be able to grow. Our internal aspirations, of course, are to do much better than that. So,

that's what we are all working on. We have also had this ambition of growing profitably. So, we continue to focus on all aspects relating to profitability. So, not have growth just for the sake of growth but continue to do it with healthy profits. And we have been ahead of the curve as far as profits is concerned, so we could see some pressure over there. But overall, all the plans are linked to the growth of the GDP of the country because most of the products that come in sales go into the infrastructure segment. And as the country continues to grow and infrastructure spending continues to happen, we will see strong growth, especially out of India. And as far as the global markets are concerned, they are undergoing some level of slowdowns in different segments because of all these different crises, currencies, so many other big nations like China are slowing down pretty significantly and not recovering. We think that could take some time to recover and we continue to focus on making sure that we are in a strong position to grow there once those markets start to recover.

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Amit Anwani: So, lastly, if I may, the data center contribution in Power Gen and growth. And second, any supply chain issues which you feel pose any risk currently in meeting deliveries or logistical issues in that aspect?

Ashwath Ram: Yes, so data center, globally when we look at data centers, data centers contribute to roughly around 10% of Cummins' power generation business. And that similar kind of trend holds true in India as well. We have very strong order books there. The heavy data center applications are fully booked and are completely supply chain capacity constrained, which means that the very largest of sets which are made by Cummins Inc. globally

and are not made in India, we are pretty much on allocation basis. On all the products which is made in India, we have enough capacity. There are some spikes in certain kinds of products where we run into some challenges. But overall, I would say, supply chain is well geared up to be able to meet all the demand that we're seeing.

Moderator: Thank you. Next question is from the line of Raja Kumar Vaidyanathan, who is an individual investor. Please go ahead.

Raja K. Vaidyanathan: Sir, I have two questions. The first question is, do you see any short-term impact on the unrest in Bangladesh?

Ashwath Ram: Nothing that we can see right away, but certainly when there are problems, whatever we are exporting out into those regions could see a small setback, but nothing significant because the volume of exports that we do into that country is quite minimal.

Raja K. Vaidyanathan: The second question is, compared to the last quarter, the commodity markets have kind of softened. So, do you still see that as a challenge in terms of maintaining or improving the margins going forward?

Ashwath Ram: I think they have been favorable. That's why we continue to have much better material margins. The concern is that some commodities like copper and aluminum, which gets used in big parts in our gensets, those have continued to increase in price. And so that portion of commodities is impacting us negatively. So, we would have gotten even more gains out of material margin had the softness in iron, etc., also continued in the other commodities. But it's sort of eating away at each other.

Raja K. Vaidyanathan: Okay, so if I can just squeeze in one more question. So, this is a reference to the guidance given by your parent. So, they have kind of said that this time the India sales have kind of dropped by 10% and they also reduced the sales outlook for the India business from the previous quarter they gave 9% growth to now they reduced it to 8%, so 100 bps reduction. So, just wanted to know is that coming out of the non-Cummins India subsidiaries of Cummins Inc. or is it to do with Cummins India?

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Ashwath Ram: Yes, it doesn't have anything to do with Cummins India. At Cummins India, we continue to guide growth rate of 2x of GDP. So, we continue to aspire to grow at somewhere between 12% to 14%. So, some of those comments were also made looking at corrections in other markets, including automotive markets and some global slowdowns as well.

Moderator: Thank you. Next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, if I look at for last 12 months, whatever the revenue we generate in Power Genset, which are the user industries have contributed that? I mean, any industries wise break up material?

Ashwath Ram: So, I would say it's a data center, manufacturing, infrastructure and commercial realty.

Mahesh Bendre: Even you said commercial real estate, but even residential real estate is also picking up. So, that will also generate volume growth for us going forward?

Ashwath Ram: Absolutely. We have already started to see that happen and that will continue.

Mahesh Bendre: And sir, in the best of the time, what was the contribution from this segment to the overall sales, maybe previous years?

Ashwath Ram: You're talking about really?

Mahesh Bendre: Really, yes, sir.

Ashwath Ram: It's very difficult to say that because the segments grow very relatively and proportional to each other and sometimes it's difficult to calculate and just say which segment contributes because some segments contribute in terms of horsepower, some segments contribute in terms of volume. So, data centers for example, the volume may be very low, but it contributes a lot in terms of value. Whereas, really sometimes is a mixed bag. And there have been years when that's done very well

, but you sell a lot of gensets, but a lot of low KVA gensets, sometimes it's higher KVA, so it's very difficult to get a segment-wise share of what that is when you compare to the history.

Mahesh Bendre: Sir, last question from my end. You mentioned that the channel inventory is zero. It means CPCB -II engines are not there in the system, right?

Ashwath Ram: That's correct. CPCB -II inventory has gone to zero and because CPCB -IV is overlapping and ramping up, the overall stock inventory at all our OEMs and dealers is also pretty low, amongst the lowest it's been in a couple of years.

Mahesh Bendre: So, we will try to fill this in next two, three quarters, right?

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Ashwath Ram: That's correct.

Moderator: Thank you. Next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Thank you for all the guidance you gave us over the last two years and the way company performed. The basic question here is there was a lot of fear, and I kept you asking every quarter that once this price hike comes in of the CPCB -IV, do you see a cliff fall happening in the demand? You started in the opening remarks stating that the demand remains pretty strong. Can you throw some light that how you look at this market because the price hike is quite immense and we understand in your opening remarks in the previous call that few sectors are firing like data centers, real estate as well. But how do you think this price would be taken by channel? I am asking a little near term question of July and August when you will be filling up the inventory. Is still the volume of the end market is still strong taking into that?

Ashwath Ram: Yes, let me try to answer that question by giving you some examples from some other markets. India was a power deficient market and has kind of sorted itself out to it is not such a power deficient market. And during all of this period, we have continued to grow, and the demand continues to increase. Now what happens as a country becomes more affluent and we get used to having power working for us 24x7, the lack of power becomes almost unbearable and so even though you have more reliable grid power, you still need the backup power. And a big chunk of what we sell are all backup gensets. And when you need power, you need power. Then you don't ask yourself that did I pay 15% more or 20% more when I bought the genset? You don't ask yourself those questions. You need power, you need power. And so that is the way it has been around the world that the regulations are driving the cost up because of tighter emissions, etc., And customers really don't care about emissions. They care about overall value. We are trying to deliver more value to them by making the products more fuel efficient and more dense, etc., So, in an overall scheme of things, the cost of a genset, etc., is a pretty small percentage of capital costs to run infrastructure. So, it doesn't significantly impact purchasing power. That's why the demand is not dropping, the demand is strong and overall, since the infrastructure of the country is growing, the power demand in the country is growing, the affluence of the country is growing, everybody wants more power and so demand continues to remain strong despite price increases.

Nitin Arora: This is very helpful, Ashwath. Second question, just on the export side, you touched base on that, that few green shoots are seen, but generally in your sense what kind of inventory levels globally are at this point in time? You used to map an inventory at the channel globally. Is that something you can talk about? And on the demand side?

Ashwath Ram: It's well-stocked. It is a pure demand issue as of now. And we are seeing increased dumping from other countries where local demand has fallen off. So, to keep their utilization of factories

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high, their products are being dumped in export markets in South Asia, in Latin America, in

Africa. So, there is bound to be more pressure at this time. It's a particular demand constraint, not any other channel inventory or any of those kinds of constraints.

Nitin Arora: In your view, it might take one or two quarters more to stabilize that part and then you start seeing growth because your base is quite weak over the last three quarters. When I look at last year base, so you expect some growth to start kicking in or you think still it's two, three quarters?

Ashwath Ram: Yes, like we expected, we already saw that it seems to have bottomed out and we're starting to see some growth. How much of it will sustain is difficult and how long it will take because we seem to be going from one crisis to another crisis. So, we already see now that Ukraine seems to have calmed down a little bit, but the Middle East has hoarded up and now with all of this new stuff happening, there is even more crisis. When such things happen, all kinds of slightly discretionary spending all comes to a halt and then you only start buying emergency kind of things. So, it's very difficult to predict how the cycle is going to turn. We are just trying to be ready with more products, more availability, keep continuing to work on our cost base so that we can be even more competitive in those markets so that when they do bounce back, we are ready.

Nitin Arora: And just last comment of yours on the distribution business. That is something growing very well and also contributing to the margins as well. Going forward, how you're looking at this business? Does that, the growth eventually comes down now? Because the way you are highlighting the things on the power side, ally, then it should be continuing with the growth, what it is doing. So, just your one comment on that?

Ashwath Ram: Distribution has multiple segments where it gets revenue. It gets revenue from service, it gets revenue from parts, it gets revenue from selling into certain market segments where the big business units don't do. So, we are seeing growth in all of those areas. So, we are seeing as the population of product in the field continues and as the infrastructure development continues, so if you use equipment more, you need more service, you need more parts. And the second portion of that is we have always had very low penetration from a market perspective, and we continue to focus on better service, better availability of parts, better quality of parts, all of those are leading to growth in that. And we think this is not a three year, five year kind of cycle. We think we can sustain this kind of growth for at least a decade.

Moderator: Thank you. Next question is from the line of U mesh Raut from Nomura India. Please go ahead.

Umesh Raut: Hi sir, congratulations for the good set of numbers and wish you all the best for your new role as well. My first question is pertaining to industrial segment. I think even though we have seen contraction in railway business largely because of Indian Railways initiative towards railway electrification, but I think we have surprise on three lines of business within industrial, especially Cummins India Limited

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on the marine side, defence side and on construction side. And during the annual report as well, you are mentioning about some of these larger defence cater in terms of defence business, for example, Zorawar tank and ship building businesses as well. So, can you please qualitatively give us a trajectory in terms of outlook for these three segments within industrial?

Ashwath Ram: Yes, so construction is directly related to infrastructure. This is where we supply engines into all the earth-moving equipment, which are on the road, typically. And that is, I think, in a multi-year boom cycle, especially if the

country is going to grow at the rate at which the government wants it to grow. So, anywhere you build a road, you build a building, you build a dam, you build a port, you build an airport, any infrastructure activity requires earth-moving equipment and all of those, a big chunk of those use our product and so that's why that's doing so well and it will continue to do well. The next segment is rail. Like I said, the big chunk of slowdown for Cummins in that business was the migration of a big chunk of the diesel driven locomotives, etc., going into electrification and as I have said in the past, we continue to invest in the electrification cycle also. We think it's a tremendous growth opportunity coming up. We have now got product which is now certified and approved and it is now doing test trial runs in rail. And we also saw a lot of demand for DETC full scope kind of orders, even with existing diesel. So, that's why this quarter was so good with rail. And we think the future for rail is also very optimistic because we have such small presence in the electrification that as our products become successful, I think the opportunity is significant for us. The third of course is mining. As the economy continues to grow, we need more steel, we need more coal, we need more aluminium, we need everything. And mining will continue to boom, and that's doing reasonably well. And compressors is a cyclical market, but compressors also, as the economy does well and the infrastructure does well, you need more compressors, so we do well there. And marine is a lot related to fishing, trawlers, and defence, and those kinds of products. And there is record spending happening there. Of course, it's a very lumpy business because the gestation time for building ships, etc., is long. So, it's not as predictable as some of the other businesses. And the same goes for defence. We have great products, great partners, great customers, but the gestation

period of those products is anywhere from 3 years to 10 years. And so, it's very difficult to predict when exactly those will get translated into revenue and profitability. So, that's what, but overall, when you add all of those things together, there is no bad news that we have to share because the ambitions of the government are pretty well tied into the products that we have produced.

Umesh Raut: My second question is pertaining to distribution segment where you are continuously launching new range of service products. So, just wanted to understand how much of contribution you are receiving from new range of these launches of products and how you look at this distribution business in export markets as well?

Ashwath Ram: So, if you look at the last couple of years, we have been growing that business at greater than 20% CAGR. And like I mentioned, in each of the sub -areas, whether it be parts or service or Cummins India Limited
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rebuilding engines, new engines, whole goods, each of those areas we are seeing growth happening. And we continue to focus on that. And we think that there is a lot more growth available there. I think we are entitled to a lot more growth available there. And that's where the focus is.

Umesh Raut: Sir, last question more on the bookkeeping side. You said HHP power generation on domestic side was closer to 500 crore plus, but how much of that was related to less than 800 kV where CPCB -IV+ products are getting applicable?

Ashwath Ram: We track it as greater than 500 kVA. In the CPCB 4+, actually I don't have that information in front of me, so I don't have a good answer, but we will see it very soon CPCB -IV is starting to ramp up very strongly. It will start getting much clearer in the next couple of quarters.

Umesh Raut: But is it fair to assume that LHP, MHP plus heavy duty on the domestic power generation side would be forming closer to 90% of CPCB -IV+ products?

ts?

Ashwath Ram: Yes, that's a very good logical assumption and I think that that is likely to be true.

Moderator: Thank you. Next question is from the line of Mayur Patel from 360 ONE Asset Management. Please go ahead.

Mayur Patel: My question is related to the one asked by Nitin. So, Ashwath, in the past we have seen like in CPCB -II transition. First good amount of pre -buying happening before the transition and then the price hike had some dampening impact on the volumes post implementation and we did see some weakening in volumes. But this time around, you are getting for no such major drawdown on volumes despite a 35 %-40% rise because of changing norms. Just confirming this confidence is coming from the current investment cycle in the country and do you have some decent color on your pipeline of inquiries, I am not asking for any specific numbers but some qualitative comments on that please?

Ashwath Ram: Yes, one is we had a whole year to absorb the pre -buys and all of CPCB -II and 4. So, the market is now already, it's not new news that CPCB -IV is happening, and the prices are changing. So, the market has had time to absorb, time to use up as many CPCB -IIs as they could. And we now find the channel inventory to be very, very low, which means that there aren't any CPCB -II sets to sell, and the order books are scaling up and order books are pretty strong. So, we are tending to align to the hypothesis that the demand is now agnostic of the price increase that the CPCB -IV calls for.

Mayur Patel: This is what gives you the confidence despite exports yet to pick up about 12 % to 14% growth which would mean a slightly higher ask rate for the remaining 9 months. I think the demand resilience is what is giving you that comfort. So, understood that.

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Ashwath Ram: Yes. The order books are strong and there is no inventory in the pipeline. So, that's what is giving me the confidence right now that there is no real, nothing to be concerned about.

Moderator: Thank you. Next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: I think first one was similar to what Mayur asked. Sir, my second question is on competition.

What we understand is that we were one of the first ones to actually release nodes of CPCB -In the market and that time our pricing power was significantly better than anybody else simply because there was nobody else. I understand some of your competition has launched quite a lot of nodes in the last couple of quarters. So, can you just talk about whether we are seeing some sort of price discovery for the CPCB -IV+ i.e. is that also going to be a factor in the margin number you are saying which cannot sustain at these high levels? Is it just commodity or is it also that price discovery now amid more supply could drive margins lower?

Ashwath Ram: Certainly, always once you start to see what competition is pricing at, we will need to take some adjustment actions based on our own, we command a certain premium as compared to

competition based on the product quality and the robustness and the features that we offer to our customers. But one has to look at where the competition comes in bulk production. And then there is bound to be some level of readjustment. It doesn't typically happen all across. It happens in certain nodes where somebody else has a competitive advantage in terms of scale or economies and somebody else doesn't and so the only way to maintain that relative positioning is with pricing, but overall, I don't see too much of an impact due to pricing. We are very happy with the one year of experience we have had with the products, we think they are absolutely super competitive, and we have some relative positioning advantages, and I think we should be able to capitalize on that and hold on to the current pricing structure

Pulkit Patni: So, since I have one more question, maybe I'll just use that. Ashwath, all that you've said on the domestic market in terms of a commentary is extremely positive and particularly in light of CPCB -IV being fully implemented, etc., I am just trying to reconcile this with what you have put out in your release, where you say we remain cautiously optimistic about the demand holding the near term and optimistic about the longer term. So, how come there's a disconnect between cautiously optimistic in your commentary in the press release, but your commentary in general is pretty optimistic about the domestic market? So, is my understanding a little different on interpreting that?

Ashwath Ram : No, not at all. In Tamil, we have a saying that no good deed goes unpunished. So, our own relative good performance in the last couple of years makes us slightly cautious about the rate of growth that we have been able to achieve in the past versus what we can continue to do in the near future. We continue to be extremely optimistic about the growth opportunities when I look at a 2-year, 5-year, 10-year kind of window. What we remain cautious about is the short-term cyclicity, like the transitions happen in one quarter, the second quarter there's time for the Cummins India Limited
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pipeline to fill up and then for people to get moving, etc., All of those are very difficult to predict whether you go from a steady state of 100% on one series of products to a steady state 100% on the second series of products. There's turbulence during the transition and that is what leads us to be slightly cautious about that.

Moderator : Thank you. Next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Thank you for the opportunity and at the outset, congratulations and all the best, Ashwath, for your new role. I have a couple of questions pulled out primarily from the annual report. I'll sort of try and be brief. Firstly, on the Power Gen site, sir, you spoke about increasing dealer count. How much of role did that play in the FY24 sales growth beyond the pre-buy? Was it a material thing? And similarly, you spoke about one ICF contract on the distribution side. So, how much of sort of contribution on FY25 basis can that one single order sort of move? So, that's the first question?

Ashwath Ram : We continuously adding more reserves and certainly that contributes, it's very difficult to say exactly how much? That is important, which is why we keep adding more to get better penetration and better positioning in the market. So, we will continue to keep doing that. We continue to monitor all the dealers. We continue to look at who is performing well and who is not. And then appropriate actions are taken by the finding better people or looking at different ways by which those dealers can be more successful. And as far as some of these orders are concerned, they are good orders. So, I wouldn't say any one order very significantly changes all the results for the company, but it all adds up. It's all like big chunks in a bucket which then keeps expanding. So, I would say it's positive.

Jonas Bhutta: The second question was, in megawatt terms, your sales last year grew almost 40% but in unit terms, the increase was just 4% which sort of implies a greater share of higher HP nodes that got sold. Was that largely a pre-buy impact or this kind of deviation between the megawatts sold versus units is here to stay. And given that within that 26,000 only, 10% were 2,000 units were roughly CPCB -IV+. Could you sort of now talk about as this contribution sort of increases, the impact on warranty expenses, royalty and purchase of traded goods? And just wanted to fold that into another question or sub-question was, now that you've had some time, what is the average price increase in the CPCB -IV+ regi

me? If you have to just put a very simple average

or a weighted average number, what is the price increase versus the CPCB -II regime? That's the final question. Thank you.

Ashwath Ram : I'll answer the last question first. It's anywhere in the range between 15% to 25% is what the pricing increases have been. To answer the other question, if you see, historically, we have always been the weakest at the lower horsepower ranges. And that's because over the last 15 years or 20 years, they had turned into commodities. They had become pure mechanical products

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with not real great differentiation that we could show as compared to competition. And certainly, I would say that competition had gained share in some of those segments, and we continued to where there was technology, where there was higher durability, reliability requirements, those were the high horsepower nodes where we continue to gain share. Why we think CPCB -IV+ is a game changer for us is because it forces the market into changing from a commodity player to having to invest in technology and then having to service and support greater technology, higher warranty cost kind of product which we have done around the world for many years, so it's a sweet spot for us. So, in this transition to CPCB -IV+ and higher technology, we hope to not only gain in horsepower but to change the cycle in from a volume perspective also. We are trying to pursue our ambition to be stronger in the areas where we have been weak in the past and to hold on to or improve our position even in the nodes where we have been strong.

Jonas Bhutta : But what does it do as the share of this increases, so on the warranty and royalty because we have seen a very sharp decline in royalty or service fees to the parent over the last five years.

Also, the R&D expenditure of just Rs. 10 crores versus a peak of almost Rs. 190 crores in FY20.

Is the R&D expenditure while a large part of that is housed in the parent, but how does that impact R&D expenditure over the next 2-3 years?

Ashwath Ram : We are done with the peak R&D expenditure, so now it's only going to be sustenance and improvement kind of expenditure as far as that is concerned. I don't see anything very significant from a royalty. It's well in line with what we have publicly stated for quite some time. So, I don't see any concern with that. I actually see this as a great opportunity to improve our market position and also to leverage all these investments to export some more because we now have higher emissions product than what emissions are needed in the rest of the world. So, it actually brings us to a level playing field as far as the rest of the world is concerned. It brings us to a more competitive position as far as low horsepower is concerned in the local market. So, overall, I see more positives than negatives from this transition.

Moderator : Thank you. Ladies and gentlemen, we will take last two questions now from the participants.

The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia : Ashwath, the first question is a little bit more broad-based. Having you been there with the company for the last five years, wanted to check with you as like five years back, what were the key areas of improvement or concern that you saw in Cummins, which have now kind of become better. And as you leave the company at this point of time, which are the key areas of improvement that you see your success taking up from here on?

Ashwath Ram : Yes, so when I took on the role five years ago, my biggest focus area was to try to align everybody that what we had been used to in the past, a growth rate that we had been used to, or something, or the cycle we could break. And we could set a very clear vision for the company. And then if we all work together focused on the execution

of that vision, we could achieve bigger

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and better things than what had been achieved in the past. And with the support of a very, very strong team, we not only created the vision, we were able to execute on that vision of getting growth in multiple areas, focusing more on the product, focusing more on execution, focusing on a long-term strategy, and then sticking to a plan. I think the last five years have enabled us to create a very, very strong platform where this process methodology and this focus has yielded good results. And we have used the time to also build a lot of capabilities within the company, bring in some very, very smart people who can then take this strategy and drive it into the future. So, I feel very good about having had enough time to work with the team, come up with a strategy, be able to execute it and then transition it into a mode which can be sustainable in the future.

Aditya Mongia: From that 36,000 feet level more near term. I wanted to understand, Ashwath, I think someone also kind of pointed out that about 7 gigawatts of capacity were added by the Cummins. Now, this appears to be a fairly large number at a country level as compared to whatever capacity utilities would be adding at this point of time. And typically, the ratio of what the sector was adding from a power gen perspective to what the country was adding. From a utility perspective, it was more like 40 %-50% has become 80 %-90%. I wanted to check from you whether it's a sign of maybe power deficit demand, it's a sign of something else. I just wanted to get your sense that this is starting to become a very, very high base to kind of grow on from a volumes perspective. I understand that emission can boost revenues for the company, but from a megawatt volume perspective, are we getting inside a kind of a high base at this point of time?

Ashwath Ram : No, I think we are at an inflection point where I think this kind of growth can sustain for many,

many years, especially if you see we are just in not even a 4 trillion economy, if it is the ambition of our country to become a 7 trillion economy by 2030 and by the 100th anniversary of our country to become a \$12 - \$15 trillion kind of economy. I don't see any other option than for us to have to grow the requirement of power significantly, have significant more infrastructure in the country and all of that in my view is going to lead to significant more demand. So, I am not at all concerned about the high base. It actually is significantly smaller than where I think we will all be in 10 or 15 years.

Aditya Mongia: Understood. Last question from my side. This is on margins. You've seen enough for the competitive intensity in the CPCB -IV transition. Are you getting the sense that when things settle given the higher value addition from the company, the CPCB -IV genset can be margin accretive for the company over and above whatever the growth happens.

Ashwath Ram: That's correct. We believe that and nothing so far in the last 12 months is telling us any difference.

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Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for the day. I would now like to hand the conference over to Mr. Ashwath Ram for his closing remarks. Over to you, Mr. Ram.

Ashwath Ram: Thank you. Thank you for your active participation and engagement during the call. Cummins India believes that domestic demand in various end markets may sustain. While for the export segment, growth may gradually recover given the geopolitical uncertainties. We do see quite a few challenges, some in supply chain, some in the whole geopolitical situation etc., which we continue to work through. We remain cautiously optimistic about the short-term, but quite optimistic about medium and long-term outlook. With a strong bal

ance sheet, world-class

infrastructure on the ground for manufacturing and product development, best-in-class talent, an amazing team, we are very confident of sustaining our growth trajectory. I want to thank all of you for asking these amazing questions and all the support that you've given this company. With this, I close the call. Thank you for your continued trust and confidence in the Cummins brand.

Moderator: Thank you. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us and making it an engaging session. We are ending the conference call now. You may now disconnect your lines. Thank you.

Call: Nov 2024

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Ref: STEX/SECT/2024
November 11, 2024

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Subject: Transcript of Q2 and H1 FY 2024 -25 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our stock exchange intimation dated October 16, 2024, regarding Q2 and H1 FY 2024 -25 Results Conference Call, please find enclosed herewith transcript of the said call held on November 8, 2024. Kindly take this intimation on your record.
Thanking you,
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096
(This letter is digitally signed)

Encl.: As above.

MANAGEMENT : MR. SHVETA ARYA – MANAGING DIRECTOR –
CUMMINS INDIA LIMITED .
MR. AJAY PATIL – CHIEF FINANCIAL OFFICER –
CUMMINS INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q2 FY 2024 -'25 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I will now hand the conference over to Ms. Shveta Arya, Managing Director, Cummins India Limited. Thank you, and over to you, ma'am.

Shveta Arya: Thank you. Good morning, ladies and gentlemen. I hope all of you are doing well and staying safe and healthy. Welcome to the Cummins India Limited quarter two financial year 2024 -'25 earnings conference call. I'm Shveta Arya, Managing Director of Cummins India Limited. Joining me on the call today is Ajay Patil, Chief Financial Officer of Cummins India Limited. Thank you all of you for joining us today.

Now I would like to share the financial results of quarter two financial year '24 -'25. For the quarter ended September 30 th, 2024, with respect to the same quarter last year, our sales at INR2,444 crores are higher by 31% compared to INR1,871 crores recorded in the same quarter last year. Domestic sales at INR2,008 crores are higher by 47%. Exports at INR440 crores are lower by 13%. Profit before tax at INR594 crores is higher by 39% compared to the same quarter last year.

For the quarter ended September 30th 2024, with respect to the previous quarter, our sales at INR2,448 crores are higher by 8% compared to INR2,262 crores recorded in the last quarter. Domestic sales at INR2,008 crores are higher by 7%. Exports at INR440 crores are higher by 13%. Profit before tax at INR594 crores is higher by 8% compared to the previous quarter.

I would now like to share the segment by sales breakup for the quarter ended September 30, 2024. For the domestic business, Power Generation domestic sales were INR896 crores, 84% higher compared to last year; and 12% higher compared to last quarter. Distribution business sales were INR658 crores, 20% higher compared to last year and 1% higher compared to last quarter.

Industrial domestic business sales were at INR406 crores, 35% higher compared to last year and 9% higher compared to last quarter. For the export s business, high horsepower exports were at INR200 crores, 24% lower compared to last year and 1% lower compared to last quarter. Low horsepower exports were INR198 crores, 5% lower compared to last quarter and -- to last year and 28% higher compared to last quarter.

Cummins India financial guidance. Regarding the sales outlook for the full year 2024 -'25, we expect to have double -digit revenue growth over the fiscal year. That's it from my side. I'll now open the session for questions. Thank you.

Moderator: Thank you very much ma'am. We will now begin with the question and answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities.

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Parikshit Kandpal: Shveta, congratulations on a great quarter. Ma'am my first question is on the pricing of the CPCB IV+ engines. So now -- we have almost 2 quarters now. And so from the starting point when you had introduced these engines and then there was a deferral, so from that point to this point, have you seen any correction in prices?

Shveta Arya: So you're right, CPCB IV+ was announced last year, and then we transitioned to full CPCB IV+ this year, 1st of July. We are watching this space. We had launched our products last year. We are seeing all the other products from other players getting launched now. And so I think we will see what happens to pricing in the coming 2 quarters. That's how I think this will play out in the

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next 2 quarters.

Parikshit Kandpal: But your own pricing, when it was introduced, the engine was introduced until now, so have you seen any correction in prices? Are you still maintaining those prices?

Shveta Arya: We are mostly maintaining those prices as of now since we launched.

Parikshit Kandpal: Okay. And my second question is on the nodes. I think you have some advantage. I mean you have more nodes in the market versus the competition. And now you said that more nodes are coming in from the competition. So do you think you have some fair advantage because you have more nodes in the market, and hence, you are able to capture a larger share of the market?

And as competition introduces more product, do you think that potentially there is a case that you may lose some of this market share gains?

Shveta Arya: I would say that customers will now have more choices in the market for sure. We work amongst one of the first few players to launch the full range of products in the market. In the meantime, we have continuously worked on improving our supply chain, making sure that our product is well accepted in the market. We do have a strong brand in the market. So we do think we are pretty well positioned in the CPCB IV+ space in the market.

Parikshit Kandpal: Okay. And what will be the differential within the competition prices and our prices in the market now?

Shveta Arya: We are watching the space. Pricing will play out in our view in the next few quarters. We have seen products getting launched. So we are watching this space.

Parikshit Kandpal: Okay. This is the last question on the exports market. Now this is the fourth consecutive quarter of recovery in exports. If you can help us understand the demand from the end markets and which geographies have recovered? And how do you see this demand panning out for us to play out?

Shveta Arya: So from an export perspective, specifically speaking about the quarter that went by, we saw some good orders coming in from Latin America and from Europe. The Middle East, Asia Pacific, Africa regions remains muted. So these are mixed signals. There are geopolitical situations around that. We provide our products to a wide range of countries. So we do see mixed signals. But for the quarter gone by, we definitely saw great orders coming from in Latin America and Europe regions.

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Moderator: The next question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra: Congratulations for an excellent set of results. My first question is to -- what we're trying to understand is out of the overall INR2,400 crores of top line that you have come up with, what rough percentage of that would be CPCB IV sale?

Shveta Arya: Thank you for the question. Thank you for -- I can share with you that in the domestic power gen market, out of the INR2,448 crores, the overall domestic market number I shared with you at INR2,008 crores, of which, our power gen number is around INR896 crores for the quarter. That is PowerGen and the mix continues to be in the last quarter, mostly CPCB IV+ from CPCB II, but mostly CPCB IV+, as you will understand, CPCB IV+ is below 800 kilowatts, and above that is CPCB II range. So there is a mix there of CPCB II and CPCB IV+.

Subhadip Mitra: Understood. Secondly, I think in the -- in your present commentary for this particular quarter, it was mentioned that there is still some lingering benefit of CPCB II presales. So has there been any CPCB II -related presale benefit that has still continued in 2Q?

Shveta Arya: No, no. CPCB presale is all over, and we flushed out all the inventory now. So in this quarter, there is no CPCB presale benefit.

Subhadip Mitra: Perfect. Perfect. That is understandable. Secondly, I just wanted to understand that in this particular quarter, clearly, gross margin numbers have seen a bit of an impact. Is this largely

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because of higher import component that we're seeing for CPCB IV?

Shveta Arya: No. This is largely due to the mix that plays out for us. When we -- in this quarter, there is a large share of the projects business, as we call it, where we do installation and commissioning for some of our gen sets in the -- and so because of that, it's the mix playing out.

Subhadip Mitra: Understood. So we anticipate gross margins to kind of revert back to normalized levels once this project business execution is done?

Shveta Arya: It's the regular part of the business. Projects business continues for us as do the other sales. So there are some quarters where we do a larger share of that kind of business. We do sometimes larger share of the other sales. So it's a continuous part of our business.

Subhadip Mitra: Understood. Understood. Last question from my side is, I understand there is a good component of operating leverage benefit also, which would have probably come in this quarter, leading to these kind of EBITDA margins. So would you believe that this range of EBITDA margin can continue? And what kind of capacity utilization are we getting on that?

Shveta Arya: So from a margin perspective, we've been putting continuous efforts really. We do have good

volumes. There are cost management and material margin improvement programs that we continuously work on. So all of that is ongoing work for us, which is mostly to provide the right value to our customers in the market, and that is going to continue for us.

Subhadip Mitra: And in terms of capacity utilization, any number you would like to talk about?

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Shveta Arya: There are -- so there's a large -- there's a wide range of products that we manufacture in our plants. And our capacities are utilized quite well at this point in time, more than -- on an average, more than 60% to 65% utilization.

Subhadip Mitra: Understood. One last question I would squeeze in that in terms of data centers, is there a large potential market that you're looking at? And what quantum of your sales would data centers apply to?

Shveta Arya: Data centers around the world as a segment is doing very well given the AI boom across the world, as is the case in India. And we have products which are rightfully positioned for that segment. So most definitely, we are quite focused on that segment, and we see the growth of that segment around the world as we see it in India. So that's where we are with data center.

Subhadip Mitra: And any particular percentage of sales today that you're seeing data centers comprise of?

Shveta Arya: Not really. Data center is spread across. We don't give specific segment-wise information. And in data center space, we do first-fit sales as well as we do some project work. So it's spread out across different kinds of work that we do. So we can't share that segment specific information.

Moderator: We'll take the next question from the line of Jason Soans from IDBI Capital.

Jason Soans: Congrats on taking charge on your new role. I would just want to ask you first on the Industrial segment business. Now I believe in January 2025, there is an emission norm change for the construction equipment industry in terms of engines. So are we looking in this -- in the Q3 quarter for some pre-buying? Could you give some color on this aspect in terms of the emission norm change, how are we playing? And how are we getting ready for this change coming along from January 2022 -- 2025?

Shveta Arya: Thank you. Thank you for your question. Yes, there will be an emission norm change in that segment. The construction segment from a demand perspective has been doing well. So in the quarter gone by and in the coming quarter, given the construction activity going on in the country as it is the segment has been -- this particular space has been doing well. As with any other emission

on change, there is some prebuy that happens in the market, plus the demand is strong. So there would be mostly some prebuys before the emission change as happens in every segment.

Jason Soans: I also wanted to understand. I mean I wanted to understand that earlier...

Moderator: Sorry, Mr. Soans your voice is breaking, sir. Can you come in the network area? And there is background noise as well from your end.

Jason Soans: Hello? Can -- is it better now?

Moderator: Yes, sir. Much better. Please continue.

Jason Soans: Yes, sure, sure. I'll try and continue. Yes. So I just wanted to ask, I understand that an earlier participant did ask this question. Now I just wanted to understand this -- the gross margins dip, which happened, it's around 220 bps on a consol basis. So I just wanted to understand, you did explain about the larger share of the project. Could you just explain a bit -- could you throw

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some more color on this, like? And now since we have completely shifted to this CPCB IV+ regime, what could be sustainable options going forward for Cummins?

Shveta Arya: I did explain this that this did happen due to the mix of the products, and it's a continuous part of the business. Other than that, there is nothing specific in this space, and there's just continuous work going on, on improving our material margins, which is an internal program called ACE that we run. Other than that, there is nothing unusual here than the mix. So -- and which plays out based on how we get those projects and how we execute them, as I mentioned earlier.

Moderator: We'll take the next question from the line of Umesh Raut from Nomura India.

Umesh Raut: Congratulations for the strong domestic performance on sales side. My question again is more on the gross margin side. So if I look at overall mix for the company on a quarter-on-quarter basis and on a year-on-year basis, I think it is largely remaining same, but we have observed about closer to 200 basis point gross margin drop on a quarter-on-quarter basis.

So is it primarily because, in your view, whatever cost increase that was there on the CPCB IV+ product side, that is fully not yet passed on to the customer, and that is how incremental CPCB IV+ product line is kind of impacting on the gross margins for you?

Shveta Arya: Thank you for the question. But no, that is not how it is playing out in the gross margin. The gross margin, as I explained, is mostly a function of the mix really. So that's not what's playing out.

Umesh Raut: Got it. Second question. When you are saying that the project business contribution for this quarter was relatively on a higher side, are you referring to project business which is coming under Industrial segment? Or any particular project order that you have received in the power generation side?

Shveta Arya: This is a separate business. This is not from the Industrial business. This is execution of sites at the data center where we do installation and commissioning of heavy genset applications tailored to the customer's demands. So that's what this project business is.

Umesh Raut: Got it. I'm sure you are restructuring exercises like VRS and all. They have contributed in controlling employee cost for you. But for this quarter, we have observed more of about flat employee cost on a year-on-year basis. Any reason over here? What kind of employee cost run rate we can assume going forward?

Shveta Arya: I'll request Ajay for you to take this question, please.

Ajay Patil: Umesh, thank you for joining the call. I think the function of what you see on the people cost has some amount of one-off item impact that has played out in the quarter. There were certain reclassifications that we reported. So therefore, the number is still flat when you see it on a year-on-year basis. However, when you see it on a YTD basis, on a 6-monthly basis,

is, you will find

people costs have the impact of one-off plus the mix. So overall, you should expect the people costs to inflate at a normal rate what you've seen historically.

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Umesh Raut: Okay. Could you please quantify the number for first half or for this quarter?

Ajay Patil: There was some one-off adjustment to the tune of about INR42 crores.

Umesh Raut: This is for the quarter, right?

Ajay Patil: Yes. Quarter and YTD, both.

Umesh Raut: Okay. Got it. And there is any one-off on the other expenses side as well in the quarter? Because we have seen about 32% jump in other expenses as compared to 31% sales growth. Was there any promotional expenses around new product launches related to CPCB IV+?

Ajay Patil: No, I think the other expense, Umesh, is a function of how the volume has played out for us. As you would have seen on an H1 basis, the revenue is up 16%. So obviously, there is an impact of some volume-linked variable expenses there. Besides some of the re-class that I talked about has some impact flowing through the other expense as well. And plus, of course, there are certain investments that we have made when it comes to our front-end infrastructure on how we serve the customer.

So some costs associated with those technology expenses, those are coming through in the other expenses.

Moderator: We'll take the next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Ma'am, what is the currently capacity utilization in our genset factory in terms of engine manufacturing facility?

Shveta Arya: Yes, Ajay, would you like.

Ajay Patil: I think, Mahesh, the way the capacity utilization actually looked at, it is in 2 parts. One, is on the manned capacity side, we are in excess of 90%. However, when you look at our installed capacity relative to that, we are about 60% or thereabouts. So from a capacity availability point of view, we have ample capacity available in order to address any potential uptick that will come.

Shveta Arya: Yes, thank you. Yes.

Mahesh Bendre: So basically, the waiting period for genset has gone up?

Shveta Arya: No, the waiting period for genset has not gone up. We are maintaining our lead times. In fact, we've been able to work on our supply chain, and we have been able to improve our lead time.

Mahesh Bendre: Okay. And sir, last question from my end is about distribution side. I mean, this business has been doing really well, 20% growth. So how should we look at in terms of the genset population we are currently addressing? I mean, if someone has to imagine about the business in terms of growth, how should we look at this?

Shveta Arya: So this is a parts and service business for us. And where we are focused on, is increasing the penetration with our customers across the board. And we continuously provide service contracts

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as well as parts to our customers for them to be able to maintain their assets over a long period

of time. So our endeavor is to provide that right kind of maintenance and the right kind of value add for the customer. And that's how this business has been growing for us, and it continues to be a focus area for us.

Mahesh Bendre: So the -- I mean, the genset -- as long as genset population grows from our end, this business will continue to build up, right?

Shveta Arya: So the genset population growth, our penetration with the customers, both of those help with growing this business.

Moderator: We'll take the next question from the line of Priyanka Biswas from BNP Paribas Exane.

Priyanka Biswas: Congratulations, ma'am, for your new responsibilities. So my first question is on the PowerGen side. If I recall in the last con call, what we heard was that there was a lack of channel inventory for CPCB IV because there was a lot of pre-buyin

g. So what is the inventory level at the channel right now? And also parallelly on that question, I would add on one more thing is, what I understand is that most of the players are offering 2 years comprehensive warranty .

And then on top of that, 3 years critical parts warranty. So isn't it going to lead to higher warranty provisionings at your end in case if you are following the same trend. So that's my question.

Shveta Arya: Okay. Thank you for the question. I'll first answer the inventory question. We continuously evaluate inventory in the channel. And for CPCB IV+ as well, we have evaluated the inventory, and we are at adequate stock availability in our channel for CPCB IV+. So that's where the inventory levels are. In terms of your question around warranty, we -- this is a very, very careful calculation at our end.

We work through what does the customer need, how can we provide the best value to the customer. And that's how we provide them these kind of warranty options. This does not lead to any excess provisions. It's the usual course of business, and we have quantified that in our books as well.

Priyanka Biswas: Okay. So -- and then one more question that I have is recently, what we are seeing is that, at least from the data shared by ICEMA that the construction equipment sales growth has been falling. For example, in 4Q, what used to be 21%, is now like 1% construction equipment sales growth in September. So how confident are we that our construction segment or the industrial sales will continue on their growth momentum?

Shveta Arya: We have seen strong demand from our customers in the construction segment. So that's -- we do think that this space will show demand in the coming quarters as well. We have not seen any other signals yet.

Priyanka Biswas: And then finally for me and like the usual breakup of PowerGen, like HHP, mid-range, LHP and for industries like mining, construction, those numbers, if you can share?

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Shveta Arya: Sure. Let me share the PowerGen sales numbers. So for high horsepower for the quarter, we saw INR452 crores of revenue, for MHP, INR178 crores, so LHP, INR199 crores, and for our projects business, around INR68 crores. That's the total breakup of PowerGen. For the Industrial business, the breakup into different segments, construction around -- construction is INR146 crores, rail INR105 crores, mining at INR32 crores, compressor at INR58 crores and those are the major segments that we operate in .

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah : Just on the previous participant's question. You gave us the breakup for PowerGen for domestic. Could you also provide the breakup for export?

Shveta Arya: Yes, let me share that with you. For the export, the high horsepower exports for the quarter overall, INR200 crores. And the low horsepower for the quarter is INR198 crores spread across the different geographies.

Moderator: The next question is from the line of Vinod C from PhillipCapital.

Vinod C : Congratulations on your first quarter. I had a question related to data center. So what will be our market share in our addressable market in data center? And parallel to that, see, backup is non-negotiable in data center. So are we able to command better pricing in data center sales compared to our regular sales?

Shveta Arya: Thank you for your question. As I mentioned, data center is a focus segment for us. It's a growing segment. We are rightly positioned with the correct product in this market. We have good relationships with all our customers. As you rightly said, backup is very important as is customer service in this segment. So through both our businesses, we are very well positioned in the data center market to provide the value that our customer needs.

Vinod C : So are we seeing better pricing in data c

enter compared to what we normally realize in the market?

Shveta Arya: We are always very competitively priced in the market. And data center, as any other segment, also, there's obviously competitive pricing in that space as well. We are priced adequately.

Vinod C : So what would be our market share there?

Shveta Arya: We won't be able to share the market share information, but I can tell you that we are very well positioned because our products are very well accepted in the data center space, and we provide the right kind of service to our customers along with the value add that specific segment needs.

Vinod C : Sure. Second question was on exports. You've been mentioning for the past 1 year that India has the higher standards of emission norms. And if my engines are passed in India, it can be sold anywhere. So where are we on that in terms of making India for CPC B IV? And since you spearheaded the CPCB IV probably you're apt to answer that?

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Shveta Arya: Yes. Thank you for that question. So CPCB IV if you see, it is -- we are rightfully amongst the most stringent norms across the globe. We do have that technology. There are certain markets who are at these kind of emission levels, and there are certain mar kets that are not. As markets transition and as they require these products, we are ready with the technology. As we speak, we are tailoring our products for the markets which are getting ready to be able to provide this technology to them. So as and when the markets move, we move and we are able to provide this technology to them.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: Shveta, congratulations for the new role. I move to my questions. The first one being, was there any positive benefit that you had in the PowerGen segment because of restocking that would have happened for CPCB IV products? Can we assume this run rate?

Shveta Arya: We can't hear you clearly. Could you please repeat your question?

Moderator: I'm sorry to interrupt, sir. Your voice is muffled. May I request you to use your handset, please?

Aditya Mongia: Is it better now?

Moderator: Yes, sir. Please continue.

Aditya Mongia: Great. So the question that I had was, was there any positive effect on the PowerGen sales because of restocking that would have happened for CPCB IV compliant products? Or can we assume this run rate incrementally as well?

Shveta Arya: Sorry, we're still unclear. The voice is still slightly muffled. You're asking about CPCB IV+ restocking?

Aditya Mongia: Yes. In the sense that as you flush out CPCB II products and go for CPCB IV, was there any inventory filling that led to a higher -than-usual number in PowerGen for the quarter?

Shveta Arya: Okay. No, no, no. No, we had flushed out all the inventory before 1st of July. So there is no impact of CPCB II inventory in this quarter.

Aditya Mongia: Understood. The second question that I had was more on your assessment of the market share gain that has happened for you prior to and now post CPCB IV in the PowerGen segment as a whole, if you could give us some sense on that?

Shveta Arya: So in the PowerGen space, I will tell you, in the CPCB IV+ range, we launched the product last year. And we have managed to make a lot of improvements in our supply chain till then. We have been able to -- our product is exceptionally well positioned. We h ave a great brand in the market. We are pricing competitively. And there is good acceptance of the product in the market. That is the CPCB IV+ range.

And in the higher ranges, we have seen, because our products are well positioned in the high horsepower range, so we have seen that our market presence has remained stable over the last 3

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quarters, and we have been able to maintain good

value to our customers. That's what I would be able to say.

Aditya Mongia: Understood. I just want to move on to the data center piece because I think it's important to understand for all of us. Now if you see the global company's PowerGen sales, it seems as if data centers command almost 40% salience inside the PowerGen number a nd they count the distribution piece of PowerGen inside. Could you give us a sense whether it's a good way to think through the mix of PowerGen in India for Cummins, maybe, 3, 4 years down the line?

Shveta Arya: We -- global markets and India markets are quite separate in their demand drivers and what drives the market. Different countries are at different spaces in terms of their backup power needs and how data centers are progressing. So I will not be able to sa y that we can draw a parallel right away with those global markets unless we can really analyze them with how similar

they are and how similar India will be to some of those market signals.

Aditya Mongia: Understood. Just a related question and maybe I'll fall back into the queue. Basically, if you see globally, this phenomenon of hyperscaler data centers are becoming more and more prominent and these customers typically are probably better served by Cummins because -- because Cummins owns their own kind of distribution network as well, which I think is of importance in this kind of segment.

Should one thus be assuming that as share of these kinds of customers goes up, the market share that Cummins would be having in the data center segment and potentially the distribution revenues also start scaling up?

Shveta Arya: I will only say that Cummins has good technology, well -accepted product and really good service and relationships with these customers. That being said, the data center is absolutely a growing market in India. And us as well as others who are present in this market, we do have a great brand presence and great relationships with our customers.

Aditya Mongia: Can that lead to an export kind of number happening in the data center market as such? Can that lead to an export number that starts becoming relevant over time? That will be the last question.

Shveta Arya: Data centers across the world, the nodes at which they operate are not similar. India operates at a different node. And in the other markets, these are slightly higher nodes at which data centers operate, what they buy. So there could be, but there are -- these are different nodes as we speak.

Moderator: The next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: I just have one question, and sorry to harp on the competition and domestic market point. See on post the new nodes, the competition eventually will catch up. But do you think this time on gensets up to 800 kVA, the competitive intensity will make us compare the market share similar to what we enjoyed in the older nodes? And more importantly, because this time, seeming the competition is taking more time.

So 3, 4 of our key local global competition are yet to see the acceptance of even higher nodes, particularly in data center or advanced nodes. So do you think the market share will stabilize

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even in the data center piece of ours by next year? Or it will still remain around 70%, 80% plus market share, which earlier in the calls we had shared?

Shveta Arya: So the data center space is outside of the CPCB IV+ space. The CPCB IV, as you rightly said, is up to 800 kilowatts. So if we were to talk about the CPCB IV space, we were amongst the first few to launch this product about a year ago across the nodes in the power gen market. And we do -- I did mention that our product has good acceptance, and we have been able to make a lot of improvements in our supply chain and provide better value adds to the customer.

Definitely, our customers have more choices now with other

products being launched in the

market as well. So that's with respect to your specific CPCB IV+ question. Data center is not a part of the CPCB IV+ range. And I did answer the data center question that we definitely see the demand in the data center market to continue. And we -- our product is very well positioned, along with the relationships that we have with our customers.

Amit Mahawar: And just a clarification on the last participant's question. Did I hear you correctly, you mentioned the manufacturing of data centers led product and the manufacturers, particularly for India, it is not for the global markets. And I'm also asking this question because some regions saw a very strong growth, like China doubled in power gen revenue this quarter. So did we have any export benefit there?

Shveta Arya: So in case of the data center market, the product that we have for the data center market, India, China, Southeast Asia actually use the same product. It's the US and the U.K. which use different nodes in the data center. So definitely, we export to those kind of markets, which is the same product in the data center space.

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Fund.

Jonas Bhutta: Congratulations on a great set of numbers. And Shveta congratulations on the new role. A couple of questions from my side. Firstly, if you can talk about volume growth in the PowerGen side.

While we understand this quarter sort of benefited from a lot of restocking of CPCB IV+ engines at the dealer end. For the year, as a whole, do you expect volumes in the power gen to grow?

Given that what we see as revenues is a function of price and volume and prices are up 25%, 30% for this year. So how should we think through volume growth, particularly in PowerGen, with the backdrop that last year, FY '24, saw 40% growth in megawatt terms, in the power -- on the generator sales side, which is what is reported in the annual report. So that's the first question.

Shveta Arya: Thank you, Jonas, for the question. Ajay, do you want to take the volume question?

Ajay Patil: I'll take it. Jonas, as you know, for last year, the original date for migration to CPCB IV+ was July 1, 2023. And at the last minute of that change that date was shifted to July 1, 2024. The consequence was that we had a prebuy in quarter two of last year, which was quite significant.

And that's the reason when you see it in unit growth perspective, the FY '23, '24 number were to that extent significantly higher than the year before.

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Now obviously, from a current year that the migration was clarified. The 12 months that you see from July till this June was a combination of both sets of products getting sold in the market. So obviously, the onetime effect of that prebuy had an obvious impact on the subsequent quarter and all of us have seen those numbers softening on an expected line last year.

Now if you take that sort of a phenomena out, our belief based on when we see the unit wise volume growth that is playing out for the year to be consistent with what we see the broader guidance that we have been generally providing in terms of how do we see the growth is panning out for the year, number one.

Number two, price that you talked about is really a function of how CPCB IV because we were among the first to get our product readiness in the market. And then the other players progressively catching up would mean that the price discovery is still playing out. Now whether that price discovery process goes on for another quarter or more, our hypothesis is that maybe it will go on for up until another 3 to 4 months. So maybe that's where the clarity would start to emerge.

So when you see the revenue number, as you rightly pointed out, I think it's a function of what is happening on the unit side; b, what is happening to the price.

Obviously, there is a price change

because we are talking of transition from mechanical to electronic engine.

And number three, also there is a content increase. The configuration of CPCB II genset and CPCB IV genset is very different. Given the emission requirements, we have new products which are after treatment and many other electronic components getting added. So the II and IV products is really not comparable. So when you put these 2 things together, you will have to look at this current year more of a transitional year in terms of these changes playing out before we can very clearly state as to what the unit growth volume is and what the pricing impact is.

Jonas Bhutta: Just a follow-up on this, Ajay. So just to close this out, is it fair to say that on a normalized basis, this year, we'll still see a 2x GDP volume growth? Pricing will obviously yield at a higher ultimate revenue number. But are you on track to do a 2x GDP volume growth this year? Is that what the market is supporting?

Ajay Patil: I think since your question is linked to the guidance, Jonas, I will just reiterate what Shveta said at the start of the call that we continue to maintain our double-digit guidance for the year. On the revenue side, volume is a little bit of a difficult one to see because we are not giving guidances on volume. And you also have to remember that the volume also has a shifting chance in it because the way the volume gets computed depending on which segment you talk about. For example, telecom, there is a large volume unit growth at a very low end of the market goes into the segment, which kind of re-shades the number when you think about the volume growth. And because it's a tender-driven business, and we participate very selectively into it, that can change the dynamics of what unit volume we had in the previous year compared to what unit volume we have this year.

So therefore, I think, this year is going to be that way difficult to compare given the sort of a hybrid transition that we did, where we had 2 emission products playing out in the same year. It

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generally doesn't happen because there is generally a clean cutover taken for emissions. But because it has been sort of a mixed bag and we are selling both the products up until 30th of June, that the unit growth is going to get a little bit impacted as a result of how the emissions are implemented.

Jonas Bhutta: That's helpful. The second question was on the value addition on the CPCB IV+ engines kind of. And you alluded to the fact that there is a content change, and most of that content typically is going to come from group entity, which is on the SCR side. Given now 2 normalized quarters on CPCB IV+, do you still hold on to this view that the gross margins on the IV+ engine is similar to the CPCBII engines despite the higher components coming from outside the listed entity?

Ajay Patil: Yes, so Jonas, I think the question is -- and we have already stated that, right? I mean, the -- when you think about the content change and the way it is playing out. The current year's revenue has a combination of both the products, okay? Number two is that as we now take a clean cut from July onwards, then we will, so to say, a revenue which is predominantly driven by CPCB

IV into our revenue profile.

Number three is the mix part, which was explained by Shveta earlier for a different question. Also how the mix plays out overall because just to remind all of us that the emissions are only up to 800 k VA. Above that, which is predominantly an HHP segment continues to be operating at the old emission norms. If that plays out stronger, for any reason, then to that extent, the overall revenue number would be then little different as to how the year plays out. Number three, from a supply chain question that you asked, I think we continue to sort of opt

imize. And as you rightly said, now that we are operating for a period of time, our supply chain optimization is a continuous process. And because we are an engineered product, even if we see a cost reduction opportunity, we are not able to deploy it immediately unless it is clear from engineering point of view. And that process of validation takes time for us. So an opportunity identification, getting the opportunity realized and getting a sign-off typically can take anything between 3 months to 6 months for us. So some of this cost optimization effort, we will continue to see reflecting into our margins as we go forward. And the quarter-on-quarter number, Jonas, as all of us know, has the impact of mix. And therefore, I'm not giving a guidance or anything, but simply saying that generally, a full year number or half yearly number is a better representation in terms of how the figures look like.

Jonas Bhutta: And the last quick one. I know many questions were centered around data center. But Shveta, like you said that, there is no difference between developed markets and developing markets. But typically, as the scale migrates, today, they are -- developed markets are setting up 100 - megawatt data centers, single locations, and probably at some point in time, this migrates to India over the next 2, 3 years.

Indian entity because what we understand the QSK60 and the QSK95, which are the predominant nodes used abroad, sit in CTIL. So from a clarification perspective, would Cummins India Limited
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appreciate that while the sales is routed through CIL, which is the listed entity, the manufacturing for QSK60 and QSK95 currently sit in CTIL?

Shveta Arya: So Jonas, QSK60 is the predominant node in the data centers in India and Southeast Asia. And for the global markets like US and Europe, the predominant nodes are QSK78 and QSK95. Now we've been watching the data center space, and as you rightly said, we are also thinking that probably the data center nodes in India will move up in the range.

But for now, data centers is a very space -- constrained space in our country still, where you see the data center clusters in India, in Mumbai, in Hyderabad, in Gurgaon, in Delhi, these are still space-constrained cities, which is unlike the global markets.

So for the India market and predominantly the larger Southeast Asia market, QSK60 continues to be the predominant node, which is a very, very robust node made in India and made for India for the rest of world as well. So as of now, we are not seeing a migration towards the higher nodes for the India market, mostly owing to space constraints and also customers being very familiar with the QSK60 node and the maintenance of that -- those equipments which have QSK60.

So we are not seeing that trend. We are watching it very carefully for now. And as things change, we'll take those calls.

Jonas Bhutta: Just to clarify, does QSK60 manufacturing sit in CIL?

Ajay Patil: Jonas, QSK60, as we have stated in the past. It is an export program that got launched. And therefore, from a manufacturing perspective, a significant volume of the QSK60 was for Cummins to exports purpose. The domestic volume is fairly low. On its own, therefore, on the competitive side, CIL gets that engine at a certain level of readiness from CTIPL does the subsequent value add to CIL, and then it gets sold in the domestic market or various applications, including data centers.

Moderator: We'll take the next question from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Most of my questions are answered. And this is in continuation with Jonas' question. So we've had 2 consecutive quarters of about INR800 crores plus revenue in the PowerGen segment, out of which second quarter clearly was only CPCB IV+ in terms of new implementation. Can we, for our modeling purposes, assume that this is now the new base

to model next few quarters

from here on, i.e., it has the impact of significant price increases in CPCB IV+, plus that you did not have a large portfolio of CPCB II that got sold in the current quarter.

And I'm asking this question because there's been a lot of noise and numbers in the past few quarters with meaningful price increases and pre-buying and so on and so forth. So between INR800 crores to INR900 crores in the last 2 quarters, is it the right number from a sustainability

perspective and we build our models based on that. Is that a right assumption?

Shveta Arya: I'll say 2, 3 things here. The first is that from an overall market demand perspective, the market continues to show demand in the power generation space. The second, the numbers are not

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completely just CPCB IV because CPCB IV+ is applicable only up to 800 -kilowatt hour or the 910 kVA range. Above that is CPCB II. So both these in different ranges continue and contribute to the overall PowerGen segment sales.

Now the third thing around pricing, Ajay, mentioned, we are seeing -- this was the first quarter where we saw full CPCB IV+ and we do believe that pricing will take some time to settle in the market, at least 3 to 6 months. So the demand, the pricing, the mix between below 800 and above 800 which can change given where the demand is driven. So higher -- if we are selling in the higher than 800 -kilowatt hour range, that is more the CPCB II product and then below is the CPCB IV+ product. So those will continue to play out really and could give us different results.

Pulkit Patni: No. I think all the 3 points are well taken, and that's exactly what my question was.

Moderator: We'll take the next question from the line of Sanjaya Satapathy from Ampersand Capital.

Sanjaya Satapathy: Can I just ask that what is the level of indigenization in your CPCB IV gensets? And what is the scope of improvement there?

Shveta Arya: So in the CPCB IV+ product range, you will appreciate that we are a global company, and we do take advantage of technology and products from around the world. A large part of our CPCB IV+ product range and what goes in those products is localized. And we are continuously working on where we do not have indigenized parts yet. So it's a continuous endeavor, but I can tell you that the large part of that product range is already localized at the time of launch.

Sanjaya Satapathy: Understood. And does this mean that our scope of margin improvement is not much from current level?

Shveta Arya: I do think margin will be a factor of various things. Other than localization, there are other cost reduction efforts that we take, which is around value engineering, Ajay was explaining just a while ago. We are continuously working across all CPCB IV+ products, even those that are localized on cost improvement programs. And that, plus the pricing settling in the market. So margins is actually a function of those two. So can't say it only depends on localization efforts.

Sanjaya Satapathy: Understood. And last thing, if you can just tell us like a bit in the gensets, which is like over INR800 crores for you, how much would be data center -related and how much would be non - data center? Is that something which you can share?

Shveta Arya: That is very segment.

Sanjaya Satapathy: At least how much is more than those 800 -plus capacity that mix of that?

Shveta Arya: We won't be able to share that. And like I explained earlier, data center sits in the projects business for us as well as in the actual sale of the product, both different places. So it's difficult to tell you really what would be our presence in that space.

Sanjaya Satapathy: Okay. And can I just also understand from your perspective, like the previous instance of this emission change was a little bit more disruptive for the industry and the demand took a lo

ng longer

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to settle, but this time around the implementation has been a very different way that is 1 -- staggered 1 year.

So should one expect the normalcy to return to the industry much quicker and the pricing discovery will be faster than what happened in the past? And also related to now that you are like in globally benchmark in terms of emission norms, shouldn't one expect a much better export prospect for your company?

Shveta Arya: So on your first question on whether the market will settle quicker, obviously, everyone has learned through the last emission change. But how soon will we settle in the market is difficult to say. Will it be quicker than the last emission norms? Difficult to say. All I can say is that everyone has learned through the last emission cycle, and we all had 1 year also to learn on how the product is doing in the market.

On the export side, I did answer this question earlier. Yes, we definitely have the technology. We are looking at different markets. Some of the markets which need our product, and we can tailor our products for their specific requirements, that work is going on. And for other markets, which would move to this emission norm, this is one of the most stringent emission norms around the world.

So there are not many markets which are on this level of emission norms. But we closely monitor

that. And as markets move, we are ready to provide the products for those markets. And you will appreciate that for each different market, while the core technology is there, the products need to be tailored to suit the local market requirements. So that is the work we are doing currently for some markets which need these products and watching the other markets closely.

Sanjaya Satapathy: Okay. And as we know, like last year, December quarter, you had taken some kind of inventory correction in your exports market, probably that is not the case. So the double-digit guidance which you are giving probably, I assuming it is for domestic market while exports probably on that low base will start growing much better. Is that correct assumption?

Shveta Arya: Guidance for us is overall guidance, not just for the domestic market. And exports, I shared earlier, we have mixed signals. There are certain markets which have shown some signs of recovery. There are certain markets which we are watching very closely. The geopolitical situation is still volatile. Yet our overall guidance is what we have provided for the overall business of the company.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Mohit Pandey from Macquarie Capital.

Mohit Pandey: My first question is on the demand outlook. On press release, you have mentioned you're cautiously optimistic about the near term, but optimistic about the demand outlook for the medium term. If you could share your thought process around how are you factoring in impact, if any, from potentially higher adoption of storage solutions on genset demand, ma'am. That would be my first question.

Shveta Arya: Sorry, the voice was a little.

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Ajay Patil: Battery storage impact.

Shveta Arya: Okay. Battery storage demand on -- the impact of that. Well, I would say that in the backup power space in the country, given the way we are in the power situation, for a growing economy like ours, one is that we do see this backup power demand grow over the medium to long term for the time being for our country.

Second, there are different solutions which are being priced today. But you will appreciate that in the backup power market or the standby market, reliability is extremely important for our customers for different segments that we operate in. So the energy storage solutions, while there are available in the market, from an afford

ability, reliability, ease of use, ease of deployment, I think we all are watching that space.

So it remains to be seen how it comes out in the future. But I would only say that reliability of the product, clean products available to the market is paramount. And for now, we are seeing good demand for us in the market.

Mohit Pandey: Okay. And then secondly, with regards to the Industrial segment, if you could share a sense of what proportion of the segment will see some impact of the upcoming emission norm changes, that would be very helpful.

Shveta Arya: Yes. That's the construction segment you are referring to, which is going through different emission norms from the 1st of January. I did share that in the last quarter, the construction segment saw about INR146 crores of revenue. We are seeing strong demand from that segment, owing to activity -- higher construction activity from our set of customers, and we see that demand continuing for the time being.

Mohit Pandey: Okay. And any ballpark indication of what kind of price changes are expected with these norms? Or is that too early?

Shveta Arya: That's too early. That is too early.

Mohit Pandey: Okay, ma'am. No problem. And the last question is on exports. If you could share more color on region-wise trends that would be very helpful, for the key regions, yes, on the demand side.

Shveta Arya: On the demand side?

Mohit Pandey: Yes, yes.

Shveta Arya: So we have shared in the past calls that we believe the demand has bottomed out. But like I said earlier, mixed signals yet. So we are trying to watch it really closely. So for example, in this quarter, we definitely had great order from Latin America region and Europe region, which we were able to execute. From the Middle East and Africa and Asia Pacific regions, the demand continued to be flat or muted. So watching the space, we're getting mixed signals. We do believe that this should improve. We're watching this very closely.

Mohit Pandey: Okay. And a lot of this sluggishness is also linked to higher channel inventory there? Or is that understanding not fair?

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Shveta Arya: I'm sorry, could you repeat that?

Mohit Pandey: Yes. So this continued sluggishness is linked to higher channel inventory in some of these markets? Or is that kind of...

Shveta Arya: In the exports? It's the exports?

Mohit Pandey: Yes. Yes.

Shveta Arya: It's a mix. It is really a mix. Different regions are -- there are certain geopolitical issues in certain regions. There is, for example, better power availability in certain regions. There are certain regions who are dealing with emission changes. There are different -- there is obviously some inventory in the system as well. So there are different reasons.

And in fact, if you look at places like Europe or Africa, these are -- even within those places, every country behaves differently. So very, very different reasons in different countries and different regions, hard to point 1 or 2 big reasons for this.

Moderator: Thank you. As that was the last question for today, I'd now like to hand the conference over to Ms. Shveta Arya for closing comments. Over to you, ma'am.

Shveta Arya: Thank you. Thank you to all of you for your active participation and engagement during the call today. Cummins India believes that the broader economic outlook is stable. And India's GDP is expected to grow by approximately 7% based on various reports. Fiscal and monetary policy stability, coupled with government emphasis on infrastructure development, bodes well for our end markets.

Export markets are showing some signs of recovery in few pockets, and we continue to work with our intercompany partners to drive growth opportunities in all the end markets in the world where we supply. The company closely monitors geopolitical events unfolding in various parts of the world and th

eir impact on global demand and supply chain. The company is well positioned to leverage all opportunities to sustain its growth momentum.

And with a strong balance sheet, world-class infrastructure on the ground for manufacturing, our best-in-class talent, we are very confident of sustaining our growth trajectory. Thank you for your continued trust and confidence in the Cummins brand. And with this, I would close the call. Thank you so much, everyone.

Moderator: Thank you very much, ma'am. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now, and you may disconnect your lines. Thank you.

Call: Feb 2025

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February 10, 2025

BSE Limited,
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Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (East),
Mumbai 400 051
BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Transcript of Q3 FY 2024 -25 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our stock exchange intimation dated January 24, 2025, regarding Q 3 FY 2024 -25 Results Conference Call, please find enclosed herewith transcript of the said call held on February 07, 2025. Kindly take this intimation on your record.
Thanking you,
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096
(This letter is digitally signed)

Encl.: As above.

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“Cummins India Limited
Q3 FY 2024 -'25 Earnings Conference Call ”
February 07, 2025

MANAGEMENT : MR. SHVETA ARYA – MANAGING DIRECTOR –

CUMMINS INDIA LIMITED .
MR. PRASAD KULKARNI – INTERIM CHIEF FINANCIAL
OFFICER – CUMMINS INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q3 FY 2024 -'25 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I will now hand the conference over to Ms. Shveta Arya , Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Good morning, ladies and gentlemen. I hope you are all doing well and staying safe and healthy. Welcome to the Cummins India Limited Quarter 3 2024 -'25 Earnings Conference Call. I am Shveta Arya , Managing Director of Cummins India Limited. Joining me on the call today is Prasad Kulkarni, Interim CFO of Cummins India Limited.

Thank you for joining us today. I would like to inform you all that the Board meeting -- at the Board meeting of the company held earlier today, the Board approved sale of 100% subsidiary of Cummins India Limited, namely Cummins Sales & Service Private Limited, CSSPL, for a consideration of INR56.5 crores. Post the completion of the transaction, CSSPL will cease to be a subsidiary of the company. The expected date of closing the transaction is April 1, 2025. I would now like to share the financial results of quarter 3 financial year 2025. For the quarter ended December 31, 2024, with respect to the same quarter last year, our sales at INR3,041 crores are higher by 22% compared to INR2,502 crores recorded in the same quarter last year. Domestic sales at INR2,577 crores are higher by 18%. Exports at INR464 crores are higher by 43%.

Profit before tax at INR670 crores is higher by 11% compared to the same quarter last year. For the quarter ended December 31, 2024, with respect to the previous quarter, our sales at INR3,041 crores are higher by 24% compared to INR2,448 crores recorded in the last quarter. Domestic sales at INR2,577 crores are higher by 28%. Exports at INR464 crores are higher by 5%. Profit before tax at INR670 crores is higher by 13% compared to the previous quarter.

The segment -wise sales breakup for the quarter ended December 31, 2024. For the domestic business, PowerGen domestic sales were INR1,271 crores, 18% higher compared to last year and 42% higher compared to last quarter. Distribution business sales were INR746 crores, 13% higher compared to last year and 13% higher compared to last quarter. Industrial domestic business sales were INR511 crores, 24% higher compared to last year and 26% higher compared to last quarter.

For exports, high horsepower exports were INR202 crores, 47% higher compared to last year and 1% higher compared to last quarter. Low horsepower exports were INR216 crores, 47% higher compared to last year and 9% higher compared to last quarter. Regarding the sales outlook for the full year 2024 -'25, we expect to achieve double -digit revenue growth over the fiscal year 2023 -'24. I now open the session for questions. Thank you.

Moderator: The first question is from the line of Mohit Pandey from Macquarie Capital.

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Mohit Pandey: Congratulations for the set of financial results. My first question, ma'am, is on the domestic PowerGen business. If you could please comment on pricing trends at the portfolio level and now that there's -- more than 6 months have passed with full -fledged adoption of CPCB IV, if you think pricing levels have more or less settled? That would be question number one, ma'am.

Shveta Arya: Mohit, thank you for the question. From a PowerGen domestic perspective, we believe that pricing will take at least another one or 2 quarters to settle in

the market. We spoke last time that

there was inventory of CPCB II available till the last quarter. So we still will see -- now we will see the market completely buying CPCB IV+ products. So another quarter or 2 is what we believe pricing will take to settle.

Mohit Pandey: Okay, ma'am. And a follow -on to that, if you could give end market -wise color on what has driven the strength in the domestic PowerGen market in this quarter, that would be very helpful.

Shveta Arya: Yes. So the infrastructure growth in our country continues. And specifically for the power gen market, we see demand in the mission -critical power segment. As infrastructure is getting built

in the country that continues to grow. Data center segment continues to grow in our country. And with the infrastructure spend, there are many other segments which continue to grow. So this demand is actually across various segments.

Mohit Pandey: Okay. And ma'am, typically, you give a breakup across low HP, medium HP, high HP for domestic. If you could please share that for this quarter?

Shveta Arya: Yes, I can do that. For this quarter, for PowerGen low horsepower, we recorded sales of INR82 crores. For the midrange, we recorded sales of INR196 crores. For the heavy -duty, we recorded sales of INR99 crores. And for the high horsepower, we recorded sales of INR893 crores in this quarter.

Mohit Pandey: Okay, ma'am. Ma'am, does the high HP sale number imply a big data center delivery in the quarter?

Shveta Arya: Yes, it includes data centers. It includes other mission -critical segments as well, which buy the high horsepower products.

Mohit Pandey: Understood. Ma'am, very last question on the sale of the wholly owned subsidiary today. If you could give more color around the rationale and how was the valuation for that arrived? That would be my last question.

Shveta Arya: Sure. So this wholly owned subsidiary is actually a dealership entity. And we had this one dealership entity that the company had shares in. Across the country, there are other dealerships that we have as well. And strategically, what we have seen is that having independent dealers around the country really helps us serve our customers well.

So strategically, going forward, that is the model that the company -- which we have adopted for the last year, last few -- many years. We will continue with that model. And with that intent in mind, we have divested this dealership entity. I hope that helps.

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Mohit Pandey: And any color on the valuation, if it is possible to share?

Shveta Arya: No, it's a normal process of valuation that every company follows using -- there's nothing out of the ordinary.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter. So my first question is on pricing. So since these products were introduced by us in July, so from that point until now, have you seen any cut in prices for your own product portfolio?

Shveta Arya: We -- So thanks for the question, Parikshit. Parikshit, we are still seeing the pricing settle. As I said, we will still see changes in the pricing probably come in, in the next 2 quarters. So we are watching this space continuously.

Parikshit Kandpal: No, I'm talking about your product portfolio. About your own...

Shveta Arya: Our product portfolio, we have been able to maintain pricing until now.

Parikshit Kandpal: Okay. That is what I was asking about.

Shveta Arya: Yes, we have been able to maintain our pricing.

Parikshit Kandpal: And if I look at the universe of the subsets of -- I mean, till last few quarters, the competition has been lagging and introducing their nodes. So do you think now our competing nodes would be like across the competitive -- entire competitive environment? So we have now the entire portfolio of competing

products from our peers?

Shveta Arya: Yes. Now everybody has launched their products. Cummins is the company which has products across the range. So our competition definitely has launched products in the ranges that they operate in.

Parikshit Kandpal: Is there any comments from your own market intelligence that what could be the pricing differential and also the total cost of ownership? Because if our engines are more efficient, they have more power density. Do you think we are still competitive even if we are priced higher? So first of all, how much is the pricing differential between our and the universe and whether the total cost of ownership still give better value to customers?

Shveta Arya: What I can tell you is that we launched the products in July '23, and we've had the time to really work on our product very well. So the total cost of ownership definitely works for the customer and our product is very well accepted. The technology is quite advanced and our products are doing well in the market. So well -accepted product. We have been able to work on the product to make sure that the TCO works for the customers.

And as far as pricing goes, this will settle in the market in the next 2 quarters, and we'll see how that goes. But the product is well accepted. And this is advanced technology. There is higher content in the products. And yet from a total cost of ownership perspective, given the advancement in technology, we believe that it works for our consumers.

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Parikshit Kandpal: Any comment on pricing differential between us and the peers?

Shveta Arya: It is quite dynamic, very different across nodes, very different across segments. It's very difficult to give you one single answer for this.

Parikshit Kandpal: But high single digit or early double digit, mid -teens? So any commentary?

Shveta Arya: No, no, -- it varies. It really varies, and it's settling. So it's quite dynamic. It's not settled yet. So I won't be able to give you a number just yet.

Parikshit Kandpal: But we'll be higher than the peers, right? Our pricing will be higher than the peers. Is that the right understanding?

Shveta Arya: We have a very advanced technology, and we bring in expertise from around the world. We have aftermarket presence, which really helps our customers. So we -- definitely, our brand commands that kind of value in the consumer's mind. So I would say that's what drives the value of our product for our customers.

Parikshit Kandpal: Okay. And Shveta, last question, the parent has announced \$200 million capex for India, the country. So what portion of that will come to the listed entity? So how will it get divided between various entities? And what would be our share in that? And what will this capex be incurred for?

Shveta Arya: So our -- we, as a company, keep evaluating our capex needs very regularly to see what are the new product ranges that we want to launch, what are the new technologies we want to launch for our customers. And that's a regular cycle. And the parent has announced for a few countries their capital expenditure.

It will definitely come to us as well based on our needs, what -- where we need to spend in our manufacturing capability, where we need to spend in new product introduction. Depending on that, it will come to us. And that's under evaluation at this point in time.

Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Fund.

Jonas Bhutta: Congratulations on a great set of numbers. Two questions, Shveta. Firstly, on the domestic growth, what we see, particularly in the high horsepower, there seems to be a delta of roughly INR300 crores to INR400 crores versus the normal run rate of INR450 crores, INR500 crores, which is roughly INR900 crores this quarter. Is it fair to say the large part of this delta is driven by the data center order execution?

Shveta Arya: Yes.

Shveta Arya: Jonas, thanks for the question. This is driven by a few things. Definitely, there's data center growth. There is also growth in mission-critical power requirements across different segments, and there is better execution as well at our end. So it's a mix of all those things.

Jonas Bhutta: Understood. And does the current order book on the data center projects give you enough visibility to sustain these kind of delivery levels at least for the next 3 to 4 quarters?

Shveta Arya: Data center demand continues to grow, Jonas, and we are continuing to see the movement in the orders coming in. So difficult to tell you for the next 3, 4 quarters. The demand continues for Cummins India Limited

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now. We are continuing to build the order board. I really won't be able to comment on the next 3, 4 quarters with -- at this point in time.

Jonas Bhutta: Sure. And is this what explains the both year-on-year and a sequential dip in our gross margins, a higher execution of the data center piece and even almost doubling of our LHP sales. Does that sort of bridge the gap in terms of the gross margin movement?

Shveta Arya: So the gross margin movement, Jonas, I would say the 2 big factors over there. One is that in the last year, if you're looking at that, there was a onetime benefit that we had, which we didn't have this year. And then overall mix of products that we saw in this quarter is what impacts the gross margin. It is not just those 2 that you pointed out, but the overall product mix that we saw in the quarter and the onetime that we had in the last year, which we didn't have this year.

Jonas Bhutta: Sure. My second question was on exports. Any movement or development in CIL's exports towards US particularly because that was something that was expected to start moving once the CPCB adoption sort of happens, and we are more or less at the same -- at par with the US emission norms. And we also sort of, I think, a couple of quarters back, announced that we've got certified by the US agency for a certain node.

So any visibility on how is that panning out? And how is that likely to pan out over the next couple of years?

Shveta Arya: Yes. Jonas, we launched certain products in that -- for the North American market in the higher ranges electronic engines. These were launched some time back. So we are still watching how the market picks them up, but the products got launched.

Jonas Bhutta: So would it -- can you share North America as a percentage of our export sales in the 9 months?

Shveta Arya: No, difficult to say that. Really, the products are picking up, very early days, Jonas. So still

picking up.

Jonas Bhutta: Got it. And any update because as the parent sort of announced the \$200 million capex across 3 regions, any clarity because the parent entity, some of the factories are getting pivoted to executing these large data center orders there themselves. There was a belief that certain products sort of get -- lines get shifted to China and India. Any development there? And should we read into the capex announcements in sync with this?

Shveta Arya: I would say that -- I answered this earlier as well that we are continuously evaluating our capex requirements, especially towards building our manufacturing capabilities and enhancing our products as needed for the market. And based on our requirement for our customers and the markets we serve here in India, is how we will get the capex .

And that continues. The company is cash rich, and we continue to get the capex that we need to serve our customers. And it is in evaluation. This is our needs at this point in time.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

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Amit Anwani: My first question pertains to the Industrial segment where we have given very strong perfo

rmance and the 9-month sales is almost equivalent to the full year sales of last year. Any color you would like to give which subsegments, railway, mining, construction, where are we getting traction?

And how one should look industrial sectors in coming quarters with respect to the trends for you? And possible for you to share the breakup of subsegment for the first 9 months, yes.

Shveta Arya: Sure. Let me do that. For the first 9 months, let me give you a little color on the subsegments of the industrial market. Construction, we have INR455 crores; rail, we have INR357 crores; mining, INR170 crores; and then the rest of the segments like marine, compressor, oil and defense, others. So I gave you the top few segments there. The overall number for the 9 months is INR1,289 crores.

In the Industrial segment, there were 2 or 3 things which led to this growth. The first, the construction segment, which because there was strong demand from our customers, specifically execution of infrastructure projects that is happening and hence, construction equipment movement there and demand. So we had backlogs over there, which we were able to clear through better execution and there was strong demand in the market. So that was the construction segment.

And then railways, really good demand from railways, and we were able to match it with good execution. So this demand was across diesel electric tower cars, power cars, all the places we play in, in the railway segment. So good demand in the quarter with good orders coming in and execution in the railway. Those are the large factors for the Industrial segment growth. Do we expect the trends to continue?

The growth of this segment is largely linked to the capital expenditure by the government. We continue to see that expenditure happening. And hence, we continue to see that demand.

Amit Anwani: Right. My next question is on the gross margin. You highlighted that the previous base quarter was having some one-off benefits and the mix impact. How should one look at the gross margins now going forward as you've already highlighted that the prices are yet to settle for the CPCB IV. So shall we consider this 35% as a kind of baseline number going forward? Or is there any chance that the gross margin will further normalize in upcoming quarters?

Shveta Arya: So from a gross margin perspective, I think our endeavour is to continue improving it. It obviously depends on a lot of factors like mix and others during different quarters. I would say our efforts to make sure that our products, we are continuously working on them, bringing in cost reductions, bringing in efficiency in our manufacturing, those efforts continue. So the endeavour is to continue improving the margins.

Amit Anwani: Sure. Lastly, a bookkeeping question. What was the value-wise contribution of CPCB IV in this quarter?

Shveta Arya: Sorry, contribution. The contribution of CPCB IV sales in this quarter. Okay.

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Amit Anwani: Yes.

Shveta Arya: Okay. CPCB IV roughly would have been around 40% in this quarter.

Amit Anwani: Of total?

Shveta Arya: Of the total power gen.

Moderator: We'll take the next question from the line of Jason Soans from IDBI Capital.

Jason Soans: Just in reference to a previous participant also, I understand that you mentioned the Industrial segment breakup. But just wanted to -- from your viewpoint, just wanted to know how is the outlook for the various subsegments in terms of end market demand, say, construction, marine, compressors or mining.

Just wanted -- and in relation to that, just also would want to ask with the CEV norms coming out in January 2025, what is the pricing increase, if any, you are expecting or at the moment, for these newer entries?

Shveta Arya: Let me answer the first question on the construction rail mining trend first. I'll ask you probably to re

peat the second question later. The first question, how do we see the trends? So I did tell you in the construction market, there was demand and there was some backlog. So backlog, we have cleared. The demand continues, but construction is a segment which gets cyclical as well. So we continue to watch it, right?

The base demand because of the infrastructure growth in the country and the capital expenditure continues, but it is a segment which can be cyclical. So we continue to watch that. Difficult to say at this point in time how that will play out in this year. Rail. In rail, there were quite a few orders that came in, in the last quarter, and we were able to execute them as well. The base demand in the railways continues.

Definitely, the frequency of the orders and all of that changes based on how the tenders come out. Then again, mining, we do expect activity to pick up in mining. We -- again, it's a tender-based business. So it really depends on the tender velocity. We anticipate the tender velocity to be better in this year. Remains to be seen how the tenders come out.

And if the tenders do come out in time, then we will definitely be able to execute and fulfil the demand. Could you repeat your second question for me?

Jason Soans: Yes. Sure. So the CEV, the construction equipment and vehicle and BS V norms coming from January 2025 for the construction equipment and agricultural equipment, which is a non-road segment. Just wanted to know with engines, you're catering to that segment and that's already come into effect.

So I just wanted to know in terms of you supplying engines to the OEMs, what is the pricing increase if anything you have seen and the margin impact for us for the Industrial segment?

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Shveta Arya: It is a small portion of the total sale. And whenever these kind of emission changes happen, it's a wait and watch after you introduce the product. It takes the market some time to adopt it, right?

So both of those things, it's a small portion. I would not say that it has a very large impact or bearing on the numbers.

Jason Soans: Sure, Shveta. And Shveta, I just wanted to know in terms of -- you obviously alluded to mission-critical equipment. If you could provide some color in terms of a further breakdown like, for example, say, manufacturing, real estate, hotels, what do you think is driving this mission-critical equipment? Just would want some more color on the end market demand in terms of power gen.

Shveta Arya: So it's across the board really, Jason. There are segments like Commercial Reality. There are definitely manufacturing, there are hospitals. So it's across the board, very difficult to split it for us.

Jason Soans: Sure, sure. And finally, I just would want to know from an export standpoint, your exports have picked up this quarter. So just in terms of geographies, just some color on how Europe, how is - or Africa, how is trajectory looking in those geographies?

Shveta Arya: So it still remains -- export still remains a mixed bag. This quarter, we did see Middle East pick up. We definitely saw Latin America pick up as well. But it's a mixed bag. We continue to watch the situation. Our efforts to improve our sales in each of these regions continue. And some of what you see is also a result of our efforts happening in those regions. But it's a mixed bag at this point in time, continue to watch it.

There's no specific trend that I can point out to, to say that this is likely to continue and sustain.

There are definitely -- these geopolitical issues continue to exist. And now with the US tariffs, everyone is evaluating around the world on how they will impact each of the end markets. It's under evaluation at this point in time. Likely to have an impact, it's under evaluation.

Moderator: We'll take the next question from the line of Renu Baid from IIFL Securities.

R

enu Pugalia: My first question would be a bit on the Industrial segment. If you see incremental growth for the quarter essentially has come from mining and to some extent from rail. So to this extent, can you throw some light in terms of -- there were quite a few new products that were in pipeline for these end markets.

Where are we with respect to the commercial volume offtake for the new product introductions

in these segments? And do we see the volume growth uptick that we've seen in the mining and rail sustaining through the next few quarters?

Shveta Arya: So in the rail segment, I definitely said that diesel electric tower cars, powered cars, those are the places where we had good orders. These are existing products. Definitely, in the power car space, CPCB IV+ products go. So if that's what you're referring to the new product, well accepted in the powered car segment, and that's what led to the growth.

And it -- railways does continue to invest. it is a tender-based business. So the demand continues to be based on the tender velocity that come up. We continue to see the base demand in the

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railway segment. In mining, again, execution based on tenders in this particular quarter. So there were more number of orders to fulfill in this quarter.

And these are existing product-related sales. So there is continuous endeavour to upgrade our product. The CPCB IV+ product in the railway segment was the new product that we launched that is well accepted. Mining also, we expect the velocity of tenders to be there in this year as well.

So both -- in both those segments, given government infrastructure spending, we continue to see demand.

Renu Pugalia: Where are we with respect to the approvals for Vande Bharat trains products that are going in these products?

Shveta Arya: We are working on those. We are working on those products, and it's a long process. It's a long gestation period. These are new products. There's a lot of technology, R&D effort that goes on at our end, along with the railways as well. And these products also take time to come out into the field because there's a long trial period for them. So it will take some time. We are continuing to work on it, and we are on track based on our internal plans.

Renu Pugalia: Okay. Second is on the distribution segment. While there was a broad perception that the growth in distribution was significantly led by the RECD kits for upgrade of the old gen sets. Now that CPCB IV has been in place, but we have continued to see the distribution revenues inch northwards. So can you highlight the key drivers here?

Would these be associated with the AMC revenues for CPCB IV products or a good growth coming in for industrial base? Some more color on this would be appreciated.

Shveta Arya: In the aftermarket, it is really linked to the utilization of the products. The higher the products get utilized in power gen or industrial, in each of those subsegments, the higher utilization, which we are seeing happening that leads to better aftermarket demand. So that is one of the factors.

And while there is CPCB IV+ product available in the market, that is for new sales.

For existing gensets, we provide the solutions like retrofit emission control device or DF kits, and they are continuing to pick up because if you see in the NCR region during November and December when the GRAP guidelines are introduced, people who want to buy new gensets then go for CPCB IV+.

People who have existing gensets have the option to buy retrofit emission control devices or dual fuel kits from us. So those continue to sell. So that, combined with higher utilization of assets already on ground is leading to the demand for aftermarket and definitely better execution of orders at our end.

Renu Pugalia: Sure. And my last question is, previously, the team used to reiterate that even

if we see CPCB

IV coming in, given the localization, the broad guidance on the gross margin was in 34% to 36% range. So do we stand by those numbers given the way the mix is evolving and commodities are behaving?

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And also, could you mention what would be the level of localization that we are currently at for CPCB IV range? And what are the plans to increase it further in the next 12, 15 months?

Shveta Arya: So let me first answer the localization part. CPCB IV+ has a very large part of the product portfolio localized. We are a global company. Our supply chain is quite integrated. And based on the scale of the components in different regions, we get them for our products. But largely, the CPCB IV+ product is localized, and we continue to move towards opportunities where we can localize even more.

And then on the margins, we -- as now the products sell more, we get more information, we get more opportunities to improve the value that we provide to our customer. We also get more information on our product usage. That really guides us on how we can make our products even

more cost effective. So that effort continues.

And that can lead to margin improvements, but that's an endeavour at our end to try and improve our cost so that we can provide better value to our customers.

Moderator: The next question is from the line of Subramaniam Yadav from SBI Life Insurance.

Subramaniam Yadav : Ma'am, if you can let us know what was the onetime benefit in Q3 FY '24? And you also mentioned that overall mix in this quarter was different. So which category if you can highlight lower kVA or in export lower or higher horsepower, whichever is you have the margin is lower to be generated?

Shveta Arya: So the onetime in the last year was some provisions that we had taken, which we, at the end of the year based on assessments had to reverse. And from a mix perspective, this is across products, different products that we have. We have a portfolio of products and across a number of products at different points in time when we end up selling different products, it can impact the margin.

So it's not 1 or 2 that I can highlight for you. There was a mix across the portfolio of products.

Subramaniam Yadav : My understanding was, ma'am, because you have taken some price cut in low kVA products. So is that contributing to lower gross margin? Or is it that export is increasing where in lower horsepower, we might have a lower margin?

Shveta Arya: Sorry, Subramaniam, could you please repeat that question? It wasn't clear.

Moderator: Sir, I'm sorry to interrupt. I would request you to use your handset. Your voice is muffled a little bit.

Subramaniam Yadav : Yes. I just wanted to understand because we have cut prices in the lower kVA segment, if I'm right. So is it hurting our gross margin at that level? Or is it because our exports are increasing where in lower horsepower, we might have a lower margin in that category?

Shveta Arya: No, no. I would not say that is the case. It's a matter of -- on certain products, we have different margins, and it's a mix of products that have gone out into the market. I cannot really attribute the margin on the 2 aspects that you mentioned.

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Moderator: The next question is from the line of Amit Mahawar from UBS Group.

Amit Mahawar: Great to see strong growth in domestic market. I have 2 quick questions. First is, can you let us know the 9 -month market share in CPCB IV+ product vis -a-vis last year? So what is the market share we have in IV+ product this year because there's no base last year. That's why.

Shveta Arya: The CPCB IV+ product continues to do well in the market. The consumer acceptance for the product is high. People recognize that it is very advanced technology and the Cummins brand is delivering the promise

of reliability along with innovation. Our market presence in CPCB IV+ is also strong as our presence has been all along in the power gen market.

Amit Mahawar: Can I still say it's like more than 85%, 90%, which was the case the last communication what Ashwath had given us was almost 90%. Are we maintaining that number?

Shveta Arya: I won't be able to say that. I can tell you that our market presence in CPCB IV+ is very strong.

Amit Mahawar: Fair. The second question is on exports. You alluded to North American mandates we have. We have had a lot of launches in last year. Is the run rate for exports in '26 and '27 looking higher to you basis these nodes? And which are these nodes in terms of end markets?

Shveta Arya: So end markets continue to be a mixed bag for us, really, Amit. And now with the US tariffs being announced, we've gone -- we're all evaluating across different regions on how these tariff changes will impact the end markets. At this point in time, it's really difficult to say because the evaluation is in progress, the announcements of tariffs have been very decent. Yes, please go ahead. You were saying something.

Amit Mahawar: Yes. The quick one is, can I say the current 9 -month gross margins and I understand your limitation in guidance for that is the best case we have. We have the best of all the possible scenarios, pent -up in rail, possibly with good margins, distribution, unprecedented growth, you had a very strong mix, perhaps the richest ever in the last 6 quarters. Can I say 9 -month gross margin is the peak number we have today?

Shveta Arya: It would be the peak number that we've seen. And you're right, it's a mix of all those factors really working in our favor. And we continue our efforts towards cost reduction and providing value. So definitely, all the factors worked very positively for us in the 9 months.

Moderator: We'll take the next question from the line of Vinod from PhillipCapital.

Vinod: If you look at the last 2 budgets, last 2 budgets, the government has been emphasizing a lot on SMRs. So do you think structurally, this could be a direct competition to a product like DG set when you come to data center applications? How do you look at the future of DG sets given that there's a lot of R&D happening on the battery side as well on storage as well as SMRs getting pushed. How should we look at the whole industry, say, 10 years down the line?

Shveta Arya: From our perspective, we continue to see data center demand growth. And in the data center

demand, the diesel genset requirement, the diesel genset is the backup requirement, which has the ability to provide continuous power for a long period of time. And that is the insurance that Cummins India Limited
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data centers really value. We see that continuing at this point in time. And we don't really anticipate the small reactors.

There's still work going on over there. And the way we see it, small reactors definitely, when they become feasible for the data center market, can be the primary power provider to data centers. Diesel gensets will continue to be the backup power requirement of the data centers because this is the -- diesel gensets are the products which can provide continuous power no matter what conditions for a long period of time as much as you can maintain them.

And keep providing the fuel. So it does remain the primary backup power source.

Vinod: But what about battery storage once it becomes commercially...

Shveta Arya: The reliability of a diesel genset as a backup power is well known. And at this point in time, we do not see that getting replaced so easily till the reliability and the prices of the batteries come to very, very similar space of a diesel genset, which is not the case today.

Moderator: We'll take the next question from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: The question

that I had was more on the Mexican -- or let's say, the interplay over here on tariffs as you are suggesting. Just wanted to kind of get a sense that basis our capabilities, can we replace some of the nodes that Mexico is giving to the US in power gen? Just some more color on what could be the business prospects from a tariff increase that happens in case of Mexico? That will be the question here.

Shveta Arya: First and foremost, the tariff increases are being evaluated at this point in time to see what is the impact. Second, from a supply chain perspective, it's not just the tariff, it's also the logistics cost and all the other things that get added when you send a product from one place to the other. So it's a mix of those things we have to evaluate to optimize our network to say which is the best place to build and -- which is the best place to build the engines and export.

So it will be an evaluation of these factors, Aditya, to be honest, and that's continuing to go on at this point in time. I won't be able to really say whether -- which way it will show us the feasibility.

Aditya Mongia: Just a follow-up, ma'am, not a separate question, but is this -- are the nodes that we are making a direct overlap? Or do we have to make separate nodes by itself to kind of replace Mexico if the opportunity comes?

Shveta Arya: No, no, no. The North America market from a PowerGen perspective is a very different market. So while we -- we make very different products in India. While we can make those products, but these are different, there's no overlap.

Moderator: The next question is from the line of Pulkit Patni from Ampersand Capital.

Pulkit Patni: Can you please just help us understand that considering all the mix change and everything that has happened, what is the kind of sustainable EBITDA margin that you are looking at? And is there any scope of improvement from here on?

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Shveta Arya: Scope for improvement, we definitely hope to because we are working on cost reduction for our products. At all points in time, we are looking to improve the value to our customers, and we continue to get the benefit of our scale. We also continue to bring in efficiency in our operations.

So the endeavour to improve the margins is there. But just like you said, the margins are a play of our efforts, what's happening in the market, the volumes that we get and also the mix finally that we see across our different product portfolio. So it's a mix of all those things.

Pulkit Patni: So can we say that, I mean, this 19 -odd percent what you have reported, that is kind of sustainable and with all the efforts that you are talking about, there can be improvement, but we don't know whether it will happen now or not.

Shveta Arya: You're right. Our endeavour is to improve. And will it happen or not, I won't be able to give you a number just yet or be able to tell you, but our efforts continue.

Pulkit Patni: Understood. And the second question is that on this website, you have said that you have and many such things. But still the price is a little unsettled and you're saying that it will take a couple of quarters' time. But how is the overall inventory situation? And is the industry situation to correct any kind of competitive dynamics quickly enough or the inventory will kind of stop you from not being able to responsive to market changes?

Shveta Arya: The inventory of CPCB II is now done in the market. Now the market -- the demand in the

market will be only for CPCB IV+ in this year. So that is not a factor. But given that all the competition has their products in the market, now the CPCB II+ inventory is extinguished in the market. Now that is why I say that we will see another quarter or 2 to see how the pricing settles. So -- but no, inventory impact, I think we -- that's behind us at this point in time.
Pulkit Patni:

Okay. And how is the difference your price versus your competition? And is the pricing premium similar to what it used to be in CPCB II or the premium has gone up?

Shveta Arya: Well, Cummins, Cummins is a well-known brand in the space, and our products are very well accepted. The technology and the reliability of the product is well accepted. So the value to the customer is through those factors. And pricing is a function of very different -- different dynamics in the market continues to change.

It's difficult to say that here is one answer for the pricing that we get in the market because it varies across nodes, across customer segments, across various different parameters.

Pulkit Patni: But overall, are you really sceptical that there can be a significant change in pricing because you were saying that it will take a couple of quarters to settle, but like how -- is it going to -- is it like there are quite a few new entrants which are coming in or it is going to be a competition among the known players and considering the technology that you have, like the -- finally you are seeing them settle, but it's already in the market for some time.

So overall, how should one see it?

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Shveta Arya: I'm not sceptical. This is a very, very advanced technology. And because of the content addition, the consumers take time to adopt and for the real pricing to settle in the market. That is what I mean. It's not being sceptical about it, but just that the content has changed and the price levels in the market have changed. And the product is an integration of different components, very advanced technologies.

Really the reliability of a product comes out after a period of time. That's what the customers value, and that's when they are ready to pay the higher price for the content and the technology. The customers have to see the product performing in the market for the long term, see the reliability, see the quality and understand this technology. There are -- the competition which existed, those are the competitors in the market.

There are no new entrants per se. But this is a very difficult and advanced technology to master. So it takes time to settle.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Two questions. The first one, ma'am, while I completely understand there's been a mix change, but just my elementary understanding is that what you've done on high HP in this quarter is INR900 crores of revenue, and this is a number you used to do on the overall PowerGen number till a few quarters back. Our understanding was that on the high HP is where you make the maximum margin because that's where our brand positioning is the strongest and competition is the least.

So to that extent, can you explain what this mix change means? Because the contribution of the biggest HP segment seems to be the highest in the quarter. That's my question number one.

Shveta Arya: Thanks for the question, Pulkit. So yes, there is the sales of around INR900 crores in the high horsepower segment definitely is there. But across all the different customer segments and applications that we sell, there is PowerGen here, there is Industrial markets over here, which have various different subsegments and there is Distribution business unit.

And there is a portfolio of products which goes in each of these 3 that I spoke about, PowerGen, Industrial, Distribution, different products that go in. And based on what volumes have gone up in which subsegment over here, the actual margin that you see is a play of that. High horsepower is just a part of PowerGen.

There are various other subsegments also in Industrial where we had higher volumes, for example. Distribution also grew. So that comes into play over here. So Pulkit, that is the reason you see the margin play out in this way.

Pulkit Pat

ni: Sure, Ma'am. Maybe I was looking at it too simplistically. Ma'am, my second question is on capex. Now even if we leave aside what the parent said, given the fact that we finished our capex cycle about 5 years back, we've seen very strong growth in the last few years. Are we reaching a stage where we need to now plan new capacity or we have sufficient capacity that for the next few years, even without adding something, we are in a good shape?

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Just -- I'm not trying to time it, but are we close to that start of the capex cycle for you again?

Shveta Arya: We have been continuously adding capex over the last few years, continuously, slowly, steadily adding capex. And even today, we are evaluating. So this is a continuous evaluation process, Pulkit. But you're right that there was a large capex cycle that we had 5 years ago. Even in the last 5 years, continuously small capex has continued to be added.

And there are many projects going on even now, sustenance projects, which -- for our facilities, which are going on, which are used for the upgrade of our manufacturing facilities, which are used to improve the output of the facility, build more utilizing the same lines and also some newer products require changes.

So all of that has happened and is continuing to happen even now.

Pulkit Patni: Sure. So any capex number for next year that you would like to share with the investors?

Shveta Arya: No, I won't be able to share that, Pulkit.

Moderator: We'll take the next question from the line of Priyanka Biswas from BNP Paribas Exane.

Priyanka Biswas: My first question is regarding your Distribution segment. Can I get some idea like what would be the contribution of RECD and dual fuel kits, let's say, in the distribution mix? The reason that I ask, I also want to get a sense of the continuity because I guess, there is still a lot of, let's say, pre-CPCB IV products that need to be converted. So can you throw some color on that aspect?

Shveta Arya: Yes. So we did see good contribution of the RECD, dual fuel kits in this quarter. But in the Distribution business, the asset base that we have in PowerGen and Industrial segments on the ground at this point in time, which is managed by our Distribution business is really large. So the contribution of RECD as compared to what we do for our existing asset and also replacing engines which are old, rebuilding them, doing all the AMC work for all our assets, that is really the larger contribution to the DB business.

While I can definitely tell you that we have seen strong growth in the RECD product sale as well, which we continue to see because of large asset base in the PowerGen segment today, which is non -CPCB IV+ and certain government policies which keep coming in or like the CAQM efforts that happen in Delhi or the GRAP guidelines that happen in Delhi or different state pollution control boards.

Which continue to come up with these guidelines for their states mandating the use of RECD or a dual fuel kit that is continuing at this point in time. So we will see that demand.

Priyanka Biswas: So is it fair to say that this level of distributions, at least for the 9 months that you have delivered, that should possibly continue or maybe grow in the next coming years. So would that be a fair assessment?

Shveta Arya: Absolutely, our endeavour to grow. As we continue to grow our asset base in the field, we definitely have endeavour to be able to service them and have them in our food. So we're definitely putting our efforts in that direction.

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Priyanka Biswas: And ma'am, just 2 small numbers that I require from your end. While you gave us the breakup for industrials, would you mind to share the numbers for the water and marine specifically for the quarter?

Shveta Arya: For the marine

space for the quarter, we had around INR20 crores of revenue for this quarter.

And what else did you ask? Marine and?

Priyanka Biswas: Compressors.

Shveta Arya: Compressor. Yes. For compressor in the quarter, we had INR51 crores.

Moderator: Ladies and gentlemen, we'll take the last question for today, which is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: My question is on exports business. Would it be possible to comment us on demand outlook for some of the large exports market like US, U.K. and China... ?

Shveta Arya: Very difficult because we are in the evaluation phase of seeing the tariff impact at this point in time. What we have done in the past few months is, we spoke about it, we have made efforts to increase our exports to each of the markets that we operate in. From a product portfolio perspective, from a channel perspective, our endeavour has gone in, and we are continuing to do that.

But the tariffs have recently been announced and that evaluation for different regions is happening and the answer for different regions might be different. So very difficult to tell you at this point in time what that will end up in.

Shrinidhi Karlekar: Yes. And my second question really is on the -- this order backlog at the hand. I know you don't really quantify that number, but would it be qualitatively comment whether your order backlog at the hand is higher compared to the previous quarter? And how is it compared to the same

period last year?

Shveta Arya: Order backlog as compared to the last quarter, what would we would have cleared would have been pretty similar. As compared to the last year same quarter, we would have done better because we've executed better in this quarter. We've been able to work a lot in clearing our backlog. So definitely, this year, this quarter as compared to last year, much better. Clearance...

Shrinidhi Karlekar: No, I was asking pending orders, Ma'am. Is it more or it has kind of... ?

Shveta Arya: Do we have backlogs? You mean do we have backlogs?

Shrinidhi Karlekar: Yes, yes. So the backlog, is it higher? Or... ?

Shveta Arya: We've managed to clear a lot of backlog. We've really managed to execute and clear a lot of backlog, to be honest, in this quarter.

Moderator: As that was the last question for today, I would now like to hand the conference again to Ms.

Shveta Arya for her closing comments. Over to you, Ms. Arya.

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Shveta Arya: Thank you. Thank you, everyone, for your active participation and engagement during the call today. Cummins India believes that the broader domestic economic outlook is stable and India's GDP is expected to grow by 6.4% to 6.6% in financial year '25 based on the current estimates.

Fiscal and monetary policy stability, coupled with the government's focus on infrastructure development and strong private sector participation really works well for our end markets.

The company continues to closely monitor global geopolitical events and their impact on demand and supply chains. Cummins India Limited is well positioned to leverage all opportunities to sustain its growth momentum. With a strong balance sheet, world -class manufacturing infrastructure, best -in-class talent, we are confident that we will be able to sustain our growth trajectory.

Thank you for your continued trust and confidence in the Cummins brand. With this, I would close the call. Thank you so much, everyone, for joining.

Moderator: Thank you, members of the management. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now, and you may disconnect your lines. Thank you.

Call: Jun 2025

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Ref: STEX/SECT/202 5
June 02, 2025

BSE Limited,
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Mumbai 400001 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (East),
Mumbai 400 051
BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Transcript of Q4 and FY 2024 -25 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our stock exchange intimation dated May 20, 2025, regarding Q 4 and FY 2024 -25 Results Conference Call, please find enclosed herewith transcript of the said call held on May 29, 2025.
Kindly take this intimation on your record.
Thanking you,
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096
(This letter is digitally signed)

Encl.: As above.

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"Cummins India Limited
Q4 FY2024 -'25 Earnings Conference Call "
May 29, 2025

MANAGEMENT : MS. SHVETA ARYA – MANAGING DIRECTOR –
CUMMINS INDIA LIMITED
MR. PRASAD KULKARNI – INTERIM CHIEF FINANCIAL
OFFICER – CUMMINS INDIA LIMITED

Cummins India Limited
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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q4 FY2024 -'25 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shveta Arya , Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Good morning, ladies and gentlemen. I hope you are all doing well and staying safe and healthy. I am Shveta Arya, Managing Director of Cummins India Limited. Joining me on the call today is Prasad Kulkarni, the Interim CFO of Cummins India Limited. Thank you, all of you for joining us today on this call.

I would now like to share the financial results for the year ended March 31, 2025 and for the quarter -- financial year '25, quarter 4. Starting with the year ended March 31, 2025, our sales at INR10,166 crores, are higher by 15% compared to INR8,816 crores recorded in the last year. Domestic sales at INR8,395 crores are higher by 18%, exports at INR1,771 crores are higher by 6%. Profit before tax at INR2,496 crores is higher by 16% compared to the last year. Segment -wise sales breakup, domestic -- Powergen domestic sales at INR3,844 crores is higher by 14% compared to last year. Distribution business sales at INR2,687 crores is higher by 14% compared to last year. Industrial business domestic sales at INR1,668 crores is higher by 29% compared to last year.

From an export perspective, high horsepower exports at INR821 crores, higher by 1% compared to last year. Low -horsepower exports at INR784 crores, higher by 12% compared to last year.

Now moving to the quarter ended March 31, 2025, comparing it to the quarter last year. Our sales for the quarter at INR2,414 crores are higher by 6% in comparison to INR2,269 crores recorded in the same quarter last year.

Domestic sales are at INR1,935 crores, higher by 1%. Exports at INR479 crores are higher by 39%. Profit before tax at INR681 crores is lower by 3% compared to the same quarter last year.

For the quarter ended March 31, 2025, comparing it to the previous quarter, our sales at INR2,414 crores are lower by 21% compared to INR3,041 crores recorded in the last quarter. Domestic sales at INR1,935 crores are lower by 25%. Exports at INR479 crores are higher by 3%. Profit before tax at INR681 crores is higher by 2% compared to the last quarter. Segment - wise breakup for the quarter ended March 31, 2025. For the domestic business, Powergen domestic sales were INR874 crores, 7% lower compared to same quarter last year and 31% lower compared to last quarter.

Distribution business sales at INR631 crores, 5% higher compared to same quarter last year and 15% lower compared to last quarter. Industrial domestic business sales at INR379 crores, 9% Cummins India Limited

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higher compared to the same quarter last year and 26% lower compared to last quarter. Exports, high horsepower exports at INR218 crores are higher by 27% compared to same quarter last year and 8% higher compared to last quarter. Low horsepower exports at INR215 crores are higher by 51% compared to last year and flat as compared to last quarter.

Going forward, we anticipate double -digit revenue growth in financial year 2025, '26, while remaining cautiously optimistic, given the uncertainty from changes in global tax and trade policies, along with the geopolitical issues, which we continue to monitor very closely.

I now open the session for questions. Thank you.

Moderator: Thank you very much. We will

now begin with the question and answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So my first question is on Powergen. So there's a decline of 7% quarter -- sorry, Y-o-Y and 31% Q-on-Q. So if you can help us understand a little bit more in terms of granularity, whether towards the end of Q4, you saw a decline, especially in the March month, given there was uncertainty of the tariffs coming in on 2nd April. So was there any postponement or delays in decision-making that led to the severe decline in the numbers?

Shveta Arya: Thanks for the question, Parikshit. As you mentioned, decline of 7% in Powergen year-on-year. This is largely owing to the fact that the same quarter last year had pre-buy sales of CPCB II. So this is not with respect to just this year. Last year saw higher sales because of the pre-buy.

And from a quarter-on-quarter perspective, we usually see that the quarter which ends on December, there is good velocity of sales where lots of inventory moves in to the GOEM and then out into the market. Also, now we are seeing full CPCB IV plus sales in the market. So I think these are all the factors as we compare last year and last quarter sales in Powergen.

Parikshit Kandpal: Just to give you some more numbers on the volumes. So now in Q4, I mean, if I compare with CPCB II volumes and CPCB now in full this thing. So are the volumes back to 100% started growing? And any initial trend on that would be helpful?

Shveta Arya: The volumes in CPCB IV plus are not completely matching up to CPCB II. But every quarter, we are seeing increase in the volume trend. I think another quarter or 2 to see the volumes causing CPCB II numbers, not yet.

Parikshit Kandpal: But they be still tracking like around 85% to 90% or significantly lower? I mean early 80s or any sense, any color on that?

Shveta Arya: Yes. Close to 80% to 85% is what the tracking would be.

Parikshit Kandpal: Any color on pricing now? I mean given there has been some time now post implementation of the CPCB IV. So are you seeing any softness in pricing or still the prices are holding on versus the point at they were implemented. So any color on that?

Shveta Arya: Pricing is still settling down in the market, Parikshit. We have seen all competition products in the market now. We are still seeing pricing settle down. We do think that it will take another

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quarter or 2 for the pricing to completely settle down. That being said, we have been largely able to hold on to our pricing in the market. But I would say that competitive intensity has increased and pricing will settle down in another three quarters.

Parikshit Kandpal: Okay. And just one last question. Was there any one-off in this quarter, both on the EBITDA line as well as on the top line. Any -- I mean, was there any impact of large data center orders or was that number missing in this quarter? So if you can help us understand that?

Shveta Arya: No one-offs like that, Parikshit.

Parikshit Kandpal: Okay. So no major order on the data center side this quarter, which could have helped maybe slightly better growth?

Shveta Arya: No. demand across sectors and all different segments have contributed to the growth. So I won't be able to call out 1 particular one-off segment.

Moderator: The next question is from the line of Mohit Pandey from Macquarie.

Mohit Pandey: My first question would be on gross margins. If you can give color on what has driven the strength? Is it largely linked to commodity in this -- in the fourth quarter?

Shveta Arya: So from a gross margin perspective, if you look at the whole year, we have done better as compared to last year. And what I would say is there's a lot of effort put in terms of our work on the direct material cost and bringing the cost of our products down. Also

, as I mentioned, we are

watching pricing carefully, and we have been able to hold on to pricing as well.

So it's a mix and product mix also plays a part in how finally our gross margin turns up. So all of those three have worked. Definitely a lot of work on our end to improve our direct material costs.

Mohit Pandey: Okay. So ma'am, the gross margins that we achieved this year. So you think in FY '26, they are more or less sustainable?

Shveta Arya: That is our endeavor, Mohit. We continuously work on cost-related efforts so that we can improve on these -- that is exactly the direction in which we are working.

Mohit Pandey: Understood, ma'am. And also, if you could share the breakup of domestic Powergen that you typically do across low, medium, heavy and high HP?

Shveta Arya: Yes, I will do that. For the financial year, '24-'25, breaking up the Powergen sales, low horsepower is at INR272 crores, medium range is at INR733 crores, heavy duty is at INR376 crores and high horsepower is at INR2,463 crores, leading to a total of INR3,844 crores for the

year.

Mohit Pandey: Okay, ma'am. And 1 final question from my side with regards to data centers linked genset demand. Are you seeing any slowdown there? That would be my last question?

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Shveta Arya: No, we are not seeing the slowdown there. We are actually seeing a lot of activity inquiries and orders coming in. So we are not seeing a slowdown in the data centers in the India market yet.

Moderator: The next question is from the line of Umesh Raut from Nomura India.

Umesh Raut: My first question is pertaining to a demand outlook for genset business as per the end user market. So in terms of residential and commercial reality where we are currently sitting at in terms of cycle and how exactly you are seeing demand shipping up from this particular major end of the market.

At the same time, how you are seeing emerging segments like data center from current base, how exactly growth would be? And on the export side as well, looking at the sequential recovery in last few quarters, how you are looking at sales stabilizing in export markets?

Shveta Arya: Thanks Umesh for the question, let me start answering them. Demand outlook for the genset going from here.

Moderator: Ma'am, I'm sorry to interrupt you. Umesh, I would request you to mute your line, please? Ma'am, please continue.

Shveta Arya: Yes. Thank you. Demand -- your first question around demand outlook for the genset market. So we are seeing demand and this demand is continuing from the segment, all the segments that we serve. So there is demand in residential realty, commercial reality infra -related segments in data centers. So we are seeing all the demand there in the Powergen market, there is no specific trend that I can call out.

We're seeing demand across segments. Some emerging segments, as you said, the emerging segments that we are seeing is actually quick commerce. So the likes of Zepto, Blinkit, when they are setting up their warehouses and fulfilling their needs. So we are seeing some order and inquiries coming from these kind of segments as well.

Otherwise, across the board, we are seeing demand. And in fact, Powergen business does see some seasonality during the summer months. And as we have seen in the past and every year, we are seeing that kind of inquiry generation and order generation. So that's from a demand outlook from a genset market perspective and the emerging segments.

You asked about exports going forward. So we have been putting in efforts to grow our exports across different markets. And we have been working with our teams to specifically position our products rightly in different markets. And because we serve various different markets around the world, our initiatives for each market are very different.

We started this journey some quarters ago, and we are

on that journey. So from our effort perspective and the work that we are doing is showing results, there is definitely uncertainty in the global markets, as you will anticipate, because of the tariffs, the geopolitical situation and how the trade deals are being negotiated. Our efforts are definitely continuing in the direction of positioning our products rightly based on specific market requirements.

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Umesh Raut: Got it. My second question is pertaining to competition, how you are seeing competition now in the data center market? And any color on market share that you have in data center? And do you also serve to export markets for data center in the market?

Shveta Arya: So data center market competition -- thanks for putting yourself on mute, Umesh. So from a data center market perspective, we do see competition, but we have been working in the data center market for a long period of time, and our product is very well accepted by the data center players. We also provide aftermarket support very specialized to the data center market.

So we are seeing good acceptance of our product as we combine the product and aftermarket services together for the specific needs of data center segments. That being said, yes, we do see competition, but our product is very well accepted. I won't be able to comment on the market share. From an export perspective, we do provide components that get into the gensets that are sold in the data center market for sure.

Umesh Raut: Understood. My last question is on the bookkeeping side. If I look at Cummins Inc. number, I think they reported about 11% decline in Power Generation sales for India, while you have reported about 7% decline for the quarter. So what explains this particular difference?

Shveta Arya: Thanks, Umesh. The only difference is foreign exchange. We are reporting our numbers in INR

and they are reporting their numbers in US dollars. There is no other reconciliation between those two. It's only a dollar versus INR change.

Moderator: We'll take the next question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question is on the employee expense. The employee expense was lower this quarter compared to last -- compared to previous quarter and prior year. Is there any one-off in that?

Shveta Arya: Thanks for the question, Mohit. From a quarter-to-quarter perspective, yes, there is some actuarial benefit impact that is there from a quarter perspective. There is also some reclassification done for better representing the results. So there is that in the quarter-on-quarter numbers.

But if you compare year-on-year numbers from an employee cost perspective, the biggest thing over there is the efficiency improvement that we have been able to do and the leverage benefit because of the volumes that we're getting. So that stays from an overall year number perspective. Also, quarter-on-quarter last quarter had the true-up of our variable pay that we did onetime, which is not there this year. So yes, those are comparisons between quarter-on-quarter and year-on-year.

Mohit Kumar: I mean is it possible to quantify that number?

Shveta Arya: We won't be able to quantify that number. Sorry, Mohit.

Mohit Kumar: My second question on the guidance, I think you gave double-digit guidance. My only -- my question is that is it between 10% to 15% or 15% to 20%? Can you give us some color?

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Shveta Arya: Mohit, I will have to say that we are maintaining double-digit guidance. While we see demand in the local market, you will appreciate that there are uncertainties in the global markets and the impact of tariffs is not completely baked in yet. So it will be very difficult to give you a very specific answer on that. Double digit is the guidance that I can give right now.

Moderator: We'll

take the next question from the line of Jason Soans from IDBI Capital.

Jason Soans: My question was actually -- just wanted to discuss what specific and measurable steps we are taking to basically keep the competition at bay? I understand basically in a mainstay segment of HHP, considering how lucrative it is. So I understand that every step cannot be disclosed, but I'm just saying, just if you could provide some color on how we are keeping the competition at bay and what steps have we been towards the same?

Shveta Arya: So from a -- what we are doing to make sure that our products are better accepted by the customer. So there are a few things that we are doing. Very specifically, one of the things we are working on for Powergen segment is looking at segment and providing a full-fledged solution for the segment tailored to the segment.

So what do they need from a product perspective? What value add do they need in the product? What aftermarket support we provide and how we provide? All of that tied in together is tailored to the segment. And we do a lot of data and analysis from that perspective. So that is one of the things that we do.

We also continuously keep looking at the product and getting field data to ensure that product improvement are happening continuously from a quality perspective, from a cost perspective, and that is across segments. You rightly pointed out high horsepower, but that work happens across segments.

And we keep in touch with our customers to hear their voices continuously, on what they would need from a value-add perspective and how they are changing their buying behaviors to align with them. Those are the very specific things that we do.

Jason Soans: Okay. My next question was in terms of capex, in FY '25, we have basically invested around INR230 crores. So I just wanted to know in FY '26, how much capex are we looking at? And what areas are we looking to augment?

Shveta Arya: Yes, Jason, if you could go on mute and I'll then answer you. So from a capex perspective, we will continue in the coming financial year in the same range. And this is largely sustenance capex. We will continue to look at our lines and upgrading them as per the requirement. So this is what our capex will go towards. It will continue almost in the same range as you saw in the current financial year.

Jason Soans: Okay. And just my last question would want to -- would just want to know if you can share revenue and PAT numbers for Cummins Generator as well as Valvoline Cummins? And if any outlook for both groups, for the associate and the JV?

Shveta Arya: Yes. I'll just let Prasad answer that question.

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Prasad Kulkarni: The revenue for Cummins Generator Technologies was somewhere around INR1,980 crores. And the same for Valvoline Cummins was somewhere around INR2,350 crores for the full year.

Jason Soans: And PAT?

Prasad Kulkarni: We don't share those specific numbers, Jason.

Moderator: The next question is from the line of Renu Baid Pugalia from IIFL Capital Services.

Renu Baid Pugalia: Congratulations for the strong performance. My first question is, last quarter, we had seen the transition in the Industrial segment for CEV BS V range of products. So if you can share market inputs in terms of how was the product acceptance? Any potential share gain or loss with respect to OEMs and the pricing impact will be second? That's the first question?

Shveta Arya: Renu, our presence in that segment is very limited. What we have seen is there is acceptance of the product, but our presence is very limited. And as compared to the remaining segments, it's a small portion of our overall sales.

Renu Baid Pugalia: Any color on the pricing impact of our solutions in this segment?

Shveta Arya: Nothing specific and no specific trend that we've observed, Renu, just as any other emission change, pricing takes a while to settle down in every segment, and that's what's happening there.

So there's no specific trend or no specific information that I can share at this stage.

Renu Baid Pugalia: Sure. Secondly, if you can also share some inputs in terms of how has been the subsegment performance within the industrial bucket? And on an annualized basis, how did the revenue stack up across construction, marine, mining, railways, compressors, the categories that you operate?

Shveta Arya: Sure. So from a breakup for the industrial business unit quarter, I'm talking only about the quarter 4. Construction segment, we had INR168 crores of sales, rail INR114 crores, mining INR14 crores, compressor INR50 crores and then the others. And from a full year number perspective, we have construction segment at INR624 crores, rail at INR471 crores, mining at INR131 crores, compressor segment at INR203 crores and then there are others. So I hope that helps with the breakup.

Renu Baid Pugalia: Sure. And the outlook across some of these segments, including new product introductions...

Shveta Arya: Yes. So from a rail market perspective, we do have orders across the power car and diesel electric tower car and the order velocity has been sustaining. So we have -- we've maintained a positive outlook on rail. Construction segment is continuing at a stable growth that we have been seeing in the last few quarters.

Compressor business is actually a cyclical business. And from our understanding perspective, we should see a dip coming in, in the compressor segment, which we have not cited yet, but we anticipate based on the last few years of our analysis, the compressor segment to get into the cyclical phase.

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Mining, we were anticipating mining order book to start building up, what we are seeing is a shift, and we have been seeing this for the last few quarters, more shift towards private miners and Coal India tenders are getting shifted out. The tenders, which were supposed to be released in these quarters have not been released.

So our anticipation was better outlook for mining when we started the calendar year, but it's not turning out to be like that. We are watchful and we are working with the private miners, but the Coal India tenders are not coming in as we anticipated. So I hope that gives you a color around mining, construction and rail, which is the larger segment.

Renu Baid Pugalia: And just a follow-up on this. On Vande Bharat and related new products for the rail market, by when do we expect commercial orders to kick in, in this segment of the market?

Shveta Arya: Yes. So we are done with field trials of one of the products that we had launched a while ago, which was called the hotel load converter. And we are just on the anvil of getting regular orders for that product as you can probably appreciate that some of these require extended field trials for more than a year or so.

So we are anticipating orders for the hotel load converter. We are now getting into the production book for another application of the railways, which is called the accident relief train. And this will take a few years for the production and the trials to happen. And after that, we will start seeing regular orders, so work ongoing.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: My first question is on export. Despite this quarter was quite strong relatively. And you have been talking about the cautious stance on export. So wanted to have more color, which geographies -- geography-wise, if you could highlight which geographies, we are expecting decline or improve over the next 12 to 15 months? And any color on contribution of geographies in export this year?

Shveta Arya: Yes. Thanks for the question, Amit. So from an exports perspective, for this year, the year went

by, I can share with

you that Latin America and Europe did really well for us, have continuously been doing well for us. We provide our products around the world. And it is difficult to say that in the next financial year, which particular geography will continue to grow for us.

We have seen definitely that Europe and Latin America have consistently been growing in the past, every quarter for us. Will that continue in the future is a difficult question to answer. Like I said, there is uncertainty in the global environment, the different trade deals and now the tariff impact in the U.S. are still being worked out. Geopolitical situation is still not absolutely normal. And our efforts to position the right products continue for every market at this point in time.

Very difficult to tell you which segments we anticipate growth from.

Amit Anwani: Right. Second question, again on the margins. So we did a great job with respect to the -- as I said, a lot of efforts went into -- with respect to value-added products and the contributions and the gross margin has been improving from past 2, 3 years. I wanted to understand, is there a further

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scope of improvement and can these margins sustain at current level since you are focusing on more value-added products? Some color on directionally what we are looking for next 2 years?

Shveta Arya: So Amit, we have been working, as I mentioned, on cost reduction efforts of our products and providing value-added to the customers. That endeavor continues, and that is what is exactly where we can put in our efforts. Other things that impact our gross margin are the product mix and how the pricing plays out in the market.

So we continue to watch that. Our endeavor is definitely to sustain or better these margins and our cost optimization efforts are ongoing. That's the best I can share at this point in time.

Amit Anwani: And what's the current capacity utilization?

Shveta Arya: Between -- current capacity utilization would be very close to 65%.

Moderator: The next question is from the line of Sumanta Khan from Edelweiss Mutual Fund.

Sumanta Khan: Thanks a lot for the opportunity. No, I understand that the pricing on the CPCB IV gensets could stabilize, probably it would need another quarter or two. But don't you think it's a quite a good outcome that you've still been able to hold on to the pricing? And I think it's been almost 6 months that we are only selling CPCB IV now?

Shveta Arya: Yes, Sumanta, I can -- I mean that's what our endeavor is. Definitely, it will take another quarter or two to settle down and we are watchful. And like I mentioned earlier, our focus is to go segment-wise in Powergen and provide the right product, the right services segment wise. So we do not look at pricing across the board in one particular way.

We go and do deeper analysis segment by segment on what the segment needs, what their buying behavior is, what are the value-adds they need, and that's how we define our pricing. And that is probably one reason why we've been able to hold on and provide the right value to the customer for which they are ready to pay those kind of prices, right? So it is a very, very nuanced strategy that we are following.

Sumanta Khan: My second question is on the exports. Now as I understand, correct me if I'm wrong, there are certain lower emission norm products, I think CPCB II and probably below. You are one of the few manufacturing units in Cummins Global who still manufacture them. So my question is that are you seeing demand? When you say LATAM is doing well, is it this segment which is helping you and the fact that probably you are one of the few entities which continue to manufacture these products?

Shveta Arya: That is right. There is -- we continue to be in the place from which we provide these products. Also, I did share that it is our efforts to position ourselves

very rightly in those markets. If you look

at Europe, Europe by itself is many markets. So Italy behaves differently from France, from differently to another country.

So we have gone down into those kind of details, done an assessment of how we place our products, at what price point, what is competition doing, what are the products they need? So

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we've done a lot of that effort as well. Similarly, for Latin America, every market behaves differently, Chile would behave differently from Peru to Colombia.

So there are market-based efforts. And yes, you are right, there are these non-emissionized products and the other ones supplying those in these markets.

Moderator: The next question is from the line of Uttam Kumar from Avendus Spark.

Uttam Kumar: The first question is with regards to some clarity on the employee cost. I mean, 2 things you had highlighted in your initial remarks. One was on the reclassification, which was done and the other one was on the variable pay component. Could you just give more color? Is it reclassification from the employee to the other cost line item where we are seeing almost a 40% increase on a Y-o-Y basis.

And the other one is with regards to the variable pay, which you stated. Just want to understand, is it in the base here which you're talking about, which is in FY '24? That is the first question?

Shveta Arya: Uttam, so reclassification, just like you said, it is a reclassification between employee cost and other expenses. So you're right. And from a variable pay perspective, in quarter 3 of financial year, the last financial year, we had this impact of the overall variable pay true-up, which is not there in the quarter 4 of this financial year. So that is the difference.

Uttam Kumar: Okay. This 3Q number you're talking is FY '24. Am I right?

Shveta Arya: Sorry, I didn't get that question, Uttam.

Uttam Kumar: This is variable pay component of 3Q, which you said, which is on the FY '24?

Shveta Arya: FY '25.

Uttam Kumar: FY '25. Okay. Got it. And the next question is with regards to the Powergen. Again, harping on the pricing trends. So I just want to understand, I mean, you had already cited that your pricing actions are more segment related, you go into specific products and then take a call on that. But on a blended basis, if I have to talk about FY '25 on the CPCB IV related products, what is the -- any color on what is the percentage of price increases, which you would have taken or any corrections which you have taken in the last year?

Shveta Arya: I'm sorry, your voice wasn't clear. So I'm going to ask you if this is what you asked. Did you ask that in the last year, did we take a pricing increase? Is that what you asked me?

Uttam Kumar: Any price increase in the Powergen segments? If so, to what -- or what quantum was the price increase for us in FY '25?

Shveta Arya: No price increase. We've just held on to our pricing that we had introduced -- when we had introduced CPCB IV plus product, largely.

Moderator: The next question is from the line of Subramaniam Yadav from SBI Life Insurance.

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Subramaniam Yadav: You have mentioned a double-digit growth for next year. If you could give some color on whether what is driving it, whether domestic and specifically with the power, in which segment you would be driving the double-digit growth?

Shveta Arya: Yes. From a growth outlook perspective, we are expecting Power Generation segment to grow across the board in the different low horsepower, medium horsepower segment. Our distribution business continues to grow. And from an industrial business perspective, there are certain segments like railways and construction segment holding on to its growth.

So we are definitely looking at demand in the domestic market across Powergen industry

and

Distribution business, and we anticipate double-digit growth. From an export perspective, it's a little uncertain at this point in time. We do -- while we -- our endeavor is to get that kind of growth in exports, but the tariff impact not being fully evaluated is still uncertain. So we are more certain about the domestic demand at this point in time than expected.

Subramaniam Yadav: Okay. Ma'am, but the Powergen base has been very high for last year, and we have seen that impact in this quarter also. Still, we believe that this segment will be growing about 10-odd percent next year?

Shveta Arya: Powergen continues to grow in the country at that pace, Subramaniam. So there's nothing different that we are seeing this year. I'm sorry if I didn't get your question, if you can repeat it once more?

Subramaniam Yadav: No, ma'am because in this quarter, you mentioned that there were pre-buying in Q4 last year, right, which has impacted our domestic number. So already rebate for FY '25 is higher. So I'm expecting whether the similar base effect will impact our Powergen in FY '26?

Shveta Arya: No, no, no. No. Actually, I mentioned in one of the answers earlier that CPCB IV volumes are still not all the way up to what we had seen in CPCB II volumes. So I don't think there's a base effect. In fact, we anticipate the volumes to grow.

Subramaniam Yadav: Okay. And then if you can highlight any project revenue in this quarter and for full year also?

Shveta Arya: There's nothing specific to note there, Subramaniam. It continues -- it comes in certain quarters.

It doesn't come. It's based on project execution. But overall, from a year perspective, there's nothing specific to share from the projects business perspective.

Subramaniam Yadav: And lastly, ma'am, if you can -- how do we read into this LHP in export because that has been growing in last quarter and this quarter. How does that impact our margin? Is the margin in LHP is also very high in the export market?

Shveta Arya: It's a blend. So I won't be able to exactly say, Subramaniam, but it's a blend. And since we saw

the entire world, and these are priced differently in different markets. So it won't be easy to say that.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

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Shrinidhi Karlekar: My first question is related to a slowdown in the growth rate for the distribution segment. It used to grow at quite significantly higher number compared to 5% that we reported. Would it be possible to throw some light on this?

Shveta Arya: You're looking at the quarter -on-quarter number, if you look at the whole year number, the distribution business has grown 14%. Quarter -on-quarter, there are different things that can happen, Shrinidhi. So the December quarter does tend to be a very high -volume quarter for the distribution business for various reasons.

So I would suggest you look at the year -on-year number and the distribution business continues to grow at a very healthy rate, 14% full year growth as compared to the last year.

Shrinidhi Karlekar: Is it this quarter also Y -o-Y is 5%. Did I note it down correctly? Y -o-Y growth in this quarter?

Shveta Arya: Yes, you are right as compared to the last year, yes, so don't read...

Shrinidhi Karlekar: So this number, ma'am, I was wondering like we were even adjusted for seasonality because I'm considering Y -o-Y number...

Shveta Arya: Yes, we're talking about the Y -o-Y number. I understand that. There can be shifting of demand between quarters. There are large rebuild orders sometimes that we get, which get executed in one quarter versus the other, and they can switch the revenues. So there's nothing from an overall market or demand perspective I would request you to read into this. This is really based on some large order executions.

Shrinidhi Karlekar: Underst

ood. That is very clear. And my second question is related to U.K. end market. As we understand, it is one of the large end markets for Cummins India, wondering does this whole free trade agreement between U.K. and India, does that help or it doesn't help much?

Shveta Arya: Shrinidhi, I would call out and say Europe -- overall, Europe is a large market for us. It is not specific U.K. So does the trade agreement impact us as much? It's not such a huge contributor to the overall Europe. Mainland Europe contributes more to our revenues.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: I'll go ahead with my question. The first one, you talked about the current run rate in Powergen being 80%, 85% of the usual number. Could you give us a sense of what has been the full year number in this context? And I'm assuming this is only applicable to the CPCB IV portion of Powergen. Could you also give us that number for the full year?

Shveta Arya: I won't be able to give you that number. That was my estimate that around 85% of CPCB II volumes and CPCB IV+ has reached. But given that the market is comprised of both CPCB II and CPCB IV+ plus, I won't be able to give you that exact number, Aditya.

Aditya Mongia: But suffice to say, this should help you grow your Powergen portfolio well into next year, right?

Shveta Arya: Absolutely.

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Aditya Mongia: Because we would want to assume that in the first half itself, the normalization is complete and maybe some growth incrementally, sure. The second part of my question was there has been some chatter of return scrappage policy for 15 years or plus kind of gen sets. Could you comment any views on the same and whether that can happen in this year some time and the benefit?

Shveta Arya: So return of scrappage policy as a policy document has existed for a few years. Different states need to implement this. There are certain states which have actually put this into effect. You will probably understand that unlike the automotive segment, there is no registration of gensets centrally happening anywhere.

So in order -- while the policy might exist, in order to implement that policy, that is where different states struggle. As of now, all states have not implemented the scrappage policy, some have. But even there, the implementation is not exactly the way it could be. So I would say the policy has existed, and we continue to advocate for those scrappage policies to be implemented. It has not happened yet.

Aditya Mongia: Sure. That helps. The last part would be on distribution. It would be useful -- as it's become a large segment for us in terms of contribution, if you could, in some ways, help us kind of understand the breakup of the same and the key drivers inside would help us then think through growth in a slightly better manner. So any color on the same?

Shveta Arya: Distribution business serves our Generation segment and Industrial segment. And in the

Industrial segment, these are long-term contracts with our customers. In Powergen as well, there are contracts that we enter into with our customers, also provide services like extended warranty. There has been a lot of effort we have been putting on penetration in the Powergen market, that has yielded results. There are a lot of rebuild engine orders that come to us from the industrial market, also from Powergen, but largely from the industrial market. Those are the specific things that are helping us.

Along with that, the distribution business focuses on new product launches, which are value add to the customer. So how can the retrofit emission control devices, the dual fuel kits, the Cummins retrofit devices, all of these are efforts that the distribution business made. These other things that have contributed to the growth in the distribution business segment.

Aditya Mongia: So just on this point why I asked this question to you is that obviously, your predecessor used to talk about -- Ashwath used to talk about a 5-year runway to growth. Is that something that you kind of see happening from here on or should one be having a lower time frame of growth and then reassess? Just trying to get a sense of the penetration gains, whether that can hold this segment in good share over a long term?

Shveta Arya: If you're asking me very specifically the question on distribution business and its growth outlook, so we are very positive on the growth outlook and it will also grow at double-digit or better, and that is the growth path we have seen. We have seen the business grow across all these segments that I spoke about and the efforts are yielding results. So we are positive about the distribution business.

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Moderator: The next question is from the line of Saurabh from Oaklane Capital.

Saurabh: The first is, we all know that data center demand is pretty strong. So what I want to understand is, are we constrained by capacity in terms of servicing this demand? And so what are your thoughts there? And second, last year, we said that we categorically want to increase our market share in MHP and LHP. And you said that you have kept your prices firm and competition is pretty high. So have we been able to gain share in that product?

Shveta Arya: I'll answer your data center question first. Are we capacity constrained, no? We are not capacity constrained. We have capacity. Our product is very well accepted in the market. So we are well positioned to cater to the needs of the data center segment. And as far as growth in the LHP and MHP, our endeavor is to grow across segments, not just LHP and MHP.

There are different efforts that go in growing in LHP, MHP and HHP. But we've gone even beyond that to get into customer segments and define what our growth and strategies are for different customer segments. So we are looking at growth across these segments, if I were to put it across.

Saurabh: But what about that specific comment like which was made in last few calls that we've also increased our share in LHP and MHP? So how should we read that?

Shveta Arya: No, I don't think we have ever made a specific comment of such. We definitely want to grow in the low horsepower segment. But that goes without saying that we also have aspirations to grow in the MHP and HHP segment.

Moderator: The next question is from the line of Amit Mahavir from UBS.

Amit Mahavir: Shveta, congratulations on great fiscal '25, especially in managing the competition very well. Ma'am, FY '26, because in FY '25, we enjoyed a lot of benefits, we had pre-buy, a very strong high KVA growth, like a lot of cost adjustment that we could manage to counter the price impact of new nodes that competition is launching. Distribution grew 14% plus. We had data center, which did very well. A, FY '25, what is the market share that we have of CPCB IV+ for the full year for Cummins?

And second question is, how do you see these levers changing in '26? Can the industry TAM, right, which is growing in maybe double digit for you, can the EBITDA -- industry EBITDA will grow in double digits? These are the two questions, ma'am?

Shveta Arya: I wouldn't be able to comment on the CPCB IV+ market share. But from an outlook of the market perspective, if we are specifically talking Powergen because that's what you mentioned, for now, we do see demand of it across segments coming in. Some of this demand will be fulfilled in this quarter, some in the next quarter.

So we have not cited any trend as of now, which would worry us. So we are seeing demand. That's the best I can share with you today. There is decent inquiries and decent orders being generated across segments and we have not cited any particular signs which would

worry us.

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Moderator: The next question is from the line of Ashish from MLP .

Ashish: For the Distribution business, now with the new CPCB engines coming with a higher warranty, should we expect the growth in the distribution business to moderate or that would not really matter?

Shveta Arya: So Ashish, with the CPCB IV plus coming in, the warranty period is still the same. What we offer is extended warranty, which we have packaged in a product called Ashwasan , which the customer has the choice to buy. We actually anticipate our penetration to grow because we have -- few quarters ago, we had launched the Ashwasan product, and now it is available for even the CPCB IV+ range. So we actually anticipate our penetration to get better.

Ashish: Understood. And how do we classify this? This is a part of genset or this income comes as distribution?

Shveta Arya: Distribution, this comes as distribution.

Ashish: Understood. And just one last question on pricing. How should we think about pricing settling down over the next couple of quarters? Like any range? Are we talking about 2% to 5% decline or more than that? Any rough idea could be very helpful.

Shveta Arya: I won't be able to give you that kind of an assessment, Ashish. We are analyzing the market, and we don't have that kind of number specific that I can give you.

Ashish: Okay. And in our guidance, when we give double digit, we would have some idea of how much is the pricing impact and how much volume we are expecting to grow. So anything around that would be very helpful.

Shveta Arya: That's our endeavor, Ashish, and it is across the kind of penetration we want in the distribution business, the tenders that we anticipate winning in the Industrial business segment and in the Power generation segment across LHP, MHP, HHP. So yes, there is some amount of anticipation across the board on product mix, on pricing built in there. How it plays out is very difficult to share at this point in time or predict.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference again over to Ms. Shveta Arya for closing comments. Thank you and over to you, ma'am.

Shveta Arya: Thank you. Thank you so much, everyone, for your active participation and engagement during the call today. Cummins India maintains a stable economic outlook as Indian market continues to be resilient. India's GDP is projected to grow by 6.5% in financial year '26. Although some uncertainties remain regarding changes in global trade policies, Indian reforms are focused on deepening economic cooperation and prioritizing infrastructure development. Backed by a strong balance sheet, world -class manufacturing infrastructure and top -tier talent, the company's growth trajectory remains strong.

With this, I close this call. Thank you so much, everyone.

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Moderator: Thank you members of the management. On behalf of Cummins Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference now and you may disconnect your lines. Thank you.

Call: Aug 2025

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Ref: STEX/SECT/2025
August 11, 2025

BSE Limited,
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Mumbai 400001 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block,
Bandra – Kurla Complex, Bandra (East),
Mumbai 400 051
BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Transcript of Q1 FY 2025-26 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our stock exchange intimation dated July 25, 2025, regarding Q1 FY 2025-26 Results Conference Call, please find enclosed herewith transcript of the said call held on August 08, 2025.
Kindly take this intimation on your record.
Thanking you,
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096
(This letter is digitally signed)

Encl.: As above.

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“Cummins India Limited
Q1 FY '25 -'26 Earnings Conference Call ”
August 08, 2025

MANAGEMENT : MS. SHVETA ARYA – MANAGING DIRECTOR –
CUMMINS INDIA LIMITED
MS. SOMA GHOSH – CHIEF FINANCIAL OFFICER –
CUMMINS INDIA LIMITED

Cummins India Limited
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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q1 FY '25 -'26 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone.

I will now hand the conference to Ms. Shveta Arya, Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Good morning, ladies and gentlemen. Hope you and your family are doing well and are staying healthy. Welcome to the Cummins India Limited Quarter 1 2025 -'26 Earnings Conference Call. I am Shveta Arya, Managing Director of Cummins India Limited. Joining me on the call today is Soma Ghosh, Chief Financial Officer of Cummins India Limited. Thank you all for joining us today on this call.

Now I would like to share the financial results of quarter 1 FY '26. For the quarter ended June 30, 2025, with respect to the same quarter last year, our sales at INR2,859 crores were higher by 26% compared to INR2,262 crores recorded in the same quarter last year.

Domestic sales at INR2,336 crores are higher by 25%. Exports at INR523 crores are higher by 34%. Profit before tax at INR726 crores is higher by 32%. Profit before tax after exceptional items at INR770 crores is higher by 40%.

For the quarter ended June 30, 2025, with respect to the last quarter, our sales at INR2,859 crores are higher by 18% compared to INR2,414 crores recorded in the last quarter. Domestic sales at INR2,336 crores are higher by 21%. Exports at INR523 crores are higher by 9%. Profit before tax before exceptional items at INR726 crores is higher by 7% and profit before tax after exceptional items at INR770 crores is higher by 13%.

The segment-wise sales breakup for the quarter ended June 30, 2025, is as I will speak now. Powergen domestic sales were at INR1,056 crores, 31% increase over last year and 21% increase over last quarter. Distribution business sales were at INR777 crores, 19% increase over last year and 23% increase over last quarter. Industrial domestic business sales were INR418 crores, 12% increase over last year and 10% increase over last quarter.

High horsepower exports were INR257 crores, 27% increase over last year and 18% increase over last quarter. Low horsepower exports were INR225 crores, 46% increase over last year and 5% increase over last quarter. While we continue to monitor the geopolitical uncertainty around global tax and trade policies, India's economy remains stable. Remaining cautiously optimistic, we anticipate having double-digit growth in the full year 2025 -'26.

I now open the session for questions.

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Moderator: Thank you very much, ma'am. We will now begin the question and answer session. I now open the session for questions. First question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter and great numbers on the board. So my first question is on, you have introduced the BESS solution in India. So just wanted to understand, are you going to set up a manufacturing footprint? How are you going to set up the supply chain? And have you already started booking orders? What kind of TAM does this address? And any risk can it cannibalize our existing business? So any flavor on the BESS opportunity in India would be great.

Shveta Arya: Thank you, Parikshit. Thanks for the question. We have just launched the BESS solution in India. We are still building the order board. We are meeting customers at this point in time to share our value proposition on the BESS. So just recently launched, the o

rd er board is just getting built.

We will see how we are seeing the results in the market, what are the customers asking, what do they need? And accordingly, we will take calls on future supply chain and manufacturing. For the time being, our focus is to ensure that the customers understand our value proposition on the BESS.

The risk, as you mentioned, of cannibalization, as far as possible, we don't see this. We do see our customers wanting a mix of energy capabilities. So while genset is for their backup power, there is a mix -- a good mix -- energy mix that battery energy storage provides, especially for customers who might also have solar power in their premises.

So the battery can be used to store that solar power. So we see this getting added to our portfolio. As of now, we do not see a risk of cannibalization. I hope that answers your question.

Parikshit Kandpal: So this will be largely targeted at the C&I customers for auxiliary power? And do you think you can also offer a solution like utility grades, BESS solutions for utility storage of energy for grid stability?

Shveta Arya: We're starting with C&I customers. The nodes that we have launched are for C&I customers.

Like I said, we will showcase our value proposition to our customers and then take calls of whether we could go to utility grade or not. We will absolutely evaluate that as we go along in the next few months.

Parikshit Kandpal: Okay. The second question is on the growth. We have seen in the Powergen in this quarter, so it seems to be like quite high. And given that even May was impacted by Operation Sindoor and when we were checking on the ground, there were some delays in decision-making, but still you've delivered a stellar growth.

So just wanted to understand, was there any one-off project order-based revenues booked in this quarter on the Powergen side or is it just the core G-Drive growth, which you have delivered?

So some flavor on that would be helpful.

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Shveta Arya: Yes. Parikshit, this is core G-Drive growth. There's been a lot of focus across all segments in the market, a lot of stabilization in the CPCB IV+ product and good order building and execution. I would say, great execution as well to deliver what the market needed across the board.

Parikshit Kandpal: So no major project business booked. So that has not happened in this quarter despite that the rate...

Shveta Arya: No, not till this quarter.

Parikshit Kandpal: Yes. Last question on pricing. Any color on the pricing and the utilization and the volumes, CPCB IV versus CPCB II. I think last time you said we are tracking at about 85%. So how is the volume stabilized now in this quarter? And also on the pricing, have you seen any correction or pricing holding up?

Shveta Arya: From a volume perspective, we are back to pre-CPCB IV+ volumes now. So we have reached those volumes in the market now. And from a pricing perspective, I think there is now a good settlement of pricing in the market. There is a lot of competition still and that will continue. But pricing more or less seems to have settled.

Parikshit Kandpal: No cut in prices in this quarter, like what -- status quo quarter-on-quarter. Last quarter, you said there was no cut in prices. Even this quarter, it continues to hold on?

Shveta Arya: We are -- our endeavor is to continue holding on, and we always evaluate based on customer needs and deal-by-deal basis. And as and when we have those requirements, we attend to those, but we are trying to hold on to our prices absolutely.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund.

Nitin Arora: Congratulations on strong set of numbers. I have 2 questions. One is when we look at this Powergen growth of 30% plus and you articulated that we have reached to the CPCB IV level kind of volumes. Is it

very broad-based? Can you just throw some contours that at which segments do you still think are sustainable of that segment on the Powergen side, the way you explain in every quarter? That's my first question.

Shveta Arya: Nitin, so yes, Powergen growth in this quarter was very broad-based, but I'll throw some light on the segments that did well for us. So I have shared this that we've been focusing on quick commerce, and that is one growing segment, and we saw that segment growing in this quarter as well.

And then the mission-critical segment, which is also broad-based where you can include government infrastructure spend-based segments like roads, hospitals, airports, we saw some growth from those segments as well as manufacturing and pharma. So these were some of the key segments, but I will still say that the growth is very broad-based. These are just some of the key segments that I'm highlighting for you.

Nitin Arora: Very helpful. And this looks sustainable to you the way you articulated in the call?

Shveta Arya: This looks sustainable, yes.
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Nitin Arora: Great. On the second aspect on the export side, it looks like it's coming back. So I just want to know your perspective that given when we met last time also and you did a call and you were a little uncertain. Is it just the export has bumped up because there is prebuying or you are seeing markets a little bit settling because when we track a few data of inventory levels, so is it like inventory is now normalizing in the market and demand is coming back? How you're thinking about exports going forward?

Shveta Arya: I would say exports, we are still cautiously optimistic, Nitin. There are still various geopolitical issues going around. I would say the reason why exports have been performing for us is because we've been focusing on end markets, what do they need, what products they need.

I have been sharing that there are specific projects that we are running to make sure that we are continuously improving our product positioning and making sure we are delivering to the customers in those end markets what they need, by the time they need. So this is a result of focused efforts, not necessarily all markets picking up demand. So that's why we stay cautious about exports.

Nitin Arora: Got it. And just one thing on the profitability. I remember in the last 4 quarters, despite we being doubting on the company that profit margins or the EBITDA margin would come under pressure or pricing would come under pressure. But I think it's been a very consistent delivery in margins as well.

Do you see a little bit more operational leverage coming in given it's a very broad-based recovery. And I'm sure where you have a higher nodes, there you are only the one, which is gaining market a lot. I mean, competition looks like it is on the lower node side. So just one comment on the profitability, that would be very helpful?

Shveta Arya: Nitin, I would say, we do have competition in the higher nodes as well, and it's getting tougher. So while we try to hold on to what we do, which is we continue to work on cost optimization and delivering better on the profitability side, I would definitely say that competition is across the nodes at this point in time, also in the higher nodes.

But like I have been saying, we put in efforts to make sure that we do find that cost leverage and cost optimization opportunity. So that will be the endeavor. That's the best I can provide to you at this point in time, perhaps.

Moderator: Next question is from the line of Umesh Raut from Nomura India.

Umesh Raut: Congratulations for strong set of numbers. My first question is pertaining to distribution segment. So if I look at, I think, growth for this quarter as well, it has remained strong at about 19%. And in last year as well, we have delivered 22% kind of CAGR. I think

it is looking like

largely on the account of new product launches, especially you had talked about a lot on these new products, especially in the recent annual report.

So if you can share the addressable opportunities for some of these new products like DF kits, RAS, power management solutions, DGBLue, which is diesel exhaust fluid and hydraulic filters as well, and especially on the new product launches in the railway segment track recording car

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and hotel load converter. So that insight on the new product launches and the TAM would be helpful for us.

Shveta Arya: Yes, thanks for the question, Umesh. Umesh, you asked about the distribution business growth and is it primarily due to these new products? I would say that the distribution business growth is primarily due to our better penetration in Powergen and railways, better execution and it's broad-based.

The new products have started to contribute. But I would not say that the growth is primarily based on new products. It is based on better penetration in the traditional Powergen and railway segments and providing better aftermarket solutions to our customers. So that is what the growth is based on.

Umesh Raut: Got it. And the new product launches on railway side, especially and the Industrial segment, if you can give us a TAM or opportunity because there, we are now compensating for railway electrification. So just wanted to understand from an annual ramp-up point of view on the railway side, whether we can grow in the range of about 20%, 25% from INR500 crores of revenues in '25 as well?

Shveta Arya: Umesh, you're referring to the hotel load converter. And while we had launched the product, it

was still undergoing field trials. So serialized production of the product is yet to start. So it's early to say. The product will be productionized from a serial production perspective very, very soon. As of now, it was undergoing field trials, so it will start contributing in the coming quarters.

Umesh Raut: Got it. And even with the introduction of CPCB IV+, do you think that the consolidation will happen in favor of branded players in aftermarket business more and more and because it is more of electronic -based content, so opportunity can be even higher for distribution business for you?

Shveta Arya: You are absolutely right. That gives a better opportunity because the products are technologically more advanced than what we had in the CPCB II era. So the products are more advanced and they will require better aftermarket support and technically strong teams on the ground to help our customers. So you're right, it could lead to better opportunities.

Umesh Raut: Got it. My last question is on the export side. If you can share geography -wise export contribution, especially from Asia, Middle East, Europe, North America, Lat Am. And other part was related to whether you are seeing any incremental traction because of now CPCB IV+ previously compliant product, which is now getting accepted in newer markets and exports?

Shveta Arya: So from an export perspective, both the high horsepower and low horsepower ranges are doing -- have done well in the quarter. And the growth is pretty broad -based across markets. I will not -- this particular quarter, there's no specific market to call out. Largely, we've seen Latin America and Europe performing better as compared to the last quarter and even the last year, but it's broad -based across markets.

And on the question on CPCB IV+ products, since we supply our products to many markets around the world, these -- a large part of these markets are still on lower emission norms than CPCB IV+. So they continue to buy those products. And the markets, which do buy products,

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which are CPCB IV+, we continue to work with them as well. But a large part o

f these exports

are still the lower emission products for now.

Moderator: Next question is from the line of Mohit from ICICI Securities.

Mohit: Congratulations on a very, very good quarter. My first question is, can you give us the breakup between HHP, MHP and LHP sales in Powergen during the quarter?

Shveta Arya: Yes, sure. So low horsepower for this -- Yes, sorry, give me one second. Yes. So low horsepower for this quarter is INR84 crores, medium range is INR229 crores, and what we call heavy duty is around INR115 crores and then high horsepower is INR628 crores, totaling up to INR1,056 crores for the quarter.

Mohit: My second question is, ma'am, is the -- has the data center sales contributing more than 20% of the HHP Powergen? Is it fair to assume that this is the contribution? And how are you seeing the data center sales in this fiscal year compared to the last fiscal?

Shveta Arya: So data center, I would just correct you there. It is 15% to 20% of overall Powergen sales, not just high horsepower. So that is the contribution of data centers. And we have been seeing steady growth in the data center market comparable to the rest of the Powergen segment growth as compared to last year.

Moderator: Next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Just wanted some color on the Industrial side of the business as well in terms of the various subsegments like mining, construction, compressor. Just if you could give some color on that as well as the breakup of that segment for the quarter?

Shveta Arya: Sure, Jason. Yes, for the quarter. So for this quarter, the Construction segment clocked INR147 crores; Rail, INR148 crores; Compressor, INR56 crores; and then the remaining, totaling up to INR418 crores for this quarter. So a little bit of color on this segment. Railways performed really well for us owing to orders for the diesel electric power cars and power cars.

Construction segment, steady growth; however, in this particular quarter, we did see some projects getting affected due to early monsoon. And then Compressor segment just continuing on steady demand, very comparable to the last quarter. Those were the key highlights.

Jason Soans: Sure. And just in relation to the exports, just wanted to understand in light of this tariff thing. So I mean, is there any exposure of us to the U.S. markets or some products that feed into the U.S. markets? Any color on the development in terms of this tariff increase?

Shveta Arya: Jason, we are evaluating at this point in time. We are quite diversified in terms of the markets that we export to. Yes, we do export to the U.S. But since we have quite a diversified portfolio, the share of what we export to the U.S. will not be very high. So -- but we are evaluating how this will impact our exports to the U.S.

Moderator: Next question is from the line of Ruchit Agrawal from Unifi Mutual Fund.

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Ruchit Agrawal: Many congratulations on the strong set of results. Just one question from my side. As you alluded to the fact that we are seeing prices settling down now and the endeavor is to hold on to prices. Can we say that the margins that we've had in the last 2 quarters are sustainable? And any color on that?

Shveta Arya: Ruchit, thanks for the question. So that is our endeavor. But then we always have to be competitive in the market, right? So we wait and watch depending on the competition activity and to provide the best value to our customers. So while our endeavor is to hold on to the margins, for sure.

Ruchit Agrawal: Sure. That helps. And just one question on the competitive intensity, as you mentioned. If you can give some on our market share, especially in the high HP nodes, are we seeing some foreign players entering the market? And have we had any impact on the same?

Shveta Arya: We have quite a few players in the ma

cket, Ruchit. There are domestic players as well as foreign players, yes. And that intensity has been increasing for sure. We continue to watch. We do I can't comment on the market share, but we do have good brand presence and acceptance because we have been around in the country for a long period of time. So there is a lot of brand acceptance and customers do prefer our products. But you're right, there is a lot of competitive intensity, including from foreign players in this segment.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: My question is on exports. You did highlight it that Lat Am and Europe, the demand was good and the demand is very broad-based. So I think in past 4 to 5 years, I think only FY '23, we did about INR2,000 -plus crore s export.

Can we expect sustainable export numbers from here on despite there are challenges, and we understand that you're still evaluating the tariff impact maybe for certain sales from U.S. But given Europe and Lat Am doing good, is it sustainable? And can we see INR2,000 crore s plus numbers in any annual sales maybe this year? And second, which user industries or segments, which are contributing to broad-based numbers in the export market?

Shveta Arya: From an export's perspective, we are a little cautious. And while we do see in the last quarter that all the markets, be it Latin America or on the high horsepower side, Europe, on the low horsepower side, all the markets like Africa, Middle East, all of them, we saw growth coming in due to a lot of efforts we have been putting.

But the geopolitical situation does keep changing. And that's why we are cautious about exports. optimistic because we are putting in a lot of efforts, but still cautious and evaluating the current situation. Could you repeat your second question on the industries?

Amit Anwani: Yes. So in Europe and Lat Am, especially since you highlighted, which are the segments' end users where we're getting good demand from in these markets?

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Shveta Arya: These are Powergen segments largely C&I in both these markets. There could be some rental players, there could be some C&I players, Powergen largely in both -- in all the markets that we sell to.

Amit Anwani: Right. Second question on your guidance of double digits. Since we have done extremely well with respect to numbers in Q1, and we did about 25% number. So just for understanding perspective, are we seeing kind of high teens or maybe 15% to 20% growth since Q1 is already very strong. If you can give some color with respect to the growth.

Shveta Arya: There is -- we do see domestic demand continuing. But as I mentioned, we are cautious on the exports. So at this point in time, I would say double-digit growth does remain our outlook and endeavor. Beyond that, it is difficult to give you a range.

Amit Anwani: Understood. And on the gross margin, will this be sustainable since you're saying export is cautious. So in domestic also, are there margin-accretive products contributing? And is this gross margin we can assume that is possible to sustain?

Shveta Arya: On the gross margin side, we did get a lot of leverage benefit in this quarter. So if the volumes continue, we expect to sustain the gross margin from this perspective. That is -- so gross margins based on volumes and the product mix will be a play. So we -- our endeavor is to maintain it at these levels.

Moderator: Next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: Congratulations on a strong quarter. My first question is, you've already touched upon certain sectors and segments, which are driving growth. I wanted to know specifically if you have been able to cater to all the demand, which is coming from data center, specifically given some of -- most of the higher nodes for you all are impor

ted.

And I also understand that Caterpillar has been able to pick up a lot more orders recently and improve its market share, given their shorter time lines of delivery. So here, what are you doing to shorten the time lines for imports, especially of nodes upwards of 3,000, 3,500. So those are the questions that I've got?

Shveta Arya: Thanks for the question. So there's a lot of work that we are doing to shorten our lead times as well on those nodes, not just for our market, but for around the world. So there's work going on, on shortening the lead times for our product deliveries.

And on the other hand, we are working with our customers so that we can generate the orders in advance and make sure that we deliver to them based on their own site readiness. So those efforts are going on. We have been able to fulfill the demand that has come our way, since you asked that question. We have definitely not lost because of our inability to deliver.

Rahul Gajare: Okay. And do you think that the demand from data center will continue this way, given that you've not specifically called out data center when you talked about some of the earlier sectors?

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Shveta Arya: The demand from data centers is continuing, yes. I specifically did not call out data centers because that has been steady for the last few quarters. I only highlighted some of the segments that actually did really well in this quarter. But yes, data center demand is steady and continuing for the time being.

Rahul Gajare: Okay. And continuing with this question, are there any specific areas where you've seen that demand has drastically collapsed or significantly reduced, including inquiry levels?

Shveta Arya: No, we haven't seen any segment dropping demand to the level that it comes to our notice. It's been quite broad-based, yes. No such segment like that.

Moderator: Next question is from the line of Chandrakant Kanase from Ericsson.

Chandrakant Kanase: I have a question regarding the flexible fuel engines. Are we ready to launch them in India? And what is the potential for those flexible fuel engines?

Shveta Arya: Chandrakant, flexible fuel engines, it's -- we have something that we are working on at this point in time globally, which we call -- there's a platform, which we call HELM, which we are working on. But right now, we do not yet see the need to launch it.

And we are working on that to see if there is a need for the time being, for our company, given Powergen segment is the most important segment and growing segment, which might require some options for beyond diesel, there is a dual fuel kit that's available to help customers who would like to try diesel along with gas and thereby have the option of the dual fuel kit.

So the dual fuel kit is already launched in the market. And that's how we are catering to the customer requirement who would want to try gas as well as diesel as a fuel.

Chandrakant Kanase: Yes. And my next question was regarding the Railways segment, basically the powertrain part of the railways based on hydrogen fuel. What is the potential for Cummins there? And what could be the time line there?

Shveta Arya: So there is definitely potential; however, hydrogen as a fuel on the railway side would be a hydrogen fuel cell discussion, which is still some years to come. We have electrified railway tracks. So the Indian Railways is really focusing on that and trains, which can work on those electrified railway tracks. So there are conversations around hydrogen fuel cell, but it is some time to come, at least more than a decade from now.

Chandrakant Kanase: Okay. And it will come out of Accelerata...

Shveta Arya: We will evaluate at that point in time when we are ready and when we are having the conversation with railways. At this point in time, there are very little discussions on hydrogen fuel cells.

Moderator:

Next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: So just one question on the exports. So Cummins globally, U.K. is a very big hub for them globally, right? And since now there is an India U.K. FTA, is there an increased from parent for Cummins India Limited

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supplying to U.K. since there is annual report also, we see transactions with Cummins Limited, which have been growing anyways, right, the U.K. entity, you have proposed to increase it by 26%, around INR1,167 crores, which is big, right? So is there a direction in that towards supplying more to U.K. entity basis the discussions with parent?

Shveta Arya: Thanks for the question, Saif. So we are looking at it. We are trying to see how we can improve our presence in that market given the announcements made. Definitely, that is something we are evaluating with our global counterparts.

Saif Sohrab Gujar: And just a clarification from earlier questions. You mentioned 31% Powergen growth is without any project business revenue, which you typically recognize in 4Q, right? So there is no project business revenue in this quarter?

Shveta Arya: There is project business revenue. There is project business revenue in it. There are no one-offs. The question was around one-off growth items. There are no one-off growth items, but definitely, there is project focus in that.

Saif Sohrab Gujar: And still the margins have been muted. Fair. Thanks.

Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: My question is again on BESS. So right now, the prices on the import side is about INR1 crore s to INR1.2 crore s per megawatt hour. So do you think that Cummins will be competitive enough to match that kind of pricing? And I mean, do we have any right to win? That is basically my question what I want to know, given the pricing is so aggressive now on the import side?

Shveta Arya: Yes, Parikshit. So we are evaluating. We're working with our customers because our product does have quite a few features, which the customers would appreciate on the safety side and on the utilization of the BESS. So we are working on that to provide the right value proposition to the customers. And if the need be, we would definitely work on the cost side as well.

Parikshit Kandpal: But on your internal assessment, what kind of TAM could this be? I mean, for C&I customers to start with? So what kind of opportunity we do 1 or 2 years down the line you'd say this could present?

Shveta Arya: A little too early to say, very early, Parikshit, we just launched the product about 2 months ago.

Parikshit Kandpal: Okay. Just one question, which used to always keep coming earlier on the CTIL and CIL merger. So any thoughts there? And again, I mean, I'm taking it after a long time, but this was a question, which used to come on the calls. So any thoughts there? How is the parent thinking about it? Any discussions around that?

Shveta Arya: That's a continuous assessment that the parent does. But at this point in time, there's nothing that I can share, which is concrete at all.

Parikshit Kandpal: Okay. You said the project business is now regular, so what was this quantum in this quarter, if you can quantify out of the total Powergen business?

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Shveta Arya: I won't be able to share the exact number, but it's a steady number. It's not -- there is a small number of project execution, but I won't be able to share the exact number.

Parikshit Kandpal: So high single digit or even double digits, right? That much color if you can give.

Shveta Arya: Double digit.

Parikshit Kandpal: Okay. And just one last question on this. What is the composition of the CPCB IV engines now in the total Powergen mix, and revenues you booked this quarter? So what is

that quantum? Is it

-- will it be like 80%, 85%?

Shveta Arya: So CPCB IV+ range, not 80%, 85% from a value perspective. But -- sorry, I'm trying to decipher your question. So below 910 kVA is fully CPCB IV+. Did you mean how much is CPCB IV+ in the full Powergen?

Parikshit Kandpal: Yes, yes. So domestic Powergen business of INR1,000 -odd crores that you booked this quarter. So how much of the contribution came from the CPCB IV engines?

Shveta Arya: Roughly 60%.

Parikshit Kandpal: Okay. 60% will be CPCB IV and 40% will be non-CPCB?

Shveta Arya: Yes, that's right.

Parikshit Kandpal: And lastly, on this hydrogen electrolyzers, any update? And now you have introduced that, so anything you're hearing from your customers who want like to try out from Cummins electrolyzer products. So any thoughts there, when do you expect this to come into the markets for the power backup?

Shveta Arya: Hydrogen electrolyzers are not for power backup. Hydrogen electrolyzers are just to generate hydrogen for the customers. So that is not something that we've heard too much on in the market in the recent past.

Moderator: Next question is from the line of Harshit Jitendra from Elara Capital.

Harshit Kapadia: Congratulations for a strong set of numbers. Just 2 questions from my side. On the call, you mentioned that till now we are looking at a growth in data center. Now is this reference to that the demand from one of the large U.S. IT company related to data center has come down because of AI. And given that you may have a higher exposure to that particular customer, you are a little bit worried of data center growth, let's say, not in this year, but probably in FY '27, '28?

Shveta Arya: No, we are not worried about that. We still have a robust order board on the data center from all different kinds of data center players, be it the ones from the U.S. or be it the ones from India.

So there is a strong order board on the data center side.

Harshit Kapadia: Understood, ma'am. And on the second question was on distribution side. Until now, what we

understood was 60% of your distribution was directly through Powergen and 40% was because of the Industrial. Now given because of the CPCB IV and our electronic item usage in the Cummins India Limited
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Powergen is going to rise, will we see Powergen share increasing significantly in the distribution mix and because of which even margins will also increase?

Shveta Arya: So the distribution business mix is across Powergen and Industrial business, yes, but we are seeing growth across both ...

Moderator: Sorry to interrupt ma'am. Your voice is breaking.

Shveta Arya: Clear now?

Moderator: Yes, please go ahead.

Shveta Arya: Okay. So on the distribution business side, we are seeing growth both on Powergen side and also on the Industrial business side. So why Powergen CPCB IV+ has does present opportunities to penetrate more on the Powergen side...

Moderator: Ma'am, your voice is breaking again.

Shveta Arya: Can you hear me better?

Moderator: Yes, please proceed.

Shveta Arya: I'll repeat my answer. On the distribution business side, both Powergen and industrial business are growing for us. On the Powergen side, CPCB IV+ does offer possibilities of penetrating more, but the same opportunities and in a different way are present in the Industrial business side as well. For example, in railways, in mining, in marine. So it would not be fair to say that Powergen would outstrip the growth on the Industrial business side. Both are growing for the distribution business.

Harshit Kapadia: Just if I can squeeze in one question related to Industrials on Marine. We have been saying that we'll see a lot of growth on the marine side because of a lot of defense -related ships are on a rise.

Could you give us some thought on what kind of growth we can expect and from which quarter is this growth going to

o fructify for us?

Shveta Arya: So there is steady growth in that segment, and these are dependent on government orders and our tender -based projects. So there's steady growth happening. There's nothing that I can say that by this period of time, we will see because these are government tender -based projects largely.

Moderator: Next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: So the question -- the first question was on exports. At least the data that we track, we started seeing QSK38 and QSK50 engines started becoming relevant U.S. exports over the last few months. We also see in the annual report mentions of U.S. kind of opening up of the market on these nodes. I wanted to understand the tariffs aside, can U.S. start becoming a more sizable share of our sales over the next few years?

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Shveta Arya: Aditya, thanks for the question. So remains to be seen. The products definitely have been launched, and we saw good traction from the market. Now we have to evaluate the current situation and see how that impacts us. But yes, there is a possibility of growth in that market through these products, definitely.

Aditya Mongia: Understood. Just a related question to this. From INR1,600 crores, INR1,700 crores run rate of exports, we are now coming back to INR2,000 crores. Should we assume that bulk of this change that has happened, which has happened fairly quickly, is because of share gains and the macro is still as weak as it was in the last year and thus, if it were to change, there would be a second uptick that happens from here on?

Shveta Arya: Very different market by market. There are -- like I was saying, there are places where we have been able to provide the right products through the right channel. It is -- I mean, these are various markets that we sell to, right? Europe itself is like so many different markets, so is Africa, Middle East. So difficult to say how we would have gained share in each of those different markets and how this would have moved.

Aditya Mongia: Okay. The second question that I had, Shveta, was just to get a Birdseye view from your lens, as in from there on, which segment is a segment wherein you would want to focus a lot more and where a lot more value creation can happen among the Powergen exports and distribution? Obviously, trying to get a sense more on distribution so this question.

Because our sense is that, that business, at least your predecessor was talking about that having a 5-year kind of track record -- a 5-year kind of future, which is fairly decent. But if you have to

pick one segment where you want to focus the most, which one would that be?

Shveta Arya: That is a tough question. I would not want to pick one segment because the India domestic market presents opportunities across the board. So in the Powergen side, there is demand, which is growing because there's need for backup power. The Industrial segment because of government spend, infrastructure spend presents opportunities.

And when we utilize all these opportunities, the distribution business also continues to grow owing to higher growth of our engines on the ground, higher penetration and new products being launched. So I definitely would not want to pick up one segment because there are opportunities across the board.

Aditya Mongia: Just a minute of a clarification. You said that Powergen revenues have come back to CPCB II levels for you. How far away would the market be at this point of time to be reaching that stage?

And can that happen this year itself?

Shveta Arya: My comment was not about Powergen revenues. My comment was about overall market volumes. Overall market volumes at this point in time are back to CPCB II levels. That was what my comment was about.

Moderator: Next question is from the line of Anupam Goswami from SUD Life .
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Anupam Goswami: Ma'am, if you could summarize where -- how do I look at the growth across the segments and specifically which segment? And of course -- and our product lines also where do you see the Industrials and Powergen, where -- which factors would lead it to? A little specific on this, if you can help that.

Shveta Arya: Anupam, so if you're talking about the current quarter and what we see in the market, so Powergen, there are a few segments that I called out like quick commerce, mission -critical segments, which are hospitals and roads, airports, some of them, manufacturing segments, pharma. Some of these have presented opportunities in this quarter and continue to grow at a robust pace. So that's from a Powergen perspective. It is across the nodes, this demand. So we are seeing that.

In the Industrial business side, we are seeing demand from the railway, diesel electric tower car and power cars, which we continue to see. Construction segment was impacted a little by monsoons, but we do see some steady movement in that.

So these would be the key highlights. And other than that distribution business, we continue to see a similar kind of growth. So those are the key things that we see in the market. And given the way the domestic economy is performing, we do believe this will continue at least for some time.

Anupam Goswami: Ma'am, on the -- let's say, from the last year, what sort of changes are we finding this time given the stabilization of CPCB IV has happened and any sort of disruption is now behind us?

Shveta Arya: What sort of changes? Could you please clarify?

Anupam Goswami: Ma'am, in terms of growth and demand factors, where do you see the market is opening up and where do we see our USP or our advantage that we are getting?

Shveta Arya: From a market demand perspective, I just shared with you. From our USP perspective, specifically in the Powergen space, we do have very good customer relationships, which we have built over the years. The brand promise that we deliver on reliability and innovation has been working in our favor.

The CPCB IV+ product being very technologically advanced has been accepted very well by the market. On the -- and the aftermarket support, much needed by the customer on the Powergen side, specifically for such a technologically advanced product is being well appreciated.

On the Industrial side as well, our execution, our ability to execute orders, which sometimes are very customized based on requirements of the tenders and the ability to deliver aftermarket support for a long period of time for that. These are some of the USPs, which are well accepted by the market and are continuing to show us possible growth areas as well.

Moderator: Next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Shveta, when I look at the last couple of years, while we've done very well on growth, we've also been very tight on costs, whether it is employee cost, we've been -- we've had a few VRS, Cummins India Limited

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etcetera. Now as you chart out the next 3, 4 years growth trajectory for the company, how should we look at cost for you?

You think you are rightsized or we'll have to sort of rebuild capacity? How do you think about

capex utilization? So I'm just thinking about best margins and best growth for the company in the last couple of years. How should that trend from a cost perspective going forward?

Shveta Arya: Pulkit, thanks for the question. So Pulkit, you're right, we have been focusing a lot on our costs as well. And we have been working very hard to optimize our costs to the right level. So that from an employee cost or other kinds of spends will continue.

On the other hand, capacity, in our capacity in terms of upgrading the lines, expanding the lines, we have been putting in capital over

the last few years continuously, and that will continue for

us to ensure that we are providing to the domestic market as well as to help with our exports growth.

So that capital has been coming in continuously and continues going forward. Our capacity utilization at this point in time is around 65% to 70%, but that's also because we have been continuously putting in capital on line upgrades and line expansions and finding ways to utilize it better .

So those are some of the things that have worked for us. The way you should think about it is that going forward, we will have leverage gain because we've worked on a lot of optimization, but we will also continue investing to fuel our future growth. So that is probably the best way to think about it.

Pulkit Patni: And in that context, what should we build in for capex for the next couple of years?

Shveta Arya: I won't be able to give you numbers. But like I said, we've been continuously investing in capex over the last few years. You could build in a very similar scenario.

Pulkit Patni: Okay. So about INR225-odd crores, which we spent last year. That's something we can bake in for the next few years as well?

Shveta Arya: I won't be able to give you the numbers.

Moderator: Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference again over to Ms. Shveta Arya for her closing comments. Over to you, Ms. Arya.

Shveta Arya: Thank you, everyone, for your participation and engagement and all the questions on the call today. Cummins India believes that the broader domestic economic outlook is stable. India's GDP estimate for financial year '26 remains at around 6.5%, and the CPI has eased over the last quarter.

Economic policy reforms, coupled with reduction in interest rates and government focus on infrastructure development bodes well for our end markets. However, we do have uncertainties pertaining to global tax and trade policy, and we remain cautiously optimistic about the near - to medium -term demand outlook.

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With this, I would like to close the call. Thank you so much, everyone, for joining us today.

Moderator: Thank you, ma'am. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are ending the conference call now. You may now disconnect your lines. Thank you.

Call: Nov 2025

cil.investors@cummins.com CIN : L29112PN1962PLC012276Ref: STEX/SECT/202 5

November 10, 2025

BSE Limited,

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai 400001 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No. C/1, G Block,

Bandra – Kurla Complex, Bandra (East),

Mumbai 400 051

BSE Scrip Code: 500480 NSE Symbol: CUMMINSIND

Subject: Transcript of Q2 and H1 FY 2025-26 Results Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and with reference to our stock exchange intimation dated October 28, 2025, regarding Q2 and H1 FY 2025-26 Results Conference Call, please find enclosed herewith transcript of the said call held on November 07, 2025.

Kindly take this intimation on your record.

Thanking you,

Yours faithfully,

For Cummins India Limited

Vinaya A. Joshi

Company Secretary & Compliance Officer

Membership No.: A25096

(This letter is digitally signed)

Encl.: As above.

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"Cummins India Limited

Q2 FY 2025 -'26 Earnings Conference Call "

November 07 , 202 5

MANAGEMENT : MS. SHVETA ARYA – MANAGING DIRECTOR –

CUMMINS INDIA LIMITED .

MS. SOMA GHOSH – CHIEF FINANCIAL OFFICER –

CUMMINS INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited Q2 FY 2025 -'26 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shveta Arya, Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Thank you so much. Good morning, ladies and gentlemen. I hope all of you are doing well and staying safe and healthy. Welcome to the Cummins India Limited quarter 2 2025 -

'26 earnings conference call . I am Shveta Arya, Managing Director of Cummins India Limited. Joining me on the call today is Soma Ghosh, Chief Financial Officer of Cummins India Limited. Thank you for joining us today. I would like to share the financial results for this quarter now. For the quarter ended September 30, 2025, with respect to the same quarter last year, our sales in this quarter are INR3,122 crores, which are higher by 28% compared to INR2,448 crores recorded in the same quarter last year. Domestic sales at INR2,577 crores are higher by 28%. Exports at INR545 crores are higher by 24%. Profit before tax before exceptional items is at INR839 crores, higher by 41%.

For this quarter ended September 30, 2025, as we compare it to the previous quarter, our sales at INR3,122 crores are higher by 9% compared to INR2,859 crores recorded in the last quarter. Domestic sales at INR2,577 crores are higher by 10%. Exports at INR 545 crores are higher by 4%. Profit before tax before exceptional items is at INR839 crores, which is higher by 16%. The segment -wise sales breakup for the quarter ended September 30, 2025, in the domestic business , power generation domestic sales are at INR1,340 crores, which is a 49% increase over last year and 27% increase over the last quarter. Distribution business sales at INR796 crores, which is 21% increase over the same quarter last year and 2% increase over last quarter. Industrial business sales at INR387 crores is a 5% decrease over the same quarter last year and a 7% decrease over last quarter.

Coming to exports. High horsepower exports are at INR279 crores, which is a 40% increase over same quarter last year and a 9% increase over last quarter. Low horsepower exports are at INR219 crores, which is an 11% increase over same quarter last year and 3% decrease over last quarter. Regarding the sales outlook for the full year 2025 -'26, we expect to have double -digit revenue growth over the previous fiscal year. I now open the session for questions. Thank you.

Moderator: Thank you very much, ma'am. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Umesh Raut from Nomura.

Umesh Raut: My first question is pertaining to the comment made by parent in yesterday's earnings call, where they said that September quarter was a record in terms of order intake for Cummins globally, especially in power generation business. So how do you see order intake for India business in Cummins India Limited

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power generation during the quarter gone by and especially inquiries as well in the ongoing quarter?

Shveta Arya: Thanks for the question, Umesh. So from a parent perspective, yes, they have record intake of power gen orders. That is related to data center market very specifically in the U.S. and also in Europe. But one of the fastest -growing data center markets in the world is U.S. where some large orders have been taken in by the parent.

Fr

om an India perspective, our market from a power gen perspective, our order intake is more diversified. It continues quarter -on-quarter. There is no specific change as I see it in the coming quarters. We have good backup power gen demand in the market across different segments, and that continues.

Umesh Raut: Got it. And in terms of any pricing action pertaining to power generation segment and the volume trajectory as compared to CPCB IV+ era. So how do you see outlook now and volumes kind of shaping up, especially in medium HP and low HP segment? And at the same time, if you can share the contribution, especially in power generation in terms of growth, which was very strong during the quarter from mission -critical applications like data center or, say, hospitals and say, from building and factories.

Shveta Arya: Yes. So let me answer the volumes that you asked for low horsepower and medium horsepower. Across the range in the power gen market, the volumes are now back to pre CPCB IV+ era. The annual volumes that we used to see in the market in CPCB II, we are almost back to the same volumes now across the segments.

Pricing has settled down. Of course, there are competitive pressures in the market. So pricing is an ongoing moving thing, which we continue to evaluate. It has largely adjusted after CPCB IV launch, and we are where we are at this point in time. Now there are segment -wise tweaks that continue happening, which is part of the regular business.

From a power gen growth perspective, let me help you a little with that. So power gen overall across the board, be it low horsepower, medium range, heavy duty, what we call high horsepower, we saw growth across the range. We definitely saw better growth in the low horsepower market.

Also, in this particular quarter, we had a very, very good execution on the data center demand. So specifically for this quarter, because of our projects business, execution in the data center space happening really well, there is a high growth in that particular segment. I hope that helps.

Umesh Raut: Understood. My last question is pertaining to Industrial segment where we have seen a decline

on a year -on-year basis. So was it any -- pertaining to any particular segment or the impact of extended monsoon that we had in domestic market?

Shveta Arya: Yes. One of the impacts is the extended monsoon, which has ended up impacting the construction segment. The largest impact came from the construction segment, where we saw degrowth in this quarter as compared to the same quarter last year as well as the sequential

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quarter. Also, mining, we did not see as many tenders opening from Coal India, and that has impacted. So those were the 2 biggest contributors.

Moderator: The next question is from the line of Chintan Parikh from HDFC Securities .

Partikshit: This is Partikshit here, Shveta. Congratulations on a great number. So my question is this 49% growth in power gen business, if you can help us quantify ex of data center, the coal power gen business would have, what was the growth like -to-like?

Shveta Arya: Okay. So other than the data centers, how much was the growth is the question, right? So in this particular quarter, if I were to share with you the power gen growth number that you're seeing, approximately 40% of the power gen sales in this particular quarter came from data centers.

And like I said, this came -- a large amount of it came from the data center project execution, which is a lumpy business, in this particular quarter, due to various site clearances happening, our own execution happening really well regards that. So 40% of the overall power gen revenue in this quarter came from the data centers. The remaining was across different segments.

Partikshit: If I say Y -o-Y, so what was the contribution of data center in last quarter? So if I have to ge

t to

the growth number of the core power gen, I need that data.

Shveta Arya: That may not be the right number to compare because this project's demand is a lumpy demand.

And last year, it was quite spread out in different quarters. In this particular quarter, we saw a lot of execution happening, so that doesn't happen always in the normal course of business. And you asked a question that other -- sorry, go ahead.

Partikshit: I was asking more on a normalized ex of data center. The data center is again project business, you rightly said. So on the coal power gen side, so what is the growth we are looking at? I mean what is the growth?

Shveta Arya: On the coal power gen side, if I exclude data centers, then we have grown 20% as compared to the same quarter last year.

Partikshit: So adjusted for data center, 20% power gen growth. And what I hear was also on the ground when I was talking to the channel partners, what I understood was that because there was a tariff imposed -- additional tariff imposed at some exporters, there was a slowdown. And also they told me that there were some challenges on supply chain in some nodes. So is it correct? And if those were the challenges, the numbers would have been much better if we were able to deliver?

Shveta Arya: Not really. Those are not the challenges. The tariff generally imposes challenges around the world, where what we see is in different markets, the customers that we sell to holding on to their own expansions and their own capital investments, but that is t rue for a large number of markets because of tariff uncertainty. But I don't think that cost us any specific issues in this particular quarter.

Partikshit: Okay. My second question was on the exports. Now we have seen almost all -time high export, if I put it, maybe 3 -year high export. So I know you've been alluding that you've been putting a

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lot of efforts on developing the end markets and increasing the share. So particularly of interest if this trend, do you expect this trend to continue? Or do you think now we are somewhere like -- I mean, growth from here on will be maybe challenging, it's kind of peaking out. So any commentary on the export end markets and growth expectations there?

Shveta Arya: So let me help break the exports a little bit. So exports happened both in the high horsepower and low horsepower range. And we saw good numbers, orders as well as we were able to execute in this quarter from both high horsepower and low horsepower from sp ecifically markets like Europe for high horsepower and Europe and Middle East for low horsepower.

Yes, there's been a lot of focus that we've put in on our channel development and right product placement and pricing. I would say that we are seeing a little bit of softening of the order intake from exports at this point in time. Largely, we do see it in this coming -- in the quarter, which is the last quarter of the year because of a lot of inventory correction in our channel space. We don't know if that is the only contributing factor as of now. So there is a little bit of softening that we are seeing a s of today on the export front.

Partikshit: Question, I mean, we have launched this BES solution. So if you can help us understand, it's been some time now. So have we won any new orders? And also along with the BES and this new product, which is aeroderivatives that some of the players have launched on the -- especially on the data center side. So put together, these 2 things, I mean, do have -- these have long-term threat to our power gen business in the data center side?

Shveta Arya: So the BES solution, there's a lot of interest from the market. As we speak, there are many live inquiries that our team is responding to. It's a new product. It takes time for people to understand to also see how that fits in, in their overall power backup scene

ario. So a lot of inquiries, not -- I

can't share that we have a good order board yet. A lot of inquiries and discussions going on with customers.

Partikshit: And on aeroderivatives, any comment whether they can pose a competitive challenge to the power gen business more on the longer term? I mean, 35 -megawatt, 200 -megawatt kind of turbines, gas turbines business, if it is?

Shveta Arya: See, turbines resolves a very different problem for the market, and they operate at a very different range. Data center business for us operates in the 2,000 to 3,000 megawatt range. So turbines solve a very different business -- a very different problem for the players. We don't see competition from that space emerging just yet.

Moderator: We'll take the next question from the line of Renu Baid from IIFL Capital.

Renu Baid: Great performance this quarter. First question would be in the domestic power gen business, while the growth has been very strong, and we have seen pretty good tailwinds coming in from realty, residential, commercial segment. So broadly going into the next calendar year, in your view, what could be the key upside triggers for growth in this space? And where do you see challenge to the volume numbers coming through in CY '26 or fiscal '27 for Cummins?

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Shveta Arya: Thanks for the question, Renu. I won't be able to give you too much around this. Let me just tell you that the backup power market in India, just like you said, segments like realty, commercial realty or the construction that's happening where also our backup power is used. I have spoken about quick commerce. Mission-critical remains our focus area. So all of those places, we continue to see growing for the India market. We also continue to see the data center market slowly, steadily picking up.

India is not the fastest-growing data center market in the world yet. U.S., China, Europe are growing faster in the data center space than us. So that is actually an opportunity. I won't be able to say if it will fructify in the next year, it definitely gives an opportunity to players in the market if that comes at the growth rate at which other markets in the world are growing, which definitely our country has the potential for.

Renu Baid: Right. And do you see export opportunities on the DC side opening up for Cummins India? Or largely, they would be through the CTI entity, which does the large engine blocks for DC.

Shveta Arya: So data centers are very, very heavy engines and gensets which get commissioned at data center. And largely, our strategy is to produce very close to the market. It is very difficult to logistically ship all of that out from a country which is miles away. So the strategy has to be closer to the customer. And these are, like I said, very heavy engines, very heavy gensets. So since the U.S. market is the fastest-growing market, some of this production for us is in the U.S.

Renu Baid: Got it. Second is the Industrial segment has seen both Y-o-Y, Q-o-Q moderation. So if you can share some comments, a, on the subsegment numbers this quarter? And in terms of commentary, which was the bucket, whether it was construction, compressors, railways that slowed, how is the growth outlook looking there?

Shveta Arya: Yes, sure. So let me tell you -- let me first break up the numbers for you for the Industrial segment for this quarter. Construction was at INR121 crores. Rail was at INR120 crores, mining at INR17 crores, compressor at INR56 crores and then the others. Now what happened for us is due to extended monsoons, construction did not pick up as much as we had anticipated it would. There was a little bit of slowness on that side. So that was one of the biggest contributors.

Rail did well we did. We did -- we had good orders, and we were able to execute them well despite all the challenges that sometimes rail order e

xecution entails. So rail was a good story.

Mining was not enough orders coming in. You might have seen that Coal India production itself slowed down in this quarter, but also not enough tenders coming in, in the mining space, specifically from Coal India. So those are the 3 big ones I would point out.

Renu Baid: And lastly, if I can ask, while you mentioned pricing for CPCB IV range has broadly settled in the market, commodity costs are also heading north. And overall demand environment in the economy seems to be fine for Cummins India based on its end markets.

What would be your view on the gross margins over the next 12, 15 months? We think we should be able to retain the 35%, 36% range gross margins or there could be some compressions going ahead, probably even expansion also if the mix is favorable.

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Shveta Arya: The endeavour always is to maintain or expand the margins. That is what we commit to our stakeholders. There are quite a few challenges. I would say competitive intensity in the power gen side is becoming -- every month, every quarter, it increases. So there's a lot of movement that's happening there. We've been able to hold on largely to our value proposition in the market, but that could be a challenge. Also, please remember, as you see this quarter, the volumes were really high for us due to really good execution and some data center execution as well.

So there's a lot of leverage gain there. Cost reduction efforts is a continuous effort, which we continue today, and we will continue tomorrow also. That gives us some gain. Leverage gain we get through the volumes and the product mix also changes. So the overall margins are a factor of all of these. It depends if these kind of volumes we get. From our point of view, the cost measures will continue, the cost control will continue. So those are the factors, I would say, which will play out going forward.

Renu Baid: Again, congratulations for strong performance.

Shveta Arya: Thanks, Renu.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian : This power gen growth is mostly very broad -based, which subset -- which specific subsegments like data centers, e -commerce and manufacturing have the highest growth visibility over the next 2 to 3 years? Is there any early signs of demand saturation in any of these core areas?

And secondly, on the data center side, we have seen our competitors also winning a lot of orders due to shorter delivery times. And what specific operational changes like in terms of supply chain, inventories, production planning you are implementing to re duce lead times and capture more share in those segments?

Shveta Arya: Thanks for the question, Bala. So from a power gen segment's perspective, like you said, it is very broad -based. And going forward, we do not anticipate any change. We do not see any specific -- as of now, any specific segments coming up, but it really dep ends on the economic growth of the country and the focus and where the government investment and the private investment is coming in. So we really cannot predict that.

From a demand saturation perspective, given the economic growth of the country, we are still projected to grow at a higher than 6% GDP. And as the GDP growth continues plus the government infrastructure investment continues, we see the backup power demand continue and also the industrial business demand continue because they are dependent on the government infrastructure spending, the economic growth in the country. So that's how we see those continue.

And from a data center perspective, yes, there is competition. We are continuously working on reducing our lead times, improving our capacity. It's definitely growing at a faster pace than what we had anticipated. So there's continuous endeavour to improve our capacity and lead

times. There's a lot of work that has been happening over the last year and will continue to happen in the coming years.

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Balasubramanian: Okay, madam. Madam, you've mentioned rail is doing good as of now. And beyond load converter, what is the pipeline of new products in the railway segment? And what kind of contributions we may expect next 3 to 5 years? What are the key dependency in terms of gove rnment capex or new tender wins, to get like some color on that.

Shveta Arya: So from a railway segment perspective, our growth is actually coming from our traditional products. What we sell in the power car, the diesel electric tower car segments, a very small percentage comes from the hotel load converter, which has now been appro ved for serial production. So it just got approved last quarter, and those sales will start coming in.

We do anticipate in this space, the demand for our products in the power car and diesel electric tower cars to continue as is, and there is work going on newer products like the hotel load converter, which I will share in due course of time as we are ready to talk about those products.

Balasubramanian: Okay. My last question is, I think in the aftermarket side, some consolidation is happening due to technical complexity and what kind of incremental aftermarket margin do we expect from CPCB IV+ products compared to previous generations. And how are you en suring your service

network is equipped to capture this kind of value?

Shveta Arya: From a service network perspective, our service network has been equipped before the launch of CPCB IV+ product to handle this technologically complex product. We've been working on that even before 1st of July 2023. And the aftermarket revenues will come from various segments, not just CPCB IV+ power gen, but CPCB II because if you think about it, a large number of the asset base on the ground, which is maintained by our aftermarket is CPCB II. So to justify that there will be an increment there just because of CPCB IV+ will not be right. It comes from railways. It comes from mining. It comes from marine, from defense, from construction, from CPCB II power gen, from CPCB IV+ power gen and data center. So there is no specific contribution that one can attribute that because of CPCB IV+ the distribution business can get this much higher revenue or margins.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: I have a couple of them. First is when I hear your commentary on data centers, given that 40% of your power gen contribution has come from there, why do you call it a one-off chunky order?

Like why do you not see this level of growth sustaining, particularly in light of the kind of commentary we are seeing from different data center companies in terms of their plans for India. So just wanted to first get your thoughts on sustainability of this kind of numbers or growing for the data centers business.

Shveta Arya: Thanks for the question, Pulkit. So data centers in India have been growing via what we call colo players, which have been putting up infrastructure, selling it to other global operators. And we have been growing via what we call hyperscalers, which are of the likes of Microsoft, Amazon and Google. So when I mention about some of these big data center orders that we get, which are executed like projects at our end, these are the big hyperscaler orders, which are not very well spread out across the year.

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The orders that we get from our local colo players are largely very well spread out, but some of these big data center orders are not. And that's why that is lumpy business. It depends on site clearances that our hyperscalers are able to get. And then as soon as they get site clearances, our execution capability because

these are very, very complex execution projects. So both of those.

And in this particular quarter, these 2 things did come together very well. It is not necessary that it does every quarter. Now as you say that many companies and many players -- data center players are talking about setting up data centers in India. You're right. We are hearing more, and we are talking to these players more. Till today -- as I was mentioning, India data center market still has not been growing at the speed at which some other data markets around the world are growing.

We get to see this in our own network globally. The way U.S. or Europe have been growing or even China has been growing. That growth rate we have not seen in the market. You are right, some new announcements do show us that it could go in that direction, but announcement to execution could be anywhere between a 1 to 2-year timeline. So it remains to be seen how some of these announcements fructify into real execution on the ground, how soon they get site clearances and how soon are they able to move these projects forward.

Pulkit Patni: Sure, ma'am. No, that's very clear. My second question would be, if we assume that some of those data centers actually do come through, is there any capability building that you would need to do here in India or we can actually import some of those and be suppliers? How do you see the India business preparedness for that level of data center installation in India based on, again, the recent news flow for some of the large developers?

Shveta Arya: Pulkit, I think we are prepared to execute those orders today. It does not matter where we build some of those products because our supply chain is very agile from that perspective. And we are actually capable to execute some of those orders if those fructify even today.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: So Shveta, the question that I had was more as in the second time you would have talked about in as many calls about higher competitive intensity in the high horsepower segment. I wanted to get a better color from you as to -- in this segment that we have done very well inside, what are your competitors now doing differently that makes us a little bit more concerned on how this segment kind of pans out for us over time?

Shveta Arya: Thanks for the question, Aditya. I may not be able to say what our competition is doing differently. We just see a lot of competitive intensity across the board. We have many players in the low horsepower range. We have many players in the medium horsepower range, and we continue seeing them operating in the market and with the ready product range of CPCB IV+. We see them in the higher horsepower market, although the number of players is slightly smaller in the higher horsepower range, but we see competition there. So I can't say what they are doing

differently. I can definitely say that we encounter more and more of our competition in every deal that we go and look for.

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Aditya Mongia: Understood. And is this just limited to the high horsepower segment or even, let's say, in the heavy-duty segment, wherein you may still have good market share? Is this starting to become a more broad-based problem for you? I'm just trying to get a sense whether it's a few nodes here and there or more broad-based at a portfolio level higher up?

Shveta Arya: This is very broad-based, very, very high competition, specifically in the low horsepower and the medium-range segment but very broad-based.

Aditya Mongia: Sure. Would you see this becoming a hurdle as we think of expanding our margins 100 basis points every year? Just trying to see whether it's more price-based or not yet over here as well.

Shveta Arya: Aditya, price gets adjusted in the market based on customer segment movement

and other things

like that. But our margins are a blend of power gen, industrial and then exports and then aftermarket. So we do have a good blend and good levers to play with across the board. And it's not just one. It's not just price-dependent.

Aditya Mongia: Just a final question, I'll just get back in the queue. Somewhere in the annual report, you talk about global OEMs being, let's say, from a distribution perspective, certain kind of export opportunities or let's say, the initiation of global OEMs being thought through. Could you give us a little bit more color whether there is something substantial that can happen from an export perspective in aftermarket -- in distribution segment, sorry?

Shveta Arya: From a distribution perspective, Aditya, distribution for us across the world is very localized.

Distribution business exists to serve the assets on the ground in the market. That is the primary business objective. So largely, it is to serve what we have in India. We do not really look at this business for heavy export opportunities.

Moderator: The next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur: Could you -- just on a bookkeeping question, could you give the split in power gen business across HHP, MHP, LHP in case I missed that earlier?

Shveta Arya: Sure. From a power gen business perspective, in this quarter, the low horsepower was about INR100 crores. The medium range was about INR250 crores. The heavy duty, again, about INR100 crores. And then the remaining was the high horsepower and projects business.

Moderator: We'll take the next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Our exports have grown significantly, 24%. So despite of tariff issue, still we are exporting in a good number. So what is the arrangement with the parent in this case? Who is sharing the tariff burden?

Shveta Arya: Mahesh, our exports go to many, many countries. Our exports go to largely Africa, Middle East, Europe, Asia Pacific, Latin America, Africa. The U.S. exports are there, but they are not very significant contributor. And only the U.S. exports are impacted by tariffs, not the others. So that question would not be applicable because our growth really has come from the markets that I mentioned earlier, like Europe, Middle East, Latin America.

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Mahesh Bendre: Sure. And last question from my end is, in first half of the year, we have grown by 27%. Now you have talked about double-digit growth for this year. I mean, it seems to be the, I mean, obvious case. But do you think similar kind of number performance will be possible going forward -- I mean on a higher base?

Shveta Arya: So I did mention this particular quarter, there was a lot of data center project execution, which we do not see in the next half of the year to that extent. So there will be business with data center, but not to this extent. This was a little lumpy projects business, great execution in this quarter, which will not come through.

I do see exports a little bit of softness in the coming quarter, largely because of inventory correction in the end markets. And there is demand in the market and our supply is constantly catching up with that. So if we play that out well, then we could continue on the growth trajectory, but these are the kind of factors which could impact our growth going forward.

Mahesh Bendre: Yes. Last question from my end. Ma'am, if we get the order for data center right now, so how many months it takes to deliver for hyper?

Shveta Arya: That is a very difficult question to answer because different data centers buy different nodes of our engines and they buy gensets. And there are different lead times. It also depends on when the order comes in for us with how much certainty because we have to really manage the order

book in such a way that we manage

lead times for all our customers well. So it's not as if you put in an order today and we can give you a direct answer. There's an average answer there, and it differs by nodes.

Moderator: The next question is from the line of Priyankar Biswas from JM Financial.

Priyankar Biswas: My first question is can you give me a broad sense, like since you said that the pricing has stabilized after like CPCB IV so what would be the average increase in realizations, let's say, today versus, let's say, at the fag end of CPCB II, if we can get some directionality?

Shveta Arya: No, that is a very difficult question to answer. I wouldn't be able to give you that data point.

Priyankar Biswas: Okay. Like now the other question is, since you mentioned that 40% was the DC revenue in power gen in this particular quarter. If I ask what it would be in the first half of -- like in 1H FY '26, some broad sense?

Shveta Arya: Sorry, in the first half of FY '26, is that the question?

Priyankar Biswas: Yes, yes, yes.

Shveta Arya: Overall data center, I could tell you it would happen closer to -- between 25% to 30%.

Priyankar Biswas: Okay. And then also, I remember that when we had launched this CPCB IV engines, at that time, a 2-year comprehensive warranty and 5-year critical parts warranties were being given. So are we still providing that at this stage? And if so, how should we look at, let's say, our warranty expenses moving forward?

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Shveta Arya: So we do provide for all our products 2 years comprehensive warranty. That goes without saying any product that is sold comes with a 2-year warranty. And then the customer has a choice to buy a 5-year extended warranty if they like. So there are many customers who go for that. How should you see warranty expense moving forward?

That is not related to how we cover the products. That is related to how well our products are performing on the ground. So if the product is performing well, then the warranty expenses stay under control. And that is how I look at it. Our CPCB IV+ product launch has been very good, very good acceptance from the customers, and we have our warranty expenses under control.

Priyankar Biswas: And ma'am, just if I can squeeze one more in. Since at some other participants' questions, competition was discussed across HHP, MHP and LHP. Can you just give a color, I'm not asking for exact data points of maybe a range possibly of your market shares in LHP, MHP and HHP? And what would have been the changes, let's say -- in the last, let's say, 1 year? Some color on it?

Shveta Arya: We do not get any syndicated research in that space, so it will be very difficult for me to share any ranges with you for the market share.

Priyankar Biswas: But would it be fair to say that you would have largely maintained your market share? Or if you would have increased, that color, if you can give.

Shveta Arya: If there was a syndicated research, which would tell me that this is exactly the volume of power gen sold in the market, if there was any registration for gensets, I could have said that to you.

But in the lack of that data, it will be very difficult to say.

Moderator: The next question is from the line of Atul Tiwari from JPMorgan.

Atul Tiwari: Ma'am, with regard to competition that you mentioned across segments, So obviously, you have industry-leading brand and technology and so on. So what is the basis of competition for some of the smaller players? Is it price only? Or do they bring something to the table, which because of your positioning in the market you are not able to?

Shveta Arya: So I may not be able to comment so much on competition. Suffice to say that competition in the market does have brands. They have good brands. They may have domestic brands or global brands. They have brands and they have price also that they can play with. And they have

all

come up with CPCB IV+ products too. So they have a product range. They play with price. They have their brand. They have established channels. So yes. So they have done all of this for sure.

Atul Tiwari: And so obviously -- ma'am your ROCEs and cash flows and margins are at historical highs, and congratulations on that performance. But do you feel that if your competition is willing to work with lower margins and ROEs, then over a period of time, it will pull down your ROCEs, and margins as well? Is that a calculation in how you approach the business?

Shveta Arya: So we deal with this kind of competition, not just in India around the world. Our value proposition is around our technology, our innovation and reliability. We -- just as an example, a backup genset is used as an insurance that it will work on the day when you need it to work even

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if it is for 10 minutes in a whole year. It has to work on that particular day. And that is the promise that we give through our brand, through our technology, through our reliability, and that is the value proposition for the customer.

So we always endeavour to provide that to the customer versus worrying about how competition would play. Of course, we analyze how competition plays in the market. That is not to say that we don't analyze, but we always endeavour to provide better value proposition based on what our customers need. If we can provide that with our technology and focus on reliability, then that creates a value differentiation in the customer's mind.

Moderator: The next question is from the line of Mohit Pandey from Citigroup.

Mohit Pandey: My question is on the distribution segment. Do you believe this 20%, 21% -odd growth looks sustainable? And if you can also share comments on, are we seeing increased competitive intensity from third -party providers and distribution?

Shveta Arya: So from a distribution perspective, since we maintain our assets on the ground, given the fact that for the last few years, our assets on the ground have increased because we have done good sales of our engines and gensets, that increases the number of assets under maintenance for DBU.

So they focus on covering those assets. They focus on penetration.

They focus on providing the right kind of parts available to the customers across the range. This is all our industrial customers and our power gen customers. So yes, I do see if the economic activity in the country continues to grow in this fashion and our customers continue to utilize the assets the way we expect them to, then, yes, I anticipate that distribution will continue to focus on how they grow and they will continue to grow.

In terms of third parties, yes, there are quite a few will -fit operators and also other third parties in the India market who have been operating for a long period of time. They continue to operate. Do I see any higher intensity of those? No. They were existent. They are existent and they continue to play.

Mohit Pandey: Understood, ma'am. And secondly, on Industrial. So the demand that was impacted this quarter due to monsoons, so that is lost demand or some of that can spill over? And secondly, if you can share color on new product launch pipeline in Industrial beyond railways, that would be useful ma'am.

Shveta Arya: So in the industrial space, as I spoke about construction and I also spoke about mining. Largely, this demand over a period of time from a construction perspective does come back, but it depends on how the construction activity picks up in the market. For that, we need higher velocity of construction happening in the country, which we all know we've seen is not at the same pace as it was in the last year or the year before that. It continues, not at the same intensity. So we wait to see how that changes in the coming quarters. If that changes, yes, that demand

can get a boost.

On the mining side, we've not seen for 2 years Coal India tenders moving and coming in at the pace at which we had anticipated for new assets that they want to buy. A lot of maintenance - related demand has been coming in, but new tenders for new higher capacity equipment that Cummins India Limited

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they buy has not come in. So if that comes in, yes, we will be able to cater to that demand, but we've been waiting for 2 years now. So we will have to see. And then sorry, your last question was on railways. So railways -- sorry, please go ahead.

Mohit Pandey: Launch pipeline beyond railways. I think railways you mentioned earlier. Yes.

Shveta Arya: The others are smaller segments. There's a lot of activity on the marine side, but it's a smaller contributor. I can tell you that the government's focus on the marine segment in the last few months and going forward, we see much higher than ever before that we have seen in the last decade or so.

So there are -- there is quite a bit of activity from the government marine procurement side that we hope can come through. I cannot say because it is tender business, but we do see a lot of interest and a lot of conversations. Commercial marine has been growing in the country. We hope that continues, but like I said, these are very small contributors to the overall revenue.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: First question on the exports. You did highlight it that we are expecting softer exports because of the inventory correction. Directionally, just wanted to understand medium to long term in exports as to -- if you see past 7, 8 years of numbers, between INR1,700 crores to, I think, one of year was there with INR2,000 crore s exports revenue.

So directionally from here on wanted to understand, are we in any time looking at growing exports to double digit? And as you highlighted, data center is a pretty huge opportunity, but being closer to the customer is something which is a constraint. So any other market ex of India

where you might be intending for data centers? And if at all, you're looking for double -digit exports growth, will there be any nodes or geographies which you might be -- a bit mid - to long - term outlook would help in exports?

Shveta Arya: Exports has been a tough play. We have endeavoured to grow in that space, and that will continue. Could I share with you that for the next 5 years, we will be able to get double -digit growth? No, because these are not the end markets that we understand as well as the India market. We do provide our expert ise to our channel partners, and we do work with them for product placement.

But as those economies go through their own individual challenges, there are challenges in Europe from a longer -term growth perspective. There are challenges in pockets in Latin America, where credit is not available. There are challenges in Africa, Middle East due to the onslaught of Chinese players over there.

So these are inherent challenges in these markets. Very difficult for us to predict how will these markets move forward in their own economic growth and solving their challenges and thereby what will be our demand. Like I said, we work with our channel par tners, but we don't understand those markets as well as we understand India. So difficult for me to give you that number. And from a data center perspective, I'm sorry, could you repeat your question there?

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Amit Anwani: So I was saying you did highlight it that in data centers, we need to be closer to the customer. And obviously, there are opportunities in U.S. and Europe. So I was just thinking, is there any opportunity for Cummins India to supply in data centers, which is constrained, as you highlighted. So I was just thinking, is there any ot

her neighboring markets or any other sense

where we can really tap the export or data centers in any way?

Shveta Arya: So we see other markets are not growing at that pace in the data center space. The markets actually growing are U.S. U.S. is the one which is fueling all the growth around the world at this point in time and China as well and then Europe. So smaller market s around the world in the data center space are not growing as much.

If there are opportunities, of course, we will be able to look at those and cater to them as need be. Our opportunity arises from the India market getting on to the kind of growth numbers that we have seen in U.S., Europe and China. If that happens, then w e will really see a boost in the data center space, but that will be domestic. That we think we are more optimistic about.

Amit Anwani: Right. And you did highlight the inventory correction and exports market. Would you -- are you indicating that, on a full year basis, the export could be flattish to single digit this year?

Shveta Arya: May not be able to say. All I can share with you that in the past years, we've always seen inventory correction in our channel. We do see a little bit of sluggishness in the order buildup as of now. We will have to see how it turns out at the end of the ye ar.

Amit Anwani: Understood. Lastly, on the guidance. So since we are already more than 20% for H1, what is the volumes growth? And could you also highlight whether the company will also be seeing the double -digit plus volumes growth sustainably for the next couple of more years?

Shveta Arya: Volume growth, double digit is a very difficult answer to give because in the power gen market, which is where largely the volumes come from, the nodes keep shifting as well. If our players move -- our customers move to higher nodes, there could be lower v olumes, but then that would still be a good business for us. So it's very difficult to answer the volume question from a longer period of time. And just for this year, we are maintaining double -digit growth guidance, and that's the best that I can share at this stage.

Amit Anwani: Right. And finally, on the LHP, you did talk about the competition and getting intensified. Are we expecting more intensity and that further impacting the price normalization or any impact going forward on prices for -- especially for the lower nodes?

Shveta Arya: We are expecting intensity because there are a lot of players who in India and outside India look at the India market and see that as a good growth engine for them. So we consistently keep hearing of more and more players wanting to engage in the power gen market here in India. So yes, we expect even higher competitive intensity also in the low horsepower range. Price, difficult to say how that will play out.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Mohit from -- I'm sorry, Mohit has left the queue. We'll take the next question, which will be the last question for today, which is from the line of Ashish from MLP.

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Ashish : Shveta, one thing I wanted to understand is how is the competition in the data center market, especially the colo data center and the hyperscalers.

Shveta Arya: There are a few players who play in the data center market because these are very, very complex project executions and stringent demands. That being said, we do have players who work with both the colo and hyperscalers in the Indian market, largely competition, which is the big MNCs that play in this market because then they can fulfill the demand, the technology that is needed, the commissioning requirements, stringent requirements that have to be fulfilled. So there is competition, largely comes through MNCs.

Ashish : And is the competition increasing or it's more or less the same player, 2, 3 players who are there, it remains within them?

Shveta Arya: Remains within them, more intensity from some of our Chinese players for sure, but largely remains same.

Moderator: Ladies and gentlemen, as that was the last question for today, I now hand the conference again over to Ms. Shveta Arya for her closing comments. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Thank you so much, all of you, for all your questions, your participation and engagement today. At Cummins India, we believe that the broader domestic economic outlook is stable for the country. Our GDP estimate for financial year '26 is around 6.8%. The CPI remains stable compared to the last quarter.

However, we do note that there are ongoing geopolitical uncertainties around us. There are questions around tariff, which may result in short -term fluctuations. We continue to be watchful and maintain a stable outlook about the near to medium -term future. With this, I would like to close the call. Thank you so much, everyone. Thank you.

Moderator: Thank you members of the management. On behalf of Cummins India Limited and the leadership team, we would like to thank you for joining us today and making it an engaging session. We are now concluding the conference, and you may disconnect your lines. Thank you.

Call: Feb 2026

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Ref: STEX/SECT/2026
February 10, 2026

BSE Limited,
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BSE Scrip Code: 500480 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

NSE Symbol: CUMMINSIND

Subject: Transcript of Q3 FY 2025-26 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”) and with reference to our stock exchange intimation dated January 27, 2026, regarding Q3 FY 2025-26 Results Conference Call, please find enclosed herewith transcript of the said call held on February 05, 2026. Kindly take this intimation on your record.
Thanking you.
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096

Encl.: As above

MANAGEMENT : SHVETA ARYA, MANAGING DIRECTOR, CUMMINS
INDIA LIMITED.

SOMA GHOSH, CHIEF FINANCIAL OFFICER, CUMMINS
INDIA LIMITED

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Moderator: Good morning, ladies and gentlemen. Welcome to Cummins India Limited's Q3 FY 2025-'26 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the commentary concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shveta Arya, Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Good morning, ladies and gentlemen. I'm Shveta Arya, Managing Director of Cummins India Limited. I hope you all are doing well. Soma Ghosh, CFO of Cummins India Limited, joins me on the call. Thank you all for joining us today. Now I would like to share the financial results of quarter 3 financial year '25-'26 through this call.

For the quarter ended December 31, 2025, with respect to the same quarter last year, our sales at INR3,006 crores are broadly stable, though marginally lower by 1% compared to the same quarter last year. Domestic sales at INR2,535 crores are slightly lower by 2%. Exports at INR471 crores are higher by 2%.

Profit before tax before exceptional items at INR719 crores is higher by 7%. Profit before tax after exceptional items at INR593 crores is lesser by 12%. For the quarter ended December 31, 2025, with respect to the last quarter, our sales at INR3,006 crores are marginally lower by 4% compared to INR3,122 crores recorded in the last quarter.

Domestic sales at INR2,535 crores are lower by 2%. Exports at INR471 crores are lower by 14%. Profit before tax before exceptional items at INR719 crores is lower by 14% and profit before tax after exceptional items at INR593 crores is lower by 29%. Segment-wise breakups for the same quarter, which ended December 31, 2025. For the domestic business, Power Gen domestic sales are at INR1,069 crores.

There's a 16% decrease over last year and a 20% decrease over last quarter. Distribution business sales are at INR939 crores, 26% increase over last year and 18% increase over last quarter. Industrial business sales for the domestic business at INR464 crores is a 9% decrease over last year and 20% increase over last quarter. From an exports point of view, high horsepower exports are at INR232 crores.

There's a 15% increase over last year and 17% decrease over last quarter. Low horsepower exports are at INR186 crores, which is a 14% decrease over same quarter last year and 15% decrease over last quarter. Regarding the sales outlook for the financial year '26, we expect to have double-digit revenue growth over the previous fiscal year, which is supported by demand across all our key segments. With that, I now open the session for questions. Thank you so much.

Moderator: The first question is from the line of Shirom Kapur from Jefferies.

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Shirom Kapur: I just want to see if you could help us with the volume growth in the past quarter as well as 9 months FY '26. We want to get a sense on how much of the top line is driven by volumes versus pricing? That's my first question.

Shveta Arya: Shirom, thanks for the question. So, our revenue is a mix of Power Gen across many nodes and then Industrial business and Distribution. So, it's a mixed bag. There is volume growth in certain spaces in power generation. There is also pricing impact. And Distribution business, of course, has a lot of volume growth as well as pricing. So, it's a mix. It's both volume and pricing. It will be difficult for us to separate that out segment by segment for you and share that.

Shirom Kapur: Okay, sure. So, could you also share anything on your market share movement? Have you gained

or lost market share in the past quarter, in the past 9 months? If you could help us with that?

Shveta Arya: We do not have any syndicated research numbers available for this quarter, which can tell us

what the market share would be. So unfortunately, I will not be able to give that information.

Shirom Kapur: Sure. Just last question. You shared FY '26, you're expecting double-digit growth. Would you have any color on FY '27? Should we continue to expect double-digit growth next year as well?

Shveta Arya: Given that the Indian economy is doing well, GDP projections are still in the range of 7% or thereabouts for the next financial year. The budget is seemingly positive for investments in the infrastructure segment. For the domestic growth, I can say that for financial year '27, we will target double-digit growth.

Exports is another matter altogether where there are a lot of moving pieces, geopolitical conditions not stable, a lot of economic activity impacted due to different tariff-related equations playing out at this point in time. So, exports, difficult to say. Domestic, we are more positive and can definitely say that we will target double-digit growth.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a good quarter. So, Shveta, in this quarter, we have seen a decline in the Power Gen revenues, 16%, INR1,069 crores, and even last year if I see, it's INR1,271 crores.

So, there is a data center element in both these quarters. So just to understand more color on the core growth, excluding data centers, if you can help us quantify what was the contribution of data center in this quarter and last quarter? And what was the core growth in the Power Gen business?

Shveta Arya: Yes. Thanks for the question, Parikshit. So, I had mentioned in my commentary for the last quarter that we had extremely good data center execution, and that business is lumpy business.

That because we had done the execution last quarter, that did not come in the quarter 3 of financial year FY '25-'26.

That is the only difference. Other than that, our core Power Gen business has grown at a steady rate, just as it has been growing in the past few quarters. There's no change in that. The only difference is data center execution, which happened in the quarter before, not in this one.

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Parikshit Kandpal: But last quarter if I see, INR1,271 crores of revenue in Q3 FY '25, so that in the last call you had said that in Q3 FY '25 call that there was an impact of data center. So, if I have to understand that this quarter there is no data center, so then like-to-like, what is the growth on Power Gen. So, in Q3, it was about 20%. Last call, you had mentioned, excluding data center. So just want to understand the health of the Power Gen business, what will be the growth? If you can quantify, that would be helpful.

Shveta Arya: It is steady growth. It's not exactly 20%, but it is good growth very close to double digits.

Parikshit Kandpal: Okay. Now if I look at the budget, so government has given taxation investments in India. And even in this year, we have seen good orders coming in. So just wanted to understand from you, how is the data center pipeline building out?

Moderator: Excuse me sir. I'm sorry to interrupt you. Sir, your voice is breaking. Can you please use your handset?

Parikshit Kandpal: Is it better now?

Shveta Arya: Yes, sir. Please repeat your question.

Parikshit Kandpal: So, I was asking you that government has given a huge tax incentive in the budget on data center investments in India. And we have also seen that we have been getting direct orders and OEM orders, which we do through the OEMs. So how is the data center pipeline building out in the next 1 or 2 years? So, any color on that will be helpful.

Shveta Arya: Yes. Data center pipeline is building out very

well. As you rightly said, the tax incentives have been announced recently. We are yet to see the impact of that. But nevertheless, a lot of movement in the data center market in India, some announcements. So, for the next 3 to 4 years, we do anticipate positive movement in the data center segment in India.

Parikshit Kandpal: And what has been the contribution in 9 months on the numbers on the data center side? And also lastly, on the gross margins, we have seen very strong gross margins. But again, there has been a big uptick in other expenses. If you can explain the difference between the two. So those will be my last questions.

Shveta Arya: So, on the data center contribution, data center contribution overall for our business stays around 25% of the Power Gen revenue. That's on an average because it's a lumpy business. I would not say anything quarter-on-quarter. And then on the other expenses. On the other expenses, we have a onetime true-up in our expenses. Some quarters before, I had spoken about a true-down. So that was a benefit to us. And this time, there's a true-up. So overall, for the year, if you'll see, this will even out.

Parikshit Kandpal: Is it onetime? Or is it recurring? So how does one read it?

Shveta Arya: This is onetime for this quarter.

Parikshit Kandpal: And how much is the quantification of that amount in value just to arrive at the core margins or

the core EBITDA margins if you have to arrive at?
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Shveta Arya: Roughly INR50 crores.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is, how do you think about the impact of EU FDA on your business? Do you have any color to share?

Shveta Arya: Mohit, EU FDA, we do have some business where we directly export to the EU region. So, we are evaluating the impact. Right now, not able to share, hypothetically looks positive. But yes, we do have business there, and it will have a positive impact.

Mohit Kumar: Is the impact on the cost side or from the business opportunity side? Can you please help us?

Shveta Arya: Evaluating that, Mohit, not yet in a space to share that. We are evaluating whether it could have impact on getting higher business.

Mohit Kumar: Understood. And just one qualitative question. How do you think about, can you just give some color on the inquiry pipeline from data center compared to what you're seeing right now, were you seeing at the beginning of the fiscal?

Shveta Arya: So, data center space in India, we have hyperscalers and co-located players. Hyperscalers are the likes of Microsoft, Google, Amazon, which do big announcements, big sites. And then we have co-located players here in India. If I were to compare now versus start of the fiscal, there are some more new announcements coming in from the hyperscalers.

So, there's more activity on that end. On the co-located players, the co-lo players, it's been steady.

There was good inquiries at the start of the fiscal, continues to be so throughout the fiscal. So that's how I would talk about inquiries.

Moderator: The next question is from the line of Rahul Gajare from Macquarie Capital.

Rahul Gajare: Two questions. One, on the exports, given that the third quarter we had seen weak exports, can you break this up geographically to understand which particular geographies are really impacting the overall exports? And the second question is, given that a lot of parent capacity is kind of used up to sort of data center market in the American region, I want to understand if you are getting demand or inquiries for data center from other geographies?

Shveta Arya: Thanks for the question, Rahul. So, on the exports side, I have been saying this for the last few quarters that there's no particular trend from any market. But if you were to just ask me about the last quarter, we saw revenues increasing for Asia Pac and Europe and

the other markets did

not really grow as much. So that is from an exports point of view. The demand for data centers from other geographies. Demand for data centers today is growing hugely in 2 markets, the United States and China. And in both those places, Cummins is serving those markets locally.

Rahul Gajare: Okay. The reason I had asked that was Gulf region has seen a lot of cancellation or delays in orders. So, I just wanted to understand. And you did indicate that other markets will include Gulf or Middle Eastern market. Apparently, that market is also talking about significant capacity addition on the data center. So, no inquiry from that market at all?

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Shveta Arya: Rahul, your voice is breaking.

Moderator: Yes. Sir, your voice is not clear. May I request you to use your handset, please?

Rahul Gajare: Yes. I hope this is better. So, I just wanted to follow up on the earlier question where you did indicate that barring Asia Pacific and European market, the revenue was impacted. So, is it possible you can quantify the Gulf region or the Middle Eastern market, how badly that was impacted? And while U.S. and China are the key data center market, a lot of Gulf states are talking about data center being planned in that region. So, I want to know, are you getting any inquiries from the Gulf region for data center specifically?

Shveta Arya: So, I'll answer the data center from the Gulf region first. There are talks, but there are no specific inquiries just yet from the Gulf region. So not enough activity on the data center space yet on the ground. And from an export's perspective, you asked me how low is the Gulf region? This is very regular. In some quarters, we get orders from the Middle East, in some quarters, we don't. So, there's no trend here. I would rather not talk about how low it is.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: On the exports side, I think, which are the regions showing resilience and which are facing most significant headwinds? And how our company's export product mix are changing right now in terms of low HP and high HP engines and complete gensets. I just want to understand in terms of tariff perspective also, how this product mix is changing and which are the products we are

seeing high level of inquiries, and which are the products the customers are delaying it?

Shveta Arya: So, from an export's perspective, the markets which grew for us in the last quarter were Asia Pacific and Europe. The other markets, not so much, but this keeps changing quarter-on-quarter.

There is no specific trend over here from a region perspective. From a product mix perspective on high horsepower and low horsepower, high horsepower grew a little better for us than the low horsepower in this quarter. But again, that also keeps changing. It depends on the end market demand.

Tariffs largely impact U.S., and that also there was a recent announcement which brought the tariff percentage down. We are evaluating how that will impact us. But our exports are to various different regions around the world, Asia Pacific, Latin America, Europe, Middle East. So those are not the places where tariffs have impacted us at all. So, I think that, for the U.S, we still evaluate, because it is a very recent announcement.

Balasubramanian: Actually, madam, I'm trying to understand like our product life cycle of our existing platform and upcoming next-generation technologies? And how is our R&D is focused on incremental improvements? And how this life cycle stage changing for existing platform and next-generation platform? I'm trying to understand the regulatory changes in terms of emission norms like beyond CPCB IV+, and how reengineering or capital investments is happening in the next 3 to 5 years?

Shveta Arya: You're talking about the Power Gen market, I am assuming.

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Balasubramanian: Yes, yes.

Shveta Arya: Yes. So, in Power Gen, we just underwent a huge emission norm change of CPCB IV+. So, for the time being, all the way up to 800-kilowatt hour, already the entire product range has changed, not just for us, but for the entire market. So at least for the next few years, below 800-kilowatt hour in the Power Gen market, we do not see any other emission norm coming in. Above 800-kilowatt hour, there is nothing on the horizon just yet.

So, I would say that from an emission norms perspective, for now, since we've just gone through a big emission norm change, for a few years, we don't see any changes. And from a product life cycle perspective, our belief around the world is that diesel power backup is one of the most reliable backup powers that is available for our customers in the spaces in which they operate and the applications which our backup power is used for.

So that remains to be a prime backup possibility for our customers for the time being, while, of course, we spend R&D efforts in evaluating whether battery energy storage systems could be something that our customers would include in their backup power mix or other such things, and we are working with our customers and our R&D team as well as our sales and marketing teams are working with our customers. For now, for a few years, we do see the backup power space to be provided by the diesel gensets.

Balasubramanian: Okay, madam. Madam, my last question, I think in the budget, we have seen good announcements for data centers as well as infrastructure as well as manufacturing side. I'm trying to understand like how we are going to benefit, especially your data centers, health care, infrastructure, real estate and manufacturing?

The demand is being driven by more new projects or replacement or upgrade cycles? So, if you could give some clarity that domestic sales is directly or indirectly linked to central and state government infrastructure spending. So how do you look at the government capex story?

Shveta Arya: We are very positive about the government capex story. We do appreciate the announcements made in the recent budget, on the capex that the government has announced. We are watching the segments in which they have announced the capex flow. We are waiting to see how that gets converted into projects that could lead for demand for our products. It takes a little bit of time.

Definitely, we are positive about the government's announcement on the capex.

Balasubramanian: If you mention about data center, that would be really helpful, madam.

Shveta Arya: Yes. So, from a data center perspective, the tax break that has been announced, it is positive. We are waiting to see how different data center players evaluate this and what announcements come from them. This is very decent. So, as you can appreciate, we are waiting to see how this translates into real orders. Definitely, the news is positive.

Moderator: We'll take the next question from the line of Sandesh Shetty from HSBC.

Sandesh Shetty: Ma'am, if you can share the breakup of domestic and Industrial business by segment and Low Horsepower, Mid Horsepower, that would be helpful? And I have one more question.

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Shveta Arya: Yes. So the domestic business into Power Gen and High Horsepower, right? So, from a Power Gen business perspective, in the Low Horsepower, in the quarter 3, we had INR67 crores of sales; in the medium range, INR229 crores; and in what we call the heavy-duty range, INR112 crores; and then in the high horsepower, INR594 crores. And I hope that helps you.

Sandesh Shetty: Yes, ma'am. And ma'am in Industrial, compressor, construction, that breakup that you give every quarter?

Shveta Arya: Sure. In the Industrial business, construction, INR129 crores; rail, INR104 crores; marine, we had very good e

xecution in this quarter of INR92 crores; and the rest is mining and compressor business.

Sandesh Shetty: Okay. And ma'am, my second question is with regards to improvement in the gross margin. There has been very good improvement, both sequentially and annually. If you can explain that? And also, the INR50 crore onetime impact, what exactly is this related to?

Shveta Arya: Okay. So, the gross margins, there's been a lot of effort that we have been putting to improve our gross margins over the years, working with our suppliers on our material costs, and that is what you are seeing in the numbers. There are also some onetime supplier benefits taken over there. Then there is the sales mix, which is not controlled by us. It is defined by the market demand. So, there is impact of sales mix as well, which is not repeatable every time.

So those are the 3 factors impacting gross margins. Now for the one-timer that you asked, this is a true-up of the management cost charges. Like I said, in some quarters earlier, I had mentioned a true-down. So, we had gained benefit at that point in time. This time, it's a true-up. Over the year, it will even out.

Sandesh Shetty: Okay. And ma'am, one last question. On the industrial business, the weakness is continuing from second quarter, while earlier quarter was impacted by rain. What explains weakness in this quarter?

Shveta Arya: Industrial business, largely construction activity is down. So, construction activity in the quarter 3, there were 2 reasons. One, the road construction is not at the pace at which it was the same quarter year before. That is one. And then there was delayed monsoons in October. So, excavator sales did not pick up as much as they should have. So, these were the reasons for the construction segment being a little lower, and that is actually the largest contributor. Everything else is more tender-driven, so keeps changing quarter to quarter.

Moderator: The next question is from the line of Umesh Raut from Nomura.

Umesh Raut: My first question is again on gross margin. If I look at quarterly gross margin, it is now almost 20-quarter high of closer to 38%. And given that we see inflationary pressures in key commodities like copper, aluminum, I agree that your exposure is more towards iron. But still, how you are coping up with this inflationary pressures? Are customers kind of taking on, in a position to take incremental cost hikes after CPCB IV+ cost hike? And was there any also effect of liquidation of lower inventory, which was in the channel?

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Shveta Arya: Okay. Thanks for the question, Umesh. Umesh, on the gross margin, you're right, it is definitely at historic highs. And I did explain there is product mix playing there. There is our own effort to improve material cost, and also some onetime supplier benefits. So, the onetime supplier benefits, the mix, that is not repeatable. Our improvement actions to improve the material cost, they will continue. So yes, this is historic high.

How are we managing the commodity, like you rightly said, iron, steel, more stable. Copper, our associate company does get impacted. The alternator business does get hugely impacted by copper, and copper has been inching upwards. Recent numbers are around INR1,320 per kg. So, we are yet to see how the market will accept these.

Ideally, everyone passes these down to the market with some delay. So, it is a challenging situation. We're trying to see how best we can manage to pass these on, and also not inflate the cost for the end customer to a huge extent. So, it's a difficult challenge at this point in time for our associate company.

Umesh Raut: So just a follow-up on this. Any pricing action that you have taken across nodes in domestic market?

Shveta Arya: No, we haven't.

Umesh Raut: Got it. I think my second question is pertaining to distribution market, where our sales is now almost

all-time high on a quarterly basis. It is at 31% of total sales. So that also contributed to gross margin expansion. But I think what is leading to this particular change? Because I believe still CPCB IV+, which is having relatively higher electronic content, could have not contributed

materially, and that scope still remains for us in future. But still, what is changing for us in terms of trajectory for Distribution business since last few quarters?

Shveta Arya: So, for the last few quarters, Distribution business has been focusing a lot on a few things. One, our asset base, of course, has been increasing over the last 2 years. So, distribution business gets more opportunity to service our customers. They have been working to get as many customers in the fold as possible. That gives peace of mind to our customers, helps us deliver brand promise of reliability and, of course, generates revenue for the Distribution business.

So, it works both for our customers, for our brand and for our business. So that is really the strategy. And they have been going and trying to work with customers in all segments, be it power gen, railways, defense, mining, and that is how you see this growth. This is very broad-based growth, but very deeply entrenched in our philosophy of delivering reliability to our customers.

Umesh Raut: And just a follow-up on this. I mean, in the last earnings con call, you mentioned that GST rate cuts was definitely kind of early to assess in terms of changes towards aftermarket business. But I believe, I think, is that leading to market share gain for branded players in aftermarket business, and that is also helping us in terms of reporting better growth? And subsequently, any comments on CPCB IV+ electronic content, which can lead to higher growth in distribution?

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Shveta Arya: GST impact in the aftermarket business, no. We haven't seen any significant impact that I can share with you. On CPCB IV+, we are waiting to see all the gensets to come out of the warranty sales. Once they come out, then yes, not from an electronic content perspective, but from the perspective that CPCB IV+ gensets are technologically far more advanced than what CPCB II were. All engines are electronic.

There is after-treatment system that goes along with all engines. And the entire genset is a technologically advanced product with a lot of telematics and sensors along with it. So, maintaining that and providing peace of mind to the customer is something we focus on. And definitely, yes, it could lead to better distribution business growth as we encircle customers in the Power Gen space.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: My first question is in continuation of the previous participant. In one of the previous conversations, I remember you had flagged that in the initial period of CPCB IV+, you obviously expect to get more of the services revenue, because the so-called unorganized channel is not prepared to be able to service those engines?

But over time, as they learn, some of this market share could start going away. Have we reached that stage? Or how do you see basically the services business growth from here on, given that we've already doubled that number over the last 8 to 9 quarters? That's question number one, Shveta?

Shveta Arya: Thanks, Pulkit. Thanks for the question, and I'm definitely very grateful to you for remembering some of this. CPCB IV+ completely is not out of warranty yet. 1st July '23 is when you would remember both CPCB II and CPCB IV+ were allowed to operate. 1st July 2024 is when we fully shifted to CPCB IV, 2 years of warranty. So, we are still in the warranty phase for a large set of CPCB IV+. So that phase that I spoke about has yet not fully come. It will likely come '27 onwards. So, I hope that helps answer that question.

Pulkit Patni: That

is very clear. Secondly, in your presentation, there's a statement which says the consumer price index remains stable compared to last quarter, which shows rapid momentum. Are you referring to commodity prices here? And in that case, how should we look at margins going forward, Shveta?

Shveta Arya: So, this was an overarching statement, Pulkit. I would say don't read too much into it. I think if you had to ask our opinion, we are watchful of commodities at this point in time, largely copper, while iron and steel have remained stable. So, I would say don't read too much into that CPI statement. Commodities, yes, that is something to be watchful of for sure.

Moderator: We'll take the next question from the line of Devesh Kasliwal: from Antique Stockbroking.

Devesh Kasliwal: Just wanted to understand on the battery energy storage systems that we have launched, the 10-foot and 20-foot containers. What is the addressable market in the long or medium term, the next 4, 5 years for us? And how are the customers taking on the product and the inquiries on that side?

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Shveta Arya: Thanks, Devesh. So, from an addressable market perspective, I think anywhere that you need power is a possible addressable market, because one can use battery energy storage system for different reasons. One can use it to move towards cleaner power. One can use it to fulfill backup power needs. One can use it to fulfill excess power needs. One can use it to store excess power in case they are generating power through solar, wind and other means in their premises. So, all of these possibilities, the market anywhere there's economic activity and there's use of power and backup power is the addressable market. So, it's a huge addressable market. Now how are we seeing this? We have been generating a lot of inquiries on the products that we launched, and we started generating it right when we launched. Sales in this space are still very, very slow, because most customers are evaluating how does a battery energy storage system fit into their overall energy solution.

And this is, I'm talking about large customers, small customers, everyone. It could be a residential realty customer, it could be a bank, it could be a large manufacturing location, because everybody has different energy sources today. There is a lot of interest. There is a lot of inquiries.

What we are seeing is people are evaluating how a BESS fits into their scheme of things today. How do they want to lay out their capex to add a battery energy storage system into that mix? And is this actually comparable to what they have been buying till now. So, customers are evaluating that, a lot of inquiries, very slow sales.

Devesh Kasliwal: Okay. And just a follow-up on that. So, let's say, in 5 years, what type of a revenue share are we targeting on this. Very nascent stage right now. Even a ballpark figure will do. And given like we have a range of around 200 kilowatt hours to 2 megawatt hours, so do you have any number that you can quantify the addressable market currently, that we are servicing in the space?

Shveta Arya: Right now, Devesh, your modeling will be as good as mine.

Devesh Kasliwal: And on the second part, as in how much revenue are we targeting from this? Will it be a substantial portion?

Shveta Arya: We need to see sales come in. We need to see conversions happening. We need to see customers accepting. That is when we will put the revenue target to it.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: First question on data center. You did highlight it on an average 25% contribution in domestic Power Gen. That roughly translates to INR1,100 crores, INR1,200 crores. Just wanted to understand what was kind of market share, what was the opportunity? And is it like 50% or higher? And second, the kind of growth we might have done in past 1 year in

data centers? And

what is the expectation of growth for the next 1 or 2 years?

Shveta Arya: Thanks, Amit. Amit, on the data center market share, we unfortunately don't have any syndicated market research we can share, the market share numbers with us. So, I will not be able to share anything on market share. What I can share with you from a data center perspective is that all Cummins India Limited

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kinds of data center players in the Indian market, be it hyperscalers or co-lo players, they all see the brand advantage of Cummins and the reliability and aftermarket service that we provide.

Due to that, yes, we have been growing in the market, for sure.

There is more activity now in the market with some new hyperscalers joining in and some new announcements that you might have seen. So, our expectation is that India will start moving on a faster growth path from a data center perspective, because we were not comparable to U.S. and China till now. We are still not comparable. Our hope is that with some new announcements that have come.

The tax break that has been announced and the advantages that India as a location can provide, we will start seeing some of this in the next few years. Definitely, we work with all the customers, all the data center customers who are present in India, global as well as local, and they all recognize the product advantage as well as the brand promise of reliability.

Amit Anwani: Yes. And just from the understanding perspective, so typically, let's say, for the hyperscaler or co-location, what's the addressable market in terms of gensets, will it be HHP, heavy-duty, which is growing, and how many numbers or in terms of value per megawatt of load, what is the genset requirement for hyperscaler and co-location?

Shveta Arya: All of them buy high horsepower gensets, 2,500 kVA and above, be it a co-located player or a hyperscaler, the market is 2,500 kVA and above.

Amit Anwani: Right. So, is it like, just for understanding, 1 megawatt would be requiring like how many of gensets there in terms of HHPs? Some understanding on that?

Shveta Arya: No, that can be very different depending on how the data centers design their entire location. That can vary.

Amit Anwani: Understood. And lastly, on the outlook for ex of data center and Power Gen domestic, if you

could provide, including commercial real estate and all other sectors which have done well in the past. So, what is the outlook ex of data center for domestic Power Gen and how each of the segment is doing? That would be helpful.

Shveta Arya: Yes. Other than data center segments, which are doing well, have been doing well in the past, and we expect them to continue doing well given how the budget announcement looks like. So, manufacturing and infra have been doing well for us and continue to show good inquiries. And going forward, given the announcements, we believe these will continue. A lot of movement in residential and commercial realty in the last few quarters continues to show us very good momentum and good inquiries. So those are the segments we expect to continue growing for us.

Amit Anwani: Lastly, the 25% data center, are we targeting this increase 30%, 35% or higher number in coming years?

Shveta Arya: We are expecting broad-based growth in Power Gen. So, while data centers will grow, given the economic activity and the infra spend, if that continues to happen and if this budget outlay really

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kicks in quickly, then we will continue to see growth in, as I mentioned, residential and commercial realty and infra and manufacturing.

So, if those grow, it is difficult to say if the contribution of data centers will outstrip this growth.

And data centers, remember, when announcements come in, from that to actual sale and installation could be a 2 to 3-year time frame.

Moderator: The next question is fro

m the line of Renu Baid from IIFL Capital.

Renu Pugalia: Shveta, my first question, if you can help us understand a bit more on the export part of the portfolio. Regionally, how are we seeing the demand outlook across key markets? And now that the U.S. tariff clarity is there, how has been the on-ground traction with respect to the new launches we have done in the U.S. for CPCB IV+ equivalent products? And in your view, when do we start to see some commercial business volumes trickle down from the U.S. market?

Shveta Arya: Renu, hope you are doing well. Exports demand, demand has been very, very choppy across all the markets. And I have not seen any clear trend from anywhere for the last few quarters. Some quarters, some market, we get some demand due to some movements in that market, and some quarters, we see some other market. So, there is no clear trend. Everybody around the world is talking data centers today.

So, while you ask me about U.S. tariffs and their impact on the CPCB IV+ launches, U.S. market is highly focused on serving data center hyperscaler players. At this point in time, the entire economic activity in the U.S. is focused on AI and data center space. So, we are pushing a lot, now that the tariffs are announced and far better. So, we are pushing a lot for the CPCB product pickup. I will have to tell you that everybody around the world is only talking data centers.

Renu Pugalia: Got it. And any color, while the December quarter typically tends to be global inventory destocking, beyond that, how are we looking at the export outlook for the current calendar year?

Shveta Arya: Yes. The destocking did happen. It's become very normal now for us. We anticipate that. We had anticipated it. Demand is a little slow in pickup just yet.

Renu Pugalia: Got it. Secondly, when we look at the industrial segment, broadly, railways seem to be a bit soft this quarter. So, from an end market perspective, how has been the new product development and ordering from railways, which is relatively soft? And also, if you can share some broad-based comments on some of the end markets in Industrial. And our Industrial revenues have been a bit on the sideline. So, when do we expect a meaningful pickup in that?

Shveta Arya: Yes. So, from a railway perspective, I would suggest not to read too much in this quarter, because railway demand, we were getting a lot of the demand over the last few quarters. And before this quarter, we did very good execution in rail. So that can impact quarter 3. It is a tender-based business. It can be like this. Overall, our outlook on rail is very positive. And the new capex announcements in the budget also show outlay towards railways.

Hopefully, that will get converted towards some projects where we get orders, but positive on rail. Do not read too much into one quarter. From an Industrial business perspective, yes,

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construction and mining are the ones which have been slow. Construction, I explained, there was this delayed monsoon in October, excavator pickup was not there, and then road construction was down. It's at half the rate of what it was in the previous year, right? But then now the new incentive scheme has also been announced.

So, we are waiting to see how construction plays out. We think it will be better, going forward.

Mining, the last 6 months, for 2 years, mining tenders were not coming in at the velocity at which we have seen in the past. But in the last 6 months, mining activity is better. It has still not converted into the kind of tenders where we participate. Still haven't seen those tenders come up.

So, mining and construction were leading to this kind of numbers that you see, which construction, definitely positive outlook; railway, definitely positive outlook; mining, we will see, we are watchful. Let's see if the tenders come in and then we will be able to say how that will pan

out.

The segment that has been doing well for us in the last few quarters is marine, because there, government is focusing, bringing in investments, and we have been working on many new products. Each marine order is ideally a new product, because it is customized for that order. So, I won't be able to, it's not like a product launch, but it is customized for that order. But that we have been able to capitalize on the investment coming in and our execution has been really good.

Renu Pugalia: Lastly, while the broad bucket of commodities have moved northwards, ferrous and pig iron has remained quite benign, and probably that also would have contributed partially to our gross margins. How have you seen the competitive intensity changing over the last quarter or so? Do the other domestic players continue to remain aggressive on pricing, or we have seen those pressures ease out on a relative scale?

Shveta Arya: No, competitive pressures seem to be the same. Very, very aggressive pricing and positioning by our competitors. So extremely aggressive, especially in the power generation space.

Moderator: The next question is from the line of Aditya Mongia: from Kotak Securities.

Aditya Mongia: Sir, a few questions from my side. Firstly, on this competitive intensity, it's been going around for some time. Should we kind of assume that the effect of the same are broadly inside the gross margins, the company is reporting? Or do you think that this could impact gross margin in the future as well?

Shveta Arya: For now, the impact of the aggressive competitive intensity is baked in into our gross margins, definitely, because we look at this segment by segment and then we adjust accordingly. And that is what we will do going forward. As of now, I don't see a humongous impact of this competitive intensity on the gross margin. As I shared, the gross margins, the mix impact, and if there was some onetime supplier benefit, those are the things more likely to impact gross margins.

Aditya Mongia: Understood. The second question that I had, was you talked about the Distribution business more from the perspective of endeavors of the company. But if I have to kind of see through the end

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markets and how they are growing for you, for the market as a whole, which markets within Distribution are kind of firing more for you and the sustainability of that growth rate?

Shveta Arya: So, segments that are growing for us, railways, definitely, from an aftermarket perspective, and then defense as well as power gen. So, everything else is contributing because we provide services to all our customers in the industrial and power gen space. But if you specifically ask me, railways, power gen and defense have been growing. And as asset base increases on the mining side, we will hopefully see more growth on that side as well.

Aditya Mongia: That's helpful. The third question that I had was on the comment that you made on BESS, that for the next couple of years, unlikely that the prime product, which is DG sets will be impacted by BESS. Is there an underlying thinking that beyond the next couple of years, there could be some displacement of demand in favor of DG sets and genset sales can get cannibalized starting next 2, 3 years?

Shveta Arya: Aditya, we believe that in the power generation and backup power space, I'm combining those 2, because now in the market people do combine various energy sources to provide the requirements, grid, solar, maybe wind, maybe genset and battery. So, people combine them and see them together as a prime and backup power space. Our belief is that BEV will become a part of this solution. When that will happen, unlikely to, I'm not able to predict a time frame for that, because it depends on various factors.

But it will become a part of the overall energy solution that our customers look for is our belief. Will it displace a diesel

genset is difficult to say, because if you look at a diesel genset as providing you reliability, then nothing else works. There is nothing like a diesel genset. Till the time you keep providing diesel, it will run. Even if, for example, some customer is in a flood-like situation for 10 to 12 hours.

At that point in time, grid fails, solar fails, and even battery will fail, you will not be able to charge. At that point in time, it's only a diesel genset. Until the time you provide it diesel, it continues to work. So, our firm belief is that diesel genset will remain a part of the mix of energy

solutions of our customers, and they will start adopting battery energy storage systems as a part of that mix at the right point in time when the economics work for them.

Aditya Mongia: Understood. Just a last clarification on gross margins, against the 38% sprint that was there in the third quarter, which is up 300 basis points on a Y-o-Y basis, how much of this would be linked to the one-off elements that we talked about, which was partly product mix and the supplier support that came in? And maybe a related question over here. In that mix, is exports helping you out from a currency perspective and that kind of, is also a benefit that goes away from January?

Shveta Arya: Currency benefit, not so much. Mix is largely dependent on our own product mix. When we say mix, it's a product mix. There are certain products which earn us better margins. There are certain products which don't, it is a mix of domestic and exports. It could be exports; it could be domestic as well. So, mix, that is what we call mix. It's a product mix. And then the onetime benefit, not substantial. It is there. It is some basis points, but it is not so much.

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Moderator: The next question is from the line of Kunal Sheth: from B&K 360 ONE.

Kunal Sheth: So, 2 questions. First one is on data centers. Who would you typically be competing in the data center market?

Shveta Arya: Kunal, we would be competing in the data center space with players who have products available in the above 2,500 kVA range. You can think of international players in that space.

Kunal Sheth: So, would that be largely Caterpillar and Perkins and say, someone like MCL?

Shveta Arya: For sure.

Kunal Sheth: Okay. And while I understand that there is no proper data set as far as market share is concerned. But would it be right to assume you would still be very, very dominant, upward of 70%, 75% market share there?

Shveta Arya: I would not be able to say that, Kunal. What I can say is that we do get invited by all customers when they have inquiries, but I will not be able to say what you just said.

Kunal Sheth: Sure, sure. I understand. And second question is on exports, Shveta. So, while I understand there is too much geopolitical uncertainty. And as you mentioned that the trends in exports are very, very uncertain everywhere. But given that a lot of things are changing, over the next 1 or 2 years, would you still believe that exports would be faster growing business than domestic or domestic will always dominate the exports growth as far as Cummins India is concerned?

Shveta Arya: We have more confidence on the domestic market, because we have seen, as our government has been announcing infrastructure spend, that spend does get converted into actual projects on the ground, and we do see tenders coming up and orders coming in largely. So, we do have more confidence on the domestic market. We understand the market, the players, the segments, the needs better. We don't understand exports market to that extent. So, our confidence is more on the domestic market.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to Ms. Shveta Arya for closing comments. Thank you, and over to you, ma'am.

Shveta Arya: Thank you. Thank you so

much, everyone, for your active participation and engagement in the call today. Cummins India remains confident in the stability of domestic economic environment. India's FY '26 GDP estimate has been revised upwards to 7.4%, while CPI has remained broadly stable.

Amidst evolving global conditions that may result in short-term volatility, we continue to monitor these developments closely, and we maintain a stable outlook for the medium to long term. With this, I would like to close this call. Thank you so much, everyone. Have a good day.

Moderator: Thank you, members of the management. On behalf of Cummins India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

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Ref: STEX/SECT/202 6
June 03, 2026

BSE Limited,
P.J. Towers ,
Dalal Street, Fort,
Mumbai – 400 001

BSE Scrip Code: 500480 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G Block, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

NSE Symbol: CUMMINSIND

Sub: Transcript of Q4 and FY 2025 -26 Results Conference Call

Dear Sir/ Madam,
Pursuant to Regulation 30 read with Para A of Schedule III and Regulation 46(2) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") and with reference to our stock exchange intimation dated May 16, 2026 , regarding Q 4 and FY 2025 -26 Results Conference Cal I, please find enclosed herewith transcript of the said conference call held on May 29, 202 6. Kindly take this intimation on your record.
Thanking you.
Yours faithfully,
For Cummins India Limited

Vinaya A. Joshi
Company Secretary & Compliance Officer
Membership No.: A25096

Encl.: As above

MANAGEMENT : MS. SHVETA ARYA – MANAGING DIRECTOR –
CUMMINS INDIA LIMITED
MS. SOMA GHOSH – CHIEF FINANCIAL OFFICER –
CUMMINS INDIA LIMITED

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Moderator: Ladies and gentlemen, good morning and welcome to Cummins India Limited Q4 and FY 25-26 Earnings Conference Call. We hope you all are keeping safe and healthy. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Shveta Arya, Managing Director, Cummins India Limited. Thank you, and over to you, Ms. Arya.

Shveta Arya: Thank you. Good morning, ladies and gentlemen. I am Shveta Arya, Managing Director of Cummins India Limited. I hope all is well with you. Soma Ghosh, CFO of Cummins India Limited, joins me on the call. Thank you all for joining us today. Now I would like to share the financial results of quarter 4 FY 26 and year-end March 31, 2026 through this call.

For the year ended March 31, 2026, with respect to last year, our sales at INR11,950 crores are higher by 18% compared to INR10,166 crores recorded in the last year. Domestic sales at INR9,961 crores are higher by 19%, exports at INR1,989 crores are higher by 12%. Profit before tax before exceptional items at INR3,104 crores is higher by 24% compared to the last year. Profit before tax after exceptional items at INR3,054 crores is higher by 22% compared to the last year. Let me give you the segment price breakup for the year ended March 31, 2026 for the domestic business. Power Generation domestic sales at INR4,758 crores are higher by 24% compared to last year.

Distribution business sales at INR3,278 crores are higher by 22% compared to last year.

Industrial domestic business sales at INR 1,650 crores are marginally lower by 1% compared to last year. For exports, high horsepower exports at INR984 crores are higher by 20% compared to last year. Low horsepower exports at INR807 crores are higher by 3% compared to last year. Now for the quarter ended March 31, 2026 with respect to the same quarter last year. Our sales at INR2,963 crores are higher by 23% compared to INR2,414 crores in the same quarter last year. Domestic sales at INR2,513 crores are higher by 30%. Exports at INR450 crores are slightly lower by 6%. Profit before tax before exceptional items at INR820 crores is higher by 20%. Profit before tax after exceptional items at INR852 crores is higher by 25%.

For the quarter ended March 31, 2026 with respect to the last quarter. Our sales at INR 2,963 crores are broadly stable, though marginally lower by 1% compared to INR3,006 crores recorded in the last quarter. Domestic sales at INR2,513 crores are lower by 1%. Exports at INR450 crores are lower by 5%.

Profit before tax before exceptional items at INR 820 crores is higher by 14 %. Profit before tax after exceptional items at INR852 crores is higher by 44%. The sales breakup segment-wise for the quarter ended March 31, 2026. Power Generation domestic sales are at INR1,294 crores, which is a 48% increase over last year and 21% increase over last quarter.

Distribution business sales at INR766 crores, 21% increase over last year and 18% decrease over last quarter. Industrial domestic businesses at INR381 crores, 1% increase over last year and 18% decrease over last quarter.

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Exports. High horsepower exports at INR217 crores, 1% decrease over last year and 7% decrease over last quarter. Low horsepower exports at INR127 crores, 18% decrease over last year and 5% decrease in the last quarter.

The company expects moderate growth across segments in the financial year 2026/27. With

stable domestic demand, we remain cautious and continue to closely monitor the potential impact of ongoing g

eopolitical developments on the broader economy. I'll now open the session for questions. Thank you.

Mod erator : Thank you very much. First question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Shveta, congratulations on a great quarter and the year. So my first question is on if I see the business over the last few quarters, so we are seeing incremental growth coming from data centers, both from Colo and Hyperscalers. And also after the transiti on of CPCB IV+, we have seen after treatment products gaining momentum.

So, my question is, as we move to services on the distribution side of CPCB IV+ engines and also on the data center has the potential of scaling up, our related party transactions are significantly lower because we are sourcing this from CTIPL or to imports. So in light of this, how do you think about localization? How do you think about margins? Because higher growth comes from these segments, it could be potentially margin dilutive to the overall company. So that's my first question.

Shveta Arya : Thanks, Parikshit, for the question. As you rightly pointed out, the data center growth as well as growth in the CPCB IV+ segments in power generation, while we do have products that we buy from related parties, localization content for us, for both the pr oducts that go in the data centers and the ones that go in CPCB IV+, the localization content is already very high. We are only importing some of those parts which largely don't have very significant supply chain in India. The most significant components a re all localized in India.

So that is not a challenge for us. And the content that we put beyond what we buy from related parties as a percentage is also very high. So we do not see these impacting our margins as much. They have not. In fact, in the last few quarters, you have alrea dy seen how the growth has been and how our margins have been. So these transactions have not impacted our margins dramatically.

Parikshit Kandpal: In particular, I was talking about QSK60, which is done by CTIPL and then QSK95 which we import. So as of now, if you can give some color on the percentage of revenue, how both of these could have contributed. And since we are expecting these to come in da ta centers over the next 3, 4 years, and the data center contributes 25% to the PowerGen overall revenues, and if it grows faster than the non -data center business, so don't you think over the next 3 to 4 years, this could actually start diluting it? Maybe right now not meaningful contribution to revenues, but then if it increases , then it will start hurting us?

Shveta Arya : The way we look at it, you're right, yes, the 95 -liter is imported. So the India market is still largely on the 60 liter. And as the market moves, we always evaluate what is that we can do
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more in India. So going forward, the way we look at it and our outlook is that we continuously evaluate what more can we do in India. We like to keep our margins intact for growth.

Mod erator : Thank you. Parikshit, I request you to come back for a follow up question. The next question is from the line of Atul Tiwari from JP Morgan.

Atul Tiwari : My first question is on the data center revenue contribution. So what was the proportion in FY '26 full year and 4Q?

Shveta Arya: The data center business contribution, so for the full year, the data center business would have contributed between 3 0% to 35% of our overall power generation domestic revenue, and for the quarter, approximately 35%.

Atul Tiwari: Okay. And then in your opening remarks, you said that this year, you expect moderate growth across product segments. So what would be moderated? Is it low double -digit, mid -teens, high single digit? And how should we think about that objective, moderate?

Shveta Arya: Two ways to think about this

, Atul. So from a demand perspective for our segments, power generation, industrial, distribution, across our segments for now, we are seeing robust demand from the domestic market. Exports, I have always been mentioning that it is difficult to completely put our fingers down on the export demand gi ven the geopolitical situation.

From a domestic demand perspective, for now, we still see robust demand. We are watching what's happening largely to the economy and everybody else in the country. Commodity prices are increasing, inflation is likely to hit. So we are watching all of that. And that is why that brings us a little bit of caution despite the fact that our demand, inquiries and order book are robust today.

The second way to think about this is that we have been taking quite a few supply constraints and not just us, the industry has been facing quite a few supply constraints. We are all facing

labor shortage issues at our supplier and commodity pricing has hit our suppliers, fuel cost increments have hit on suppliers. And of course, the ongoing war which delays movement has also impacted. So that is another way to think about it, so there is a little of caution while the demand seems robust.

Atul Tiwari : Okay, ma'am. Thanks a lot. Very clear.

Moderator: Thank you. Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Yes, good morning and thanks for the opportunity. My first question, can you help us with the inquiry pipeline of data center compared to the last year? And are we seeing Hyperscaler inquiry building up?

Shveta Arya: Inquiry pipeline right now after October last year has picked up in industry. Both Hyperscalers, more than that, Colo players. So the inquiry velocity definitely increased quite a lot since October last year, and we continue to see that, Mohit.

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Mohit Kumar : Understood. My second question ma'am, industrial was weak for the quarter in the fiscal. Are we seeing signs of revival in the demand across your various segments? Can you please comment on that?

Shveta Arya: Yes, I will do that. From an industrial segment perspective, last quarter, you might probably see the railway coming in as much for us. But this quarter, railway has performed very well and we continue to see robust demand on the railway side. That is the segment where we have a good order book and it continues to be so.

Mining, for the last 2 years, we were not seeing good tenders coming in. The order velocity and the tender velocity was lower. But in the last 6 months, mining has picked up, and so our order book has started building up.

Compressor segment will now undergo its low cycle, as it always does after a few years. So that may not see the kind of robust demand that we have seen in the last year or so. Construction, largely stable road construction. We all know the amount of road construction that was happening 2 years ago is moderate. So, we will also see moderate orders in that segment. I hope that gives you a little bit of color on the overall segments in the Industrial business.

Moderator: Thank you. Mohit, I'll request you to come back for a follow up. Next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Yes, thanks for the opportunity. First question on the exports outlook. We have seen an uptick in terms of our annual revenues this year. Anything specific to look out here? Is there a change in trend? Or probably that range round sort of low range still continues going ahead? Your comments, please.

Shveta Arya : Exports, we have been seeing markets like Europe and Asia Pac continuing to grow modestly for us . There is nothing specific that has changed. Middle East and other markets actually have not grown as much. So for the last 2 quarters, it has been Europe and Asia Pac, and those are the

e

places where we continue seeing moderate demand. So nothing has changed in that outlook.

Ankur Periwal: Sure. And secondly, on the Industrial side, you did mention towards some of the segments seeing some uptick there, especially railways. How will you look at the growth outlook here considering will it be only railways who will be driving growth for us? Or how do you see the overall growth outlook on that side? And if you can share the annual numbers in terms of the specific segments as well ? Thanks.

Shveta Arya : I will do that. Railways, yes, for now, we continue railway good demand for the industrial business as well as DBU . So railways as a segment, we see growing. Mining, as I mentioned, new tenders coming in and building order book. So those are the two where we see order book building up.

Construction, I mentioned is moderate because, largely, we are related to the road construction. And the assets that are used in road construction that is happening in pockets, but not at the speed and velocity which it has happened a few years ago. And compressor goes into its down cycle,

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which is very regular after every few years. So that is how we see it, Ankur, both railways and mining growing for us in this year.

Moderator: Thank you. Next question is from Renu Baid from IIFL. Please go ahead.

Renu Baid : Yes. Hi, morning and thank you team for the opportunity. So, Shveta, my first question is while data center clearly has emerged as the fastest growth driver for us for the domestic PowerGen

business. What in your view would change from a portfolio perspective as we move towards the increasing installed base from 1.5 gigawatts to 6 to 10 gigawatt?

And as more larger scale data centers are coming up, 80 to 100-megawatt range, close to 200-megawatt range, how does the spec and the multiplier effect intensity of backup are going? Also with this, as we see the larger size engines being deployed here, which are largely imported today, how does the competitive landscape for you look like versus the current 60 liter where we are deeply localized versus players?

So do you see market shares tapering for Cummins in the data center market over the next 4 years or even 2 years to look at in the near-term as we see larger size of data centers getting planned and deployed in the country? That's the first question.

Shveta Arya : Yes. Thanks, Renu. From a data center shift perspective, the sizing that you're talking about of the gensets and the engines thereby, largely, you're right, it is the localized QSK 60 which goes in this market. In the near-term, which is 2 years, it will continue to be Q60. That is the clear line of sight that we have.

Yes, this could shift towards higher sized engines as well, to a 78 and 95 liters. 78 liter looks more likely. And if that happens, it would always evaluate what is it that we can do in India as the volumes start coming in for the 78 liters. From a competitive landscape perspective, no one is making 95 liters in India. Everybody is importing them.

So in that space, I don't see the competitive landscape changing from where those large engines are built because, largely, 95 liters are sold in the U.S. market. And for us as well, they get built there. And obviously, all our competition also decides where those sell today and place their manufacturing and supply chains accordingly.

Renu Baid : Right. This question was specifically on the backdrop that over the last couple of quarters, especially in the last 3 months, we have seen large orders being finalized on the data centers and one by our competition, whether it's the likes of Perkins, Baudouin, be it Adani etc.

So just trying to understand that incrementally, if competition is based at equal footing on imported engines, the relative cost benefit which Cummins was having on a 60 liter fully localized base will definitely

be narrow off versus peers. So how do you think our margin of profitability profile and our go-to-market strategy on pricing may change as we move towards a larger size of data centers which are in plans?

Shveta Arya: Renu, the way we look at it, it is not just about the cost and the pricing of these engines and sensors. It is the whole value proposition that we provide to the customers. So, from our Cummins India Limited

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perspective, even before the tenders come in, we engage with our customers to really understand what are the kind of sites they are planning, how are they really thinking of setting up their site? How can we help them from that stage onwards to think of our impact of power.

And then after installation -- during installation, we help them, after installation through our Distribution business. And please also remember that we are doing this around the world. So, there is a lot of learning that we bring in to our customers. In our view, it is not just a cost and pricing gain. It is the whole value proposition on the solution end to end that we provide to our data center customers. And we continue to see our customers valuing that.

Moderator : Thank you. Next question is from the line of Aditya Mongia from Kotak Institutional Equities. Please go ahead.

Aditya Mongia : The first question, maybe the clarification that I had to seek over here is that you say 30%, 35% Powergen in data center, you still separate distribution piece outside? And so how large is it?

Shveta Arya: Is there a separate distribution -- did you mean is there a separate aftermarket business for it?

Aditya Mongia : That is true, yes.

Shveta Arya: Yes, yes. For data center players, as I just mentioned in the answer before this, we look at data center customers very specifically because they want 99.99% uptime. So, from an aftermarket perspective also, it is a very separate focus to make sure that our service teams and our parts are available to them in the way they need. So, it is a very separate focus in our Distribution business on data centers.

Aditya Mongia : So, is there separate quantum beyond the 30%, 35% exposure in Powergen? Let's say, in Distribution, could you quantify the numbers for that, the absolute contribution...

Shveta Arya: There is distribution revenue over and above the 30%, 35% I spoke about. We'll not be able to quantify that fully today.

Moderator : Thank you. Next question is from the line of Rahul Gajare from Macquarie Capital. Please go ahead.

Rahul Gajare : The first question I've got is on Cummins parent investing close to \$450 million to raise 20 gigs of capacity by 2030. So, I would imagine ideally this should compress the import timelines. So, as we speak today, how much is the timeline for import of this QSK78 or 95? And along with

this, you could also comment on how much time does it take for locally manufactured QSK60?

That's the first question.

Shveta Arya: Your first hypothesis that this will crunch in both timelines for us is correct because we are adding capacity as our parent has mentioned, and this largely goes towards engines that go into data center market. It is likely to crunch in post timelines. I will not be able to give you the exact numbers on what our lead times are and what they're likely to go to.

Rahul Gajare : No, you can talk about it at this point in time, how it has changed maybe in the last 1 year, if it has changed at all.

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Shveta Arya: It has definitely increased. The lead times has increased because we need to appreciate that the data center demand through the world at this point in time is very high. So , the lead times have in the last few years increased.

Mod erator : Thank you. Next question is from the line of Teena Virmani from Motilal Oswal. Please go ahead.

Teena Virmani: Shveta, congrats

for a great set of numbers. I have two questions, one on exports and Powergen.

So, on exports, can you please quantify or give a broad range as to possibly the element of currency depreciation in the overall export growth number or export number. And are all gains by Cummins India, even if you are doing exports to the parent entity?

Shveta Arya: Teena, currency depreciation, I will not be able to give you a number of exports, largely happens in Europe, Africa, Middle East, Asia Pacific, Latin America, everywhere. So, I won't be able to give you a currency depreciation number. Are all gains kept by us and not share, see, over a longer period of time, depreciation is a known fact available to everybody. And to our customers, after the period of time, we do pass on the benefit, including to our parent.

Teena Virmani: Okay. So , it would vary from geography to geography. I mean, it would all depend particularly on the negotiations that you are having with the clients.

Shveta Arya: Absolutely. And geography to geography , what is happening in that geography, how much distributable inventory we have over there, how are we moving back depends on all those factors.

Teena Virmani: Understood. And my second question is related to your Power gen facility. So, what would be the capacity utilization levels right now at your facilities? And any kind of capex are you planning to do on the Power gen side to stated to demand that is coming from both your non - HHP and HHP side?

Shveta Arya: So, we don't separate out our facilities for Power gen and Industrial separately. We have combined facilities. And our overall capacity utilization is hovering around 70% today. We have consistently been putting in capex over the last 10 years and, more specifically, even in the last 5 years.

And we continue to do that towards modernizing our lines, towards building more on each one and doubling what we are doing. The output of each line has been increasing over the past few years, and we are continuously doing that. That is how we have been able to cater to the demand .

Mod erator : Thank you. Next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: My first question just pertains to just wanted to know that -- I mean, we are seeing fast -growing market of data centers, not only locally but also in the U.S. and other geographies especially the U.S. So, I just wanted to know if there's any possibility o f leveraging the Indian entity in any meaningful way to cater to that fast -growing data market as well, in the U.S. particularly?

Shveta Arya: We, for the data center market, these are very heavy engines. And largely, our strategy is to make them as close to the customer responsible. Do we utilize our India base? Absolutely, we

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do. Where we can source components from India, we do that. So, the engines are largely manufactured and the gensets are manufactured where the customer is. We do absolutely utilize the supply base out of India already.

Jason Soans: Okay. Sure. And last time around also, you have been mentioning that competition especially in the HHP space, whether it be the data center or the mega infra space, which is the main stay, it's quite heating up. So just want to know, just could you add som e color to it, what's happening there and also whatever steps we are taking to basically counter the competition?

Shveta Arya: Competition has been there. And as we see that there is growth momentum in the data center and high horsepower range, so there is competition. The intensity has remained the same. Our endeavor is to work with the customers prior to the order coming in , so not just treat a genset sale as onetime asset full but overall provide a solution to the customer during installation

commissioning, post installation commissioning, fulfilling their service needs, helping them with predictive maint

enance, helping them with diagnostics and just helping them utilize their space and their assets better.

And that we can do because, one, we have our own teams sitting here, both in manufacturing, in engineering and in service. And also, we have many of these resources sitting around the world who share all this knowledge with us and help us compete better in the market and provide better value to the customer. That is how we work to improve our value proposition to the customers.

Mod erator : Thank you. Next question is from the Priyanka Biswas from JM Financial. Please go ahead.

Priyanka Biswas: Congratulations, ma'am, for a great set of results. My first question is, you had mentioned in the press release that there was significant commodity inflation. And we also see that there has been a significant rise, almost we are doubling DEF prices, the Diesel Exhaust Prices. So , in that context, can you say what are the pricing actions has been taken? And is there any impact on the distribution side of things? Because if I understand that, the DEF is used as a key component like in the after -treatment systems. So, if you can say something about that.

Shveta Arya: I'll split this answer into two. Let me first talk about commodity inflation overall. Yes, we have been seeing commodities increase. As far as possible, we try and pass them on. There is always a challenge because we would have generated orders this prior to the period of commodity increase. So, with a little bit of lag and a little bit of challenge, we pass it on to the market. And we continue to see that challenge across various commodities. Specifically, from a diesel exhaust perspective, DEF is a very small proportion of our distribution business. So , it is not that impactful.

Priyanka Biswas: And then if I may ask what we have seen is some of your local competitors specifically, it seems that they are engaging into significant hiring of personnel, especially relatively senior from the likes of Cummins itself over the last 1 to 2 years. So, is there any impact that is there on our business? And if I can just squeeze one more in, like the customers you keep out the breakup by subsegments of Power gen industries, if you can do that as well.

Shveta Arya: Okay. I'll answer your first question, and then I will give you the subsegments data. Local competition hiring from Cummins, Cummins has been a ground where almost all competition

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hires from Cummins. So, this is not new to us. The company has been around in India for 60 - plus years, backed by a great brand, technology and innovation, and we continue to have excellent manpower with us already. So no, that is not in that.

And subsegments breakup from a Power Generation perspective, I can give you the quarter numbers. Low horsepower, INR55 crores , medium range, INR177 crores heavy duty, INR108 crores and then the remaining is high horsepower. And then from an Industrial business perspective, construction at INR164 crores rail at INR111 crores compressor, INR59 crores and then the remaining is mining and defense.

Mod erator : Thank you. Next question is from the line of Mohit Pandey from Citi Research.

Mohit Pandey: Ma'am, first question is what's the Hyperscaler revenue this quarter. HSP number looks like INR954 crores based on what you just disclosed.

Shveta Arya: Thanks for the question, Mohit, yes there was. So , we had about INR250 crores of value.

Mohit Pandey: Understood, ma'am. And second is if you can please comment on the demand trends barring data centers and Power gen. Your initial commentary did suggest you see robust demand. So that would be very helpful. And secondly, on distribution, as CPCB IV + products start coming out of warranty from June onwards, how should we think about it on the impact on distribution?

These are my two questions.

Shveta Arya: Sure, I

'll answer your second question first. CPCB IV+ as it comes out of warranty, absolutely, our endeavor is to encircle our customers so that , this is integrated technology products, are more sophisticated technology , than prior in Tec-product engines after treatment systems. So, we do want to provide the services to our customers for the entire CPCB IV+ range as it comes out of warranty.

We have service packages available for extended warranty as well for our customers, which gives them a lot of peace of mind . And we do anticipate our distribution business to be able to cater to these customers , as they get out of warranty. In fact, we are already working on that through our extended warranty schemes .

And then from a Power Generation demand perspective beyond data centers. We have been seeing demand from manufacturing, specifically a lot of solar cell manufacturing plants being set up, pharma. So these are some spaces we have been seeing demand. And then on quick commerce, their dark stores are being set by quick commerce players. We've been seeing

demand there. Luxury residential realty, commercial realty continue to show us good inquiries and good orders. So that is largely where we see power generation demand. Industrial, I already shared mining and rail is where we are seeing the building order books.

Moderator: Thank you. Next question is from the of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati : Yes. Thank you so much for the opportunity. Shveta, my first question is, are there any product gaps that you see today that you want to bring to the market?

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Shveta Arya : Puneet. We don't see product gaps. What we always endeavor to do is pack more power into each of our products. And we continuously work on that. So we didn't have product gaps, we have lots of opportunities to pack in more power into existing products so that they become more value for money for our customers.

Puneet Gulati : Understood. And secondly, you talked about extended warranty scheme. How do you book your revenues for that product? Is it at the time it you sell or through the life?

Shveta Arya : I don't think I'll be able to share all the details for this. This is booked just as per the service of vendors.

Moderator: Thank you. Next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani : Hi thanks for the opportunity. Just wanted to ask your thoughts on the BESS. So we talked about it, I think, 1, 1.5 years back. Any thoughts on BESS since there's a lot of planning in India also over the next 5 years in terms of BESS targets . I just wanted your thoughts for the Indian entity on BESS?

Shveta Arya : Thanks for the question. We have generated a lot of interest and a lot of inquiries. We have to see some good sales coming in. For now, there's a lot of interest and a lot of inquiries for battery energy storage systems coming out.

Amit Anwani : Right. And second, I wanted to ask you told me about the Colocation inquiries, especially from October that has picked up. I just wanted to understand in terms of our portfolio currently, So is there any product gap in terms of servicing probably the large -scale data centres if the opportunity comes for next 2, 3 years?

And second, in terms of capacity, are we kind of thinking of major expansion? You said 70% utilization. But seeing the kind of demand which we are sensing for the next couple of years, at what point we will be thinking of capacity expansion in a big way? And I would probably frontloading , any thoughts on , any major capex you might be thinking? These two questions. Thanks.

Shveta Arya : Thanks. From Colo players, we do not have a product gap. They continue to buy our QSK60.

And for the next 3 years, we see the demand for that note from Colo players. So, no product gap.

From a capacity perspective, I did ment

ion that we have been investing, in fact, in the last 5

years. In Cummins India Limited, we have invested more than INR 1,000 crores. What we have been using it for is continuously modernization of our plants and expanding our line capability, more output from the same line. And that has been happening over the last 5 years.

We also have very, very integrated supply chains around the world. So as capacity is , similar kind of output generation from different plants around the world happens, we can tap into that as well. For now, no major capital expenditure plan. The continuous capital that we have been investing in the last 5 years, we will continue to invest that to get more output from each of our installed bases today.

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Amit Anwani : Right. Lastly, if you can share the non -data centre growth in domestic power gen. How has been the growth this financial year?

Shveta Arya : Non-data centre growth in power generation has also been very good. It is higher double digits as well.

Moderator: Thank you. Next question is from the line of Uttham Kumar from Avendus Spark. Please go ahead.

Uttham Kumar: Yes. Thank you for the opportunity. My first question is on the power gen segment. I just want to understand that post the transition to CPCB IV + kind of technology, initially, we have highlighted that the price hikes were as much as about 30% to 35%. Is the pricing still sustaining? Or have you seen kind of pressures because of competitors also trying to maintain at the lower end? That's the first question .

Shveta Arya : Pricing is largely sustaining across the range. Of course, in lower ranges, which we call very low cost power products , there always in this market, there has been a lot of price -related competition

which continues. Largely pricing has sustained at the levels we have.

Uttham Kumar: Got it. The second question is on distribution business. So we are seeing for the full year, around 22% growth. Could you highlight what would have been the price-led growth for this particular category?

Shveta Arya : Price-led growth in the distribution business is very less. In the distribution business, the growth that we have been building is through the actions we have been taking. So Distribution business is providing more and more solutions to end customers, be it power generation or in railways.

They have been working towards providing service packages for predictive maintenance. We have been working on expanding sales beyond parts related to the engine, so a lot of dual fuel kits, retrofit emission control devices and many other such opportunities. So really from a pricing perspective, that is not the major contributor to the 22% .

Moderator: Thank you. Next question is from the line of Mayank from HSBC. Please go ahead.

Mayank : Yes. Hi Shveta and team. Good morning to you. One first question on the data centre project cycle. I just want to understand the ordering and execution that happens there. So let's say, if a data centre build-out takes 3 years to build, at what point will the customer order gensets on to you? At what point will you deliver it to the customer and how the revenue recognition takes place during that time? That's my first question.

Shveta Arya : Yes. Mayank, 6 to 12 months before the site is ready, we would get those orders. It could be much earlier than that also, depends on how people plan their site, largely on an average 6 months to 12 months before their sites are ready.

Mayank : Okay. And revenue recognition is most, the majority of it is on the revenue input?

Shveta Arya : As we install the gensets on the site, we recognize the revenue.

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Moderator: Thank you Mayank. Kindly come back for a follow up question. Next question is from the line of Kishore Kumar from Unifi Capital.

Please go ahead.

Kishore Kumar : Thanks for the opportunity. So my question is a follow-up to the question of Amit on BESS. How do you see this segment scaling up over a period of 3 to 5 years? And what would be the overall contribution of this to the business? And second is, do we have localized supply chain for this? Or it's more of an import dependent here?

Shveta Arya : We do see we are , we have a positive outlook on the BESS business in India. We see it scaling up. We see it becoming part of the overall backup power solution for our customers. As of today, because we do not have very good sales pipeline yet and we are still seeing customers evaluate how they want to add a BESS in their overall power solutions, we are not able to share with you what we see as the contribution.

As the market moves, as we see more installations, as we get feedback from customers, then we will be able to share contribution. Over the longer-term period, we do remain very positive on the outlook of battery energy storage systems. From the supply being localized . No. For this product, we do not have a local supply chain yet. We are working towards that, but we do not have a local product yet.

Kishore Kumar : Got it. Who are the customer cohorts that currently we are targeting?

Shveta Arya : That is something I will not be able to share with you.

Kishore Kumar : Okay. Thank you, ma'am . Thank you.

Moderator: Thank you. Next question is from the line of Vijay Bhasin from Inc red Research. Please go ahead.

Vijay Bhasin: Hi Shveta. Is it possible to have a split of revenue growth over the last 2 years into pricing versus volume given the CPCB IV + core price hikes has been completely absorbed by the market?

Shveta Arya : Vijay, that would be very tough to do. If I were to give you some indication, that would be a lot of volume-led growth. Price and content addition, yes, in the CPCB IV + range. But please remember that beyond the CPCB IV + range we have the high horsepower range and we have the industrial business and the distribution business. So overall, it actually volume led growth.

Vijay Bhasin: Fair. Second, you mentioned to an earlier participant that India data centre demand is more of Colocation than Hyperscalers . What we understand is that the Hyperscalers now picking up pace, what we have seen in the US and Europe markets. And given there's low competition in the HHP space, above 800 kW levels, is it fair to assume that the margins would potentially be better hereon from, let's say, a medium-term outlook, if not immediately short term?

Shveta Arya : Thanks for the question, Vijay. Vijay, a lot of inquiries and orders from the Colo players, and yet I would mention that both the Hyperscalers and Colo players are developing in India. Just back in the prior year, we did not see this kind of order velocity from Colo players, which we are seeing now. But both Hyperscalers and Colo players are growing in India at this point in

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time, and we are getting to see enquiries and orders from both. So as for the margin question, that is very difficult to answer. Of course, every business tries to maximize the margins. Then you provide higher value to your customers. And it is rightful to say in the high horsepower range, beyond the technology, the service and the solutions we provide, we try to provide higher value to our customers for sure. So that is our endeavor.

Moderator: Thank you. Next question is from the line of Ashish from MLP. Please go ahead.

Ashish: Hi Shveta, congratulations hello? Hello?

Moderator: Go ahead sir you are audible.

Ashish: Hi Shveta, congratulations for the good set of numbers. I just wanted to understand what would be the lead time for HHP ordering because with the higher commodity price, would we assume that the orders which were taken previously will have some margin

in pressure, but then going

forward, as we take new orders that should abate?

Shveta Arya : So the lead time for high horsepower orders, I did answer the data centre lead time earlier , but overall high horsepower portfolio lead time will be between 3 to 6 months.

Ashish: Okay. And so should we expect some near -term commodity impact and then it gets passed on to the customer? Or do we have any price escalation on the orders that we have already taken?

Shveta Arya : This is quite challenging for us to manage. We, of course, try to pass on the commodity increases to our customers. There usually is some lag in the way we are able to deal with it.

Moderator: Thank you. Next question is from Prolin Nandu from Edelweiss. Please go ahead.

Prolin Nandu: Hi Shveta, thank you for taking my question. Just one question, right? On the moderation of demand that you envisaged because of how the macro is panning out, but just your thought , right in terms of the criticality of the pipeline that we have, how much of short -term commodity prices could impact decisions from some of these very long -term projects , right ? So versus, let's say, 5 years back, the quality of pipeline that we had and right now, how inelastic, so to say, is the demand versus what it was 5 years back?

Shveta Arya : The way to think about this would be that from projects which come in the high horsepower range, from a power gen perspective, the demand should largely be inelastic because these are more project -based, which was planned earlier, and only commodity price increases , will not make changes to how the projects are planned and how they will get executed.

But on the lower ranges, below high horsepower, which is CPCB IV + range, yes, because the lead times are shorter for these orders and the inquiries also keeps coming in regularly. There could be impact. There could be impact which the commodities go higher and if inflation hits even higher, then that is the space where we can start seeing demand to be more elastic or the velocity reducing.

Prolin Nandu: That's it from my side. Thank you so much.

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Moderator: Thank you. Next question is from Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani : Hi Shveta, good set of numbers. So, congratulations. Could you help us with ?

Moderator: Bhavin , sorry to interrupt. Can I request you to speak a little louder, please?

Bhavin Vithlani : Okay. Am I audible now?

Moderator: Yes, thank you.

Bhavin Vithlani : So, Shveta, good set of results, congratulations. I have one question there is a set of couple of nodes which are imported which are for the data centres. Could you help us with the lead time on this? Beyond that, if you could also talk about the supply chain -related aspects? Because in the COVID times, there were issues related to electronics which impacted. These are the two questions that I have.

Shveta Arya : Thanks, Bhavin . The imported nodes for data centres, I won't be able to share with you the exact lead times. But on the supply chain impacts on those nodes, unlike COVID times, at this point in time, the supply chain impact on the imported nodes is largely because demand on these nodes is coming from all across the world.

And that causes a situation where the demand is moving far higher than the pace of addition of capacity. But it's not supply chain issues like electronics or other. It's a regular part of the way we manage our supply chain. Of course, when you see high demand on some nodes throughout the world, you deal with supply issues in various different parts. But we have been working through those in the last 2 years or so.

Bhavin Vithlani : Sure. On the electronics front?

Shveta Arya : We don't see a challenge.

Bhavin Vithlani : Great. Thank you so much.

Moderator: Thank you. Next follow-up question is from the line of

Aditya Mongia from Kotak. Please go ahead.

Aditya Mongia : Thank you for the opportunity. Shveta a few questions. The first one, the context of the first question is that you said 30%, 35% power gen share of data centres this is actually even higher than what the global parent has at about 25%. I would want to assume that the global parent does a lot more in power gen versus what India does. And I recall you talking about transmission earlier as well. Could you kind of relate to us where the differences and what power gen globally, the parent is doing, and what we are doing and where there are pockets of opportunities from India perspective ?

Shveta Arya Yes, Aditya, thanks. Aditya, 30% to 35% is data centre share for India power gen. For the parent, that 25% number is not just the share of power gen. We'll have to relook at those numbers. This is a share of the broader business. So it is not comparative. Their share of data centre only for power gen will be higher because the US market and the China market have been growing in the Cummins India Limited

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data centre space much faster than us. And that is why their share, if you were to take a similar comparison, only data centre revenue compared to just overall power gen revenue will be much higher than ours, owing to the fact that the data centre market has been growing much faster than ours. Ours has started picking up pace since last October.

So power gen globally versus India, I think the key difference is that in the India power gen market, since we have shifted to CPCB IV+, we are at the highest emission norms that we see anywhere else in the world. We have been seeing growth both across CPCB IV+ ranges and the high horsepower ranges.

For our parent, the high horsepower growth has been far faster than any other segments growth. For us, it has been more broad-based growth given that growth in manufacturing, growth in pharma, growth in commercial and residential realty and other segments have also been very good.

So that, I would say, is the primary difference between the growth in power gen for us and the growth in power gen for parent. Now the pockets of opportunity. Pockets of opportunity for us will be if India data centre market starts growing at the pace at which US and China. That would present to us a very, very good opportunity, which is not happening yet today.

Aditya Mongia : I'll probably put my second question related to this one. So the parent is also talking about the new products that they are launching, wherein the genset just doesn't work as a backup application, but also the prime mover application, let's say, in peak shaving times and so on and so forth. There are a few more that the parent has added to it and a gain, I'm trying to kind of suggest or seek from you that beyond BESS, are there other allied, let's say power solutions or aspects that we can focus upon that may have a life to them over the next 2, 3 years?

Shveta Arya : You are right. So the parent has spoken about a gas product very specifically for the US market to operate when there is peak shaving in the power. In India, we do not see those kind of opportunities. And beyond the BESS, there are some opportunities that we are evaluating. As and when we have some maturity on those, we will share with you. As of today, there's nothing that I can share yet.

Moderator: Thank you. Next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Hi Shveta. So my question is on distribution business. So in the last few calls, you've been saying a lot of effort has been put in, to build up this business. And so just wanted to understand now CPCB IV+ is now already implemented, so do you think that, I assume that a large part of our installed base would have already been covered. So do you think that

at there is still scope for this

business to grow in excess of 20%, which it has been delivering for the last couple of years?

Shveta Arya : We do think there is scope for distribution business is to grow, owing to the fact that the asset base is continuously increasing in India. And of course, I did mention CPCB IV+ and also in high horsepower range, it really happens to the customer that the asset is maintained and serviced and is ready for use as and when they need it. So yes, there are those opportunities.

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In railways and in mining as well, as the asset base increases, there are opportunities. There are

some pockets in the construction segment, there are pockets in defence. So yes, all of these present us opportunities, which come with the growth of the asset base, with distribution business going out and creating solutions for the customer and also helping them with predictive maintenance and such services. Also, we are adding to our distribution portfolio, to distribute parts and services beyond engines as well. That is added growth opportunities, we definitely see distribution business continuing to be on this growth trajectory.

Parikshit Kandpal : Second question on the residential real estate, Shveta. So I mean we are, I cover that sector for long years now. So what I have seen is the trend change that before 2020, it was more like mid-income, mid-luxury housing. But the transition over the last 4 years, 5 years has been super luxury and beyond and the volumes have also significantly increased over the last 4 or 5 years. So on the ground, I mean, when we see that next 3 to 4 years, there are huge deliveries of these apartments being planned in the last stages of delivery, so do you see any sense on the ground, whether the per capita consumption of the backup power, given these are luxury projects, have you seen that more units are getting deployed on the ground? So could there be a scale change altogether in the growth, which real estate portfolio can deliver on the power gen side, on the non-data centre power gen side?

Shveta Arya Parikshit. Simple answer, no. The segment has been growing for us both. You are right, it is luxury residential realty which has been growing. We don't see a dramatic scale change. And they still remain backup power. So we do not see even the utilization going up. So we do not see dramatic scale change there.

Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to Ms. Shveta Arya for closing comments.

Shveta Arya : Thank you so much for all your questions, and thank you for your participation and engagement. India's economic outlook remains steady supported by government initiatives, focus on manufacturing and capital investment. The company remains focused on timely execution of orders, maintaining supply chain resilience and leveraging its technological strengths. With this, I would like to close this call. Thank you so much for all of you for joining us today.

Moderator: Thank you very much. On behalf of Cummins India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.